

PNC Infratech (PNCINFRA)

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Call: Aug 2022

PNC

, I/- PNC Infratech Limited

Ref No: PNC/SE/4 5122-23

To,

The Manager

Department of Corporate Services

BSE Limited

Floor 25,P.J. Towers,

Dalal Street, Mumbai-400 001

Scrip Code: 539150

Dear Sir,

Sub- FY

Company Secretary &

ICSI M. No.: A22603

Encl: a/aDate: 17-08-2022

To,

The Manager

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East), Mumbai- 400 051

Scrip Code: PNCINFRA

Conference Call on Financial

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 we r/lre enclosing herewith the transcript of earnings conference call on Financial

Reiults for the quarter ended 30th June, 2022heldon Wednesday, 10th August, 2022.

You are requested to take this information on your record.

Thanking you,

For PNC Infratech

Officer

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CIN :145201D11999P1C195937Tel. Fax: +91-11-29563844An ISO 9001 :2015 Certified Company

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"PNC Infratech Limited

Q1 FY 2 3 Earnings Conference Call "

August 10, 202 2

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th August 2022 will prevail.

MANAGEMENT : MR. YOGESH KUMAR JAIN – MANAGING
DIRECTOR , PNC INFRATECH LIMITED
MR. T. R. RAO - DIRECTOR , INFRA - PNC
INFRATECH LIMITED
DR. BHUPINDER SAWHNEY - CFO , PNC
INFRATECH LIMITED
MR. D. K. MAHESHWARI - VICE PRESIDENT
FINANCE, PNC INFRATECH LIMITED
MODERATOR: MR. SHRAVAN SHAH - DOLAT CAPITAL
PNC Infratech Limited
August 10, 2022

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Moderator: Ladies and gentlemen, good day and welcome to the PNC Infratech Limited Q1 FY23 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the Conference Call, please signal an operator by pressing “*,” then “0” on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shravan Shah from Dolat Capital. Thank you and over to you, sir.

Shravan Shah: Thank you, good afternoon, everyone. I would like to welcome you all for Q1 FY23 results Conference Call of PNC Infratech Limited. We thank the management for giving us the opportunity to host the call. We have senior management team of PNC Infratech with us. I congratulate the entire team of PNC Infratech for robust performance in Q1 FY23, without wasting much time. I would now hand over the floor to Yogesh sir for opening remarks and then we can have a Q and A session, over to you, sir.

Yogesh Kumar Jain: Good afternoon, everyone and a very warm welcome to all of you present on the call, to discuss our financial results for Q1FY23.

Today along with me, I have Mr. T.R. Rao, Director (Infra), Dr. Bupinder Sawhney, Chief Financial Officer and Mr. D. K. Maheshwari, Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

First, I will share my thoughts on a few sectoral highlights which will be followed by financial and operational highlights of the Company.

The pace of highway construction in Q1 of FY23 in the country slowed down and stood at 22 km a day compared to 25 km a day on Year-on-Year

basis due to higher input costs and early onset of monsoon in some parts of the country.

Ongoing active monsoon across the country, continuous rains, and flood like situations in some parts, expected to affect pace of construction in the first half of Q2 of FY23.

MoRTH and NHAI contemplating to reduce the upfront payment by half, in HAM projects. In such case, 20% of bid project cost would only be paid during construction, compared to current norm of 40%.

As there would be increased private investment in HAM projects, NHAI would be able to bid out and fund higher number projects with the same capital.

NHAI is planning to award around 10% of projects on BOT -Toll mode, from its target of 6,500 kilometers in the current fiscal, with certain modifications in the contract conditions.

Now coming to the key updates of the company

The company received Rs. 37 Crore towards bonus on 20th April 2022 for early completion of Purvanchal Expressway, Package 6, proving the company's efficient execution capabilities.

During Q1, company signed concession agreements with NHAI for 6 HAM Projects out of 7 HAM projects awarded to company during the Q4 of FY 22.

Concession agreement for the remaining project, four laning of Sonauli - Gorakhpur will be signed shortly.

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Page 3 of 17 During the quarter, the company has completed sale of its' entire 35% stake in Ghaziabad Aligarh Expressway Private Limited to Cube Highways and realized the capital.

Discussions are underway with the potential investors for monetization of other fund based projects which are already in operation, and expected to be completed during next one year.

We will keep you updated on the same, going forward.

As mentioned in the previous earnings calls, company continues to look for a calibrated diversification to maintain the growth momentum, without assuming the concentration risk.

However, our focus area remains the road sector.

At present, the company has total 24 projects on PPP mode, comprising BOT -Toll, BOT - Annuity, OMT and HAM assets.

Out of 24 projects, company has 18 HAM projects with an aggregate Bid Projects Cost of Rs. 24,590 crores.

In HAM portfolio of 18 projects, company achieved PCOD/ COD for 5 projects; 6 projects are under construction and balance 7 projects are recently awarded.

In terms of equity investment, total requirement for all 18 HAM projects is approximately Rs. 2390 crores, out of which we have already invested Rs. 1029 crores till June 2022 and the balance will be invested over the next 2 -3 years.

The internal accruals that would be generated over next 2 -3 years should be sufficient to fund the total equity investment.

Now moving on to our order book.

The company received robust order inflow in Q4FY22.

Our unexecuted order book as on 30th June 2022 was over Rs. 20,000 crores after including 7 New HAM Projects of Rs 7,439 Crores from NHAI where the company received Letters of Award.

Out of the total order -book of over Rs. 20,000 crores, Roads EPC contracts including HAM contribute around 61% and Water & Irrigation projects contribute around 39%.

Now I would present the results for the quarter ended June 30, 2022.

Standalone Quarterly Result:

Revenue of 1st quarter of FY23 is Rs. 1,758 crore which is higher by 41% as compared to Rs. 1,251 crore in 1st quarter of FY22.

The EBITDA for the 1st quarter is Rs. 258 crore which is higher by 47% as compared to Rs. 175 crore in Q1 of FY22. The EBITDA margin for the 1st quarter of FY23 is 14.7%.

The PAT for the 1st quarter of FY23 is Rs. 167 crore as compared to Rs. 93 crore in the 1st quarter of FY22, a growth of 79% on YoY basis.

Consolidated Financials for the quarter ended 30th

June 2022.

Consolidated revenue of 1st quarter of FY23 is Rs. 2,053 crore as compared to Rs. 1,463 crore in Q1 of FY22, growth of 40%.

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Page 4 of 17 The consolidated EBITDA for the 1st quarter of FY23 is Rs. 518 crore which is higher by 43% as compared to Rs. 363 crore for the 1st quarter of the corresponding quarter last year. The EBITDA margin for Q1 FY23 is 25.2%.

The consolidated PAT for Q1 FY23 is RS. 241 crore as compared to Rs. 118 crore in Q1 FY22, a growth of 104%.

ON THE STANDALONE BALANCE SHEET SIDE,

As on 30th June 2022, our net working cycle is 68 days as compared to 77 days as on 31st March 2022.

Our net worth on standalone basis is Rs. 3506 crores as on 30th June 2022 whereas total standalone debt is RS.300 crores

The total cash and bank balance as on 30th June 2022 is Rs. 463 crore. We have a net cash of Rs. 163 crore. This translates to net debt to equity of 0.09 Times.

On consolidated basis, our networth is Rs. 3868 crores whereas total debt is Rs. 5129 crores as on 31st March 2022. The total cash & bank balance including current investments is Rs. 1048 crore. This translates to net debt to equity of 1.19 times. With this we now open the floor for question and answer.

Moderator: Thank you. We will now begin the question -and-answer session.

T. R. Rao : Before starting the question and answer just would like to declare the disclaimer clause and also safe harbor what are the discussions that will happen, including the forward -looking statements what we are going to make.

Moderator : Okay, so sir, you want me to go ahead with the disclaimer?

Shravan Shah : Yes.

Moderator: Okay, sir, please give me a moment. Shravan?

Shravan Shah: Yes.

Moderator : Please go ahead with the disclaimer.

Shravan Shah: Sir, if you speak the disclaimer that will be better from your side.

Yogesh Kumar Jain : If you have it readily available, you can read out the standard disclosure.

Shravan Shah: Okay, I do not have it readily available.

Moderator : Okay, sir I will just read it out. This Conference Call may contain forward looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call, these statements are not guarantees of future performance and involve risk and uncertainties that are difficult to predict. So, sir, can we go ahead with the questions?

Yogesh Kumar Jain: Yes.

Moderator: Okay, so the first question comes from the line of Bharani Vijay Kumar from Spark Capital, please go ahead.

Bharani Vijay Kumar : Yes, good morning, sir. Regarding this MORTH and NHA's contemplation to reduce their contribution in HAM projects from 40% to 20%, how is the contracting and the developers

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Page 5 of 17 like you onboard for this, would your aggression in bidding going forward, would it be the same given how the equity outflow would be higher from our side?

T. R. Rao : First of all, see whatever bids we secured, they are not aggressive per se, so they are all well calibrated rates what we had done and the second thing is 20% more funding to be done. So this will effectively result in only another 5% kind of equity because we have to get the debt for that remaining 20%, what we have to fund. So we should be able to fund those kind of equity requirements, even if NHA goes for the 20% kind of amount, because earlier also we bid for a conventional annuity project wherein we used to put 100% of our entire funding from our side.

Bharani Vijay Kumar : So you don't foresee any issues from our side?

T. R. Rao :

Yes, Yes, we don't foresee any major challenges in funding these projects.

Yogesh Kumar Jain : This will go just like similar to annuity projects?

T. R. Rao : Yes, Yes, conventional annuity projects.

Bharani Vijay Kumar : Okay, the second question is on land acquisition status for the projects recently awarded to us, the seven projects where there is not appointed dates declared yet. So what would be the 3G land acquisition status there and when do you expect these appointed dates, sir?

T. R. Rao: Out of 7 projects for 5 projects already 3G completed up to 80% and also then awards have been made under 3G and the distribution is under progress under 3H and 2 projects up to 60% awards have been made under 3G and distribution is progress under 3H. Since we have 5-months' time post signing of the agreement, both sides what we expect the sufficient length of land will be available at the time of declaration of appointed date and we don't foresee a major concern in that .

Bharani Vijay Kumar : Sure, sir, thank you and all the best.

Moderator: Thank you. The next question comes from the line of Mohit Kumar from DAM Capital, please go, sir.

Mohit Kumar: Good morning, sir and congratulations on a very, very good quarter. So my first question is on the margin. So good margins have improved in this quarter, but last Q4 there was margin compression given that the import inflation is easing can we expect to go back to 14% margin for the fiscal?

D. K. Maheshwari : Actually in this first quarter the EBITDA margin is 14.66% and if we exclude the bonus of INR 37 crore it's come to INR 12.83 crore and if we exclude the bonus and EPE business where there is a collection of INR 104 crore and margin only of 2%, then the operational EBITDA margin is 13.5% of this quarter.

Mohit Kumar: No, I'm asking about expectation for the FY23, can we expect the margin going back to 14 to 14.5% given that the inflation is also easing now, right? Is that a fair assumption?

Yogesh Kumar Jain : It will be 13.5%.

Mohit Kumar: Understood, sir. Secondly, sir, you alluded to diversification of the order -book, of course we have a large order -book for UP and do you mean geographically or sectorally you want to diversify the order -book and apart from water, is there any segment which you think you can build upon in the next 3 years?

T. R. Rao : See, what we are looking at the diversification, the areas which will have a synergy with the current operations and water, of course, see, we are looking at the opportunities in the water sector, so if new further opportunities come, so we will pursue those opportunities and as of now, other than water and of course some kind of canal or irrigation projects apart from the road projects now presently, we are not looking at any other specific sector to diversify into.

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Page 6 of 17 And of course, geographically, we are always ready to take up the projects across the country should there be a good project opportunity.

Mohit Kumar: Lastly, sir, can we expect the completion of monetization of this fiscal, at least one of the BOT or HAM?

D. K. Maheshwari : As regards monetization, we have retained a strategic advisor and discussions are underway with the potential investor for monetization of the few other fund based projects and we will keep you updated on the same going forward, discussions are going on with the potential investor.

Mohit Kumar: Understood, sir, thank you and best of luck, sir.

Moderator : Thank you. Next question comes from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi sir, congratulations on a good quarter. My first question is on the JJM project, so if you can tell us what was the execution of the JJM?

JM?

T. R. Rao : So far, under JJM, we booked a revenue of around INR 250 crore that includes INR 108 crore revenue what we booked during the last financial year and we also done work on another INR 150 crore, that revenue would be booking during the month of August. So I can say around INR 400 crore value of work done till now under the JJM sector.

Parikshit Kandpal: Most of the other companies are doing good execution in JJM but somehow we have not been able to catch up and these orders are like very old in the order -book now. So if you can just spell out for this year how much of revenue can be booked from the JJM orders and also the outstanding order backlog from the JJM.

T. R. Rao : See, as you know, we secured projects under three different phases. First phase is a small surface water, which is around INR 250 crore and the phase two we have around 1600 gram panchayat with around INR 3,500 crore kind of a thing and then phase 3 we have another 1500 that is also in the similar kind of a thing. But so far, the DPRs for 702 GPs approved, and the cover agreements signed with a worth of INR 1,552 crore. So the total order -book, I would say, which is executable order -book, INR 1,552 crore plus phase 1 is another INR 250 crore, total we have an order book of INR 1700 crore, I would say that is a practical order backlog, out of these INR 1700 crore we executed around INR 400 crore worth of projects work done now. Going forward then we should be able to execute anything between INR 1200 crore to INR 1500 crore during the current financial year.

Parikshit Kandpal: Okay, and in the total INR 20,000 order -book, how much is value of the JJM orders in that order -book?

Yogesh Kumar Jain : Almost 30%.

T. R. Rao : No, 39%, it comes around 39% of two.

Yogesh Kumar Jain : Canal.

T. R. Rao : Including canal, yes.

Yogesh Kumar Jain : That is almost 30%.

T. R. Rao : Yes. 35%.

Parikshit Kandpal: Sir, you were saying that only INR 1700 crore worth of order is right now executable, but

you are saying in the order -book about INR 6000 crore is the value of the project, so balance, 6000 minus 1700, so that is not executable as of now, right?
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Page 7 of 17 T. R. Rao : Yes, see, but now they're progressively approving this DPR and another INR 1000 crore worth of DPRs are going to be approved before the end of the calendar year and a total INR 1500 crore worth of projects will be approved during the current financial year so then the executable work would be around INR 3200 crore and the remaining they would be approving during the next financial year.

Parikshit Kandpal: Okay. This last question is around the AP project, if you can just tell us what is the progress and what is the total book outstanding and what was the revenue book for this contract?

T. R. Rao : AP?

Parikshit Kandpal: AP irrigation project, what is the total revenue book during the quarter? And what is outstanding on the book ?

T. R. Rao : See AP is actually contract value is INR 1000 crore .

D. K Maheshwari: Actually we have done the work till as on date is INR 150 crore till date, because certain projects are not partly complete in June and not be booked in the June, it was a WIP and till date around INR 150 crore deal executed and remaining INR 850 crore is outstanding as on date.

Parikshit Kandpal: Okay, sir, because there is no movement on this project also, sir and water projects have been very sluggish for us from the execution time and last quarter of execution is only coming from roads and though water starts contributing, then the revenue can actually ramp up significantly. So just wondering why there is no movement on these water order-book.

Yogesh Kumar Jain : No, no, in water total payment

received under phase 1 and phase 2, we have received INR 377 crore including mobilized advance and work done is around INR 300 crore, we have received payment.

Parikshit Kandpal: Okay.

T. R. Rao : So this year and the last year INR 100 crore, so INR 400 crore kind of work we have done.

Parikshit Kandpal: The payment is fine, but execution is not ramping up, so is it because the government approvals are a little delayed and that's the reason why we have not been able to ramp up execution here ? I wanted to understand that.

Yogesh Kumar Jain: It is DPR work, so you cannot see it through award, but it will become DPR and after becoming DPR it starts, so the work starts in 6 months.

Parikshit Kandpal: And out of INR 1500 crore, you have done INR 400 crore.

Yogesh Kumar Jain: Yes, so it is a different type of project in itself, we have to make DPR after award, generally in projects we make DPR before, so just like when we do HAM/BOT project, we design it and prepare it, and it takes 1 year for the turnover to come in, so in similar line we are working here also.

Parikshit Kandpal: If inflation increases, then you said only 60% would be passed, so balance 40% will be kind of a fixed price, so then there is too much of delay so that could hit our margin.

Yogesh Kumar Jain: There is escalation clause in it for maximum part work, but otherwise it is civil work, so it is not a problem.

Parikshit Kandpal: Okay, thank you, sir.

Moderator : Thank you. Next question comes from the line of Jayesh Gandhi from Harshad Gandhi Securities. Please go ahead.

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Page 8 of 17 Jayesh Gandhi: Congratulations on a good set of numbers. Sir, actually I have recently started following the company, so my questions might be not very, very particular, one question which I have is see when we get a HAM order, how much portion do we consider it as an EPC and recognize it in revenue?

Yogesh Kumar Jain: It is you can say 90% of BPC.

Jayesh Gandhi: Okay.

Yogesh Kumar Jain: 90% amount of BPC.

T. R. Rao : Up to 80% of the BPC.

Yogesh Kumar Jain: Yes.

Jayesh Gandhi: I think what I'm seeing is EPC.

Yogesh Kumar Jain: Yes, EPC is a construction cost.

Jayesh Gandhi: No, so if I'm getting INR 100 crore worth of a HAM order, EPC recognition is to what amount?

Yogesh Kumar Jain: INR 90 crore.

T. R. Rao : See INR 100 crore of typical HAM projects will roughly translate into INR 90 crore of EPC order.

Jayesh Gandhi: Okay.

Yogesh Kumar Jain: Approximately.

Jayesh Gandhi: And that we take into revenue recognition as and when it is progressing or once it is completed after that we take into revenue recognition?

Yogesh Kumar Jain: On a progressive basis.

T. R. Rao : On a progressive basis as and when physical work is done.

Jayesh Gandhi: Okay, so say for example, if a project takes 2 years, 50% is completed this year and 50% next year, so 50% we take as revenue this year and 50% next year?

Yogesh Kumar Jain: Yes.

Jayesh Gandhi: Okay, that's all from my side, sir, thank you very much and best of luck for the future.

Moderator : Thank you. Next question comes from the line of Vibhor Singhal from Phillip Capital, please go.

Vibhor Singhal: Yes, good afternoon, sir. Thanks for taking my question and congrats on great execution again. Sir, just wanted to understand, sir, I am sorry if somebody's asked this question already before, sir, given that in this quarter, we have already done almost INR 1700 crore of revenue excluding the bonus of course, what is the full year revenue that we are looking at? So in terms of guidance, what is the revenue that we are looking for revenue and for margin for the full year?

T. R. Rao : Revenue will be around 15%, the guidance growth

h we are looking at this year, see last year

revenue we have INR 6,306 crore so it's a 15% that will be around INR 7,200 crore this year

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Page 9 of 17 for full year and EBITDA margin would be as our managing director told it would be around 13.5%.

Vibhor Singhal: 13.5%?

T. R. Rao : Yes, around.

Vibhor Singhal: So sir to do 13.5% given that in this quarter we did around 12.8% if I exclude the early completion bonus, so do you expect margins to pick up in the next coming quarters, either because of commodity prices coming down or what could be the reasons for that?

Yogesh Kumar Jain: This quarter EBITDA margin is 13.53% after deducting bonus and EPE margin.

D. K. Maheshwari: EPE margin, because EPE margin is only 2%, so operational margin of the road project is 13.5%.

Vibhor Singhal: So, it would remain the same in the remaining quarters.

Yogesh Kumar Jain: We are expecting the same.

Vibhor Singhal: Got it, sir. Sir, I had one more question about Jal Jeevan Mission orders we have discussed a lot. So, sir, as you rightly said, we should not look at receiving the order, after DPR is made the execution starts and after that it takes the time, so given that it takes so much time for the project execution, are we looking to continue to bid for more orders in UP or other states, do you think that such a big execution cycle, uncertainty whether the gram panchayat would approve it and how much it will do, you have to go to them in different ways for payment, do you still think that we will continue to bid for these projects?

Yogesh Kumar Jain: We are bidding in the same area where all we are working in UP and it is not a difficult work that we are having an issue. After award when DPR is made, it takes 6 months, so it is a natural phenomenon, it takes 6 months. Road sector also has the same thing, when we get BOT or something like that where we have to design, for design and financial closure also we get 6 months' time, it takes 6 months with this too. When we go to make road there too 80% of land is not available and suppose you have taken work for INR 1000 crore, for INR 800 crore land might be available and not for INR 200 crore, but it is the responsibility of the state government and directly district collector is responsible.

Vibhor Singhal: Okay, sir, right. Sir, just last question from my side. Sir, what is the development on asset monetization, we were thinking about HAM projects, that we will do, what is the status and when can we expect some good news on that front?

D. K. Maheshwari : We are expecting FY23 and discussions are underway with the potential investors.

Vibhor Singhal: Okay, so no change in that, so, the discussions are still going on and we expect that by year something would be done.

D. K. Maheshwari : Yes, we are expecting.

Vibhor Singhal: Sure, sir. Thank you, sir. Thank you so much for taking my questions and wish you all the best.

Yogesh Kumar Jain: Thank you.

Moderator : Thank you. Next question comes from the line of Dhruv Bhimrajka from Monarch AIF, please go ahead.

Dhruv Bhimrajka: Yes, my question is regard to the impairment in the Aligarh -Ghaziabad project that we took. So I wanted to understand that why did we have to book an impairment during the sale of this project?

Page 10 of 17 D. K. Maheshwari : That impairment we have already booked in the FY22, sir. Certain challenges were there, because account was in the SMA2, we have to construct a six laning, our partners were not in a position to infuse further money in the project, that's why we have

ve taken this decision.

Dhruv Bhimrajka: Okay, so that is why we took an impairment and then sold off the project?

D. K. Maheshwari : Right.

Dhruv Bhimrajka: Okay, and what is the total impairment which we took for this project? That is INR 129 crore, right in all?

Yogesh Kumar Jain : Total it is around INR 167 crore.

Dhruv Bhimrajka: Okay, so total is INR 167 crore you told?

D. K. Maheshwari : Yes.

Dhruv Bhimrajka: And last thing, what was the bonus that we received for early completion in FY22, sir?

T. R. Rao : FY22 we received one project, package price, INR 82 crore once we received.

Dhruv Bhimrajka: Okay, so total bonus for early completion in FY22 was INR 82 crore and impairment for this project overall is INR 167 crore.

T. R. Rao: Yes, and in FY23 first quarter we received bonus of INR 37 crore for Purvanchal package.

Dhruv Bhimrajka: Right, that I noted down. Okay, sir, thank you so much.

Moderator : Thank you. Next question comes from the line of Jiten Rushi from Axis Capital, please go ahead.

Jiten Rushi: Yes, good afternoon, sir. Thank you for taking my question. First, I would need the order breakup of Delhi -Vadodara Package 31, Delhi -Vadodara Package 29.

D. K. Maheshwari : 31 is 79 and 29 is 758.

Jiten Rushi: I am not asking the original order -book, sir.

D. K. Maheshwari : Sorry, this is 351 and 298.

Jiten Rushi: Okay, and sir Bhojpur -Buxar and Koliwar -Bhojpur?

D. K. Maheshwari : Bhojpur -Buxar is hardly INR 29 crore and Bhojpur.

Jiten Rushi: Koliwar -Bhojpur.

D. K. Maheshwari : Koliwar is only INR 7 crore.

Jiten Rushi: And sir Chakeri -Allahabad, sir?

Yogesh Kumar Jain: Chakeri -Allahabad INR 268 crore.

Jiten Rushi: And this OMT contract, how much is outstanding now, sir?

T. R. Rao: Toll collection is progressively whatever we get so there is no order backlog as such.

Otherwise I think Q1 we have INR 100 and?

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Page 11 of 17 D. K. Maheshwari : We have bid at INR 369 crore, accordingly to that outstanding is Rs. 175 crore in next 6 months.

Jiten Rushi: Okay, so you have done good collection in this quarter and you have given the breakup of the 7 HAM projects, not the break-up, the total value of INR 7439 crore, that is the total EPC value of the 7 HAM projects, right sir?

D. K. Maheshwari : Right.

Jiten Rushi: And sir again on the JJM project, sir, what I can understand is you have done execution of INR 142 crore in Q1 and in August you'll be booking INR 150 crore of revenue in the JJM project, so basically INR 292 crore and what would be the execution or what could be the revenue booking we can expect in the balance 8 months, INR 1000 crore as you said or it could be higher?

T. R. Rao : It would be around INR 1000 crore in total.

Jiten Rushi: Sir, this is you're talking about FY 23 INR 1000 crore in JJM?

T. R. Rao : No, FY23 would be around INR 1200 crore.

Jiten Rushi: And sir, what could be the exhibition for AP project now, because we have just done INR 150 crore and you were saying, you can seek and pick up an execution. What could be the execution this year then?

T. R. Rao : Which project, please?

Jiten Rushi: Andhra Pradesh canal project, sir.

T. R. Rao : Yes, Andhra Pradesh canal project, we have done execution of INR 150 crore till now because what happens we are able to execute only for 6 months because the remaining 6 months the water comes into the canal system, so again we resume the work in the month of January, so we'll have another 3 working months in the current financial year.

Jiten Rushi: So that could only contribute to another INR 150 crore.

T. R. Rao : Around INR 150 to 200 crore possibly during the financial year.

Jiten Rushi: So basically, sir in

Q1 we have not done any revenue, right, sir?

D. K. Maheshwari: There is no revenue in Q1, yes.

Jiten Rushi: Sir, is it possible to give us the breakup later of the irrigation and water project separately because we can see that last quarter you had given a number of INR 7800 crore which has gone up by INR 8000 crore. Obviously there was some correction which included in this escalation, but again, the number has gone up by INR 200 crore. Is there any further change in the project cost?

D. K. Maheshwari: No, that was only because of the inflation, escalation, change of scope, price variation. Offline we will discuss and we will share the details.

Jiten Rushi: So just this water project includes 60% bought-out items and 40% civil work, right, sir. JJM project?

Yogesh Kumar Jain : Approximately.

Jiten Rushi: Sir, can you give me the toll collection breakup for the quarter?

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Page 12 of 17 D. K. Maheshwari : Total toll collection is INR 222 crore and MP highway is INR 13.9 crore, OMT project, Kanpur -Ayodhya INR 125.3 crore, Kanpur highway INR 23.3 crore, Narela INR 11.9 crore, Bareilly -Almora INR 15.3 crore and Raebareilly INR 32.16 crore, total INR 222 crore, which is higher by 15% as compared to corresponding year of first quarter FY22.

Jiten Rushi: Right sir and sir on the equity breakup if you can give, you said the balance equity requirement, we have invested INR 1020 crore and the balance which will be invested in the next 2-3 years span, can you give us a breakup what is invested in Q1 and full year 23, 24 and 25?

D. K. Maheshwari : In first quarter we have infused INR 114 crore and remaining 9 months we are expecting to infuse around INR 330 crore, in FY24 around INR 480 crore and FY25 INR 350 crore.

Jiten Rushi: Okay and sir Cap ex for guidance done so far in Q1 and balance 9 months?

D. K. Maheshwari : Capex in first quarter is negligible but in current FY23 we are expecting around INR 100-120 crore.

Jiten Rushi: Sir, can you give us the balance sheet numbers, debtors, creditors, inventory, retention, mobilization advance as in June?

D. K. Maheshwari : Retention is INR 189 crore and advance is INR 496 crore. Debtor days is 60 days and working capital day is 68 days.

Jiten Rushi: Can you give the absolute number of debtors and inventory, if possible.

D. K. Maheshwari : Inventory is INR 626 crore and debt is INR 1163 crore.

Jiten Rushi: And creditors ? Payables?

D. K. Maheshwari : INR 462 crore.

Jiten Rushi: Okay, so that's it from my side, I have more questions, I'll come back in the queue. Thank you.

Yogesh Kumar Jain: Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Vasudev from Edelweiss. Please go ahead.

Vasudev: Yes, thank you for the opportunity, sir. Sir, currently, what is the order intake that we are anticipating for FY23?

T. R. Rao : Between INR 8000 crore.

Vasudev: Sorry, sir, I couldn't hear it properly, could you repeat?

Yogesh Kumar Jain : We expect new order to the tune of around INR 8000-10000 crore.

Vasudev: Okay, what would be the bid pipeline currently?

Yogesh Kumar Jain : It is around INR 50000 crore in pipeline by NHAI, of around 50 projects, so we are working on the same projects and the bid due dates are staggered up to 30th September 2022.

Vasudev: Okay, and we expect our debt levels to be in the same range, right? We don't expect it to increase.

D. K. Maheshwari : Leverage should expect to be in the same line.

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Page 13 of 17 T. R. Rao : 1.19 at consolidated level

Vasudev: Okay and

and this last one, we are not L1 in any projects currently, right?

Yogesh Kumar Jain : Not in this quarter.

T. R. Rao : Yes, not in this quarter and in fact the NHAI has not bid out in many projects during the Q1.

Vasudev: Yes, exactly and finally, can you give the fund base and the non-fund base limit?

D. K. Maheshwari : Fund base we are having a sanction of INR 1000 crore and non-fund base sanction is around INR 5000 crore.

Vasudev: Okay, that's it from my side, sir. Thank you and all the best.

Moderator: Thank you. Next question comes from the line of Mohit Kumar from Dam Capital, please go ahead.

Mohit Kumar: One clarification, so how much is the PAT of toll revenue on our stand-alone business and

what is the EBITDA?

D. K. Maheshwari : Revenue of all SPV is around INR 222 crore?

Mohit Kumar: Sir, my question is from Eastern Peripheral Expressway that amount is getting reflected in the standalone, correct?

T. R. Rao : Yes, 1 minute, the EP E?

D. K. Maheshwari: That is INR 104 crore.

Mohit Kumar: And what is the EBITDA margin in that?

D. K. Maheshwari : Around 2%.

Mohit Kumar: Understood, sir. And secondly there is a lot of delay Sonauli -Gorakhpur the concession agreement signing, when is the concession agreement to get signed for this particular work project?

T. R. Rao : See, except the Sonauli -Gorakhpur we signed concession agreement for all the remaining fixed HAM projects. So, Sonauli -Gorakhpur also we are expecting it will be signed before end of the August post that NHAI have 5 months' time so there should not be any issue in acquisition of land at the time of appointed date, more than 80%.

Mohit Kumar: And have you received LOI for Sonauli -Gorakhpur?

Yogesh Kumar Jain: We have received LOI and we will sign this agreement within this month.

Mohit Kumar: Understood, sir, thank you, sir. All the best, thank you.

Moderator : Thank you. Next question comes from the line of Vibhor Singhal from Phillip Capital, please go ahead.

Vibhor Singhal: Yes, hi sir. Thanks for taking my question again. Sir, I just missed out on the number. What is the total equity that we have invested in? What is the equity that is left to be invested in the HAM projects?

D. K. Maheshwari : Can you repeat please?

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Page 14 of 17 Vibhor Singhal: Sir, total equity invested and totally equity left to be invested.

D. K. Maheshwari : Total equity to be infused INR 1361 crore.

Vibhor Singhal: Okay, and out of that, we have invested INR 114 crore in this quarter and INR 330 crore in the next 9 months?

D. K. Maheshwari: Right.

Vibhor Singhal: Got it, sir. Also sir, lastly, just wanted to check basically if I look at the debt number for this quarter, which is around INR 300 crore, do you believe that we could end the financial year with the same number, almost around the same number despite equity requirement for HAM projects and other things also?

D. K. Maheshwari : It should be in the same line almost.

Vibhor Singhal: It should be in the same line, sure, sir, that is all from my side. Thank you so much for taking my questions and wish you all the best again.

Moderator: Thank you. Next question comes from the line of Mangesh Bhadang from Nirmal Bang Equities Private Limited, please go ahead.

Mangesh Bhadang: Hello, sir, my question is related to the related party transactions that you have done. If you can just explain that out of the investments through related parties there have been certain others in terms of loans given to parties we are not related to, if you can highlight some of that. So what is the reason and when do you expect that money to be received back?

D. K. Maheshwari : In FY22, INR 30 crore was given by one of our subsidiary

in the month of February that has been repaid to that subsidiary.

Mangesh Bhadang: And anything more that you expect going forward?

Yogesh Kumar Jain: No, nothing.

Mangesh Bhadang: Okay. That's it, thank you.

Moderator : Thank you. Next question comes from the line of Shravan, please go ahead.

Shravan: Sir, couple of things, first in terms of the fund, non -fund based limit you mentioned INR 1000 crore, how much we have utilized fund and non -fund?

D. K. Maheshwari Fund based there is no utilization and non -fund based utilization is INR 2,863 crore.

Shravan: Okay, INR 2,863 crore. Second, sir, when we say in terms of the monetization of HAM projects we are expecting a good news by end of this year so here we are looking at five HAM and one annuity project where around INR 680 crore odd we have invested.

D. K. Maheshwari : We are talking about a six HAM, one annuity , one BOT, debt around INR 4700 and equity INR 940 crore.

Shravan Shah: Okay sir, out of the total debtors, how much is the HAM debtors?

D. K. Maheshwari : HAM debtor is 68%, that is INR 793 crore and EPC is INR 369 crore.

Shravan Shah: Okay, so HAM data remain the same, which was there at the end of March?

D. K. Maheshwari : More or less same.

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Page 15 of 17 Shravan Shah: Okay, second is are we expecting any early completion bonus in remaining 9 months?

T. R. Rao : See we are targeting for some of the EPC projects, so we'll have a better clarity post monsoon, we'll be able to share during the next quarter.

Shravan Shah: Which project, if you can highlight the name of the project.

T. R. Rao : Delhi -Vadodara expressway of Delhi -Mumbai expressway package 29 and package 31,

D. K. Maheshwari : Just I want to add regarding the utilization of fund-based limit, there is no utilization of CC limit, but in the month of June quarter we have taken the bill discounting of INR 100 crore, this is reflecting in our debt outstanding.

Shravan Shah: Okay, second, you mentioned that around INR 50,000 odd crore kind of opportunity is there in bid pipeline from NHAI, 50 odd projects, how much out of that would be the HAM and EPC?

T. R. Rao : EPC is around 30,000 and HAM is around 20,000, so it would be in the ratio of 60:40.

Shravan Shah: Okay and all these still reduction in the EPC part from the NHAI from 40 to 20, so in this 50 odd projects, that is INR 20,000 odd crore HAM, this clause obviously will not be there, is there any which is already implemented or it is the same, which was previously, so now the O&M is also removed from here because that was the case where earlier the O&M, we need to bid the BPC and O&M, so here the same condition or the NHAI has removed the O&M part?

T. R. Rao : NHAI has removed the O&M part, it's now only we have to quote only one BPC and percentage of that BPC will be paid as O&M and the 40% will be the payment during the construction.

Shravan Shah: Okay, and all the seven HAM projects we said the appointed date will be there by?

T. R. Rao : Yes, before end of this current financial year we will get, anything between November and February/March.

Shravan Shah: Any specific project you want to highlight where we expect the ad by November or December out of 7?

Yogesh Kumar Jain : We will receive this Kanpur -Lucknow by November.

Shravan Shah : Okay, and rest mostly from the fourth quarter, January to March, we will be getting the appointed dates.

Yogesh Kumar Jain : Right.

Shravan Shah : I have no other question, operator, is there any other queue?

Moderator : Yes, we have one question.

Shravan Shah: Yes, please take.

Moderator: The next question comes from the line of Jiten Rushi from Axis Capital, please go ahead.
Jiten

Jiten Rushi: Yes, thank you for taking my question. Sir, on the recent party transition, you said out of INR 60 crore we have received INR 30 crore, so INR 30 crore is still outstanding, right, sir?

Yogesh Kumar Jain: Yes, you are right.

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Page 16 of 17 Jiten Rushi : So when, when are we expected to receive that money back?

Yogesh Kumar Jain: By the end of this financial year we can revert back.

Jiten Rushi : Okay and sir you said about the monetization of assets. So you said six HAM projects, one Annuity and one BOT, so total 8 projects we're looking to monetize, is my understanding, correct?

D. K. Maheshwari : Right.

Jiten Rushi : So which has a equity of INR 940 crore , what is the debt investment? Debt amount, that outstanding, sir?

D. K. Maheshwari : INR 4700 crore.

Jiten Rushi : And sir on the Mumbai -Nagpur, we have completed the project because we're expecting some bonus.

Yogesh Kumar Jain: We have already completed this project and we are expecting, we are trying the department so we can't say presently anything about this.

T. R. Rao : Yes, we can't say anything with the certainty, but we completed the project.

Jiten Rushi : So basically there is no outstanding right now, okay. And sir, the Aligarh -Muradabad we were supposed to receive bonus so what is the status now?

T. R. Rao : See, now we submitted our final bill, we expect some discussions are going on, there are certain issues there, so maybe before end of this current financial year, we'll get the clarity.

Jiten Rushi : And sir, any outstanding as you highlighted the outstanding base , but sir, in the order inflow guidance of INR 8000 crore to INR 10,000 crore what would be the mix between water projects and road projects, any thought on that?

T. R. Rao : See, no thought on that because this will depend upon how the opportunities are growing. As of now we are focusing on the road projects as mentioned by our MD, there are INR 50,000 crore worth of road projects on the anvil, so we are pursuing those opportunities, we'll be

bidding those projects before end of the Q2 that is before end of September, so that kind of what will be the ratio between water and all that we would be able to tell going forward.

Jiten Rushi : Okay, sir, that's it for my side. Thank you and all the best, sir.

Yogesh Kumar Jain: Thank you.

Moderator: Thank you. Next question comes from the line of Uttam Srimal from Axis Securities Limited. Please go ahead.

Uttam Srimal: Yes. Thanks for the opportunity, sir and congratulations on the set of numbers. Sir, you have guided for 15% revenue guidance for this year, so that comes to around INR 7000 crore to INR 7200 crore. So how would this be divided between HAM, EPC and Jal Jeevan Mission?

T. R. Rao : You want to say about this revenue guidance of what we are expecting?

Yogesh Kumar Jain : Around 80% from the road sector and 20% from the water and irrigation sector.

Uttam Srimal: Okay, and sir what is the current executable order -book in our orders now?

Yogesh Kumar Jain: Current order -book is above INR 20,000 crore.

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Page 17 of 17 Uttam Srimal: But how much would be executable during this year because we have not received appointed in several HAM projects .

T. R. Rao : Yes, the executable order -book is around INR 13000 crore.

Uttam Srimal: INR 13000 crore?

Yogesh Kumar Jain: Yes.

Uttam Srimal: Okay, sir, that's all from my side and thank you and best of luck.

Yogesh Kumar Jain: Thank you.

Moderator : Thank you. Next question comes on the line of Vasudev from Edelwei

ss. Please go ahead.

Vasudev: Thank you for the opportunity again, sir, what is the competitive intensity that you are seeing currently?

T. R. Rao : Compared to last year, what we see the intensity would be moderate this year because whatever the concessions given like bid security waiver, and also the dilution of the prequalification criteria with respect to turnover and network criteria, so those have been restored. So the bids have to be, now bidder have to provide the bid security and also the network criteria is also increased. So going forward, we see the intensity would be lesser than what it was last financial year.

Vasudev: Okay, and last thing that how much of bids have you already submitted, if you can quantify that?

T. R. Rao : See, as I said during Q1 very few bids floated by NHA I, so whatever bids we submitted only there are only two bids pending to be opened around INR 1000 crore worth of two EPCs bids, put together INR 1000 crore.

Vasudev: Okay, that's it from my side, thank you.

Moderator : Thank you. A reminder to all the participants, please press "*" and "1" to ask a question. As there are no further questions we have reached the end of question -and-answer session. I would now like to hand the conference over to Mr. Shravan Shah for closing comments.

Shravan Shah: Thank you management for giving us the opportunity to host the call and thank you all the participants. Sir, do you have any closing comments?

Yogesh Kumar Jain: Yes. Thank you everyone for your participation in our earning call, we have uploaded the presentation of our company's website. In case of further queries, you may get in touch with the Strategic Growth Advisors , our investor relations advisors, feel free to get in touch with us. Thank you very much.

Moderator : Thank you. On behalf of Dolat Capital that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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“PNC Infratech Limited Q2 FY23 Earnings Conference Call”

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MODERATOR : MR. BHARANIDHAR VIJAYAKUMAR – SPARK CAPITAL
ADVISORS INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to PNC Infratech Limited Q2 FY23 earnings conference call hosted by Spark Capital Advisors India Private Limited. As a reminder, all the participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal for an operator by pressing "*" and then "0" on your touch -tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bharanidhar Vijayakumar from Spark Capital. Thank you, and over to you, sir.

Bharanidhar Vijayakumar: Good afternoon everybody . Thanks for logging into the 2Q FY23 earnings call of PNC Infratech. Representing PNC Infratech are Mr. Yogesh Kumar Jain – Managing Director; Mr. B. Sawhney – Chief Financial Officer; Mr. D. K. Maheshwari – Vice President, Finance. Handing over the call to Mr. Yogesh Jain now for opening remarks. Over to you, sir.

Talluri Raghupati Rao: A small request. Please read out the standard disclaimer clause before our Managing Director

will start the speech because he will be making forward -looking statements in the speech.

Moderator: Ladies and gentlemen, please note, this conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

With that, I hand it over to the management for their opening remarks. Over to you, sir.

Yogesh Kumar Jain: Good afternoon and season greetings to everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call. I have with me Mr. T. R.

Rao, Director, Infra; Dr. Bhupinder Sawhney, CFO; Mr. D. K. Maheshwari, Vice President (Finance) ; and Strategic Growth Advisors, our investor relations advisors. We have uploaded the financial results and investors presentation on the website of the stock exchange as well as on our company's website for reference.

I will quickly highlight major developments in the sector before sharing key happenings in the company and financial performance during quarter 2 and H1 of financial year '23 with you.

As per the Ministry of Transport and Highways, 3,559 kilometers length of National Highways built during the first half of current financial year as compared to 3,824 kilometers built during the corresponding period previous year. Awarding of new projects stood at 4,092 kilometers during the same period compared to 4,609 kilometers awarded during last year, reflecting 11% lesser awarding activity in H1 of financial year '23. Government recently announced that MoRTH is planning to take over a greater number of State Highways, having high traffic volumes from respective state governments for a 25 years' period to develop and upgrade them into either 4 - or 6-lane National Highways. The industry believes that this move would be highly beneficial to the Roads and Highways sector as a whole and would greatly help accelerate the

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country's socioeconomic growth as many of the state governments are not able to undertake major capital projects due to paucity of funds. As per CRISIL a weaker movement on highways witnessed a recent recovery during April to August this financial year, this coupled with sizable hike in user fee rates, owing to higher WPI resulting in significant revenue growth during the period.

Now coming to the key update of the company. We achieved financial closure for 3 HAM projects, Kanpur -Lucknow Expressway package I & II and Akkalkot Karnataka project with an aggregate bid project cost of Rs. 4,5

01 crores. Historically, the company has maintained a healthy track record of achieving financial closures within a stipulated time, which reflects healthy financial position and credibility.

Now I will share the operational and financial performance of the company. At present, the company has a portfolio of 23 projects on PPP format, comprising BOT -Toll, BOT -Annuity, and HAM assets. Out of these 23 projects, we have 18 HAM projects with an aggregate bid project cost of Rs. 24,590 crores. Out of eighteen, company has achieved COD and PCOD for 5 projects, six are under construction, concession agreement executed for 7 projects, and for 3 projects the company has achieved financial closures. Out of the remaining 5 PPP mandates, three are BOT -Toll and two are BOT -Annuity projects.

In terms of equity investment, the total requirement for all these 18 HAM projects is around Rs. 2,390 crores, out of which Rs. 1,109 crores infused till September 2022, and the balance will be infused over the next 2 -3 years. The internal accruals generated over the next 2 -3 years should be sufficient to fund the total equity investment.

Now moving on to our order book. Our unexecuted order book on 30th September 2022 is over Rs. 19,000 crores that includes EPC value of all 7 HAM projects for which appointed dates are expected during the current financial year. Out of the total order book of Rs. 19,000 crores, the Roads and Highways sector is around 65% and water and irrigation projects is around 35%. In water supply projects, the company booked a total revenue of Rs. 348 crores till 30th September 2022, which includes Rs. 108 crores revenues booked during the last financial year. Total revenues booked in first half of financial year '23 is Rs. 240 crores, we expect up to Rs. 760 crores more revenue from water supply space during the second half of financial year '23, which would get translated into Rs. 1,000 crores revenue during financial year '23.

As on 30th September 2022, total value of DPR approved and cover agreements signed for physical execution of the projects under Phase 1 and 2 was Rs. 2,250 crores. It is expected that at the end of financial year '23, the total value of approved DPR for execution would be around Rs. 4,000 crores. As such, it is expected that net executable work would be around Rs. 3,000 crores at the beginning of financial year '24 and remaining DPR are expected to be approved during the financial year '24.

Now I would present the stand-alone and consolidated results for the quarter and half yearly ended September 30, 2022. The stand -alone revenue of second quarter of financial year '23 is

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Rs. 1,561 crores. EBITDA for the second quarter is Rs. 207 crores and the EBITDA margin is 13.3%. Profit for the second quarter of financial year '23 is Rs. 131 crores.

Consol revenue of quarter 2 financial year '23 is Rs. 1,795 crores. The consol EBITDA for the second quarter of financial year '23 is Rs. 326 crores and the EBITDA margin is 18%. The consol PAT for quarter 2 financial year '23 is Rs. 132 crores.

The stand-alone revenue of H1 financial year '23 is Rs. 3,319 crores, which is higher by 16% as compared to Rs. 2,866 crores of H1 FY22. The EBITDA for H1 FY23 is Rs. 465 crores, which is higher by 17% as compared to Rs. 397 crores in H1 FY22. The EBITDA margin for quarter 2 financial year '23 is 14%. The profit for H1 FY23 is Rs. 298 crores as compared to Rs. 229 crores in H1 FY22, a growth of 30% on year-to-year basis.

The consol revenue of H1 financial year '23 is Rs. 3,848 crores as compared to Rs. 3,260 crores in H1 FY22, with a growth of 18%. The consol EBITDA for H1 financial year '23 is Rs. 845 crores, which grew by 16% as compared to Rs. 729 crores for the corresponding period last year. The EBITDA margin for H1 financial '23 is 22%. The console PAT for H1 financial year '23 is Rs. 373

crores as compared to Rs. 250 crores in H1 financial year '22, a growth of 48%.

As on 30th September 2022, our net working cycle is 79 days. Our networth on a stand-alone basis is Rs. 3,623 crores as on 30th September 2022, whereas total stand-alone debt is Rs. 281 crores. As on 30th September 2022, the total cash and bank balance as on 30th September 2022 is Rs. 523 crores. We have a net cash of Rs. 242 crores. This translates to net debt to equity of 0.8x.

On a consol basis, our networth is Rs. 3,986 crores, whereas total debt is Rs. 5,526 crores as on 30th September 2022. The total cash and bank balance, including current investment, is Rs. 1,191 crores. This translates to net debt to equity of 1.09x.

With this, now the floor is open for questions and answers.

Moderator: Ladies and gentlemen, we will now begin the question & answer session. We will wait for a moment while the question queue assembles. The first question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

Mohit Kumar: The order inflow has been very tepid not only for us but for the entire industry. And I think we had given an order inflow guidance of 90 billion to 100 billion. Do you think that it is possible in the H2, given everything?

Talluri Raghupati Rao: Normally, historically, as you all know, the awarding process by NHAI and MoRTH during the first half of the financial year has always been lower when compared to awarding activity in the second half of the financial year – any given financial year. Similarly, this year also, the first year not many projects have been bid out, and many of them even after bidding out, the financial bids are not opened and awarding has not started. So, whatever target we had given for the financial year '23, it should be around Rs. 8,000 crores to Rs. 10,000 crores. We will stick by

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that, and we expect to achieve the new business of this amount, before the end of the financial year and specifically in the second half of the current financial year.

And also, as we have a 2:1 kind of a highway sector and roads – around 66 and 33 in the water sector projects – we also expect around Rs. 3,000 crores new projects in the water sector and around Rs. 7,000 crores new projects in the highway sector. We are pretty sure about getting this new business before the end of the current financial year.

Mohit Kumar: Sir, on the water segment, is the new order entirely into JJM and these are entirely into Uttar Pradesh? Is this the opportunity we are talking about?

Talluri Raghupati Rao: Yes, that is one of the focus areas, because new water project is under JJM. And focus area has been Uttar Pradesh and it could be some other states also – Rajasthan and other states also. But it is primarily from JJM.

Mohit Kumar: Secondly, where are we in the process of monetization of our portfolio? Have we moved ahead? Can you please throw some color on that?

Talluri Raghupati Rao: We are giving the highest priority to the monetization, as we shared with you earlier. Though we have a total of more than 23 projects, as our MD mentioned, they are fund-based projects.

We selected 8 projects for monetization. That includes HAM assets and 1 BOT-Toll and 1 BOT-Annuity project. So, we had already retained a strategic adviser for running the process. The process has already begun. Out of the 8 selected fund-based projects, the due diligence has already been commenced by a potential investor for the 3 HAM projects, which is underway. And these 8 selected fund-based projects for monetization have a total debt of around Rs. 4,700 crores and a total equity of Rs. 940 crores. We will update you on the progress as we move

ahead. But we are giving the highest priority for the monetization, as we said earlier.

Moderator: Our next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Just to complete the last question, by the end of this year, we should be able to monetize?

Talluri Raghupati Rao: We are expecting at least execution of a definitive agreement for certain projects before the end of the financial year.

Shravan Shah: And in terms of the equity investment, Rs. 1,100 crores we invested. What is left in this year and FY24 and FY25?

D. K. Maheshwari : We have already infused Rs. 1,109 crores in the HAM projects and the balance we require is Rs. 1,280 crores. And this year in the second half, we are expecting Rs. 250 crores, in FY24 around Rs. 450 crores, and FY25 around Rs. 350 crores.

Shravan Shah: Now in terms of the execution revenue guidance, last time you said Rs. 7,200 crores, Rs. 7,300 crores revenue for this year, that is a 15%. This first half, we have already done kind of Rs. 3,300

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crores. And if I take the same number, in the second half, we expect the same 15% to 16% growth. Is there any update? This is doable or we can do much higher?

D. K. Maheshwari : Our guidance is the same. Actually, this year we are expecting a growth of 10% to 15%.

Shravan Shah: So, we are lowering the number. The overall revenue may be lesser than what previously we were thinking. Is there any specific reason or any projects where earlier whatever we have factored and now we are not that confident that we will not be able to get the execution?

Yogesh Kumar Jain: This is due to extended rains in the October month. After that also, we are expecting 10% to 15% growth.

Shravan Shah: And in terms of the margin, 13.5% is doable?

Yogesh Kumar Jain: Yes.

Shravan Shah: And the 7 HAM projects by March end, we will be getting the appointed date for all the projects?

Talluri Raghupati Rao: Yes, before the end of this current financial year, we expect to get appointed dates for all the 7 new HAM projects.

Shravan Shah: I need a couple of data points on the balance sheet side and the project-wise order book. So, mobilization advance, retention money, if you can help me?

D. K. Maheshwari : Retention money, Rs. 150 crores; and mobilization advance is Rs. 419 crores, sir.

Shravan Shah: And HAM receivable is? HAM debtors?

D. K. Maheshwari : HAM debtors is Rs. 545 crores, sir.

Shravan Shah: And in terms of the project-wise order book, what is left for Bhojpur -Buxar and Koilwar - Bhojpur?

D. K. Maheshwari : Koilwar -Bhojpur is only Rs. 7 crores and Bhojpur -Buxar is Rs. 23 crores.

Yogesh Kumar Jain: It was inaugurated by Mr. Gadkari in Bhojpur yesterday, both the projects.

Shravan Shah: And Chakeri -Allahabad?

D. K. Maheshwari : Chakeri -Allahabad is Rs. 230 crores.

Shravan Shah: Delhi -Vadodara Package 29 and 31?

D. K. Maheshwari : 29 is Rs. 259 crores and 31 is Rs. 289 crores.

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Shravan Shah: And the irrigation project in AP, what would be the value?

D. K. Maheshwari : Rs. 896 crores is outstanding.

Shravan Shah: Last time I think you mentioned Rs. 850 -odd crores. So, is there any increase in scope or last quarter also the same amount was there?

Talluri Raghupati Rao: No. Actually, there is an increase in scope and also the billed amount Rs. 104 crores. We are considering the original scope only. So, Rs. 1,000 crores minus Rs. 104 crores is Rs. 896 crores.

Shravan Shah: And in terms of the CapEx, last time we said Rs. 100 crores to Rs. 120 -odd crores. We have done only Rs. 22 crores in 1H. So, for the full year, how much now are we looking at?

D. K. Maheshwari : It will be in the range of Rs. 100 crores to Rs. 120 crores in the entire FY23.

Shravan Shah: The fund-based and non-fund based limit, and the utilizations?

D. K. Maheshwari : Fund-based limit, we have taken the bill discounting of Rs. 100 crores. And non-fund based limit is around Rs. 2,800 crores for bank guarantee and LCs

Shravan Shah: That we have utilized, but our limit remains the same Rs. 5,000 crores for non-fund?

D. K. Maheshwari : Non-fund based sanctioned limit is Rs. 5,000 crores and fund-based limit is Rs. 1,000 crores.

Shravan Shah: Just a clarification on the JJM projects. Sir mentioned that Rs. 348 crores revenue till date we have booked, which includes Rs. 108 crores in FY22. So, Rs. 250 crores. But I think last time we mentioned that we have done Rs. 400 crores revenue till date. If you can help me with that

and how much more revenue.... You mentioned Rs. 760 cores more we will be expecting. Once more DPR will come in, next year how do we see in terms of the execution?

Talluri Raghupati Rao: This Jal Jeevan Mission, we are precisely telling that Rs. 348 crores which we received the payments and we billed it and certain work was further done. That we will be receiving during the H2 of FY23. And as we said, the revenue target in the drinking water sector for the FY 24 would be around Rs. 2,500 crores.

Shravan Shah: Debt level which is at Rs. 281 crores, can we see some more further reduction by end of year?

Management: It will be in the range of Rs. 250 crores, because we will take some equipment, CapEx. We would take the funding. So, it should be in the range of Rs. 250 crores by March 2023.

Moderator: We will take our next question from the line of Jiten Parmar from Aurum Capital. Please go ahead.

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Jiten Parmar: Sir, my first question is, basically the top line has been flat for the quarter. Do we have any execution challenges for this quarter? And our consolidated margins are down to 18% from 25% quarter to quarter and 20% year to year. Any reasons for that?

D. K. Maheshwari : The main reason as compared to last year is only because of the 1 project we are executing – Eastern Peripheral Expressway Toll project. Where toll revenue here around Rs. 100 crores to Rs. 102 crores, and that project is only a breakeven point. In case, we will remove that project by turnover and EBITDA, my EBITDA margin comes to 14.6% as compared to 13.26%. That is the main reason. Last year, this project was not there.

Jiten Parmar: There was an answer to the question about monetizing the assets, and you mentioned 3 projects are underway and due diligence. You mentioned the monetizing figure but I think line was that time not clear, so I couldn't get it. What was that, can you repeat – by the year -end?

Talluri Raghupati Rao: Out of the 8 projects selected for monetization in the first lot, these 8 projects have a debt of around Rs. 4,700 crores and equity of Rs. 940 crores. Once we successfully monetize these projects, to that extent, our debt will get reduced and our equity will get unlocked for further investing.

Jiten Parmar: How much of that equity of Rs. 940 crores are we expecting in this year?

Talluri Raghupati Rao: As I said, this year, we are not expecting the consummation of the deal, but we are expecting signing of definitive agreements before the end of the financial year for a few of the projects.

Jiten Parmar: This equity requirement of around Rs. 1,250 crores to Rs. 1,260 crores, which we have in the next 2 -3 years, what will be the mode of funding for that? How are we going to arrange for the equity?

D. K. Maheshwari : It is sufficient from own generation. Total equity requirement is Rs. 1,200 crores in the next 3 years.

Jiten Parmar: Last question I have is on the contingent liability. We carry a large contingent liability. What is the status on that? I see that around Rs. 2,900 crores are guarantees to NHAI or something. Apart from that, we have some others also. Can you just tell a bit more about it? Is this standard? Because I don't see that in other companies also these high liabilities? If you can throw some color on that?

D. K. Maheshwari : Major contingent liability reflecting in th

e balance sheet are mainly in the account of BG (bank

guarantee) and LC. One guarantee reflecting earlier around Rs. 145 crores of NH24, that has been removed as Hon'ble Supreme Court given the decision in favour of the Company. .

Talluri Raghupati Rao: As we are bidding, we will be submitting bank guarantees for the bid security, and for retention amount also, normally we don't keep any cash retention with the authorities. We submit the bank guarantees and we take our retention so that we will have the cash flows. Second thing is for performance security also, we need to provide. In case of UP projects and all, we need to keep

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this performance security for 5 years during the maintenance and defect liability period. But some of the major projects we have completed and we expect to get back the retention bank guarantee in a sizable amount. And also, since in one of the projects we completed a 5 years defect liability period also, we will be getting back our performance security. It's a continuous process, a rolling process usually because we are executing 23 projects and also we are bidding new projects. We don't think this is any unusual different scenario.

Jiten Parmar: And are you in a position to give guidance for FY24 for revenue as well as margins and order intake?

Talluri Raghupati Rao: FY24, our guidance would be up to 10%. And the margins should be the same thing. EBITDA margin we will be able to maintain in the same levels as in FY23 and FY22. And order inflow also, we are expecting in the same lines, around Rs. 10,000 crores in FY24 also.

Moderator: We will take our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir, my first question is on the bid pipeline. If you can highlight, especially on the non-road segment, what is your bid pipeline in water and Railways? That is my first question.

Talluri Raghupati Rao: In the water sector, as we mentioned, our primary target is the Jal Jeevan Mission projects where we find there is no constraint of funds. So, our primary target would be Jal Jeevan Mission where as we know, if you see the projects that have been floated by the different state governments, around Rs. 20,000 crores to Rs. 25,000 crores of new projects are expected to be bid out in the next 2-3 months. And in other things, as of now, our focus is on the roads and highways which will be our focus going forward and the water sector. We are not particularly looking at other sectors as on date.

Parikshit Kandpal: Sir, last quarter, we had about, if I remember correctly, Rs. 8,000 crores of JJM orders. If you can quantify.... And you said that about Rs. 2,300 crores of DPR has got approvals, and by this year-end, we will have another Rs. 4,000 crores of DPRs which you will get approvals. So, in FY25, we have a balance of about Rs. 2,000 crores, coming in in FY25?

Talluri Raghupati Rao: As of now, the total value of works in hand where we got the letter of awards is around Rs. 7,000 crores. We expect Rs. 1,000 crores execution within the current financial year, another Rs. 2,500 crores execution in FY24, and the remaining would be in FY25.

Parikshit Kandpal: For all these, you have secured all the DPR approvals now. So, is it part of the active order book or only a part of this will be moving into execution?

Talluri Raghupati Rao: No. Actually, the process is like that. Once the DPRs are approved, we execute cover agreements. Then only, the zero date starts after the cover agreement. So far, as I mentioned, as of 30th of September, around Rs. 2,260 crores, we expect DPRs worth of Rs. 4,000 crores will be approved before the end of the current financial year. The remaining Rs. 3,000 crores worth of DPRs will be approved during the next financial year, i.e., in FY24.

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Parikshit Kandpal: Sir, any update on the related party transactions? How much is the peak outstanding and what is the outstanding right now at the end of September? And by when do you want to close it to zero?

D. K. Maheshwari : That transaction has already closed. There were 2 transactions of Rs. 30 crores each in FY21 and FY22. That entire Rs. 60 crores have been repaid to the RPT. So, as on date, there is no outstanding on this specific transaction of RPT.

Parikshit Kandpal: So, as of September, there is no outstanding on account of the related party transaction?

Yogesh Kumar Jain: As on date, there is no outstanding.

Parikshit Kandpal: And in future also, you are not looking to do any expansion or any support from the listed entity to the RPT, right?

D. K. Maheshwari : Yes.

Parikshit Kandpal: The Eastern Peripheral revenue contribution was how much in this quarter, Q2?

D. K. Maheshwari : Rs. 102 crores.

Parikshit Kandpal: On that, you had a breakeven EBITDA. So, you did not make any EBITDA on that?

D. K. Maheshwari : Yes.

Parikshit Kandpal: The appointed dates were expected to come in Q3 for the 7 HAM projects, but now it has moved to Q4. Any particular reason? Is there any delay there? And how confident are you that you will be achieving it? Some of these will come in Q3 and some of this in Q4. So, if you can just give some sense out of these seven, how many appointed dates will come in Q3 and Q4?

Yogesh Kumar Jain: Out of the total 7 projects, about 5 projects' appointed dates will come in this Q3 quarter and 2 projects' appointed dates will come in Q4 in January; both on time, there is no delay.

Moderator: Our next question is from the line of Ashish Shah from Centrum Broking. Please go ahead.

Ashish Shah: Sir, my question again is on the JJM. The pace of approval seems to be a little slower. We did mention that there is no funding constraint. But still the speed at which we have been getting the approvals, I think it is far slower than what we would have originally expected. Any reason that you think this is happening?

Yogesh Kumar Jain: Generally, Ashish, a complete DPR is required to be done in this. After the complete survey is over and when they hand over the land, all this process takes 4-5 months. After the 4-5 months when we submit it, then zero date for it will start after the approval. As of today's date, you can say that the total value of contracts secured in drinking water is around Rs. 7,000 crores. Value of the projects approved for execution till September is around Rs. 2,300 crores, i.e., we can say that we can execute Rs. 2,300 crores worth of work.

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Ashish Shah: Basically, what I am trying to ask is, are there any administrative issues in this or are there any

funding issues here?

Yogesh Kumar Jain : There is no funding issue. Regular process is there.

Talluri Raghupati Rao: Actually, in between what has happened is initially they approved DPRs worth of Rs. 1,550 crores and there was a pause of more than 6 months because of the local elections – Panchayat Raj elections and other elections and followed by the state assembly elections. Still they have not approved any new DPRs because of the code of conduct and other constraints and people are also engaged. Then again, they started approving after the assembly elections only. So, there was some pause. Otherwise, there is no funding constraint. It is a normal process. But going forward, we expect these DPRs will be approved progressively.

Ashish Shah: My other question is on the AP irrigation project. What is our experience there on the ground? Are we able to take the execution forward? The second half traditionally should be a better period. What execution we are expecting in the irrigation project?

Talluri Raghupati Rao: As you said, normally, only we will get a 6 months working period out of 12 months in a year.

Right from July till December, we are not able to execute any significant work there because the water is left into the canal systems. And again, we will resume our work in January onwards. So, from January to June, we will have another 6 months of full fledged working period. Otherwise, we are executing. So, we expect this should be completed; maybe in the next 2 to 3 years, the project should be completed.

Moderator: Our next question is from the line of Ash Shah from Elara Capital. Please go ahead.

Ash Shah: My first question was towards Eastern Peripheral. As I recollect that the Eastern Peripheral was for 1 year only. By December 2022, we should be done with it or there is any extension or can you just give us some color on it?

Yogesh Kumar Jain : Yes, it is already handed over to NHAI on 10th November 2022

Talluri Raghupati Rao: The Eastern Peripheral NHAI, as you know, one of the ToT bidders secured this project for the next 15 years. So, on the 10th of November at 2400 hours, we handed it over back to NHAI, so 50 days before the scheduled date of 31st December.

Ash Shah: Are we looking for any more ToT projects going ahead? Given that they are margin dilutive, even for a brief period, are we looking forward to bid into this model?

Yogesh Kumar Jain: Not now.

Talluri Raghupati Rao: As of now, nothing.

Moderator: The next question is from the line of Nikhil Abhyankar from DAM Capital. Please go ahead.

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Nikhil Abhyankar: Sir, I would like to know the total bidding pipeline for road projects in H2 and the amount of bids that you have already put in till date.

Yogesh Kumar Jain: The MoRTH and NHAI floated around 85 projects, including EPC and HAM. The aggregate value of these projects is around Rs. 80,000 crores. We are working on around 50 projects opportunities with an aggregate estimated project cost of Rs. 50,000 crores. The due dates are staggered up to December and January.

Talluri Raghupati Rao: There is a worth of Rs. 11,000 crores we already bid out, we submitted our bids. They are under evaluation. The price bids are expected to be opened before 31st December, maybe in the next 1 to 1-1/2 months. The bids we had already submitted.

Nikhil Abhyankar: And sir, we have received PCOD for multiple projects recently. Do we expect any bonuses from them in H2?

Talluri Raghupati Rao: PCOD for HAM projects or EPC?

Nikhil Abhyankar: Both sir.

Yogesh Kumar Jain: We are expecting bonus from EPC Gujarat and Delhi -Vadodara Expressway on both the projects.

Nikhil Abhyankar: What will be the quantum of it, sir?

Talluri Raghupati Rao: These projects have an original scheduled completion of April -May next year. We will get to know, maybe around 2 months we are expecting in each.

Nikhil Abhyankar: And sir, I did not earlier get the unbilled revenue as of September. What is the value for it?

D. K. Maheshwari : Around Rs. 74 crores to Rs. 75 crores.

Nikhil Abhyankar: Just a final question, sir. The provisions have increased – it is a very minor amount – to Rs. 15 crores, but it has increased from Rs. 1 crore to Rs. 15 crores. What exactly is this provision?

D. K. Maheshwari : That is on account of the provision of the taxation.

Moderator: Our next question is from the line of Parvez Qazi from Edelweiss Securities. Please go ahead.

Parvez Qazi: Sir, my first question is on the competitive intensity. Last couple of years, we have seen very high competition for road projects. What is the kind of competitive intensity that we expect this year? And also a similar question for the JJM or the water projects that we are targeting?

Talluri Raghupati Rao: As we know that due to dilution of criteria for the bidding, both in terms of network and turnover and other things and also they dispensed with the requirement of bid security as a part of

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requirement they reintroduced and also then the eligibility and the experiential criteria and turnover criteria are also expected to be restored. So, competition would be less. But if you see typically, the competition for EPC projects will always be more than the HAM projects. And also, competition for the larger size of projects will be lesser when compared to smaller size of projects. This is the thing. If the project size is more, the competition will be less and where the fund-based projects, competition will be less when compared to non-fund-based projects.

Parvez Qazi: And for JJM projects?

Yogesh Kumar Jain: You can say high-level competition is not there.

Talluri Raghupati Rao: Mainly because of the experiential criteria set forth.

Parvez Qazi: A couple of data questions from my side. First, if you could get the toll collection on the various projects this quarter?

D. K. Maheshwari : At the OMT project, Kanpur Ayodhya it was Rs. 100.05 crores and Kanpur highway is Rs. 18.5 crores, Bareilly Almora is Rs. 13.5 crores. And MP highway is lower, it is Rs. 4.7 crores and Raebareilly Jaunpur Rs. 32.16 crores and EP-1 is Rs. 102 crores.

Parvez Qazi: And sir, I missed the pending equity commitment for second half FY24 and FY25. It would be great if you could repeat it.

D. K. Maheshwari : Second half commitment is around Rs. 250 crores. And FY24, it should be Rs. 450 crores.

Moderator: Our next question is from the line of Prem Khurana from Anand Rathi. Please go ahead.

Prem Khurana: Sir, my question was with respect to our guidance for FY25? If I heard you right, I think we are targeting around 10% growth in FY24. But I think somewhere in your comments, you mentioned that you expect JJM water to kind of contribute almost around Rs. 2,500 crores in FY24 versus Rs. 1,000 crores that you are expecting in FY23. There is a jump of almost around Rs. 1,500 - odd crores in the water itself. Does it mean that we are targeting lower revenues in the road segment because the overall growth that you are talking about for FY24 is only around Rs. 700 crores or are we being a little conservative on the overall guidance?

Yogesh Kumar Jain: This is on conservative side because we are expecting appointed date in our HAM projects. After appointed date, we can give you a proper guidance.

Prem Khurana: And also, if you can help us with the execution time line for the water projects vis-a-vis for which we have DPRs approved and you have zero day, how many months does it take you to be able to kind of finish and how has our experience been? Are you able to stick to your timelines which are mentioned in the document that you will finish these projects by this time or these many months?

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Talluri Raghupati Rao: Post signing of the cover agreements, i.e., after approval of the DPR and signing of tripartite agreement followed by cover agreement, post signing of cover agreement will have a 15 months' period for execution and testing and commissioning. We should be able to complete within 15 months except in few places where there is a delay on part of the clients regarding the provision of land for the pump house and other few things and also on the approval process – approval of ranks and what goes into the site and other things. But we should be able to complete within 15 months from the respective dates of signing of cover agreements for these projects.

Moderator: Our next question is from the line of Uttam Kumar Simal from Axis Securities. Please go ahead.

Uttam Kumar Simal: Sir, you have given a bidding pipeline of Rs. 80,000 crores. Can you bifurcate between EPC and HAM? What would be the proportion of EPC and HAM in this bidding pipeline of Rs. 80,000 crores?

Talluri Raghupati Rao: It

would be something like 50 -50% you can say. Maybe HAM slightly higher than EPC.

Uttam Kumar Simal: How much balance equity investment will be done in FY23?

D. K. Maheshwari : The balance of, in the second half, Rs. 250 crores.

Moderator: The next question is from Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir, any idea on any new big state projects coming up besides the NHAI projects? UP or any other states?

Talluri Raghupati Rao: As of now, we don't see any major projects coming from the state governments, because most of the state governments, they have state highways. As mentioned by our MD, these state highways, they want to give it to the central government for the development. So, in maybe the next 2 to 3 months, we don't expect any major projects in the highway sector coming from the state governments.

Parikshit Kandpal: The greenfields like Ganga Expressway or anything like that, any major mega projects of states you are expecting? The Maharashtra government recently announced some big projects. Do you think any of these will be coming in the next 6 months?

Talluri Raghupati Rao: We are not specifically focused upon those bidding opportunities. We will share with you privately.

Parikshit Kandpal: And sir, the second question is on this monetization piece. You said about 6 HAM projects, 1 and 1 BOT Annuity, and about Rs. 940 crores of equity invested. But you said some of these may happen. Is it that there will be pick and choose or there will be one investor or multiple investors? How are you looking to monetize this?

Talluri Raghupati Rao: No, it is not pick and choose. Out of 6 projects, 5 projects we already achieved the PCOD and in a few projects we achieved the final COD, and 1 project we are expected to achieve the PCOD

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in maybe next 1 month. These are the projects which are operational. Even one BOT Toll and 1 Annuity project also are operational projects. It is not particularly.... As we progress, as we do completion of construction and achieve the PCOD, then accordingly, we will give the priority.

Of course, now NHAI has reduced the lock-in period, 6 months from the PCOD. So, all these projects are.... Out of 8 projects, 7 projects are eligible for the equity divestment.

Parikshit Kandpal: And this will be with one investor or this will have multiple investors?

Talluri Raghupati Rao: We are looking at multiple investors. We already retained a strategic adviser for handholding and just looking at the potential.

Parikshit Kandpal: But you have not entered into any exclusivity with anyone as of now?

Yogesh Kumar Jain: So far, not.

Moderator: Our next question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: Most questions are answered. Just a couple of questions. One is, of this Rs. 19,000 crores order book, how much is currently under execution at this point of time?

Talluri Raghupati Rao: Out of Rs. 19,000 crores, around Rs. 12,000 crores projects are under execution. If you precisely go for the sector of the road projects, it will be around Rs. 10,000 crores because the road projects only around Rs. 2,300 crores projects approved and HAM projects another Rs. 7,000 crores appointed dates are to be fixed. So, it will be around Rs. 10,000 crores.

Alok Deora: And sir, in one of the previous questions, you mentioned that after the DPR, it takes 15 months to get it kind of completed. I just want to understand, when you receive these projects, typically, how we should consider the execution timeline? Because the DPR will take its own time and then the execution will start and then there could be some delays in the DPR execution. Just if you could indicate what is the typical timeline we should consider for these kinds of projects?

Talluri Raghupati Rao: Typically, from the base, they give us the list of vi

llages and also they give us the land for surveys

and all. So, DPR and the approval of the DPR, then the execution, testing and commissioning 15 months, 5 months for this thing, and 3 to 4 months. So, 24 months from the day they give us the list of villages. They specifically say out of a district, you go ahead with this gram panchayat. From that zero point, it takes 24 months.

Alok Deora: Just last question. You mentioned you have bid for certain projects where the bids are yet to open. This would be all HAM projects?

Yogesh Kumar Jain: They are EPC and HAM both.

Moderator: Our next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

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Shravan Shah: Sir, when we are saying that we are looking at Rs. 7,000 -odd crores inflow in roads. Mostly Rs. 5,000 -odd crores would be from the HAM?

Yogesh Kumar Jain: We are expecting from both sides – EPC and HAM; we will see.

Shravan Shah: My point was, because the competition would be high in the EPC, that's why I was trying to understand, can the proportion be 60% to 70% of this Rs. 7,000 crores would be on the HAM?

Yogesh Kumar Jain: It may be because HAM projects are more than EPC.

Shravan Shah: And second, sir, last time we said we are expecting bonus on Mumbai -Nagpur also and Aligarh - Moradabad by March 2023 we will be able to see. Any update on that?

Yogesh Kumar Jain: In Aligarh -Moradabad, it is in the process, and you can say, Samruddhi Expressway is also in the process.

Shravan Shah: By when and if it comes, what would be the broad or rough value of the bonus?

Talluri Raghupati Rao: This Aligarh -Moradabad, we believe that we had already mentioned its bonus is around Rs. 15 crores. That still we expect it before current financial year. In case of Mumbai -Nagpur

Samruddhi Expressway, the state government has to take some policy decision on the payment of bonus, because we completed before the extended completion time, because there was a COVID -affected period. How this government will take a view on that, we need to see.

Otherwise, we have made a request for considering the bonus.

Moderator : Ladies and gentlemen, that was the last question. I now hand the floor back to the management

for closing comments. Over to you, sir.

Yogesh Kumar Jain: Thank you everyone for your participation in our earnings call. In case of further queries, you may get in touch with the Strategic Growth Advisors, our investor relations advisors or feel free to get in touch with us. Thank you.

Moderator: On behalf of Spark Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

PNC

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An ISO 9001 :2015 Certified Company

Date: 18-02-2023 Ref No: PNC/SE/103122-23

To,

The Manager

Department of Corporate Services

BSE Limited

Floor 25, P.J. Towers,

Dalal Street, Mumbai-400 001

Scrip code:539150To,

The Manager

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex,

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NSE Symbol: PNCINFRA

Dear Sir,

Sub- Transcript of Q3 FY 23 Earnings Conference Call on Financial Results for the quarter & nine months ended December 31,2022

Pursuant to Regulation 30 of the SEBI(Listing Obligations and Disclosure Requirements)

Regulations ,2015 we are enclosing herewith the transcript of earnings conference call on Financial Results for the for the quarter & nine months ended December 31,2022 held on Wednesday, February 15,2023.

You are requested to take this information on your record.

Thanking you,

For PNC Infratech Limited

Tapan Jain

Company Secretary & Compliance Officer

ICSI M. No.: A22603

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"PNC Infratech Limited

Q3 FY '23 Earnings Conference Call "

February 15, 2023

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MANAGEMENT : MR. YOGESH KUMAR JAIN – MANAGING DIRECTOR –
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MR. B. SAWHNEY – CHIEF FINANCIAL OFFICER – PNC
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– PNC INFRA TECH LIMITED

INVESTOR RELATIONS TEAM – STRATEGIC GROWTH
ADVISORS

MODERATOR : MR. JITEN RUSHI – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, welcome to Q3 FY '23 Earnings Conference Call of PNC Infratech Limited, hosted by Axis Capital Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expect ations of the company as on date of this call. These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that thi s conference is being recorded.

Now, I hand over the conference to Mr. Jiten Rushi from Axis Capital Limited. Thank you, and over to you, sir.

Jiten Rushi: Good evening, ladies and gentlemen. On behalf of Axis Capital, I'm pleased to welcome you all the PNC Infratech Limited Q3 FY '23 Earnings Conference Call. We have with us the management team of PNC Infratech, represented by Mr. Yogesh Kumar Jain, Managing Director, Mr. B. Sawhney, Chief Financial Officer, and Mr. D. K. Maheshwari, Vice President, Finance. We also have with us the Investor Relations team of Strategic Growth Advisors. We will begin with the opening remarks from the management, followed by in teractive question - and-answer session.

Thank you, and over to you, sir.

Yogesh Jain: Good afternoon, everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

I have with me Mr. T.R. Rao, D irector (Infra), Dr Bhupinder Sawhney, Chief Financial Officer, Mr. D. K. Maheshwari Vice President (Finance) and our Investor Relations Advisor.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges as well as Company's website for your reference.

Initially, I would like to mention key updates in the industry including recently announced Union Budget for the Financial Year 2023 -24, followed by key operational developments of the Company and highlights of financial perfo rmance during Q3 and 9M of FY 23, post which we will be happy to respond your questions.

- As per the MoRTH data, till the end of December 22, 7,263 km length of highways were awarded, a rise of around 18% over the same period in the previous year.

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- As far as the construction of highways is concerned, 5,774 km length of highways constructed till December'22, as against the target of 12,000 km for the entire FY23.
- Progress of highway execution hampered in many regions of the country during the third quarter due to prolonged monsoon that extended till the third week of October 2022.
- In the Union Budget, Government continued its focus on infrastructure development, across the core sectors.
- Government announced a hike in capital expenditure for overall spending on infrastructure development by 33% to Rs 10 lakh crore for FY 24, which will be around 3.3 per cent of the GDP.

- Government allocated an outlay of Rs 2.7 lakh crore for highways sector in FY 24, a yearly increase of 24% over the revised allocation of Rs 2.17 lakh crore in FY 23.
- Allocation to NHAI increased to Rs 1.62 lakh crores from last year's revised allocation of Rs 1.42 lakh crore, a hike of 14% Year on Year.
- Government allocated Rs 97,278 crore to the Ministry of Jal Shakti, up by nearly 41% from last year's allocation of Rs 69,053 crore.
- Allocation to 'Jal Jeevan Mission' has also been increased by nearly 27% Year on Year to Rs. 69,684 crores.
- With the higher allocation for the above sectors, more business opportunities are expected in FY 24.

Now coming to the key updates of Company

- During the 3rd Quarter of FY 23, the company achieved financial closures by respective due dates, for all seven HAM projects for which concession agreements signed during the first half of current financial year.
- Out of the seven new HAM projects, appointed dates received for five projects, starting from 10th November 2022 till 1st February 2023.

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- Appointed dates for the remaining two HAM projects, namely Mathura Package 1b and Sonauli -Gorakhpur are expected before the end of current financial year.
- During the quarter, Company received Rs. 3.6 crores towards an arbitration award published in its favor, from Military Engineer Services (MES), Government of India in a construction contract namely 'Resurfacing of Runway and Allied Works at AFS Panagarh, West Bengal', executed earlier.
- We are happy to share that CARE Ratings has upgraded the Company's long-term bank facilities to CARE AA+ with a stable outlook from CARE AA and reaffirmed the company's short-term bank facilities to CARE A1+.
- Credit rating of two subsidiaries have been upgraded

o Khajuraho Highways Private Limited has been upgraded to CARE AA with Stable Outlook from A+.

o PNC Bundelkhand Highways Private Limited has been upgraded to AA+ from A+.

- Company's continued pursuit to strengthen the balance sheet coupled with prudent financial management helps ratings upgrade consistently.

Now I will share operational and financial performance of the company.

- At present, the company has a total of 23 fund based projects on various PPP formats including BOT -Toll, BOT Annuity and HAM.
- Out of these 23 projects, we have 18 HAM projects with a total Bid Projects Cost of Rs. 24,590 crores.
- We achieved COD/PCOD of 5 HAM projects, 13 projects are under construction.
- In terms of equity investment, total requirement for all these 18 HAM projects is approx. Rs. 2,440 crores, out of which we have already infused Rs. 1,176 crores till December 2022 and the balance will be infused over the

next 2 -3 years.

- The internal accruals that would be generated over the next 2 -3 years should be sufficient to fund the total equity requirement.

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Now moving on to our order book.

- Our unexecuted order book on 31st December 2022 is over Rs. 17,800 crores that includes EPC value of all the seven new HAM projects.

- Out of the total order -book of over Rs. 17,800 crores, the road & highway sector is over 65%, and Water projects is about 35%.

- In Rural Drinking Water Projects Under JJM, the company has booked a total revenue of Rs. 615 crores till 31st December 2022, which included Rs. 108 crores revenue booked during the previous financial year.

- During the 9 months of FY 23, total Rs. 507 crores revenue was booked from Phase I & II of water supply projects.

- We expect a total revenue up to Rs. 900 crores in FY 23 from the drinking water sector projects.

- As the government signs cover agreements of approved schemes progressively for execution, we expect balance executable work would be around Rs. 3000 crore at the end of FY 23 and cover agreements for all the remaining schemes are expected to be signed during the next financial year. Now I would present Standalone and Consolidated results for the Quarter and 9 Months ended December 31, 2022.

ON STANDALONE BASIS

Revenue for 3RD quarter of FY23 is Rs. 1,627 CRORE which is higher by 7%.

EBITDA for the 3RD quarter is Rs. 208 crore which is higher by 26%.

Profit for the 3RD quarter of FY23 is Rs. 129 crore, which is higher by 59%.

ON CONSOLIDATED BASIS

Revenue of Q3 FY23 is Rs. 1,803 crore as compared to Rs. 1,722 crores in Q3 of FY22, showing a growth of 5%.

Consolidated

EBITDA for the 3RD quarter of FY23 is RS. 345 crore higher by 6% as compared to Rs. 325 crore for the 3RD quarter of last year

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Consolidated PAT for Q3 FY23 is Rs. 140 crore as compared to Rs. 83 crore in Q3 FY22, showing growth of 68%.

Standalone revenue for 9 month of FY23 is Rs. 4,946 crore which is higher by 13% as compared to Rs. 4,388 crore in 9M of FY22.

EBITDA for 9 month of FY23 is RS. 673 crore which is higher by 20% as compared to RS. 563 crore for 9 month of FY22.

PAT for 9 month of FY23 is Rs. 427 crore as compared to Rs. 310 crore in 9 month of FY22, with a growth of 38%.

Consolidated revenue for 9 month of FY23 is RS.5,651 crore as compared to RS. 4,982 crores in 9 month of FY22, with a growth of 13%.

Consolidated EBI TDA for 9 month of FY23 is Rs. 1,189 crore which is higher by 13% as compared to Rs. 1,054 crore for the corresponding period of last year.

Consolidated PAT for 9 month of FY23 is Rs. 512 crore as compared to Rs. 333 crore in 9 month of FY22, with a growth of 54%.

ON THE STANDALONE BALANCE SHEET SIDE,

As on 31ST December 2022, our net working cycle is 82 days and our debtor days has improved to 67 days as on 31ST December 2022 from 74 days as on 31ST March 2022.

On a standalone basis our net worth is Rs. 3,752 crores as on 31ST December 2022 whereas total standalone debt is Rs. 150 crores and all of which is equipment finance debt.

As on 31ST December 2022, we do not have any working capital loan. The total cash and bank balance as on 31ST December 2022 is Rs. 365 crore. We have a net cash of Rs. 215 crore. This translates to net debt to equity of 0.04 times.

On a consolidated basis, our net worth is Rs. 4,125 crores whereas total debt is Rs. 5780 crores as on 31ST December 2022. The total cash & bank balance including current investments is Rs. 1,100 crore. This translates to net debt to equity of 1.40 times.

With this, we now open the floor for question and answer.

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Moderator: We have our first question from the line of Shravan Shah of Dolat Capital.

Shravan Shah: Sir, just to recheck the guidance in terms of the revenue, EBITDA margin and then I want to ask on the order input front. So for this year and the next year revenue guidance and EBITDA margin?

D.K. Maheshwari : This year in FY '23, we are expecting EBITDA margin around 13.3% to 13.5%.

Shravan Shah: And revenue guidance for this year?

D.K. Maheshwari : 10% as compared to FY '22 growth.

Shravan Shah: For FY '24?

D.K. Maheshwari : In the range of 10% to 15% as compared to FY '23.

Shravan Shah: And the similar 13.5% margin is one can see for FY '24 also?

D.K. Maheshwari : More or less, yes.

Shravan Shah: . There is a significant tender pipeline is there so just wanted to recheck in terms of the order inflow. So we were looking at INR 8,000 crores to INR 10,000 crores for this year and next INR 10,000 crores. So, how much you are planning to bid before March and how much are we expecting?

Yogesh Jain: There are more than 100 projects NHAH already, NHAH and Ministry of a value more than INR 110 lakh crores. So these bids are expected to be received before 31, March. There is a very robust pipeline is there. So we have selected certain projects. Majority of these projects are selected for bidding. So we'll be bidding these projects. And still, we are hopeful of getting INR 8,000 to INR 10,000 of new order book before end of the current financial year.

Moderator: The next question is from the line of Nikhil Abhyankar of DAM Capital.

Nikhil Abhyankar: Congrats on a good set of numbers. So sir, now that we have received appointment date for five projects and only remaining for two projects, what is the executable order book right now?

D.K. Maheshwari : It is 17,800 as of 31, D

ecember.

Nikhil Abhyankar: Sir, what will be the value of these projects? Somewhere around INR 15,000 crores?

Yogesh Jain: The entire order book is executable.

Nikhil Abhyankar: So then, I was asking this question in regard of only 10% to 15% revenue growth for next year. So can we expect to beat that guidance going forward?

T.R. Rao : See, we can't speculate of now how things will unfold, but we are expecting 15% growth.

Always we aspire for the bidding but as of now, we don't want to see anything more than 15%.

Nikhil Abhyankar: And sir, any update on the monetization front?

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D.K.Maheshwari : Already we have informed in the last call that highest priority given to the monetization of fund-based project of the company. In the first lot, total 12 projects selected for monetization, including 11 HAM and one BOT toll project. 12 projects would have a total debt around INR 6,800 crores and total equity of around INR 1,550 crores. Strategic Adviser retained for running the monetization process due diligence 3 HAM projects under the by potential investor. For remaining nine projects, NDA, we have already signed with seven potential investors who showed interest in the portfolio and due diligence are under process. We will keep you updated on the progress as we have moving forward.

Nikhil Abhyankar: So should we expect the closure in this financial year?

Yogesh Jain: FY '24, it should be finalized.

Moderator: The next question comes from the line of Ashish Shah of Centrum Broking Limited.

Ashish Shah: Sir, first question is on the new seven HAM assets. Sir, when I look at the financially closed cost, the EPC that is higher than the BPC that we had originally bid for last year. Generally, financially closed cost is a little lower than the BPC. So can you help us with the escalated BPC, I mean how, because obviously, there would have been some escalation also. So I'm just trying to think how different is the EPC from the escalated BPC?

D.K. Maheshwari : Our EPC is inclusive of GST, 18 %.

Yogesh Jain: A major impact of 18%.

Ashish Shah: So you're saying the BPC is inclusive of the GST, which is applicable on the EPC project value, whereas the BPC did not include that?

Yogesh Jain: Yes, because as per NHAI current policy, what we need to quote BPC is exclusive of the applicable GST.

Ashish Shah: Sir, earlier in the FY '21 HAM assets, this thing was not there, is it?

T.R. Rao : Yes. Earlier in between, actually, there were four, five models before 2017, completely changing, then for a certain period they included GST, then certain period not again, they included, so this has happened. But currently, all BPC are exclusive of GST component.

Yogesh Jain: Actually, all the seven projects, we have finalized the financial closure 82% debt and 18% equity. From TPC we have to reduce the milestone payment 40%. The remaining 60% is 82%-18% in all the seven projects.

Ashish Shah: So the proportion of equity is around 18%. Sir, the other thing is on the JJM projects. There, so we did say that we'll have an opening backlog of INR 3,000 crores, which will be DPR approved for next financial year. Now what is the revenue that we expect for next year?

Earlier, we had said around INR 2,500 crores of revenue we can expect from the JJM projects in FY '24. So what would be your guidance, now?

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T.R. Rao We are expecting around INR 2,000 crores revenue for next year.

Ashish Shah: But sir, why this reduction? And are we not expecting any incremental projects to also get approved in FY '24?

T.R. Rao See, Ashish ji, incremental projects are getting approved. But what is happening, these projects initially after low value things need to be executed initially and like solar instrumentation as well as the overhead tank with new

technology and all, they are back-ended. So incremental thing is there, but this INR 2,000 crores, the experience what we got in the current financial year. So we are expecting around INR 2,000 crores execution. We'll definitely try to execute more amount, but as of now, our guidance is INR 2,000 crores.

Ashish Shah: And sir, last question again on this is that by when do we expect the entire JJM scope that we have to be approved in terms of DPR and available for execution?

T.R. Rao See, by the end of FY '25, we expect around 90% of the JJM scope by the end of FY '25. So only some residual payments will be left for FY '26.

Ashish Shah: So you're saying whatever JJM order book you have by FY '25, all the revenue will entirely be executed by and large by '25?

T.R. Rao : Yes, about 90% plus.

Moderator: The next question comes from the line of Mohit Kumar from DAM Capital.

Mohit Kumar: First question is on clarification. Do we have enough orders on Jal Jeevan Mission side, in the sense of order opportunities? Are there enough tenders available in the market now? And anything in the UP?

T.R. Rao : See, now total there are five phases. Out of five, four phases already bid out, there is one phase is still left. So that we are looking forward to having some opportunities there in that phase of

the project. But the bids are not floated yet. So we'll come to know what would be the bid cost and what kind of opportunity maybe in next two to three weeks.

Mohit Kumar: That's on the UP, sir, anything apart from the UP which you are trying to bid?

Yogesh Jain: So as of now, we are not looking at, but going forward if some opportunities comes up in other states, so those opportunities has to pursue or not.

Mohit Kumar: And on the NHAI opportunity side, what kind of pipeline, which is available in the state of Uttar Pradesh, any rough ballpark number?

Yogesh Jain: As of now we have not calculated, but as we said, there are more than INR 1 lakh crores worth of projects are available to be bid out before March 31, say around 100 projects of almost INR 1,10,000 crores. We have not exclusively calculated about Uttar Pradesh, but there is a substantial amount of projects are there in the state of Uttar Pradesh.

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Mohit Kumar: And sir, lastly, sir, on the margin side, are we seeing a reduction in prices, commodity prices, which should help the margin going forward?

D.K. Maheshwari: So this should be around that 13.5% should be able to maintain around that figure.

Mohit Kumar: Including JJM execution, right?

D.K. Maheshwari: Including JJM

Moderator: The next question comes from the line of Noel Vaz, Union Asset Management.

Noel Vaz: Yes. So in the order book it is mentioned, we have about INR 7,400 crores from water and canal projects. So I presume that when you say 95% completion by FY '25, you are talking about this particular portion of the order book, right?

D.K. Maheshwari: Sir, if you will see my presentation, so there, water canal is INR 7,400 crores Outstanding as on 31, December.

Noel Vaz: Second thing is that when we mentioned it is just a clarification, when you see 8,000 to 10,000 of new order flows by the end of FY '23. This is a net increase, right?

T.R. Rao: Yes, it's a net increase only.

Moderator: The next question comes from the line of Ash Shah from Elara Capital.

Ash Shah: So first question is can you just give the revenue breakup for this quarter between road, irrigation and JJM projects?

D.K. Maheshwari: Water, it was INR 267 crores. And this Canal project is INR 31 crores, remaining in the road sector.

Ash Shah: Also, can you give the breakup of between the canal project and water, JJM project on the order book front as of 31 December?

D.K. Maheshwari: Canal is INR 993 crores and water project is INR 6,420.

Ash Shah: And a follow-up on this question.

on. So canal project, I had last week, spoke was that from January to June only, we can work. Otherwise, you cannot work for the rest of the year. So when can we complete this INR 993 crores worth of project?

T.R. Rao: See, we have got time up to 2025 because you see the water, they are releasing is more than what we expected. So we may get some kind of extension for the project. So we should be able to complete before the extended timeframe.

Ash Shah: How much are we expecting for calendar year '23 like for this period January to June revenue?

T.R. Rao: Calendar year '23 we'll be doing around INR 150 crores to INR 200 crores work during the calendar year '23.

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Ash Shah: Just last question. On the monetization front, you said that we are planning for 12 projects, three are under execution. So is only one party buying all these 12 assets or we are selling it to different parties?

D.K. Maheshwari: Different investor interested.

Yogesh Jain: There are seven investors.

D.K. Maheshwari: Till now we have signed the NDA with the seven investors. They have shown their interest.

Yogesh Jain: Yes, see it might be even the one investor may take all the projects because however seven investors have shown for the entire portfolio together.

Ash Shah: So we are open to sell all the assets to one investor as well.

Yogesh Jain: Yes.

Moderator: The next question comes from the line of Sandeep Dixit of Arjav Partners.

Sandeep Dixit: Sir, just wanted clarification, I'm not sure that I heard the numbers correctly. Did you say that margins will be in the range of 21% to 21.5% going forward?

D.K. Maheshwari : In the range of 13.5% EBITDA margin.

Sandeep Dixit: So, if I look at the numbers, historically pre -COVID, your EBITDA margins were in the range of the high 20s. Has something structurally changed?

D.K. Maheshwari : No, that EBITDA margin was on a consolidated basis, but we are talking on standalone basis EBITDA margin of EPC works.

Sandeep Dixit: Sir, can you please help me with the consolidated number, sir, because I have got confused bit over that. What would be the guidance for the consolidated margins?

Yogesh Jain: Consolidated margin in nine months, it is 21.05%.

Sandeep Dixit: Sir, the other question I had was, you indicated the 10% Y-o-Y revenue growth. Is that for standalone as well or is it on consolidated?

D.K. Maheshwari : It is on standalone.

Sandeep Dixit: And would you have a guidance of consolidated?

T.R. Rao : See, what happened in some of the projects, like OMP projects got completed during the current calendar year. So we have to work out and we will come back to you.

Moderator: The next question comes from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, a couple of data points for fourth quarter, how much equity are we planning to put and for FY '24 and '25?

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D.K. Maheshwari : Actually, in the fourth quarter, we are expecting INR 135 crores equity to be infused. And FY '24, around INR 450 crores to INR 500 crores .

Shravan Shah: And FY '25?

D.K. Maheshwari : INR 350 to INR 400 crores.

Shravan Shah: A couple of, sir, data points on the balance sheet front. So inventory, trade receivables, trade payables, retention money, unbilled revenue, mobilization advance and HAM debtors?

D.K. Maheshwari : Mobilizing advance is INR 388 crores on December '22. And retention is INR 134 crores.

Shravan Shah: Unbilled revenue, inventory receivable and trade payable.

D.K. Maheshwari : Trade receivable, so I think it is mentioned in the balance sheet also -- it is INR 1,197 crores

Shravan Shah: And out of that HAM debtor is?

D.K. Maheshwari : HAM debtor is INR 606 crores.

Shravan Shah: Inventory is?

D.K. Maheshwari : INR 745 crores of inventory total.

Shravan Shah: And trade payable

is? Sir, trade payable, creditors.

D.K. Maheshwari : INR 410 crores.

Shravan Shah: And unbilled revenue?

D.K. Maheshwari : INR 115 crores, which is a part of the inventory.

Shravan Shah: And now the project -wise order book, sir, so starting with the smaller one Bhojpur D.K. Maheshwari : Bhojpur is only INR 7 crores, outstanding.

Shravan Shah: Chakeri to Allahabad?

D.K. Maheshwari : INR 139 crores.

Shravan Shah: Chalakere -Hariyur?

D.K. Maheshwari : Chalakere, INR 419 crores.

Shravan Shah: Lucknow Ring Road Package 1?

D.K. Maheshwari : INR 240 crores.

Shravan Shah: Jagdishpur -Faizabad?

D.K. Maheshwari : INR 310 crores.

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Shravan Shah: Aligarh -Kanpur Package 5?

D.K. Maheshwari : INR 400 crores.

Shravan Shah: Unnao -Lalganj?

D.K. Maheshwari : INR 620 crores.

Shravan Shah: Meerut -Nazibabad?

D.K. Maheshwari : INR 430 crores.

Shravan Shah: Delhi -Vadodara Package 29.

D.K. Maheshwari : INR 150 crores.

Shravan Shah: Package 31.

D.K. Maheshwari : INR 220 crores.

Shravan Shah: Sir, this Gaju Village -Devinagar Bypass, what's the EPC value in order book? Mathura, sir,

you have already give INR 788 crores. I'm talking Gaju Village, Devinagar Bypass Package - 1C.

D.K. Maheshwari : INR 650 crores . That is also Mathura.

Shravan Shah: INR 650 crores . And sir, you mentioned the irrigation project INR 993 crores. But last quarter you mentioned INR 896, so there is a significant INR 100 crores kind of increase in scope of work?

D.K. Maheshwari : Yes, they have increased to INR 1,128 crores from INR 1,000 crores.

Shravan Shah: Lastly, in terms of the capex, how much we have done and what we are looking for this year, next year?

D. K Maheshwari : Till December, we have taken INR 37 crores . We are expecting to INR 100 crores of FY '23.

Shravan Shah: INR 37 crores we have done nine months. So we are close to INR 63 crores we are expecting in this quarter?

D.K. Maheshwari : Yes.

Shravan Shah: And the next year also the similar INR 100 crores -plus range?

D.K. Maheshwari : It should be INR 100-120 crores .

Shravan Shah: And in terms of the fund -based limit, how much we have utilized, I think the limit should be the same INR 1,000 crores and INR 5,000 crores in terms of the utilize how much?

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Yogesh Jain: Out of INR 1,000 crores , fund -based limit there is no utilization and INR 5,000 crores non fund based limit we have utilized - INR 2,585 crores .

Shravan Shah: So it has reduced. And in terms of the debt lev el, how do we see by end of March?

D.K. Maheshwari : It should be around INR 200 -300 crores .

Shravan Shah: And just to clarify, this quarter is INR 3.65 crores arbitration book ed in revenue is entirely part of the EBITDA. There is no expense against that. And also in terms of the bonus last time, we mentioned that we were expecting some INR 15 -odd-crores of bonus for Aligarh -Moradabad end of this quarter, fourth quarter. So have we received or are likely to be receiving this quarter?

Yogesh Jain: Revenue, it included only INR 40 lakh.

Shravan Shah: And Aligarh -Moradabad INR 15 crores bonus are we getting in this fourth quarter?

Yogesh Jain: We are expecting.

Shravan Shah: So the amount would be the INR 15 crores , and apart from that, any other b onus or previously, we were looking at Mumbai -Nagpur where clarity was not there and Delhi -Vadodara package 29 & 31. So are we expecting a broad range and when are we expecting to receive?

T.R. Rao : See, In case of Nagpur -Mumbai still the -- it is status q uo, there's no clarity. The policy level they have to take a some decision. In BAV29, see, we are expecting some kind of a bonus completed before 17th of April. Similarly, BAV31 we should complete it before 17th of May, the

n there also you will get some ki nd of bonus. So going forward, we'll be able to share.

Moderator: The next question is from the line of Jiten Rushi from Axis Capital Limited.

Jiten Rushi: Just one thing I want to understand that you said in the initially to somebody else that BPC doesn' t include GST, but TPC include GST. So when we get grant from NHAI, that will be 40% net of GST or it will be 40% total of the BPC?

Yogesh Jain: That is 40% of BPC -plus GST.

Jiten Rushi: So basically, when you are investing, you're getting that, including GST and you're investing equity also including GST. That is what I understand, correct, sir? So in this quarter, you said that there is increase in employee cost because of the INR 10 crores additional payment. Was my understanding correct or am I missing something?

D.K. Maheshwari : Actually, we are giving the annual increment. We have declared in the month of October and November, and we have given the arrears from January to October in this quarter. That is why you will see that my EBITDA margin slightly a little bit down as compared to last quarter.

Jiten Rushi: So what is that -- that total amount is INR 10 crores , right, sir?

D.K. Maheshwari : Otherwise, my EBITDA margin is in the range of 13.35% to 13.4%.

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Jiten Rushi: So that is something which we do every third quarter. That is a phenomena, right? That is what I understand on it, sir. Sir, can you give the toll collection number, sir?

D.K. Maheshwari : Toll collection in Kanpur Highway is INR 20.5 crores . In Bareilly -Almora is INR 14.9 crores , Raibarel i-Jaunpur to INR 32.16. MP Highway INR 9.27 crores .

Jiten Rushi: Sir, on which asset out of this, you're looking to sell in BOT toll asset, the one asset you just

said?

D.K. Maheshwari : Only one project of Bareilly -Almora BOT project, otherwise, MP Highway and Kanpur Highway is going to be completed in '25.

Jiten Rushi: And sir, as you said there is an increase of INR 100 crores in the Canal project. So -- but the execution has been muted so far. So this will pick up probably this year. That is what you're trying to say because of the water, which has been heavy water flow for the canal project, as you said initially, right, sir?

T.R.Rao : Yes. Actually, we are effectively are able to do work for five months only in a year. So this is even -- initially, we start also able to do eight months, but effectively we are doing only five months. That is the issue. And the government also acknowledge the fact because that they have to provide water to the high -cut because farmers are there and they have a socio -political ramifications. So that is there.

Jiten Rushi: So basically sir, we have done almost INR 400 crores , INR 430 crores revenue from water and irrigation in first nine months, and with your opening remarks, you said INR 900 crores revenue in FY '23. So basically significant revenue in Q 4, we are expecting, as you said correctly?

T.R. Rao Yes. See the INR 900 crores is from our drinking water sector, out of which already INR 500 crores , - INR 507 crores we have done. That is from the total drinking water sector and remaining around INR 400 crores we'll be doing in the Q3. This is the exclusive of canal.

Jiten Rushi: So basically nine months, you have done INR 507 crores . And now you will be doing balance INR 400 crores in Q4. So what is the canal revenue, sir? The 9 months and expected in Q4?

D.K. Maheshwari : The nine month canal revenue INR 114 crores .

Jiten Rushi: In Q4, we can do something?

T.R. Rao : Yes. Q4 we'll be doing around INR 20 crores , we'll be doing in Q4 because just now we started the work after receiving the water.

Jiten Rushi: That's it from my side. And sir, one last question, sorry. You said order inf low were INR 8,000 crores to INR 10,000 crores . So you were saying, some other

projects also excluding roads. So

anything excluding road we are expecting in this INR 8,000 crores to INR10,000 crores info or

this is purely roads, highways?

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T.R. Rao : It is mainly highway and Express ways only but in case the government bids for the water project under Phase 4. So some really some order book, we are expecting from that. But that depend upon the due date, bid date and other things. Water is the major thing

Jiten Rushi: The size of Phase 5, sir?

T.R. Rao : Of Phase 5 already awarded. Now only Phase 4 is pending.

Jiten Rushi: What is the size?

T.R. Rao : See the total under Phase 4 is around INR 10,000 crores worth of projects are there.

Jiten Rushi: And this is a last leg from UP?

T.R. Rao : Yeah,, this is the last leg of JJM and the state of Uttar Pradesh.

Jiten Rushi: And then any plans to go in other states?

T.R. Rao : We'll certainly evaluate the opportunities.

Moderator The next question comes from the line of Vasudev from Nuvama Group.

Moderator: The next question comes from the line of Vishal Periwal from IDBI Capital.

Vishal Periwal: And first of all, I think congratulations sir on maintaining the margins. I mean vis -a-vis like how the peers are -- I mean, they are coming up with the results. But my question is more on the execution side, sir. I think initial commentary was JJM allocation is increased, ministry road allocation has increased. We are having an order book, but why I think our guidance still remains in the range of 10% for this year, which again means like probably a muted growth in quarter four and next year will be 10% to 15%. So is there any approvals, which are pending, what are the equity concerns, I'm just trying to correlate with the macro and how we are riding sir?

T.R. Rao : Actually, in the current financial year FY '23, though we expected more than 10%, this year very uncharacteristically, the monsoon has extended. See monsoon has extended even the third week of October at many of our project sites, some of our water sites like Dahej and Pilibhit inundated totally, and even our roads was also affected badly. So we never expected because normally monsoon recedes in the month of September, but this year monsoon. So in fact, our Q3, we expected more revenue, but we settled at INR 1,600 crores something.

So that is the reason in the current financial year, we are talking about 10% growth versus the previous financial year. So next year, 15%. Going forward, we'll see how the approvals are forthcoming and the two projects still appointed dates are to be declared, how this progress will pick up in this thing and how monsoon will behave in the next year. So these are the

factors. So as of now, we are setting it at 15% growth over FY '23.

Vishal Periwal: And then second, this was more of a data point. What has been the inflow for us in nine months now? Order inflow for us in nine months this year?

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Yogesh Jain: Nine months, we couldn't get any new orders in the nine months. Even compared to normally, it is a trend in NHAI. So in the fourth quarter only the maximum number of projects are bid out in the fourth quarter. As I said, INR 110 lakh crores worth of projects are there for bidding in the fourth quarter. Yes, we are expecting up to INR 8000 -10,000 crores in the current quarter.

Vishal Periwal: And the last one is on the equity you mentioned, which you plan to increase over the next two years. Can you give a breakup in '24 and '25?

Yogesh Jain: '24 in the range of INR 450 crores to INR 500 crores . And in FY '25, INR 350 crores to INR 400 crores .

Moderator: The next question comes from the line of Parvez Qazi of Nuvama Group.

Parvez Qazi: Sir, just one question from my side. What was the toll collection in Kanpur -Ayodhya project

and the Eastern Peripheral Expressway project this quarter?

D.K. Maheshwari : Kanpur -Ayodhya already completed on October 01. So there was no collection in this quarter.

Parvez Qazi: And Eastern Peripheral Expressway Highway went on till November, right?

D.K. Maheshwari : Yes. It has completed on 10, November and till October and 10, November, collection was around INR 49 crores .

Parvez Qazi: And one question to Yogesh ji. I mean, do we expect that the prequalification norms for road projects will get changed anytime soon or whatever is has been going on for last two years, these things are going to continue now?

Yogesh Jain: We are expecting from last three months. So we will see what will happen. We can't say at present.

Moderator: The next question comes from the line of Prem Khurana of Anand Rathi Shares.

Prem Khurana: So, I think you have spoken a lot about the way it is, we've been able to make progress with our UP drinking water supply orders in terms of execution. Could you please talk about, how has our experience been in terms of payments cycle? We have already executed the part of the order backlog now? So are we receiving our payments in time?

T. R. Rao : The water -- drinking water thing, payments are reasonable. But the only issue is that we need to bill for each scheme, InGram Panchayat, we have to raise a separate bill. So the billing Gram Panchayat level, is a very burdensome. So if you are doing a work in 1,000 Gram Panchayat, you have to write 1,000 bills every month. So that is taking time consuming. Post that, there is certification and all is taking time. But payments we are getting regularly. Only thing that the preparation, submission and certification is taking time.

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Prem Khurana: So when I look at our trade receivable for the quarter, right, INR 1,197 -odd-crores , you said INR 607-odd-crores for HAM projects . So balance INR 600 crores , how would this be split between, let's say, our road EPC and the water EPC canal as well as, JJM put together?

Yogesh Jain: Yes, this is inclusive of everything, canal, water and other EPC projects.

Prem Khurana: But sir, how will be that split between road and water. Would you have that number readily available?

D.K. Maheshwari : Water is -- around INR 114 crores outstanding.

Prem Khurana: And in terms of -- how many BPL are we approved by now? And how many more are we expecting to get approved in this quarter in Q4?

T.R. Rao : Around 1,200 schemes approved, out of, say, 2,700, 1,200 schemes approved for a value of around INR 2,700 crores as of now. And as of 31, December, and they are progressively approving. So we expect all the schemes will be approved before 30, June of this year.

Prem Khurana: So entire INR 7,000 - -crores that we have is for the thing will be actually...?

T.R. Rao : Actually it is around INR 6,500 crores . So our schemes are expected to be approved before middle of this, calendar year.

Prem Khurana: And I mean in terms of because roads has become big for us, and we're gradually seeing even our water gain some size now. Generally, it tends to take us some time to be able to kind of stabilize or operating any new segment that you get into opportunity, to be able to find any new opportunity also takes some time. So have you started looking at any newer segments to decide roads and water, railways or metros or anything of that sort?

T.R. Rao : We are looking at, see where we find some synergies, definitely, we are looking at projects.

But as of now, firmly you can't say, but our focus will continue to remain on highways.

Prem Khurana: And just one last one from my side. I think so on the monetization part, I think earlier, we were looking to monetize six hybrid annuities, one BOT toll and one BOT annuity and it seems there has changed right now you're looking at 11 HAM and one BOT tol

I. So BOT annuities

you are not planning to go with the transaction. And would the -- I mean, the prospective buyer be the same, which were there earlier for these eight assets that we had or these are all new seven new prospective buyers now. So I also try and understand and relate, the process starts afresh or it is as it essentially continues from the last quarter?

T.R. Rao : No, it is a fresh because the composition of the portfolio is now different. And seven HAM projects is comprising, five already completed and six under construction and one BOT toll.

This time, we have not included BOT annuity project, so these all are there. And so far 8-10 prospective investors have shown their interest and we signed NDAs with them. Out of that, a couple of players for their earlier also, but majority of them are new.

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Prem Khurana: And when you say, I mean, of the 11 HAM, two HAM plus one BOT toll is at advanced stage, would you be able to share how much is the equity between these three invested?

D.K. Maheshwari : In all the 12 projects, equity around INR 1,500 crores and debt is around INR 6,800 crores .

Prem Khurana: Sir, you were saying in those three, two HAM and one BOT. For those, separately would the numbers be possible?

D.K. Maheshwari : Yes. Three HAM projects is around INR 1700 crores debt and equity INR360 crores .

Moderator: We have a question from the line of Jiten Rushi from Axis Capital.

Jiten Rushi: One last question on that claims, which you said INR 3.65 crores . So we -- if you said INR 40 lakhs is in revenue and balance is in interest, so that doesn't fit into the numbers, sir. So sir, can you please explain?

D.K. Maheshwari : Actually, in this quarter, we have booked the revenue around only INR 40 lakh. Earlier already we have booked around INR 1.50 crores , earlier period.

Jiten Rushi: That was when, sir?

T.R. Rao See, this project was completed way back in 2016. They not paid the finance bill and other due payments. So these revenues were booked earlier and only the additional revenue, incremental revenue of INR40 lakhs will go and also the interest.

Jiten Rushi: So basically INR 40 lakhs in revenue, INR 1.6 crores and INR 1.5 crores already booked earlier.

Moderator: No, there are no further questions at this time.

Jiten Rushi: Sir, any closing remarks from your side?

Yogesh Jain: Yes, Thank you, everyone, for your participation in our earnings call. In case of further queries, you may get in touch with the Strategic Growth Advisors, our investor relation advisors or feel free to get in touch with us. Thank you very much.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

PNC PNC Infratech Limited

Date: 02.06.2023 Ref No: PNC/SEI31123-24

To,

The Manager

The Department of Corporate Services

BSE Limited

Floor 25, P.J. Towers,

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Soip code:539150

Sub- Transcript of 04To,

The Manager

The Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East), Mumbai-400 051

NSE Symbol: PNCINFRA

Fy2023Earnings Conference Call on Financial Results for the quarter and year ended 31st March 2023.

Tapan Jain

Company Secretary & Compliance Officer

ICSI M. No.: A22603

Encl: ala

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Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 we are enclosing herewith the transcript of an earnings conference call on

Financial Results for the quarter and year ended 31st March 2023 held on Saturday, 27th May 2023.

You are requested to take this information on your record.

Thanking you,

For PNC Infratech Limited

Fax:91-5624070011 Email:ho@pncinfratech.com

"PNC Infratech Limited Q4 FY23 Earnings
Conference Call"

May 27, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 27th May 2023 will prevail.

Management: Mr. Yogesh Jain – Managing Director, PNC Infratech Limited
Mr. Talluri Raghupati Rao – Director, Infra - PNC Infratech Limited

Mr. D. K. Maheshwari – Vice President (Finance), PNC Infratech Limited

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Moderator : Ladies and gentlemen, good day and welcome to the PNC Infratech Limited 4th Quarter FY23, Earnings Conference Call hosted by Equirus Securities. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jainam Shah from Equirus Securities. Thank you and over to you sir.

Jainam Shah: Good evening, ladies and gentlemen. On behalf of Equirus Securities, I am pleased to welcome you all on the PNC Infratech Limited 4th Quarter FY23 Earnings Conference Call. We have with us the management team of PNC Infratech represented by Mr. Yogesh Jain, Managing Director and senior team members. We also have with us investor relations team of Strategic Growth Advisors. We will begin with the opening remarks from the management followed by interactive Q&A session. Thank you and over to you sir.

Yogesh Jain: Good afternoon, everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

I have with me Mr. T.R. Rao, Director (Infra), and Mr. D. K. Maheshwari, Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges as well as Company's website for your reference.

Initially, I would like to mention key updates of the industry followed by key operational developments of the Company and highlights of financial performance during Q4 and FY 23, post which we will answer your questions.

Highway construction activities were impacted in FY23 on account of prolonged monsoon and other factors beyond control of contractors and concessionaires.

Till February 2023, only 8064 kms of national highways constructed in the country as against the set target of 12,000 km for the whole year.

However, highway construction activities have picked up since January 23 and the same are expected to remain at elevated levels till June 23.

According to industry reports, NHAI missed the awarding target of 6500 km in FY23 by over 1000 km, as for several projects bid due dates scheduled before 31 March 2023, deferred by 2 to 3 months.

Ministry of Road Transport and Highways has recently announced its plans to award 12,000 km of highway and construct around 12,500 km of highways in FY24.

The average daily toll collection through FASTag in December 2022 reached to Rs. 134.4 crores with single day highest collection clocked Rs. 144.2 crore on 24th December 2022.

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The growth in traffic revenues mainly due to increase in economic activities during second half of FY 23 and hike in user fee rates.

Now coming to the updates on the company:

- During the 4th Quarter of FY 23, the company achieved financial closure for one pending HAM

project - 4 Laning of Sonauli - Gorakhpur by its due date.

- With the above closure, financial closures for all the seven HAM projects awarded to the Company during FY 22 have been achieved.

- We are happy to share with you that NHAI declared appointed dates for all the above 7 HAM projects and accordingly

construction activities got underway at all these projects.

- Above, seven HAM projects would contribute substantial EPC revenues to the Company in FY 24 and 25.

- The company received Provisional Completion Certificates for Koilwar to Bhoipur as well as Bhoipur to Buxar EPC Project from NHAI

- The company also received Provisional Completion Certificate (PCOD) for Chakeri to Allahabad HAM project in FY 23.

- The company's robust balance sheet driven by prudent financial acumen has led to continuous upgrade in the credit ratings which have helped the company to raise the debt capital at the competitive rates.

- The company has divested its entire stake of 51% in its one of the subsidiary companies namely - Ferrovia Transrail Solutions Private Limited to BF Infrastructure Limited, which was formed for construction of 66 km long track and track related works of Dedicated Eastern Freight Corridor Project for a value of Rs. 132.0 crore. The said project completed in all respects, in JV with BF Infrastructure.

- On business development front, the Company has been declared as L1 bidder and received letters of acceptance from NHAI for construction of 6-lane Greenfield Varanasi - Ranchi - Kolkata Highway HAM Project Packages Nos. 2, 3 and 6 for Bid Project Costs of Rs. 891 crore, Rs. 1113 crore and 1260 crore respectively.

- The company also received letter of acceptance for construction of 4-laning of Allahabad - Koshambi section of NH -731A for a bid project cost of Rs. 819 crore, from MORTH.

- Aggregate bid project cost of 4 HAM projects secured in FY 23 comes to Rs. 4,083 crores.

- All the above four HAM projects are to be constructed in 24 months and operated for 15 years, post construction.

- Apart from 4 HAM projects, the company also became L1 bidder and received letter of acceptance for design and construction of Civil Works for 25.9 km long 'New BG Double Railway Line' and its PNC Infratech Limited
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connectivity to Indian Railways' Network as part of 'Haryana Orbit Rail Project' for a Contract Price of Rs.771.5 crore from Haryana Rail Infrastructure Development Corporation in FY 23.

- The total value of new business secured by the Company in FY 23 is Rs. 4855 crores.

Moving on to the operational and financial performance of the company.

- At present, the company has a total of 23 fund based ongoing mandates on various PPP formats including BOT -Toll, BOT Annuity and HAM.

- Out of these 23 projects, we have 18 HAM projects with an aggregate Bid Projects Cost of Rs. 24,590 crores.

- Out of 18 HAM projects, we achieved COD/PCOD for 6 projects and remaining 12 projects are under construction.

- In terms of equity investment, total requirement for all these 18 HAM projects is approx. Rs.

2,440 crores, out of which we have already infused Rs. 1,253 crores till March 2023 and the balance will be infused over the next 2 years.

- The internal accruals that would be generated over the next 2 -3 years should be sufficient to fund the equity investment.
- If recently secured 4 new HAM projects are also taken in to consideration, total HAM portfolio would be of 22 projects with an aggregate bid project cost of Rs. 28,673 crore.

Now moving on to our order book.

- Our unexecuted order book on 31st March 2023 is over Rs. 15,600 crores, which doesn't include value of 4 new HAM projects and 1 EPC project, secured recently.
- Out of the total orderbook over Rs. 15,600 crores, the highway & expressway contracts contribute around 67%, and Water projects contribute around 33%.
- In Rural Drinking Water Projects Under JJM, the company has booked a revenue of Rs. 1,033 crores till 31st March 2023, which included Rs. 108 crores revenue booked during the previous financial year.
- During the FY 23, total Rs. 925 crores revenue has been booked from drinking water supply projects.

- As the government signs cover agreements of approved schemes progressively for execution during FY 23, the balance executable work as on 1.4.23 is around Rs. 4,500 crores and cover agreements for all the remaining schemes are expected to be signed during the current financial year.

Now I would present Standalone and Consolidated results for the quarter & financial year ended March 31st

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On Standalone Basis – 4TH Quarter

Revenue for 4TH quarter of FY23 is Rs. 2,115 crore which is higher by 10%

EBITDA for the 4TH quarter is Rs. 281 crore which is higher by 25%

EBITDA margin for the 4TH quarter of FY23 is 13.3%.

Profit for the 4TH quarter of FY23 is Rs. 184 crore which is higher by 33% on yoy basis.

Profit margin for the 4TH quarter of FY23 is 8.7%.

On Standalone Basis – of FY'23

Revenue for FY23 is Rs. 7,061 crore which is higher by 12%

EBITDA for FY23 is Rs. 954 crore which is higher by 21% .

EBITDA margin for FY23 is 13.5%.

Profit for FY23 is Rs. 611 crore which is higher by 37%.

Profit margin for FY23 is 8.7%.

On Consolidated Basis – 4TH Quarter

Consolidated revenue for Q4 of FY23 is Rs. 2,305 crore which is higher by 4%.

Consolidated EBITDA for 4TH quarter of FY23 is Rs. 411 crore.

EBITDA margin for Q4 FY23 is 17.8%.

Consolidated PAT for Q4 of FY23 is Rs. 146 crore.

PAT margin for Q4 FY23 is 6.3%.

On Consolidated Basis – of FY'23

Consolidated revenue for FY23 is Rs. 7,956 crore which is higher by 10%.

Consolidated EBITDA for FY23 is Rs. 1,600 crore which is higher by 4%

EBITDA margin for FY23 is 20.1%.

Consolidated PAT for FY23 is Rs. 658 crore which is higher by 13%.

PAT margin for FY23 is 8.3%.

ON THE STANDALONE BALANCE SHEET SIDE,

As on 31ST March 2023, our net working cycle is 87 days

Our net worth on standalone basis is RS. 3,942 crores as on 31ST March 2023 whereas total

standalone debt is RS. 337 crores including Rs.137 crores for equipment finance debt.
The total cash and bank balance as on 31ST March 2023 is Rs. 293 crore. We have a net debt of Rs. 44 crore.

our net debt to equity is 0.11 times

ON CONSOLIDATED BALANCE SHEET SIDE ,

Our networth is Rs. 4,285 crores whereas total debt is Rs. 6,282 crores as on 31ST March 2023. The total cash & bank balance including current investments is Rs. 1,017 crore.

Net debt to equity of 1.4 times.

With this, we now open the floor for question and answer.

Moderator : Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and 1 on their touch -tone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use answers while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

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Shravan Shah : Thank you, sir. Before asking any questions, I need a couple of data points and then I will ask the questions. So first, if you can share mobilization advance, retention money, HAM data, water data.

D K Maheshwari : Retention money in March 23 is Rs. 131 crores and mobilization advance is Rs. 329 crores .

Shravan Shah: Okay. HAM data, water data.

D K Maheshwari : And SPV debtors is Rs. 1079 crores .

Shravan Shah: Rs. 1079 crores . Okay. That's why the debtor has increased. Okay. JJM data?

D K Maheshwari : EPC debtors is Rs. 826 crores .

Shravan Shah: Sorry, water data is how much you said? JJM debtors ?

D K Maheshwari : JJM debtors is Rs. 375 crores .

Shravan Shah: Rs. 375 crores . Okay. And unbilled revenue is how much, sir?

D K Maheshwari : Shravan Ji,

most of the debtors , whether it's water or SPV, we have received payments in the month of April and mid of May.

Shravan Shah: Okay. So, debtor as of April or as of now, data on the standalone has reduced to how much, sir?

D K Maheshwari : On 31st March, debtor days was 99 days. And if we see as of date, it will be around 77 to 78 days.

Shravan Shah: Okay. Sir, unbilled revenue is how much?

D K Maheshwari : It is Rs. 52 crores , sir.

Shravan Shah : Rs. 52 crores . Okay. And now I need the project -wise order book breakup. So, first is Chakeri - Allahabad. So, as of March, I need the order book.

D K Maheshwari : Chakeri - Allahabad, Rs. 70 crores .

Shravan Shah: Sorry. Chakeri, Allahabad Rs. 72 crores ?

D K Maheshwari : Rs. 70 crores ,

Shravan Shah: Okay. Then Challakere - Hariyur.

D K Maheshwari : Challakere , Rs. 293 crores .

Shravan Shah: Lucknow, Ring Road, package 1.

D K Maheshwari : Lucknow Ring Road Rs. 110 crores .

Shravan Shah: Jagdishpur - Faizabad?

D K Maheshwari : Rs. 154 crores .

Shravan Shah: Aligarh, Kanpur, package 5?

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D K Maheshwari : Rs. 256 crores .

Shravan Shah: Unnao, Lalganj?

D K Maheshwari : Rs. 464 crores .

Shravan Shah: Meerut - Najibabad?

D K Maheshwari : Rs. 238 crores .

Shravan Shah: Delhi, Vadodara, package 29 and 31?

D K Maheshwari: Package 29 is negligible Rs. 33 crores and package 31 is Rs. 160 crores.

Shravan Shah: So, has it increased - the scope because last time we said Rs. 22 crores. So, now we are saying Rs. 160 crores. Package 31.

D K Maheshwari: Delhi - Vadodara?

Shravan Shah: Yes, Delhi Vadodara. Package 31 you said 160 crores. December it was Rs. 22 crores.

D K Maheshwari: Is it for 29 - Rs. 22 crores?

Shravan Shah: Sorry, sir. Sorry, sir.

D K Maheshwari: It would be of Package 29 and in the last time in December it is Rs. 220 crores.

Shravan Shah: So, how much is it in March? Rs. 160 crores?

D K Maheshwari: Yes, yes.

Shravan Shah: So, that is an increase in scope.

D K Maheshwari: Slightly, it has increased.

Shravan Shah: Okay, and sir, this irrigation project, how much is the value?

D K Maheshwari : Rs. 979 crores outstanding.

Shravan Shah: Okay. And so, all the four water projects put together is Rs. 5,767 crores .`

Shravan Shah : Okay. Now, coming to the question part. So, first in terms of the broader guidance, for the FY23 was lower than what we were looking at, Rs. 8000 odd crores . So, Rs. 4855 crores . I hope this is the EPC value that we said in the opening remarks. So, now for FY23 in terms of revenue, margin, order inflow, what is the guidance?

T. R. Rao: In FY24, in case of revenue, we are expecting around 15% growth and in case of order book, it took around Rs. 10,000 crores . Maybe between -10,000 to 12,000 crores order book.

Shravan Shah: Okay. And margin will be the same 13.5% that we guided.

D K Maheshwari : It should be 13 to 13.5%.

Shravan Shah: Okay 13-13.5%. Okay got it. And in terms of the, including the 4 new, so the 4 new HAM first of all, when are we likely to get the appointed date and for guiding this 15%, how much roughly

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we are taking the revenue from these 4 new HAM projects? And what is the, equity to be invested in these 4 new HAMs?

D K Maheshwari : The equity entity requirement is around Rs. 500 crores in the new 4 HAM projects and the execution part can start in the fourth quarter of FY24. It will take around six months to start the work.

Mr. T. R. Rao: We need to execute the concession agreements, we expect execution of concession agreements in the month of June. Then we'll

have five months for the financial closure. So in the fourth quarter of FY24, we expect some marginal revenue for HAM projects.

Moderator : Sorry to interrupt. Thank you for the answer, sir. Mr. Shravan Shah, may we request that you return to the question queue for follow -up questions as there are several participants waiting for their turn. Thank you. Our next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir and congratulations on a good set of numbers. My first question is, sir, how do you see the tender pipeline at this point of time? And are you confident that the tender opportunity from NHAI will pick up for the rest of the year? And the related question is that do you think that we need to build a scale -up for other EPC segments because our dependence on the road is too high and that is limiting our opportunity size?

T. R. Rao: If you see, during FY23, NHAI planned to award more number of projects. Many projects were supposed to receive the bids before 31st March, but quite a few projects, they deferred. So, there will be 40-45 projects before 31st March. Now, bids are scheduled to be received between July. This is one of the reasons, whatever projects are targeted during the FY23, we should not leave them too much. So, there is a robust pipeline is available, NHAI. NHAI now, more than 100 projects are there, both on EPC and HAM. HAM is the majority, 75% HAM -based projects and 25% EPC-based projects, nearly 1 lakh crores worth of projects are there. Hopefully, awarding these projects is not quite a big thing, but we mentioned about Rs. 10,000 12,000 crores . Apart from this, we are also targeting some projects, surface projects in UP under phase 4. So, UP government, SWSM, they are bidding of 14 projects for a big value of around Rs. 15,000 crores . We are evaluating those. That is another area apart from roads we are pursuing to secure and we are hopeful that we should be able to secure around 10 projects in FY24.

Mohit Kumar: My second question is that, the last part of our order is Uttar Pradesh. I think it is around 90%. Do you think we need to raise our portfolio and diversify it to other states? Because, dependence of one state is just too high.

T. R. Rao: As you see, the last year we secured 5 projects. Out of 5 projects, 3 projects are in Bihar, Varanasi -Kolkata projects , all 3 packages falling in Bihar and one package we got from Haryana Orbital Rail Corporation . It is located in Haryana. So, only one project that is Prayagraj to Kaushambi is there

in UP, HAM projects. So, we are also looking now, the new opportunities spread across the country. We are looking at other states other than UP also with the equal focus. So, we always endeavor to deconcentrate our risk only in UP. So, that will be there. We are hopeful of some projects outside UP also during the FY24.

Mohit Kumar: Understood sir. Thank you and all the best.

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Moderator : Thank you. Our next question is from the line of Noel Vaz from Union Asset Management. Before you go ahead with your question, a reminder to all participants, you may press star and one to ask question. Mr. Noel Vaz, you can go ahead.

Noel Vaz: Yes. Actually, I just have one question. So, now that we have kind of our mix in the order book for road projects is likely to move slightly lower going forward if we are aiming for diversification of the order book, then what kind of all execution rates should we see for FY24 or even FY25 onwards? Thank you.

Yogesh Jain: We are expecting around 15% growth

in FY'24.

Noel Vaz: Okay. But the execution timelines for the non-road projects are similar to road projects?

Yogesh Jain: Yes. We are targeting revenue for FY24 is around Rs. 2500 crores from water supply sector. And remaining from roads .

Noel Vaz: Okay, yeah understood. So, water supply, this is the same as irrigation or this is more of urban infrastructure?

Yogesh Jain: This is a rural drinking water supply.

Noel Vaz: Okay, fine. Thank you. I just wanted to discuss. Thank you.

Moderator : Thank you. Our next question is from the line of Nikhil Kanodia from HDFC Securities Limited. Please go ahead.

Nikhil Kanodia: Good afternoon, sir. Am I audible?

Yogesh Jain: Yes.

Nikhil Kanodia: So, the thing is that during some of the previous questions, it was not audible . So, pardon me if I repeat the questions. So, my first set of questions was on the guidance front . So, what will be the guidance on revenue from water segment for the year?

Yogesh Jain: Your question. Can you repeat, please?

Moderator : Sir, we request you to use the handset as the audio quality is not very clear while you asking the question.

Nikhil Kanodia: What is the revenue guidance from water segment for FY24?

T. R. Rao: Rs. 2,500 crores is the revenue from water segment from FY24.

Nikhil Kanodia: Okay. And sir, you have guided for 15% revenue growth for FY24 with EBITDA margins in the range of 13 to 13.5%, right?

D K Maheshwari : Right. Yes.

Nikhil Kanodia: So, what would be the order inflow guidance for the year?

Yogesh Jain: It is around Rs. 10,000 to 12,000 crores .

Nikhil Kanodia: Okay. And sir, what would be the equity infusion? Like you mentioned, there is some equity requirement for the 7 as well as the new 4 HAM assets. So, FY25, what would be the equity infusion?

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D K Maheshwari : About Rs. 540 crores , sir.

Nikhil Kanodia: Rs. 540 crores is for FY24, right? Hello?

D K Maheshwari : Yes, yes.

Nikhil Kanodia: Yes, sir. So, if you can give the entire equity infusion like within what time it would be done, like FY24 its Rs. 540 crores , then FY25?

D K Maheshwari : Rs. 450 crores .

Nikhil Kanodia: Okay. And the balance will be in FY26?

D K Maheshwari : Yes.

Nikhil Kanodia: Okay. And sir, what is the CAPEX guidance that you are giving for FY24?

D K Maheshwari : FY24, we are expecting around Rs. 100 to 120 crores , sir.

Nikhil Kanodia: And you will be maintaining your NWC days there?

D K Maheshwari : It should reduce as compared to 31st March.

Nikhil Kanodia: Okay. And sir, what will be the debt levels?

D K Maheshwari : Presently, it is 99 days. We are expecting around 75 to 80 days.

Moderator : May we request you to re-join the question queue for follow-up questions as there are several participants waiting their turn. Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to one or two per participant. Should you have a follow-up question, we would request you to re-join the queue. Thank you. Our next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, Yogesh ji. Congratulations on a good quarter, sir. My question is on asset monetization. So, we have Rs. 2,400 crores of equity requirement now, Rs. 1,200 crores we have invested, and another Rs. 500 crores we have to invest in new assets. But nothing is coming up, nothing is happening on the monetization front. Some of our peers have already monetized assets, and we have been telling every qua

ter that we monetize, monetize, but nothing is happening. So, what is the issue, sir? I mean, what are we facing? Any challenges in monetization? Any concerns on valuation? So, where has the deal got stuck, basically, if we want to understand that?

Yogesh Jain: We are continuous to give highest priority to monetization of operational assets for unlocking its equity and de-leverage its balance sheet. So, in the first lot, total 12 projects floated for monetization, including 11 HAM assets and 1 BOT-Toll asset, which would have a total debt over Rs. 6,900 crores and total equity of Rs. 1,700 crores. Now, strategic advisors retained for running the monetization process and NBO received from four are under evaluation, Under discussions and negotiations. In case we find valuation of our reasonable, exclusivity would be provided to the selected investor for conducting due diligence, followed by execution of definitive agreements. So, we expect to conclude this process divestment before the end of financial year 24, I think.

Parikshit Kandpal: So, we are in very early stages as of now. So, I think we will take one more year for this to complete.

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T. R. Rao: Mr. Kandpal, it's not like that. See, we are on the process. We are very keen and we are very eagerly going for that. Already, we received the NBOs. Now, we are evaluating and shortly, once we go ahead to the selected investor, then followed by the due diligence. The due diligence also we are asking them to quickly do it in expeditious manner. So, then the definitive agreement should be signed before the calendar year and before the, you say, even third quarter, then followed by the closeout and other things. So, we are looking forward to have everything completed and unlock our equity before the end of the current financial year. So, we don't think we are lagging behind our peers and these are HAM assets. And by the time all these 11 HAM assets would have received the final COD also and unlocking periods also would have been completed. So, there should not be an issue in transferring the assets.

Parikshit Kandpal: Okay sir, I wish you all the best that you expeditiously close this deal by Diwali or the third quarter. So, that will help us unlock a lot of value. My second question is on the Jal Jeevan mission project now. So, we have been somehow lagging behind again on execution. So, the guidance which we have given earlier also has not been, the number is below Rs. 1,000 crores even this year. So, next year we are saying in FY24 that Rs. 2,500 crores. So, how confident are we in closing these in this year? And also, if we can touch upon what is a bid pipeline in the JJM segment for us?

T. R. Rao: See, in the Jal Jeevan mission what has happened, these projects spread across various places. There are 3,000 locations we need to do with an average value of 2.25 crores at each location, each scheme. The geographical spread is the one thing and also, as we move ahead, if you see that in FY23, in the first quarter, we could able to do only Rs. 80 crores, whereas in second we have done Rs. 160 crores. In the third quarter, we have done Rs. 270 crores. In the fourth quarter, we have done a work of Rs. 415 crores. So, we are progressively improving our progress and the work done. So, the year we closed at Rs. 925 crores. So, going forward, we are confident of completing Rs. 2,500 crores worth in FY24. Because from Rs. 80 crores we scaled up to Rs. 415 crores as you get the new projects. As of now, out of 2,885 schemes, work is going on at 2,000 locations. And at the 450

locations, we

already started providing drinking water to the rural household and we got the certificates from the Har Ghar Jal certificate for quite a few. So, we are confident we will be able to do around Rs. 2,500 crores worth in FY24 and then remaining in FY25. So, from Rs. 80 crores, we scaled up to Rs. 415 crores in four quarters of FY23.

Parikshit Kandpal: What is the bid pipeline, sir?

T. R. Rao: As I mentioned, Rs. 14,000 crores worth of projects are bid out by this SWSM of Government of Uttar Pradesh. So, the bid due date is 2nd June. So, we will be bidding those projects. So, we expect around Rs. 1,000 crores worth of new business from the water sector in this quarter. Going forward,

in case any new projects comes up in any other states, then we will evaluate those opportunities and see whether we can bid for those projects also in FY24.

Moderator : Sorry to interrupt. May we request that you rejoin the queue for follow -up questions, as there are several participants waiting their turn. Thank you. Our next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi : Good evening, sir. Congratulations on a good set of numbers. Sir, first on the debt numbers and the balance sheet, the debt number is around Rs. 450 crores . So, as you said in the opening remarks, the debt number at the standalone level is Rs. 337 crores . So, are we missing anything, sir?

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D K Maheshwari : Actually, working capital loan is Rs. 200 crores , term loan is Rs. 136 crores , total is 336 crores . Remaining is the unsecured loan taken from the SPVs. That is why that total amount is Rs. 449 crores . Borrowing is Rs. 336 crores only, sir.

Jiten Rushi : So, this unsecured loan has been repaid back to the SPVs?

D K Maheshwari : It is still outstanding.

Jiten Rushi : How much, sir?

D K Maheshwari : It is Rs. 113 crores .

Jiten Rushi : So, what is the reason why we have taken this unsecured loan from those SPV? Any reason for that?

D K Maheshwari : Actually, there is a surplus in those SPV. There is no debt in that SPV.

Jiten Rushi : Which SPV, sir?

D K Maheshwari : That is Delhi Narela Industrial Estate and Kanpur - Lucknow Ayodhya . That was the OMT project that will be completed and Delhi Narela Industrial State, there is no senior debt in the project SPV.

Jiten Rushi : Can you give me the toll numbers now, sir, for the SPV including the Narela Industrial Estate ?

D K Maheshwari : The Narela Industrial Estate was Rs. 14.37 crores in this quarter and MP Highway was Rs. 12.46 crores , Kanpur Highway was Rs. 23.5 crores and Bareilly is Rs. 14.37 crores and sorry, Narela is Rs. 10.56 crores .

Jiten Rushi : Bareilly and what you said is Rs. 14.37 crores ?

D K Maheshwari : Right.

Jiten Rushi : And Raebareli sir is Annuity asset . Got it.

D K Maheshwari : That is Rs. 32.16 crores .

Jiten Rushi : Yes. Sir, on the railway project, we have received the project from Haryana. So, when do we expect the execution to start in this project and how is the payment cycle from the government on that region?

T. R. Rao: Yes. This execution has already started there. Now, earth work is going on. It is a 26-kilometre -long civil works for the broad gauge , double broad gauge . The Haryana government, what we were told that Haryana government is getting funds from the NDB, New Development Bank. So, they are getting funded from them. So, they promised us there should not be any issue for the payments and other things.

Moderator : Thank you, Mr. Jiten Rushi . May we request you to rejoin the queue for follow -up questions. Our next q

uestion is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

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Nikhil Abhyankar: Thank you for the opportunity, sir. My first question is, given our higher concentration towards highways and roads, are we looking at any segmental diversification and if yes, then which all segments?

T. R. Rao: As we had already diversified into road sector, as you said, as we had already mentioned 33% our order book is, un-executed order book is there, water supply and irrigation and 67% is from roads and highways. Similarly, our revenues also would be like that, 33% from this water supply and irrigation and all. See, as a part of diversification, we also built this Haryana Orbital Rail Corporation project. So, many state governments are coming out with similar kind of a orbital or metro -rail kind of a thing, light rail projects across the country. So, that is another area we are looking at and we secured

one project from Haryana government. So, wherever there is some synergy and particularly with respect to road work, this Haryana is having, we have a synergy over there. And in the water sector also, we look forward to have new projects if other state governments also come out with similar projects. Both rural drinking water, groundwater as well as surface water.

Nikhil Abhyankar : Okay. And sir, of the Rs. 12,000 -crores order info that we are targeting, can you give us the target for each segment for FY24?

T. R. Rao: See, 70%, you can say 70% from the roads and highways and 30% from the non-road sector .

Moderator : Sorry to interrupt. May we request Mr. Abhyankar to join the queue for follow -up questions. Requesting all participants to restrict to one to two questions per participant. Thank you.

Our next question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah,: Yeah. Thank you, sir. Sir, for the Badadal to Maradgi S Andola HAM project , we had received Appointed Date in December 2022. But the execution for the quarter is zero for the project. So, any particular reason why the execution has not started?

T. R. Rao: You know, there the work has started, , what we call it as Akkalkot to Karnataka -Telangana state border. So, their work has started. So, in this quarter, we will be raising the invoice towards the milestone limits.

Vaibhav Shah: Okay, okay. Sir, and secondly, you give the guidance of Rs. 2,500 crores of revenue for the water segment for FY24. So, does that include irrigation project as well?

T. R. Rao: See, irrigation project, we do not expect significant revenue there because we will have another hardly one and a half months working time there becau se once in July, they release the water inside the canal system. So, this goes up to again January end of FY24. So, this is mainly significantly from water sector only. There will be some marginal amount from irrigation.

Vaibhav Shah: So, then we had a timeline of around three years for the project. So, the completion date is March 24. So, has there been extended from the client?

T. R. Rao: We had already applied for an extension of time, quoting that very limited working period is available. So, we had already asked for an extension of time of two years beyond 2024.

Moderator : Thank you. We move to our next question. Mr. Vaibhav Shah, we would request you to join the question queue for follow -up. Our next question is from the line of Deepika Bhandari from Philip Cap. Please go ahead.

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Deepika Bhandari: Hi, sir. Thank you for taking my q

uestion. Congratulations on good set of numbers.

Sir, first thing, I just beg your pardon. I think I missed the equity requirement. Can you bifurcate the requirement for FY24 and FY25?

D K Maheshwari : FY24 is Rs. 540 crores and FY25 is Rs. 460 crores .

Deepika Bhandari: 450. Okay. Thank you, sir. Also, can you give me a geographical break -up for order book, exact break -up for the year ending FY23? How much was the UP percentage and Bihar and Haryana?

T. R. Rao: We will share you separately. We will share with you.

Deepik a Bhandari: Okay, sir. Thank you.

Moderator : Thank you. Our next question is from the line of Prem Khurana from Anand Rathi Shares. Please go ahead.

Prem Khurana: Thank you for taking my question, sir. Sir, just to understand our receivables a little better, I think we have seen significant jump during the quarter and large part of this seems to be because of our own SPVs, hybrid annuities which are under construct ion. So, is it that we are ourselves delaying drawdowns in these SPVs and because we were sitting on some cash and obviously the cost of borrowing for the standalone entity would be somewhat better than SPVs? Is it that we are intentionally delaying the drawdowns or you are seeing delayed disbursals via these lenders or the bankers?

D K Maheshwari : So, for the lenders, actually we have executed around Rs. 400 crores rupees of HAM projects in the month of February and March. For that, we are taking the disbursement subsequently in the month of April and May. So, in the starting for taking the disbursement, it takes around 30 to 40 days.

Prem Khurana: Okay, sure. Sir, but anyway, for these 400 crores rupees, we still would have more than 600-700 crores rupees of number due from SPVs. Would this be the number? I mean, if we were to run the same run rate in terms of revenue, then this is the number that we need to kind of settle for or I mean this would go down?

D K Maheshwa ri: It will go down certainly.

Prem Khurana: Okay. And second, if you could help us understand. So, when I look at our P&L for the year, we have grown pretty fairly good. I mean, in terms of top line profitability again has been fairly stable. But for some reason, our employee cost is down. I mean, since we are growing, I was under

the impression that you would have more people come on board and work for you. How do I explain the employee cost going down? Are we, I mean, trying to kind of have more of mechanization or automation, which is where the manpower requirement has come down or was the last year number a one-off?

D K Maheshwari : Actually, percentage -wise it will go down because of the around Rs. 1,000 crores we have executed water project, where the element of labor is much more than this machinery.

Prem Khurana: So, the absolute number is down.

D K Maheshwari : Through subcontractor. That is also through subcontractor.

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Prem Khurana: Okay. And just one last thing from my side, I mean, if you could help me with the EPC potential for these four hybrid annuities. I mean, you have given us a bid project cost. I mean, if you could help us with the EPC part of the total number, how much would be the EPC which would come in our standalone book coming on order backlog sent?

D K Maheshwari : Around 4,500 something.

Prem Khurana: Rs. 4,500 crores .

Mr. D K Maheshwari : So far, we have not finalized.

Prem Khurana : Sure, sir. Sure. Thank you. I have few more questions I'll come back with you. Thank you. Thanks a lot, and all the very best for future.

Moderator : Thank you. Our next ques

tion is from the line of Uttam Kumar Shimal from Axis Securities Limited. Please go ahead.

Uttam Kumar Shimal: Yeah. Thanks for the opportunity, sir and congratulations on good set of numbers. Sir, have you received any bonus in this quarter? Early completion bonus in this quarter?

D K Maheshwari : No. No. This quarter. We have not... In the fourth quarter, there was no bonus.

Uttam Kumar Shimal: Okay and sir, any bonus that we are expected to receive in this year from any of the projects?

T. R. Rao: See, one or two HAM projects we expect to complete before schedule of time, particularly Aligarh - Kanpur package 5. So, then for that project, we expect to receive bonus during FY24.

Uttam Kumar Shimal: Okay. Sir, can you quantify the amount?

D K Maheshwari : See, until and unless we know the date of PCOD, then what is the schedule date , then the bonus will be calculated accordingly. We can't say right now, but we will receive certain amount of bonus from that particular project.

Uttam Kumar Shimal: Okay, sir. Okay. That's all from my side. And all the best to you.

T. R. Rao: Thank you.

Moderator : Thank you. Our next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Yeah, sir. Sir, just to clarify, you mentioned in terms of the monetization that you expect that the definitive agreement likely to be signed before December and deal to be completed by FY24.

Does that mean that are we also expecting the entire cash to be received before FY24 ends?

T. R. Rao: Yes. Yes. Entire conservation amount of equity, we expect to receive by March. That is our target. We are endeavoring towards the thing.

Moderator : We move to our next question. Our next question is from the line of Nikhil Kanodia from HDFC Securities Limited. Please go ahead.

Nikhil Kanodia: Sir, all my questions have been answered. Thank you.

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Moderator : Thank you. Our next question is from the line of Prem Khurana from Anand Rathi Shares. Please go ahead.

Prem Khurana: Yeah. Thank you once again. Sir, on monetization efforts that are underway for 12 assets, the four prospective buyers that you have in place, and all these are interested in all the 12 assets or they want to take it as if they like some asset, they will wait for these four, five, six, seven assets or you want to sell as an entire single bouquet?

T. R. Rao: They are interested in all 12 assets .

Prem Khurana: Okay. Sure. Thank you.

Moderator : Our next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi : Thank you, sir. Just asking on the monetization thing only. Sir, are you also thinking of an alternate process of InviT ? We have seen certain InviTs in the past with these four prospective buyers.

Are we looking for any InvITs as an option also or an alternate? Are we working towards it or you are looking only for a complete exit?

T. R. Rao: For these 12 assets, as of now, we are not looking at because we received good response from the potential buyers for these 12 assets. Out of these 12 assets, seven assets are already operational. Only five assets will be operational in next three to four months. So, at this point of time, we are not looking at the alternate thing. For these 12 assets, going forward, as we have remaining fund-based assets, we will look at that option.

Jiten Rushi : Which is the 12 asset which you are looking to sell? I just forgot. Can you just help me with that?

T. R. Rao: Bareilly - Almora project. It's a BOT Toll of state government.

Jiten Rushi : Any target

ted valuation you are looking for in terms of the book value? Because you have seen a strong valuation coming from the recent, which is almost 1.5X and above. Any targeted valuation are we targeting in terms of the-

T. R. Rao: We are looking at a very reasonable valuation which is based on the, because we can't disclose the figure as of now. The talks are going on with the investors through our strategic advisor. So, some clarity would emerge maybe in the next 10 days. Anyhow, we will share with the exchanges and then we will come to know once we sign the LBOs.

Moderator : Thank you. We move to our next question. Our next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: So, now my question is on the bonus part, I was just clarifying. Last time we were talking about Rs. 15 crores bonus. We were looking in Aligarh - Moradabad in the fourth quarter. So, what's the status on there? Mumbai -Nagpur we were expecting, but some decision from the authority. Then we were expecting Delhi -Vadodara package 29 & 31. So, all these road projects now there will be no bonus or do some bonus will come?

T. R. Rao: See, in case of Aligarh -Moradabad, what we expected bonus should be realized by 31st March because the final bill completion and there are change of PIU people at NHAI headquarters. The many changes are happening. It is right from CGM to down to the manager. People have moved and new setup people have come. So, the process is getting delayed. And the second thing in case of PNC Infratech Limited
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DAV 29, Delhi, Vadodara because of some hindrances and other part even today 150-meter length of land is not available. But anyhow, we will be completing that particular project by the schedule time. We don't expect any bonus there because the delays happened beyond our control. In case of DAV 2031, there's a lot of HT high tension power lines are going on. Again, there is a delay in shifting of these things. Despite our best efforts, the things are not happening because of some lack of things. So, there are also whatever bonus we expected. There also we completed more than 90% work. In case of DAV 29, we completed almost 100% of our land hindered. In case of Nagpur, Mumbai, the government has not taken decision. Again, there's a political change at state government. So, they have not taken final decision yet.

Shravan Shah: So, nothing to come as a bonus not for the Aligarh -Moradabad also the Rs. 15 crores very less probability that the bonus to come.

Yogesh Jain: We will get in Aligarh, Moradabad, no doubt about it and we are also expecting from Aligarh to Kanpur package 5 HAM projects .

Shravan Shah: Okay, second is on the JJM, we say Rs. 2,500 crores revenue in FY24. So, this Rs. 2,500 crores , so if I just look at the in terms of the order book, so excluding the irrigation part if I remove so Rs. 5,700 crores out of that Rs. 2,500 to be done in FY24 and the entire remaining should be close to Rs. 3,200 crores odd crores should be in FY25 or it will extend to even FY26.

T. R. Rao: FY 25 we will be able to complete except normally they keep some amount retention amount and other things. Otherwise, we will complete all works in FY25.

Shravan Shah: Okay, and then the irrigation you mentioned till January because of the rain and water to be in the in the canal, very, very marginal revenue to come and the deadline will be extended to FY25 or 26.

T. R. Rao: We are, FY26 because we asked for two years of extension . We have applied to water resources department .

Shravan Shah: Okay,

and in terms of the HAM requirement, whatever you mentioned that is only for 18 HAM projects. So, the four HAM projects where we said Rs. 500 crores more equity. So, assuming as you mentioned that appointed by December this year, then how much equity to be infused from that in this year and FY25 and 26. So, broadly Rs. 1,700 odd crores if you can help me break up in 24,

25, 26.

D K Maheshwari : Total equity requirement including all the four HAM projects is Rs. 1,690 crores as on date. So, around Rs. 540 crores in FY24 and Rs. 416 crores in FY25, FY26 is Rs. 365 crores and remaining Rs. 327 crores in FY27.

Shravan Shah: Okay, okay, FY27, got it, got it. Okay, thank you, sir.

Moderator : Thank you. Our next question is from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Yeah, good evening gentlemen, I have just one question. If I look at your segmental reporting, it seems the margin of the water segment at EBIT level is quite high versus the water margin for almost like 17% for the year versus 10.8 % for the year of the road . Is it a sustainable margin for PNC Infratech Limited

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water? And if that's so, with the share of water generally going up next year, why we still stick to that 13-13.5% guidance?

D K Maheshwari : It will maintain around 14% - 15%.

Deepesh Agarwal: Okay, so if the water share goes up in our revenue, margin will ideally have an upside risk, right?

Moderator : Mr. Deepesh Agarwal, sorry to interrupt. May we request you to use the headset, please your audio is not very clear.

Deepesh Agarwal: Yeah, so my question is if the share of water segment goes up and it's a higher margin, so ideally there should be an upside risk to over the guidance on the margin of 13-13.5%?

D K Maheshwari : Water is one-third portion of the turnover. Therefore, overall guidance will be around 13.00% -13.50%.

Deepesh Agarwal: Understood. Okay, thank you and all the best.

Moderator : Thank you. Our next question is from the line of Jainam Shah from Equirus Securities, Private Limited. Please go ahead.

Jainam Shah: Yeah, so thank you for the opportunity for this hosting call. There are no further questions, so we'll request you for some closing remarks.

Yogesh Jain: Yeah, thank you everyone for your participation in our earning call. We have uploaded the presentation on our company's website as well as on exchanges. In case of further queries, you may get in touch with the Strategic Growth Advisors , our investor relations advisors, or feel free to get in touch with us. Thank you very much.

Moderator : Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

PNCI

I I t-I PNC Infratech Limited

Dear Sir,

Sub- FY24

You are requested to take this information on your record.

Thanking you,

For PNC Infratech Limited

Tapan Jain

Company Secretary & Compliance Officer

ICSI M. No.: A22603

Encl: a/aDate: 19.08.2023

To,

The Manager

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East), Mumbai- 400 051

NSE Symbol: PNCINFRA

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Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we are enclosing herewith the transcript of earnings conference call on Financial Results for the quarter ended 30th June, 2023 held on Saturday, 12th August, 2023.

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To,

The Manager

Department of Corporate Services

BSE Limited

Floor 25, P.J. Towers,

Dalal Street, Mumbai-400 001

Scrip Code: 539150 An ISO 9001 : 2015 Certified Company

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"PNC Infratech Limited

Q1 FY '24 Post Results Earning Conference Call "

August 12, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th August 2023 will prevail.

MANAGEMENT : MR. YOGESH KUMAR JAIN – MANAGING DIRECTOR –
PNC INFRA TECH LIMITED

MR. T.R. RAO – DIRECTOR , INFRA – PNC INFRA TECH
LIMITED

MR. D. K. MAHESHWARI – VICE PRESIDENT , FINANCE
– PNC INFRA TECH LIMITED

INVESTOR RELATIONS TEAM – STRATEGIC GROWTH
ADVISORS

MODERATOR : MR. VISHAL PERIWAL – IDBI CAPITAL

PNC Infratech Limited
August 12, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '24 Post Results Earnings Conference Call of PNC Infratech hosted by IDBI Capital.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vishal Periwai from IDBI Capital. Thank you, and over to you, Mr. Periwai.

Vishal Periwai : Yes. Thanks, Neerav. Good afternoon everyone. I welcome you all for the PNC Infratech Limited post result earnings call with the management. From the management team of PNC, we have with us, Yogesh Jain Ji, Managing Director; T.R. Rao Ji, Director (Infra); and D.K. Maheshwari Ji, Vice President -Finance.

As usual, we'll have an opening remarks from the management and followed by the live Q&A session. Thank you, sir. Over to you.

Yogesh Jain : Yes. Good afternoon, everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

I have with me Mr. T.R. Rao, Director (Infra), Mr. D. K. Maheshwari, Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges as well as Company's website for your reference.

Initially, I would like to mention key updates in the industry followed by key operational developments of the Company and highlights of financial performance during Q1 of FY24, post which we will be happy to answer your questions.

✓ According to industry reports, road construction as well as projects awarding activity slowed down during Q1 of FY24.

✓ As per industry reports, during Q1 of FY24, a total of 611 kms new projects only awarded and a total length about 2,250 kms roads constructed.

✓ As per recent MoRTH's announcement, road construction target for the year 2023 -24 has been revised from 12,500 to 14,000 kms.

✓ Similarly, 12,000 kms target set for award of new projects during the year 2023 -24.

✓ Considering the ambitious targets set forth for FY 24 and bidding process has still not picked -up till date, pace of bidding and awarding activities by the authorities are expected to be intensified during the second half of FY24.

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✓ As part of National Highways Authority of India's monetization plan, NHAI floated bids under Toll -Operate -Transfer model, for TOT 13 and 14 bundles for an aggregate length of 300 km and an operation period of 20 years, each.

✓ NHAI is in the process of awarding project packages of 610 km long Varanasi - Kolkata highway with an estimated projected cost of Rs. 35,000 Crores.

✓ After completion of this highway, the current travel time between Varanasi and

Kolkata is expected to be reduced by 50%.

✓ I am pleased to share with you that our Company secured 3 packages out of 14 packages of this highway floated so far by NHAI on HAM format.

✓ Transport ministry proposes to deploy advanced technology, Global Navigation Satellite System, or GNSS to completely do away with the barriers at toll plazas. As GNS System will enable gateless plazas, vehicles will no longer have to halt at plazas. The technology consultants appointed by IHMCL for the mandate, are already w

orking on it.

Now coming to the updates on the company:

✓ Our company signed concession agreements for the four recently secured Hybrid Annuity Model (HAM) highway projects secured in FY 23, having an aggregate Bid Project Cost of Rs. 4,083 crore.

✓ The above HAM mandates include package 2, 3 and 6 of six lane greenfield Varanasi Ranchi - Kolkata highway of NHAI and package 3 of four lane highway from Singraur Uphar to Baranpur Kadipur Ichauli of NH -731A of MoRTH.

- Company's strong balance sheet, financial prudence, constant credit rating upgrades, enable company to secure debt at competitive rates.

Now, moving on to the operational and financial performance of the company.

- The company is currently having 27 BOT -Toll, BOT Annuity and HAM assets

- Company's fund based portfolio of 27 projects comprise, 22 HAM projects with an aggregate Bid Projects Cost of 28,673 crores.

- Out of 22 HAM projects, company completed and achieved PCOD/COD for 7 projects, 11 projects are under construction and 4 projects are under development.

- With regard to equity investment, cumulative requirement for the 22 HAM projects amounts to around Rs. 2,900 crores.

- As of June 2023, we have already infused Rs. 1,716 crores and the remaining equity is to be infused over the course of next 2 to 3 years.

- The internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirements.

Now moving on to our order book. -

- As of 30 June 2023, our unexecuted order book stands at 14,900 crores, which does not include EPC value of about Rs. 4,000 crores of the four new HAM projects secured recently. Accordingly, unexecuted order book value would be about Rs. 19,000 crores.

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- Out of the above total unexecuted order book, highway and expressway contracts contribute around 72%, and Water projects contribute around 28%.

- The company has achieved notable progress in Rural Drinking Water Projects under the Jal Jeevan Mission (JJM) during the past two quarters.

- Till 30th June 2023, the company has booked a total revenue of Rs. 1,454

crores under JJM.

- The revenue booked during the quarter ending 30 June 23 in the water segment was Rs. 421 Crores.

Now I would present the results for the quarter ended June 30, 2023.

Before discussing financial performance, I would like to share that during Q1 of FY23, the company received an early completion bonus of Rs. 37.02 crores, which was included in the revenue.

We have not taken the above into consideration to make financial performance of Q1 of FY23 objectively comparable with 1st quarter of FY24.

Standalone Quarterly Result:

Revenue of 1st quarter of FY24 is Rs. 1,861 crore which is higher by 8% as compared to Rs. 1,721 crore in 1st quarter of FY23.

The EBITDA for the 1st quarter is Rs. 245 crore which is higher by 11% as compared to Rs. 221 crore in Q1 FY23. The EBITDA margin for the 1st quarter of FY24 is 13.2%.

The profit for the 1st quarter of FY24 is Rs. 157 crore as compared to Rs. 130 crore in the 1st quarter of FY23, a growth of 21% on a yoy basis. The PAT margin for the 1st quarter of FY24 is 8.4%.

I'll now take you through Consolidated Financials for the quarter ended 30th June 2023.

Consolidated revenue of Q1 of FY24 is Rs. 2,092 crore as compared to Rs. 2,016 crores in Q1 FY23, with a growth of 4%.

The consolidated EBITDA for the 1st quarter of FY24 is Rs. 436 crore. The EBITDA margin for Q1 of FY24 is 20.9%.

The consolidated PAT for Q1 FY24 is Rs. 181 crore. The PAT margin for the 1st quarter of FY24 is 8.6%.

ON THE STANDALONE BALANCE SHEET SIDE,

As on 30th June 2023, our net working cycle is 83 days as compared to 87 days as on 31st March 2023.

Our net worth on standalone basis is Rs. 4,098 crores as on 30th June 2023 where

as

total standalone debt is Rs. 489 crores

The total cash and bank balance as on 30th June 2023 is Rs. 186 crore. We have a net debt of Rs. 303 crore. This translates to net debt to equity of 0.17 times.

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ON CONSOLIDATED BASIS, our networth is Rs. 4,476 crores whereas total debt is Rs. 6,774 crores as on 30th June 2023. The total cash & bank balance including current investments is Rs. 943 crore. This translates to net debt to equity of 1.46 times.

With this, we now open the floor for Question & Answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, first is on the just going back to the guidance what we have talked last time. 15% revenue growth, 13.5% EBITDA margin, and order inflow of INR10,000 crores to INR12,000 crores, so out of that 30% from non-road. So all these numbers, stand remains same or any change?

D K Maheshwari: Growth will be around 10% to 15% which we have informed in the last quarter and the EBITDA margin will continue in the 13% to 13.5% and the contract inflow in FY '24 is expected around INR10,000 crores.

Shravan Shah: Out of that, what are we looking at from non-road order inflows?

T.R. Rao: We still maintain around 20% to 30% from non-road sectors and around 70% to 80% from the roads and highways sector.

Moderator: Shravan, sorry to interrupt you, but your voice is breaking very badly. I will request to rejoin the queue again. Next question is from the line of Ashish from JM Financial.

Ashish: Congrats on good performance. Sir, wanted to check on this non-highway, so what is it that we

are looking for, which segments we'll look to get this maybe about INR2,000 crores to INR3,000 crores of inflows?

T.R. Rao: See, water will continue to be one of the sectors, which we are looking at. And also, we'll be looking at the projects like railways. As you know that we got one Orbit Rail project last year for INR755 crores in Haryana. So similar kind of projects like rail, metro rail or whatever we see. So that is one area we are looking at. Apart from the water sector, which we are already working and other state governments also coming out with projects under JJM. So we are looking at those opportunities as a part of our non-road sector.

Ashish Shah: Yes, sir. Okay. So sir, what I was asking is that, given that there has been a delay in the ordering this year as well, so is there any risk in terms of the target for the awards? Or you think this INR10,000 -odd crores can be still managed?

T.R. Rao: It can still be managed because the government has fixed a target of 12,000 kilometers of highways to be awarded during the financial year FY '24. Even though the awarding activity slowed down in Q1 and even till date it is still slowed down, so what we expect that this will pick-up, geared-up during the second half of the current financial year. So we are still hopeful of getting INR10,000 crores of new projects during the current financial year.

Yogesh Jain: Even we have already submitted 9 bids, that amounts around...

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T.R. Rao: INR11,000 crores of bids are under realization. We submitted for 4 HAM projects and 5 EPC projects, which are under evaluation. So as of now, we don't see any issue in the business development as well as the targets.

Yogesh Jain: So second half will be better.

Ashish Shah: Right, sir. Sir, just the last thing. Some specific projects, if you can update in terms of status.

One is the Haryana Orbital Rail. By when do we expect that project to commence? Are all the land and other ROW-related issues taken care? And secondly, what is the status for the JJM?

We earlier were looking at something like INR2,000 -plus crores of revenue

for FY '24. We

seem to be on track, but just checking on that number again and also on the AP irrigation canal project?

T.R. Rao: First thing, Haryana Orbital Rail, we executed the contract agreement in the month of May, then we commenced the work there and work is going on. In the last week only we started the Indian Structures Works also. There is no issue with the land. So we feel that this project will be on track as per the time line set forth in the contract document.

And the second thing, we are maintaining the same thing, INR2,000 crores plus revenue under the Jal Jeevan Mission. So in the first quarter, we achieved INR400 crores plus revenue.

Maybe second quarter, there will be slight dip, given the intense monsoon and widespread monsoon. But we should be able to achieve INR2,000 crores plus margin revenue from the JJM during the current financial year.

Third, with respect to AP canal, as of now, as you know, that one would be able to do only 5 to 6 months work. Now water is being flown into the canal system. So almost we stopped our works. And this year, again, we'll commence the work during the next working season. And also, we are looking forward to have some payments because we have not received any payments so far from them.

Ashish Shah: Sir, any number you'd like to leave us, how much execution to expect in the AP irrigation project this financial year?

T.R. Rao: This financial year, we are expecting around INR100 crores maximum.

Ashish Shah: Around INR100 crores. Sir, So this project becomes very very long tenure right? I mean it was a INR1,000 crores project where I still may have...

T.R. Rao: Till April 2024 because of the limited working season availability and also there is a -- we have already slowed down, and we've written a letter to them, saying that because paucity of funds and other things. So this project can take longer time.

Moderator: Next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very, very good set of numbers. My first question is, sir, can you update us on the monetization, where we are right now? And are we confident that we will close this in next couple of quarters or by end of fiscal year '24?

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Yogesh Jain: Actually, earlier, we have informed in the last call, the company continue to give highest priority to the monetization of operational assets, therefore, unlock its equity and deleverage its

balance sheet. In the first level, total 12 projects floated for monetization, including 11 HAM assets as 1 BOT toll asset, which would have a total debt over INR6,900 crores and total equity of over INR1,700 crores. Strategic advisor retained for running the process and interested buyers submitted their non-binding offer for the said assets.

Mohit Kumar: Okay. Understood. So we expect this to be -- to be finalized in next couple of quarters. Is that a fair assessment?

Yogesh Jain: Yes, yes, yes.

Mohit Kumar: My second question is, sir, on the tender pipeline for NHAI. How is it looking like at this point of time? Do we see the number of more than INR1 lakh crores?

Yogesh Jain: Yes. NHAI already floated RFP for over 68 projects that comprising EPC and HAM, that is costing around more than INR65,000 crores for bidding. Bid due dates for the above projects are staggered up to 31st October '23.

T. R. Rao : Yes. And post that also, we have another 5 months, November, December and 3 months in the next calendar year. So, that's another INR30,000 crores to INR40,000 crores. As you said, the pipeline would be around INR1 lakh crores during the current financial year.

Mohit Kumar: My last question is sir, how has the land acquisition progressed on the 4 projects which we have won recently, especially the Varanasi -Ranchi highway?

T.R. Rao : See, in terms of Varanasi -Ranchi highway, NHAI already

achieved 3G —3G at a more than

70% 3G has been done. Now it is the 3H which has to happen, the deposited money nominee within the designated accounts and only 3H has to happen. So, they're taking up with their respective state governments to expedite the process of 3H so that the disbursements are distributed to the landowners and the land is taken into possession. So, we hope that this should happen before the appointed date and the conditions different and what is available to NHAI, including 5 months to work for the financial year.

Mohit Kumar: So by end of Q3, we should be able to start the work. Is that a fair assessment?

T. R. Rao : Because we signed just now...

Yogesh Jain: So, it will take around 5 months time.

T. R. Rao : Yes, yes, 5 months. Maybe Q4, we'll be able to start the preliminary works.

Mohit Kumar: Understood sir. Thank you and best of luck.

Moderator: Thank you. Next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

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Jiten Rushi: Sir, firstly, book keeping question. If you can give us the details of the outstanding order backlog for the projects, which I may ask. So sir, the outstanding order backlog for Lucknow Ring Road 1, Delhi -Vadodara Package 31 and 29?

Yogesh Jain: Lucknow Ring Road is complete -- already completed. And DV 29 is already completed and 31 balance amount is around INR100 crores.

Jiten Rushi: Okay. And then on the other HAM projects of Chakeri -Allahabad then Challakere -Hiriyur, Unnao -Lalganj, Jagdishpur, Aligarh -Kanpur package and Meerut Nazibabad. ?

D K Maheshwari : Yes Chakeri -Allahabad is almost completed, it is only INR34 crores remaining. Then Meerut -Nazibabad is INR165 crores, Challakere INR227 crores and Jagdishpur – Faizabad.

Jiten Rushi: Challakere, you said INR227 crores, right, sir?

D K Maheshwari : Yes.

Jiten Rushi: And Unnao -Lalganj?

D K Maheshwari : Around INR300 crores.

Jiten Rushi: Sir, this Jagdishpur and Aligarh -Kanpur Package 5?

D K Maheshwari : Aligarh -Kanpur Package 5, around INR150 crores.

Jiten Rushi: Jagdishpur?

D K Maheshwari : And Jagdishpur – Faizabad is around INR90 crores.

Jiten Rushi: And sir, this canal project, still the status quo is INR979 crores, there's no change, right?

D K Maheshwari : Well, we have executed this in this quarter, around INR14 crores work, it is outstanding around INR964 crores.

Jiten Rushi: And sir, the EPC value of this 4 HAM project, where we have signed the concession agreement should be almost like 85% of the BPC. That is a fair assumption?

Yogesh Jain: Around 85% to 90%

T. R. Rao : 85% of the BPC, of course, but BPC doesn't include GST. Likewise, EPC also – 85% will also not include GST

Jiten Rushi: Sir, can you give us the equity breakup because at the start of the call, you said balance equity requirement. Can you give us breakup for the next 2 years? How are we planning?

D K Maheshwari : For 18 projects, we require the INR2,440 crores. And for remaining new project, INR500 crores, total requirement around INR2,900 crores, and we have already invested INR1,716

crores till June '23. So, we require only INR1,228 crores in next 2 years, 3 years.
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Jiten Rushi: So can you break up, sir 9 months, '25 -'26?

D K Maheshwari : FY '24 in nine months, you can take around INR80 crores, FY'25 will be around INR450 crores, FY'26 will be around INR350 crores and remaining on FY '27.

Jiten Rushi: Okay, INR80 crores will be 9 months. Got it. And sir, what is the toll collection at the operational assets, if you can highlight?

D K Maheshwari : Yes. Toll collection MP highway it was INR12.3 crores in first quarter and Kanpur highway, around INR26.5 crores and Bareilly Almora, INR16.2 crores.

Jiten Rushi: And Narela?

D K Maheshwari : Narela it was INR12.5 crores .

Jiten Rushi: Rae Bareli is the annuity project. Right, sir.

D K Maheshwari : That is INR32 cr ores.

Jiten Rushi: And sir, on the other breakup, if you can give like capex incurred in Q1 and the targeted capex for full year and mobilization advance , retention unbilled debtors, inventory and payables?

D K Maheshwari : Capex we are expecting FY '24, around INR100 crores to INR120 crores. And out of that INR13 crores, we have already taken in the first quarter and the retention as on 30 th June is INR120 crores and advances from clients is around INR490 crores.

Jiten Rushi: And unbilled, if any?

D K Maheshwari : Unbilled amount as on 30th June, around INR53 crores.

Jiten Rushi: And if you can share the debtors inventories and payables?

D K Maheshwari : Debtors almost same in the March, it is 93 days, which we already uploaded in the presentation. And in case you want the breakup, EPC is around 43% and 56% HAM outstanding.

Jiten Rushi: And in value terms, if you can give, otherwise it's okay, I think inventory and payables, if possible?

D K Maheshwari : We will share.

Jiten Rushi: Thank you sir. I have more question, I will get back in the queue.

Moderator: Thank you. Next follow -up question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, Unnao -Lalganj order book and Meerut -Nazibabad order book is how much?

D K Maheshwari : Unnao -Lalganj is around INR300 crore .

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Yogesh Jain: It is unexecuted order.

D K Maheshwari : Meerut -Nazibabad is INR165 crores.

Shravan Shah: INR165 and Gaju Village -Devinagar bypass, that is the package 1C?

D K Maheshwari : Package 1C is INR480 crores.

Shravan Shah: And Haryana Rail, the value will be the same, INR772 crores?

D K Maheshwari : Yes. Right, right.

Shravan Shah: Okay. And water debtor is how much, sir, out of EPC debtors you mentioned , but how much is JJM debtors?

D K Maheshwari : As on 30 th June, it was around INR400 crores, but most probably we have recovered during this July and August. Presently, it will be aro und INR250 crores this is of current month billing.

Shravan Shah: Okay. And inventory and trade payables would be how much? So last March, it was -- inventory was INR764 crores. So, what would be the broader number as on 30th June?

D K Maheshwari : Inventory in 30 th June is around INR880 crores.

Shravan Shah: And trade payable would be?

D K Maheshwari : Around INR600 crores, sir.

Shravan Shah: INR600 crores. Okay. And sir, when we say that in terms of the HAM monetisation, so just to clarify two thing s. One is, --we are saying deal will be done in ' FY24 . But in terms of the cash payment or cash received from the buyer, when are we going to get the money from them?

Yogesh Jain: We are expecting in this financial year.

Shravan Shah: Okay. The entire money we are expecting to get in this FY '24 only?

Yogesh Jain: Yes.

Shravan Shah: Okay. sir, any water projects -- you said that we are looking at, so is it anything left in UP or the MP, one we are now going to bid for?

T.R. Rao: One project is left in UP under Phase 4, around INR950 crores. Apart from that the projects that are coming up in the States of MP, Rajasthan and also other states.

Shravan Shah: Okay. And in terms of the bonus, sir, still that Aligarh -Kanpur Package 5 and INR15 crores of Aligarh -Moradabad that we have already received -- INR15 crores we have received and this Aligarh -Kanpur is pending?

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T.R. Rao: No. In case of Aligarh -Moradabad, we're yet to receive the bonus because the final bill and other things to be settled. So we are talking to them. In case of Aligarh -Kanpur Package 5, so once COD is declared, then we'll exactly know, what will be the early completion bonus for the particular HAM project.

Shravan

Shah: Apart from any other bonus that, this year, we can expect?

T.R. Rao: See the details -- the HAM projects -- but this financial year, as of now, we are not expecting any bonus. Going forward, if you complete any new ongoing HAM projects ahead of schedule, then we'll be able to get the bonus.

Moderator: Shravan, sorry to interrupt you. I'll request you to join the queue again for a follow-up question. Next question is from the line of Ankit from JHP Securities.

Ankit: I just want to confirm one thing. So in last quarter, you had given a guidance of 10% to 15% in terms of revenue and EBITDA margin around 13% to 13.5%. So in current quarter, you are already making EBITDA margin of around 21%. So why the guidance is such that? So it is on the consolidated or it is on standalone basis? The guidance?

Yogesh Jain: It is standalone basis.

Ankit: Okay. It's on standalone basis?

T. R. Rao : The guidance what we had given last year is on standalone basis only, 13% to 13.5%. Last quarter, Q1 also, it is around that only.

Moderator: Thank you. Next question is from the line of Prem Khurana from Anand Rathi.

Prem Khurana: Sir, my question was with respect to the JJM opportunity in Uttar Pradesh, Phase 4. I think last time, the figure that you gave us, it was supposed to be almost a INR15,000 -odd crores sort of opportunity. And earlier in your comments, you said or mentioned around INR950 crores, which is pending. So does it mean that the balance is already awarded?

And, if it is awarded, does it mean we couldn't get any orders? So would that mean the competition has gone up? Or how should we kind of consider this that we couldn't secure any order from almost INR14,000 -odd crores of number that was bid in the recent past?

T.R. Rao: That is correct. The balance projects have been awarded. See, the projects -- majority of the projects comprising the distribution network, which we have not focused in the past, because already we are doing distribution networks for 2,880 gram panchayats.

So we focused upon the surface water and including the cross country pipeline and rising main and all. There is a limited number of projects, but we couldn't get the -- any of these projects because of the steep competition. So one project is there, so we'll be trying for that.

Prem Khurana: Okay. And so from our existing bids how many DPRs would have been approved by now and the work has started? So how many more are yet to be approved from the existing...

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T.R. Rao: Out of 2,880, almost 2,750 DPRs have been approved. So as of now, we have a total workable projects of INR6,500 crores. If you take out INR1,500 crores nearly, as on date, we have completed more than that. So around INR5,000 crores work is left. So here, we are expecting INR2,000 -plus crores and remaining, work we would be able to execute in FY '25.

Prem Khurana: Sure. And just one last question from my side. So sir, when I look at our segment performance, right, and thank you for giving us a break-up between road, EP C and water. So what I realize is and what is evident from the numbers is essentially, the road seem to be kind of declining. So in this quarter when I compare it on a Y-o-Y basis, we seem to be down almost around 12%. And when I look at the last year number as well, the growth that we delivered was because of water and road was largely flat. When do you see the situation to change wherein the roads again would become a larger share?

I mean, it still is a larger share, but then it doesn't appear that the growth driver for the time being and growth seems to be the -- water seems to be the only growth driver. So where -- I mean do you see this situation will change wherein road again will start growing and we would also get to that support from water, which is when both the segments would drive growth rather than 1 of 2

segments driving growth?

T.R. Rao: See, the growth will be on a balance kind of platform only. See, what has happened in the road sector, some of the projects we were on the flag end, like what our MD mentioned, DAV 29, LRR, AKP5 and also we completed Bihar and all. So again, what has happened now the 7 HAM projects, now they are picking up.

So we started the last quarter and now there is a picking up and they'll have a peak during the next quarter and coming quarters, two quarters. So road continue to be our flag bearer, road will continue to be the focus area. So definitely, the margin -- the revenue as well as the EBITDA margin will improve. Maybe there's going to be some temporary kind of aberration during this particular quarter. But otherwise, road will remain to be our main focus area and also revenue contributor.

Prem Khurana: And one just lastly, with your permission, please, I mean this is more sort of bookkeeping kind of question. So when I look at our depreciation number, possible for you, and I mean I'm not sure if you have that number readily available with you or not, possible for you to break it down between how much of this is because of the road and how much is attributable to the water segment?

So the idea was to try and understand the water margin a little better because when I look at the segment margin, water is doing around 15 -odd and I'm assuming these are EBIT margins, so wherein we would have adjusted depreciation. So would that...

T.R. Rao: Water, we don't have any major machinery deployed. Certainly, the depreciation in the water sector is very insignificant, when compared to where we deploy heavy machinery. So practically, water, we have not deployed any plant and machinery except kind of intermission PNC Infratech Limited

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and other things. Even the dredging of boats and all done by expert agencies using their own boats and their own rigs and they do it. So it is not on the company books.

Prem Khurana: And then how should I look at margins? Because, in roads, we tend to take that equity infusion requirement as well and despite that, the margin -- segment margin are lower and with water, which is pure play EPC, at least you are able to get access to mobilization advances as well as hardly any capex, but it seem to be generating much better margins. So how should I reconcile, whether there's -- wherein -- I mean there's water which is generating more with lower capital intensity and then road is generating less?

T.R. Rao: No, once these new projects, new road products are picked up, see, the cost of thing now -- marginal cost would be less when we have a higher revenue from the road sector. And even despite of the depreciation and other things, road will continue to a 13% to 13.5%. EBITDA will sustain in the road sector alone. So this is a -- now -- as of now, as I said, that depreciation is almost nil in the case of water, it is showing optically.

But going forward, there should not be any issue in the road sector also. So that also on a standalone basis, still will have a 13% to 13.5% once these new projects and the ongoing completing projects also would be adding some amount and all several projects are in full swing, which we started sometime in the beginning of this year.

Moderator: Thank you, Prem, sorry to interrupt you. I'll request you to join the queue again for a follow-up question. Next question is from the line of Nikhil from HDFC. Please go ahead.

Nikhil: Sir, I had a question. Last quarter, you said that you have identified around 11 HAM and 1 EPC for monetization. So where are we -- like what's the position as on date on the monetization plan?

T.R. Rao: Yes, that is as my colleague mentioned, the same thing, 11 HAM assets, and 1 BOT toll asset. Out of 12 assets, already we have a completion for six assets, one more asset also is getting the COD and this

same portfolio will continue.

Nikhil: So you're expecting monetization of the plants and all those things by the year-end, right?

T.R. Rao: Yes, yes, yes.

Nikhil: Okay. And sir, on the JJM revenue for the full year, you mentioned INR2,400 crores or INR2,000 crores?

Yogesh Jain: That is above INR 2,000 crores.

Nikhil: Okay. And sir, the four new HAM assets that you had won in the last year, so what is the expected appointed date for them?

T.R. Rao: We are expecting appointed date for these projects during the fourth quarter of this current financial year.

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Nikhil: Okay, sir, understood. And sir, what will be the current bid pipeline?

Yogesh Jain: There are so many bids, NHAI floated already over 68 projects that includes EPC and HAM, both, that around -- that is costing around INR65,000 crore s.

Moderator: Thank you, Nikhil. Next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My question is, are you looking to refinance the existing debt of the completed road project? And what are the opportunities which are available?

Yogesh Jain: We are already working on monetization. So we are not thinking that.

T. R. Rao : Debt is in a sustainable level only. As we mentioned, during the course of our speech, that it is 1.41, which is a sustainable kind of a thin g. Post -monetization, this will further get reduced, we are expecting it will be below 1% -- below 1.

Mohit Kumar: Understood, sir. My second question is, sir, what are the kind of tie -ups, the debt tie -ups that you're looking for the new projects? And what kind of money is available and at what rate and reset?

D K Maheshwari: We have already tied -up with the bank. We have already received in principle sanction of all the four projects and the final sanction is under process.

Yogesh Jain: It will be share separately.

Mohit Kumar: Is there a possibility to raise -- to tie up the debt in the bond market?

D K Maheshwari: No, we are taking the long -term debt from the banks.

Mohit Kumar: Understood. What are the reset debt, sir? One year or it's more than one year?

D K Maheshwari: One year.

Moderator: Thank you. Next follow -up question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi: Sir, on the bid pipeline, you highlighted that you have bid for INR11,400 crores which can open for the next couple of few months. But sir, anything which you can highlight on the non - road segment as we are also targeting INR2,000 crores to INR3,000 crores of inflows from metros, rail and water supply? So what are the particular bids which are out standing as of now? And any upcoming bids which you can give in terms of value from various states, if possible?

T.R. Rao: See, what we had already submitted 11 bids, 5 HAM and for 6 EPC, most of them are highway sector only, and except, there is one major bridge is there -- elevated structure is there, over INR3,000 crores, others are from the highway sector only.

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Jiten Rushi: Okay. So 11 bids plus 1, 12 bids, that is what you are trying to say, right?

T.R. Rao: 11 bids, that includes the elevated corridor of INR3,000 crores.

Jiten Rushi: And these are all NHAI?

T.R. Rao: NHAI, MoRTH, both are there.

Jiten Rushi: Sir, interestingly, sir, this time, MoRTH, we have started participating in -- and even competitor are participating in the MoRTH projects. So what kind of pipeline do we see?

Because we have already got one project and -- so what kind of view you can give towards the MoRTH pipeline? Because NHAI is always big pipeline -- large pipeline. But on the MoRTH, what kind of pipeline you see other than NHAI, where we can participate?

T.R. Rao: See, I'll tell you. If you look at 12,000 kilometers roads to be awarded during the FY

'24, that

is what target set by the ministry, 50% by NHAI, 6,000 kilometers, and the remaining 50% by MoRTH and NHIDCL, infrastructure development corporation, to do this Bharatmala and other things in the border roads. So this time, MoRTH is also coming out with bids on their own. And we see some kind of a substantial amount of pipeline from MoRTH also.

Jiten Rushi: So basically, we can see around INR30,000 crores, INR40,000 crores from MoRTH also other than INR65,000 crores of NHAI?

T.R. Rao: We've not really assessed to what would be the value in terms of estimated costs, but we should be around that only.

Jiten Rushi: So that is again a big positive for us in terms of inflows.

T.R. Rao: Yes, yes, yes. Because earlier also, we executed successfully two MoRTH projects, executed through state NH departments...

Jiten Rushi: And sir, anything on railways or metros and state highways this year which you can throw some light on?

Yogesh Jain: We are expecting some bids from the Maharashtra government also, from MSRDC, that is costing around INR30,000 crores.

Jiten Rushi: So when you have to submit this bid, sir?

Yogesh Jain: Prequalification document is already submitted. And we're expecting next month...

T.R. Rao: Maybe next couple of months, RFP should be there. Bids floated by MSRDC in the state of

Maharashtra.

Jiten Rushi: Likely awarding would be November, December, probably ?

T.R. Rao: Yes, yes.

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Jiten Rushi: We'll participate in all the projects? We are qualified to participate in all the projects?

T.R. Rao: Yes. Majority of the things we submitted over RFQ and we are qualifying.

Moderator: Thank you. Next question is from line of Ash Shah from Elara Capital. Please go ahead.

Ash Shah: Sir, you mentioned about the Jal Jeevan Mission bid. So can you just give some value on that?

So you said, apart from Uttar Pradesh, you are participating in MP and Rajasthan. So if you could provide some color on what is the total value size of those projects that you're looking to bid or something like that?

T.R. Rao: See, some of the bids are there already floated, and some of the bids yet to float because, again, under JJM. So exactly value, don't have in hand, but we'll share with you separately.

Moderator: Thank you. Next question is from the line of Uttam Kumar Srimal from Axis Securities. Please go ahead.

Uttam Srimal: Sir, my questions pertain to competitive intensity, both in HAM as well as the EPC projects because one of your competitor, in its call said that they are basically bidding for higher EPC project over INR1,000 crores. So how do you see the competitive intensity currently, both in EPC as well as in HAM?

T.R. Rao: Sir, on a relative terms, definitely, competition in EPC is more than HAM because HAM requires a 60% investment by the concessioner. So certainly, competition in the EPC is more.

And similarly, competition in the lesser value of the work is more when compared to competition with the higher value of works, because even EPC also, if you have a larger works of INR3,000 crores to INR4,000 crores, it would require some kind of working capital.

Similarly, in case of larger HAM projects, 60% of the debt and equity has to be infused by the concessioner. So that also requires credibility with the banks and vendors. So this, as simple as that, size is more, less is the competition and the investment is more, less is the competition.

Uttam Srimal: So you are also looking to bid for higher EPC projects, more than INR1,000 crores, something like that?

T.R. Rao: Definitely, our preference would be that. In case, given the basket of projects, our focus would be on higher value, both in terms of HAM as well as EPC.

Uttam Srimal: Okay. And sir, are you also looking to bid for rail station redevelopment projects because government has just come with INR24,00

0 crores of projects for rail station redevelopment?

So what's your take on that?

T.R. Rao: We are evaluating the opportunity. So we have not taken any call on that. So we'll share with you once we have some kind of findings of our internal evaluation.

Moderator: Thank you. Next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

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Vishal Periwal: Sir, on the margin front, I think if we look at on 15% growth rate and plus we are targeting better revenues from JJM projects, which is a higher margin. Now, but our guidance on the margin is still the same. So I mean, just trying to understand like are we conservative enough on the guidance front or probably it can surprise on upside, the 13.5% that you guided?

T.R. Rao: If you see the JJM total portfolio of JJM is around INR7,000 crores, what we achieved around INR1,400 -plus crores, which is just 20%. Now it will be premature to say that JJM will have a higher margin and all because the items are there, we are executing. The situation will crystallize only once we reach more than 50% of the JJM whether JJM projects are giving higher margin and all. But overall margins, still we are maintaining at 13% to 13.5%. That includes both JJM as well as road sector. So it would be too premature to say that JJM should be giving higher margin until and unless we attribute at least more than 50% of the order book available under the JJM.

Vishal Periwal: Okay. Sure, sir. And second question is on, I mean, like the road sector opportunity. I mean the opportunity remain, but within that, on a quarterly basis, we are seeing not much of bid pipeline or probably like the bids are not coming. So at a sector level, can you share like, it is more to do with like NHAI or probably anything that you can highlight? That'll be helpful.

T.R. Rao: Actually, pipeline is there. Even pipeline was there even in the last financial year also, because the NHAI wants to ensure that land is in place before award of the projects and other internal

issues and all. See, these bid due dates are continuously getting postponed. See, whatever bids they plan to bid before the 31 st March, '23, they postponed to first quarter, and now first quarter again, further they postponed to second quarter.

So pipeline is there, both with NHA and MoRTH. Because of their some internal issues, and they also want to have a land in place. So the bid dates are getting shifted from time -to-time. Otherwise, there is enough pipeline. Because see, once they set a target of 12,000 kilometers of road, so then they have to do, it comes to around INR2 lakh crores kind of a thing. So they have to award. That's why, as our MD said during his speech, the intensity of award would be much higher during the second half of the current financial year. Because until and unless they don't bid, they don't bid out an award. So they would not be in a position to achieve the target of INR12,000 crores before the end of current financial year.

Vishal Periwal: Okay. Sure, sir. And in terms of -- just on the first question, which I just asked on the margin and coming on the revenue contribution, so irrigation, as a sector or probably like other than roads, so in FY '24 itself, it will contribute more than 30%, and that will be continuing even in the next year?

T.R. Rao: See, as you said, INR2,000 -plus crores, and last year, we had around -- 15% our revenue guidance comes to around INR8,000 crores. So INR2,000 crores -plus would be, I'd say, around roughly around 25% to 30% from the non -road sector and 70% to 75% from road sector for the current financial year.

Moderator: Thank you. Next question is from the line of Nikhil from ICICI Securities. Please go ahead.

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Nikhil: Just a couple of questions, sir. Sir, our water margins have

have dipped Q -o-Q. I understand Q4 is

always a better quarter for execution. But should we expect our margins to become, again, go back to 17%, 18% levels for water by Q4? EBIT margins, I'm saying.

T.R. Rao: Yes, in the second quarter, since because, as I mentioned, the monsoon is very intense and also very active, because -- our fixed costs will remain same, whereas revenue would be lesser than what we have achieved in the Q4 and Q1. So we need to see how this -- whether this 16%, 17% to be able to sustain or not, because of the low volume of -- low revenues in the Q2, because of the monsoon season.

Nikhil: Okay. And sir, just one more question. We will receive somewhere around INR2,500 crores of cash, and we have an equity investment requirement of around INR1,100 crores. So will the excess go entirely to reduce the debt?

D K Maheshwari: Let us see. Actually, we have INR1,200 crores equity requirement of the existing project. As MD sir had told that we are also going to bid and we are expecting around INR10,000 crores in this year. So we require the equity to be infused in those projects.

T.R. Rao: Apart from we have a capex.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to the management for closing comments.

Yogesh Jain: Thank you, everyone, for your participation in our earnings call. We have uploaded the presentation on our company website as well as on our exchanges. In case of further queries, you may get in touch with the Strategic Growth Advisors, our investor relations advisors. So feel free to get in touch with us. Thank you very much.

Moderator: Thank you very much. On behalf of IDBI Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2023

PNC PNC Infratech Limited
Ref No: PNC/SE/8 5123-24

To,
The Manager
Department of Corporate Services
BSE Limited

Floor 25,P.J. Towers,
Dalal Street, Mumbai-400 001
Scrip code:539150An ISO 9001 .2015 Certified Company
Date: 07.11.2023

To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai-400 051
NSE Symbol: PNCINFRA

Dear Sir,

Sub-

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we are enclosing herewith the transcript of earnings conference call on Financial Results for the quarter and half year ended 30th September, 2023 held on Wednesday, November 01,2023.

You are requested to take this information on your record.

Thanking you,

For PNC Infratech Limited

Tapan Jain

Company Secretary & Compliance Officer

ICSI M. No.: A22603

Encl: a/a

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"PNC Infratech Limited

Q2 FY '24 Earnings Conference Call "

November 01, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 1st November 2023 will prevail.

MANAGEMENT : MR. YOGESH KUMAR JAIN – MANAGING DIRECTOR –
PNC INFRATECH LIMITED

MR. T.R. RAO – DIRECTOR INFRA – PNC INFRATECH
LIMITED

MR. D.K. AGARWAL – CHIEF FINANCIAL OFFICER –
PNC INFRATECH LIMITED

MR. D. K. MAHESHWARI – VICE PRESIDENT , FINANCE

– PNC INFRATECH LIMITED
STRATEGIC GROWTH ADVISORS - INVESTOR
RELATIONS TEAM – PNC INFRATECH LIMITED

MODERATOR : MR. PREM KHURANA – ANAND RATHI SHARE AND
STOCK BROKERS

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Moderator: Ladies and gentlemen, good day, and welcome to the PNC Infratech Limited Earnings Conference Call hosted by Anand Rathi Share and Stock Brokers.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prem Khurana from Anand Rathi Share and Stock Brokers . Thank you, and over to you, sir.

Prem Khurana : Good afternoon, ladies and gentlemen. On behalf of the Anand Rathi Share Brokers , I'm pleased to welcome you all on PNC Infratech Limited Q2 FY '24 and H1 FY '24 Earnings Conference Call . We have with us the Managing Director of the company, Mr. Yogesh Jain, along with the senior management team. We will begin with the opening remarks from the management, followed by interactive Q&A session.

Thank you, and over to you, sir.

Yogesh Jain : Good afternoon and Season's Greetings to everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

I have with me Mr. T.R. Rao, Director (Infra), Mr. D.K. Agarwal, Chief Financial Officer, Mr. D. K. Maheshwari, Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges as well as Company's website for your reference.

Initially, I would like to share key updates in the industry with you, followed by key operational developments of the Company and highlights of financial performance during Q2 of FY24 and H1 of FY24, post which we will be happy to answer your queries.

■ The target set for highway construction in FY24 is higher than FY23 as it stands at 13,800 kilometres against 10,331 km constructed in FY23.

■ However, highway construction experienced a significant decline during the month of September 23, with only 371 route kilometers completed during the month, essentially due to the active monsoon and persistent challenges in getting the vacant ROW and removal obstructions timely for uninterrupted construction.

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■ Industry expects availability of vacant and long stretches to maximum extent at the very beginning of project execution for uninterrupted construction and progress to meet the targets.

■ When it comes to award of new projects, though an ambitious target of 12,500 km length of new highways set for the year FY24, by MoRTH, NHAI and NHIDCL together with half of the set target to be met by NHAI, awarding activity has been

very subdued during the first half of FY24.

■ Many of new highway projects on both EPC and HAM modes scheduled for bidding during the first half of FY24, have been shifted to second half of FY24.

■ Even bid due dates set for quite a few new projects in October 23 have also been postponed to November and beyond.

■ Industry expects that the government authorities will resolve land acquisition and other issues quickly, thus making fronts available for bidding and construction of proposed new projects to achieve their highway awarding target of 12,500 km before end of the FY.

■ Given the target, NHAI alone is expected to award new projects worth over Rs.1.50 lakh crores before end of the current financial

year. Out of which, bids for projects worth over Rs. 90,000 crore already floated.

■ On brighter side, according to Crisil's Infrastructure Year Book 2023, "India's infrastructure spending will double to Rs 143 lakh crore during the period between 2024 and 2030, compared to amount spent during the period 2017 -2023.

■ According to the industry sources, the government intends to expedite monetization of operational highways in the coming years in order to garner funds about two trillion rupees.

■ Similarly, in the next three years, NHAI is expected to construct up to 4,500 kilometres of new highways on an average in a year and monetize these assets through InvITs and TOT model.

Now coming to the updates on the company :

■ Our company has received provisional completion certificate for Four laning of Mitrasen to Kanpur section of NH -91 in the state of Uttar Pradesh on Hybrid Annuity Mode, which is known as Aligarh Kanpur Package V on 4th August 2023, thirty eight days ahead of schedule and became eligible for early completion bonus.

■ Further, Company also received completion certificate for Package 29 of eight lane Delhi -Vadodara access -controlled greenfield alignment expressway (NH -148N) executed on EPC Mode under Bharatmala Pariyojana

■ Company's one of the wholly owned subsidiaries, PNC Kanpur Highways Limited, Concessionaire for Kanpur -Kabrai BOT Toll Project has repaid the term loan in full as such there is no debt outstanding.

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■ Company's strong balance sheet and financial prudence result constant credit rating upgrades in sustainable manner, which enables company to secure debt at competitive rates.

Now, moving on the operational and financial performance of the company:

■ The company is currently having 27 BOT -Toll, BOT Annuity and HAM assets

■ Out of these 27 fund based projects, company has 22 HAM projects with an aggregate Bid Projects Cost of Rs. 28,673 crores.

■ Out of 22 HAM projects, company achieved PCOD/COD for 7 projects, 11 projects are under construction and 4 projects are under development.

■ With regard to equity investment, the cumulative requirement for HAM projects is

about Rs. 1,100 crores.

■ Till 30th September 2023, we already infused Rs.1,845 crores in HAM projects and the remaining equity is to be invested over the course of the next 2 to 3 years.

■ The internal accruals that would be generated over the next two to three years should be adequate to meet the said equity investment requirements.

Now, moving on to our order book,

■ As of 30th September 2023, our unexecuted order book stands around Rs.18,000 crores, which includes EPC value of about Rs. 4,400 crore of the four new HAM projects for which concession agreements have already been signed.

■ Out of the above total unexecuted order book, highway & expressway contracts contribute around 72%, while Water & Irrigation projects contribute around 28%.

■ The company has achieved notable progress in Rural Drinking Water Projects under the Jal Jeevan Mission (JJM) during the past two quarters.

■ In the current financial year, till 30th September 2023, company has booked a revenue of Rs. 818 crores in water segment and overall, till date company booked a total revenue of Rs. 1850 crore under this segment. Revenue booked during the quarter ending 30 September'23 in water segment was Rs. 397 Crores.

Now I would present the results for the quarter ended SEPTEMBER 30, 2023 and H1 of FY24 .

Before discussing financial performance, I would like to share that during H1 of FY23, the company received an early completion bonus of Rs. 37.02 crores, which was included in the revenue of H1 of FY23.

We have moderated the above in key financials of Q2 and H1 of FY23 to make the financial performance Q2 and H1 of FY24 comparable with the corresponding periods.

Standalone Quarterly Result:
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Revenue of 2nd quarter of FY24 is Rs. 1,693 crore which is higher by 8% as compared to Rs. 1,561 crore in 2nd quarter of FY23.

The EBITDA for the 2nd quarter is Rs. 228 crore which is higher by 10% As compared to Rs. 207 crore in 2nd quarter of FY23. The EBITDA margin for the 2nd quarter of FY24 is 13.4%.

The profit for the 2nd quarter of FY24 is Rs. 140 crore as compared to Rs. 131 crore in the 2nd quarter of FY23, A growth of 7% ON YOY basis. The PAT margin for the 2nd quarter of FY24 is 8.3%.

Standalone Half Yearly Result:

The standalone revenue for H1 FY24 is Rs. 3,554 crore which is higher by 8% as compared to Rs. 3,282 crore in H1 FY23.

The standalone EBITDA of H1 FY24 is Rs. 473 crore which is higher by 10% as compared to Rs. 428 crore in H1 FY24.

The standalone profit for the H1 FY24 is Rs. 296 crore as compared to Rs. 261 crore in the H1 FY23, with A growth of 14%. The PAT margin for the H1 FY24 is 8.3%

Consolidated Quarterly Results:

Consolidated revenue of Q2 FY24 is Rs. 1,911 crore as compared to Rs. 1,795 crores in Q2 FY23, with a growth of 6%.

The consolidated EBITDA for the 2nd quarter of FY24 IS RS. 400 crore as compared to Rs. 326 crores in Q2 FY23, with a growth of 22%. The EBITDA margin for Q2 FY24 is 20.9%.

The consolidated PAT for Q2 FY24 is Rs. 148 crore as compared to Rs. 132 crores in Q2 FY23, a growth of 12%. The PAT margin for the 2nd quarter of FY24 is 7.7%

Consolidated Half Yearly Results:

The consolidated revenue for H1 FY24 is Rs. 4003 crore which is higher by 5% as compared to Rs. 3,811 crore in H1 FY23.

The consolidated EBITDA for the H1 FY24 is Rs. 836 crore as compared to Rs. 808 crore, with a growth of 4%. THE EBITDA margin for H1 FY24 is 20.9%.

The consolidated profit for the H1 FY24 is Rs. 329 crore. The PAT margin for the H1 of FY24

is 8.2%

ON THE STANDALONE BALANCE SHEET SIDE,

As ON 30th Sept 2023, our net working cycle is 79 days as compared to 87 days as on 31st March 2023.

Our net worth on standalone basis is Rs. 4226 crores as on 30th Sept 2023 whereas total standalone debt is Rs. 395 crores.

The total cash and bank balance as on 30th Sept 2023 is Rs. 197 crore. We have a net debt of Rs. 197 crore. This translates to net debt to equity of 0.13 times.

ON CONSOLIDATED BASIS, our networth is Rs. 4,612 crores whereas total debt is Rs. 6,959 crores as on 30th Sept 2023. The total cash & bank balance including current investments is Rs. 802 crore. This translates to net debt to equity of 1.47 times.

With this, we now open the floor for question and answer, Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

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Mohit Kumar: My first question is, do you still maintain the order inflow guidance for FY '24 given that NHAI order has been very muted, and we haven't seen any order inflow from the other segment?

T. R. Rao: See, guidance at earlier we said, same thing we are maintaining. Guidance for the FY '24 would be 10% to 15% growth over the FY '23. And since as our Managing Director has spelt out just now. As most of the project which were supposed to be bid out during the first half of the financial year '24 have been shifted to second half, the reason is best known to NHAI. So, we still expect up to INR10,000 crores new order inflow during the current financial year. As huge number of projects are in pipeline. And already projects worth more than INR90,000 crores have been floated with their due dates staggering between 1, November and the 31, December. And further, bids are also expected to be bidden during the fourth quarter of the current financial year. So, we still

maintain INR10,000 crores new orders before end of the current financial year.

Mohit Kumar: Are you seeing sir, that the BOT portion is increasing in the tender which are floated? My question is, to connect, are you seeing that the BOT share is increasing in the tender? And will you participate in those tenders, sir?

Yogesh Jain: You are talking about BOT toll?

Mohit Kumar: Yes, BOT toll.

T. R. Rao: No. As of now, the tenders which have already been floated by NHAI are our HAM as well as the EPC projects. We can say, 60% HAM and 40% EPC projects. So far, no BOT toll project has been floated by NHAI.

Mohit Kumar: And my last question is on the non-road order inflows, which are the segments which you're looking at? And are you seeing some activity because at H1, we haven't received any order. So, which are the activity or which are the segments you are looking at and which are the geographies?

T. R. Rao: See, on the non-road sector, as you know, we are already doing a project of INR6,800 crores into rural drinking water supply. And those projects are progressing well. We are looking at the same sector because of the synergy and the experience gained over last two year. Rural drinking water projects, we are looking.

Wherever these projects are funded by Government of India under Jal Jeevan Mission.

Because there's a slight pause in some of the states which are going for a poll like Rajasthan, Chhattisgarh, Madhya Pradesh. So, we expect in this region, new projects in rural drinking water sector. Post-election process, so we expect some projects will come up for bidding, and we will pursue those opportunities.

Moderator: Thank you so much. The next question is from the line of Ashish Shah from JM Financial. Please go ahead.

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Ashish Shah: Sir, the question is on the total receivables and unbilled on the water, JJM revenue that we have executed. So, if you can share what is the total amount of receivables and unbilled from that particular segment?

D. K. Maheshwari: As regard to receivables, debtor days is 91 days. And EPC side, outstanding is around

INR1,000 crores and SPV is INR703 crores. Total debt amount is INR1,769 crores. Actually, the EPC part is mainly because of the water, about INR600 crores. And as against that, in the month of October, we have already realized more than INR300 crores.

Ashish Shah : Okay. And balance, sir, out of the INR1,000 crores receivable from EPC which you said, INR600 crores, you said is water. And the balance INR400 crores, would by and large be what sir?

D. K. Maheshwari: That's the EPC project, Delhi -Vadodara around the canal. Then MSRDC and small outstanding from MSRDC , Lucknow Ring Road , like that. There are no old outstanding projects.

Ashish Shah : Got it, sir. In water, is there any delay in getting the money, or we get on time? This is like in line with what the billing cycle should have been?

T. R. Rao : No. Water, we are getting the thing. Only the process is a bit lengthy when compared to highway and other this thing. Because the billing has to be done at each scheme level. Each Gram Panchayat level we have to do is, we have to write a separate bill. So, what is the large number of bills have to be generated. And then these bills are to be certified and then paid. So, there is a slight delay in the preparation and processing of the bill. Otherwise, the money is coming.

As Mr. Maheshwari said, as of 30th of September, more than INR600 crores money were due. And in October itself, we realized more than INR300 crores. Going forward in November and all, we'll be able to realize the entire amount. Then further billing will continue. So, the process is like that. But as such, there is no problem of funds. There is no problem in getting the payments. Only process is a bit lengthy.

Ashish Shah : Got it, sir. And what would be your

target for water segment -- in terms of revenue for the financial year? I think earlier we have talked about the numbers upwards of INR2,000 crores or somewhere in that range?

T. R. Rao : Yes. We are intending the same in number, more than INR800 crores we already billed because of the monsoon and some flooding of some of the areas where it is completely subdued. The water execution will pick -up during the second half of the current financial year. So, we're still maintaining more than INR2,000 crores billing in FY '24.

Ashish Shah : Right. And last one before I get again in the queue, sir, what is the -- Yogeshji, if you can throw some light there in terms of the asset sale process? And are we on target to achieve a part of that process at least by March '24 as Devendra said?

T. R. Rao : The monetization -- you're talking about monetization. Our monetization is on track. Yes, last time we said, we entered into a non -binding term sheet with one of the prospective buyers who PNC Infratech Limited
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have shown interest. And the due diligence process has already been completed. So, we are on the further course of action. So, we are on the track. We expect, we want that closure should happen before the end of the financial year, and we are working towards the same.

Moderator: Thank you very much. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir my question is, in this year, how much should be our bidding in the non -road segments till March '24 now?

T. R. Rao : As you mentioned, as of now, there are no projects on anvil in the non -road segment, particularly water, where we've got the synergy. So, we expect this will be floated post - completion of the election process for the four states, which are going on and before end of the current financial year. And other non -road sector also, we are looking at the opportunities. So like metro rail and railway freight this thing and also in case of any irrigation projects that are coming up. We are looking at. We expect see as we said, we are expecting a new business worth of INR10,000 crores in the current financial year. So non -road sector may be around 15% to 20% of that we are targeting. So, we come to know only once these projects are floated out.

Parikshit Kandpal: Any other major jobs coming up in UP now and beyond the Ganga Expressways? From the state side, are you seeing any more tenders coming up either in roads or metro or anything, I mean?

T. R. Rao : No, no major project . Because these are the core sectors, these are metros and results these are the coming a road. So that has been very active. And we are not in any having any significant number of projects in other sectors.

Parikshit Kandpal: With regards to NHAI, I mean, we have seen, I mean maybe what will be your estimate that by, do you think by December, what is happens? It happens whether on Jan onwards as we move into election season. There won't be any major awards happening in the fourth quarter. So, whatever happens now, it happens in the next 1.5 months. Is it the right assumption?

T. R. Rao : No, no. if you see the past trend, major awards happened during the fourth quarter. You can

see the trend over the last five to six years. So major awards have done to meet the targets during the fourth quarter. And the even, as I said, in the third quarter also now a large number of bids are lined up with the big due dates ranging from first week of November till end of December. So again, new bids are expected in the fourth quarter. Entire process should be over during the next five months. So, we are looking also half of target of 12,500 kilometres of new projects.

Parikshit Kandpal: So once a model code of conduct with -- so my assumption is that by budget session led by end of January, we have the budget. And then after that

parliament will be adjourned at the time

and then there could be more code of conduct, which may hit in. So, do you think that's a risk potentially in terms of this year awarding coming in, in the fourth quarter?

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T. R. Rao : Yes. See, until end of January, we don't expect model count code of conduct will come into this play. Only we are expecting beyond February only. These next three months will be -- they'll be very active bidding activity. So, during three months, we are targeting projects. We identified the opportunities and we are targeting.

Parikshit Kandpal: Okay. Just last question on the monetization bid. So maybe, D. K. Maheshwari sir can answer that. In terms of readiness of the monetization process. So, we have already -- if our bidding is completed. So where do we stand in terms of NHAI approvals and lenders NOC -- so, I want to understand basically HAM project that we announced the deal. So how much time you think the money comes in if all these approvals are in place?

T. R. Rao : See, typically, you see we have to take approval from NHAI for the transfer of ownership as more than seven projects are there. The lock-in periods are over, only it's a six-month lock-in period in case of HAM project. So -- and the lenders also, we don't see any major delay in getting the approval. Approval should be there within in the range of three to four months actually. We should be able to get that.

Parikshit Kandpal: And these seven projects, how much of equity investment? And how much of debt?

T. R. Rao : We are not work out. See, we identified the set a projects. We'll bifurcate and we'll share it individually we'll share up.

Parikshit Kandpal: I think earlier we were saying it's about INR1,700 crores, INR2,000 crores of equity.

T. R. Rao : Total debt INR6,900 crores.

Parikshit Kandpal: I asking you, total equity spent on put value of the equity invested in the projects evaluated for monetization. So, what was that number?

D. K. Maheshwari : Mr. T. R. Rao has already said that it is actually a total debt of all 12 projects around INR6,900 crores but it will be decided at the closing date. But it is outstanding on the day, number one.

Secondly, regarding the equity also, has already informed in the last call that in all 12 projects , total equity we have included around INR1700 crores in all 12 projects.

Parikshit Kandpal: Okay. And we are evaluating the monetization of these all 12 projects. But I think Mr. Rao said that seven projects we are looking. But we'll confuse that as the seven...

D. K. Maheshwari : He told seven projects already we achieved the COD, and we don't take much more time to take the NOC from the NHAI because the six months already been completed. There was not to get more time lock in period has already completed.

Parikshit Kandpal: So are you monetize the seven project immediately and all the money come for everyone else period gets -- come in. you will get part money and part will come after the completion of the six months, right?

Management: Yes, it came seven and more. It depends. On closing date.

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Moderator: Thank you so much . The next question is from the line of Vasudev from Nuvama. Please go ahead.

Vasudev: Sir, my first question is, can you share that what is our current progress on the U P Jal Jeevan mission project and the Andhra irrigation project?

T. R. Rao : As we had mentioned, UP Jal Jeevan, we already completed more than INR1,800 cores for this thing work done by 30th of September, then its starts progressing and further al so we have done now as I update more than INR2,000 crores what have already been completed. And this year, we are expecting billing over INR2,000 crores. And the remaining billing will be done in the next year and maybe some residual billing will b

e left at the end of FY'25. Otherwise, project is progressing as per the schedule.

Vasudev: Okay, sir. And what about the Andhra irrigation project?

Management: Irrigation project, because of the -- it's a canal system, from August onwards, the water is going into the canals. So as of now, the work is stopped. We'll resume once the water is receded in the canal system, maybe next calendar year. We have done around INR178 crores billing we have done.

Vasudev: Okay, okay. And next question is for the balance equity requirement, which will be infused, can you give the breakup how much would be infused in FY'24 and how much will be in FY'25?

D. K. Maheshwari : In FY'24, we have already infused INR592 in the first half. And in this remaining six months, we require hardly INR75 -100 crores. In FY'25 - INR450. FY'26 - INR430. And total requirement as on date is INR1,095 crores.

Vasudev: Okay, sir. And sir, lastly, on the capex front, so if you can give how much has been done in Q2 and how much do we plan for the full FY'24?

D. K. Maheshwari : We have given the guidance of around INR100 -120 crores in FY'24. And out of that in first half, we have only taken around INR27 crores, and within INR100 crores in FY'24, including INR27 crores.

Moderator: Thank you so much. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, just to understand clearly, so INR10,000 crores order inflow that we are looking at, we said 15% to 20% from the non-road. So, if I exclude so maybe INR8,000 crores, INR8,500 crores, we are looking in the road. So how one can look at it in terms of the EPC and HAM.

Why I'm asking is considering the competition, particularly in the EPC and in the HAM also in recent one of the projects we have seen, though the value is more than INR1,500 crores, there is a significant competition.

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The new players are taking at a much lower cost. So, in that sense, trying to understand how we are looking at HAM and EPC. And even if, let's say, we are able to get, are we confident to maintain about 13%, 13.5% EBITDA margin that we normally guide?

T. R. Rao : Yes. As we mentioned, now NHAI had already floated highway projects about the INR90,000 crores. If you go by their estimated cost, two-third value of these projects are HAM, one third value of these projects are EPC. Typically, more than INR60,000 crores worth of projects are HAM projects and the INR30,000 crores worth of projects are EPC. So even if you -- as we are pursuing, so we expect in the same ratio of business inflow.

So at least 60% to 70% of the -- what we are expecting, INR8,500 crores award will be from HAM and the remaining from the EPC. We understand that the competition is more fierce in the -- in case of EPC when compared to HAM projects. Yes. We still endure to maintain 13% to 13.5% EBITDA in spite of the competition and other challenges.

Shravan Shah: Okay, okay. Got it. So, for this year, definitely, we are looking at 10%, 15%. So, for to achieve that revenue growth, 10%, 15%, we need to do the much better execution. But if I broadly look at, let's say, if we get this INR10,000 crores and then broadly is a HAM. So, in terms of FY'25, how one can look at on the revenue growth front? Should we still be able to do 10%, 15%? Or will it slow down?

T. R. Rai : See, some clarity -- more clarity will emerge after the Q3 and the nine months, after completion of nine months, when we expect some new projects will come up, then more clarity will emerge. But we're able to maintain a decent growth in FY'25 also.

Shravan Shah: Okay. Second, on the, sir, four HAM projects were appointed date is spending. So, there are two questions, when the appointed date to come. Last time we talked by March '24, the appointed date to come. And that EPC value right now in the pres

entation, we mentioned

INR4,400 crores -odd versus last quarter, it was around INR3,750 crores -odd. So, there is a significant jump in EPC value of these four HAM projects where AD is yet to come. So, can you please explain?

D. K. Maheshwari : Actually earlier, what we have given, that was INR3,700 crores without GST. And now this is INR4,400 crores is with 18% of GST. This is the difference only.

Shravan Shah: So, for us, the revenue is without GST. So why we should be looking at without GST number only? Why we are selling the -- including GST number? Because for revenue, we book without GST.

D. K. Maheshwari : For this purpose, you are okay. But the financial model purpose, what we have given to the bankers and the means of finance, we are taking the debt considering the 18% of GST.

Shravan Shah: Okay. So those are -- to put it simply, when we say including this, the order book, what we are talking is more INR7,800 crores -odd. So then in that sense, it should reduce by that INR500

crores, INR600 crores -odd. Okay. Got it...
D. K. Maheshwari: Yes.
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Shravan Shah: Yes. Second, in terms of this monetization just one clarity. Last time, we said the entire deal and including the cash flow we received by March, now we are seeing the deal to be completed by March. So, the cash to come in 1H of FY '25. Is it the way one can understand?

T. R. Rai : Yes, one can understand like that. But if we're able to close it by at least some set of projects, we are expecting that cash should come -- some part of cash will come in the current financial year. But anyhow, you want the latest by first quarter of FY '25.

Shravan Shah: Okay. Sir, I need all the data points of whatever is it remaining including project -wise order book. So first, on the balance sheet front, mobilization advance, retention money as on September. And then I will ask the project -wise order book?

D. K. Maheshwari : Retention of September is INR110 crores. And mobilization advance is crores is INR539 crores.

Shravan Shah: Yes. Project -wise order books, sir. First is Chakeri -Allahabad, what's the outstanding order book. Last time, it was INR34 crores -odd?

D. K. Maheshwari : About INR23 crores.

Shravan Shah: INR23 crores. Next is Challakere -Hiriyur?

D. K. Maheshwari : INR175 crores.

Shravan Shah: INR175 crores. Then Jagdishpur -Faizabad?

D. K. Maheshwari : Only INR37 crores.

Shravan Shah: INR37 crores. Aligarh -Kanpur Package 5?

D. K. Maheshwari : INR95 crores.

Shravan Shah: Unnao -Lalganj?

D. K. Maheshwari : INR168 crores.

Shravan Shah: INR168 crores. Meerut -Najibabad?

D. K. Maheshwari : INR125 crores.

Shravan Shah: INR125 crores. Delhi -Vadodara Package 31?

D. K. Maheshwari : INR104 crores.

Shravan Shah: INR104 crores. Okay. Last time, it was INR100 crores. Is there increase in the scope of work ?

D. K. Maheshwari : Changes in scope.

Shravan Shah: Okay. And the irrigation project value is how much?

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D. K. Maheshwari : INR950 crores.

Shravan Shah: INR950 crores. Okay. Gaju Village - Devinagar bypass Package 1C?

D. K. Maheshwari : 1C has a INR400 crores.

Shravan Shah: INR400 crores, Okay. And Haryana Orbital Rail Corporation project?

D. K. Maheshwari : INR770 crores. It has not yet started.

Shravan Shah: Okay. The same value. Okay. Got it. Yes. Done. Thank you, sir and all the best.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Deepesh Agarwal from UTI Asset Management Company. Please go ahead.

Deepesh Agarwal: Yes. Good evening, gentlemen. Sir, my first question is, if I see the water segment, the margins are quite healthy. But at the company level, margin is in the same threshold of 13%, 13.5%. It seems that road margins are trending downwards. What is the reason for weakness i

n

the road margins? And is the transient in nature?

D. K. Maheshwari : Still road margin are around 13%. In overall water, it was around 15% in the second quarter. And Road was 12.8%. On an average, it is 13.45%. Road, the margins are within 13%, 13.25% or 12.80% here.

Deepesh Agarwal: Sir, what we see on the segmental -- the water margins are up -- higher by road by almost 400 basis points. So, as you were highlighting earlier, water margins will normalize as you scale up. So, would there be a pressure to the company -level margin?

T. R. Rao : This should not be -- see, as last time when compared to Q1, water margins now are getting stabilized. But at the same time, overall margins, there is no significant decline. So, we should be able to maintain the margins in the road sector also around 13%. So overall margin, maybe water, maybe slightly more than that. But the overall margin will be...

D. K. Maheshwari : On an average is 13.5%.

T. R. Rao : Whatever is the very significant reduction in this is transit in nature in the road sector, and there's nothing -- any concern about that.

Deepesh Agarwal: Sure. Sir, secondly, can you guide us on your diversification beyond Jal Jeevan Mission? Have you built a separate team for bidding for metro and the rail project. To one of the earlier participant asked the quantum of the projects you have participated beyond Jal Jeevan and water. Can you quantify on this?

T. R. Rao : See, we are there. Our team is working on the other sectors also, potential sectors where we find the synergy. As we said, the metro rail and other core sectors of projects, With these projects, we are pursuing and the dedicated team is working on these opportunities, they're

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scanning the opportunities and we'll be able to share because this is a bit proprietary in nature.

We don't want to disclose ...

Deepesh Agarwal: So basically, sir, two years, three years down the line when JJM project awarding slows down, would you think that, we will have one or two more sectors which can offset that?

T. R. Rao : Yes. We are hoping. We are expecting.

Deepesh Agarwal: Sure. And sir, lastly, there are a lot of state projects on the flyovers, ring roads, especially in Maharashtra. Would we be also participating in those projects?

T. R. Rao : Yes. We submitted our request for qualification application for major EPC projects by MSRDC for the aggregate value of more than INR30,000 crores. That includes Pune ring road, Jalna -Nanded Greenfield Expressway and multimodal corridor. Now, we are doing these things. We are pursuing the projects that are at a state level. But normally, our preference at the state level would be the EPC. Not any fund-based project like BOT or HAM. At state level always, we look for EPC projects.

Deepesh Agarwal: Okay. Thank you.

Moderator: Thank you so much. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi: Yes. Good afternoon, sir. Thank you for taking my question. Sir, my first question is on the order inflow guidance, you have given INR10,000 crores, around INR8,500 crores in Roads and balance on non-roads. So hypothetically, if you miss the guidance this year, like last year also, we had received around INR4,000 crores, INR4,500 crores of inflows.

So, what kind of target would you chase for FY '25 to build your revenue growth, as you said, you are expecting growth of 10% to 15% revenue? And NHAI pipeline is assuming INR1 lakh crores, where you are expecting INR8,500 crores, which is a say 8% share. It seems to be a tall task. So, what kind of hypothetically, we chase in terms of ordering process in FY '25?

T. R. Rao : See, to maintain the momentum of decent growth, see, order book this year, we are having a say, INR10,000 crores new project. And similarly, for the FY '25 would be around INR12,000 crores.

So, we'll be pursuing opportunities to secure in a new business around INR12,000 crores in FY '25.

Jiten Rushi: INR12,000 crores, we'll have a mix of 80% - 20% in terms of roads and non-roads, safe to assume?

T. R. Rao : Yes, that depends, how the opportunities will be unfolded in the non-road sector. We have to see. Because road sector, as NHAI is having plans of awarding more projects and this year itself they have a target of 12,500 kilometres. roughly translate into more than INR2 lakh crores of new projects. So, road sectors, we are more certain. In non-road sector, we have to see how the opportunities will be unfolded.

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Jiten Rushi: Sir, there are some projects from north in UP also. Are they covered in those EPC projects? Tenders were out last month in September of...

Yogesh Jain : Yes. We are bidding for that.

Jiten Rushi: What would be the value, sir? Total of this? So, what is this value total submitted in UP for these north projects?

Yogesh Jain : We have submitted seven bids, six HAM and one EPC project. The total estimated value for this is around INR6,300 crores.

Jiten Rushi: This will get open probably by in a month's time?

T. R. Rao : Within 15 days, I think this will be open.

Jiten Rushi: The monetization, as you said, HAM project will be huge PCOD. So, what we see is, we have invested around INR900 crores of equity and outstanding debt is around INR4,300 crores. So

likely that, we can receive at least INR900 crores or at least 50% of it by end of this year in terms of proceeds? Or you said, it will get spill over in Q1 '25?

T. R. Rao : See, our effort to be there to some qualified projects, we will close it before end of the current financial year and realize the investment and the remaining projects in the Q1 of FY '25.

Jiten Rushi: Can you give toll revenue breakup, sir, for all the projects?

D. K. Maheshwari : Yes. Kanpur highway INR20 crores. Narela is INR14.25 crores.

Jiten Rushi: Which one, sir?

D. K. Maheshwari : Narela Industrial estate.

Jiten Rushi: Okay. Narela INR14.25 crore.

D. K. Maheshwari : Raebareli, INR32 crores.

Jiten Rushi: Okay. The annuity project.

D. K. Maheshwari : MP highway INR6 crores, INR5.7 crores.

Jiten Rushi: INR5.7 crores. That's it from my side. Thank you and all the best, sir. Thanks a lot.

Moderator: Thank you so much. The next question is from the line of Uttam Kumar Simal from Axis Securities Limited. Please go ahead.

Uttam Simal: Yes, sir. Thanks for the opportunity. Sir, in case of these four projects where we have signed a concession agreement, when we are expecting to get AD for all these four projects HAM?

T. R. Rao : For all four projects we are expecting AD before completion of the current financial year, before 31, March 2024.

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Uttam Simal: Okay. And sir, you spoke about competitive intensity. So how is that competitive intensity there in case of larger projects? Because in the case of lower projects there are heavy competitive intensity. But in terms of larger projects, is it same or is it lower than -- compared to lower value project?

T. R. Rao : Certainly, in the projects of larger size and that too, in case of the HAM projects where the investment needs to be put, so the competition will be comparatively lesser than compared to smaller size and EPC projects.

Uttam Simal: Okay. That's all from side and all the best.

Management: Thank you.

Moderator: Thank you so much. The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Vishal Periwal: Yes, sir . Thanks a lot for the opportunity. Sir, on this revenue guidance of roughly 10% to 15 - odd. I mean, just wanted to get more granular detail. With a 10% kind of growth and that is one line item. And then second is, like if you do INR2

,000 crores revenue in our water supply

projects, then roughly like we have to do a flattish sort of growth in the EPC for the roadside of project.

But if you look at in the last two -odd quarters, the revenue in the EPC for the roadside , it has been declining anywhere between 10 % to 12% odd. So, what could stabilize this revenue decline in the second half? Any new project that is coming up that will -- if you can clarify that?

T. R. Rao : Actually, if you see the road projects, the decline in the first half is more optical. Because last year, we were booking at the Toll revenue from the EPE, Eastern Peripheral Expressway under our standalone financial. So that project got over last year. Even if we are at a consolidated level also, we are booking the revenue for the OMT projects of Kanpur highway, Kanpur - Lucknow -Ayodhya. That also got completed and projects vested back to NHAI in November last year. So otherwise, we don't see any decline -- significant decline in the road.

But also, the roads have a typical cycle. Sometimes these projects are at a very peak, and where the work done will be more. Whereas in the current financial year, the seven new projects, we have started. So, during the initial period, because of the low value items like earth work and all, they'll be there. And going forward, then we started executing the high - value items of worth. So, this road sector also will pick up, and there should not be any decline when compared to FY '23.

Vishal Periwal: Okay. And but the revenue growth estimate that we are having, it is not dependent upon the AD for the four projects? That is not included in...

T. R. Rao : Yes, as of now, we are not considering those new four new projects immediately. So, if any income is generated by the four new HAM projects, that will be slightly -- slight growth in the -- further growth in the revenue.

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Vishal Periwal: Sure, sir. That's all from my side. Thank you very much.

Moderator: Thank you so much. The next question is from the line of Prem Khurana. Please go ahead, sir.

Prem Khurana: Thank you for taking my question, sir. Two questions only. So, one was -- we've made some announcement suggesting that you're claiming some arbitration claims from NHAI under "Vivad Se Vishwas" Scheme. So, what is the status there? Because there's this time limit, right, where you settle it by? We've not had any announcement as to this effect that these have been approved or not. So, if you could clarify on the claims that you filed under this "Vivad Se Vishwas" Scheme, please?

T. R. Rao : Yes. See, as we informed to the exchanges, we raised our eligible disputes, our clients under Vivad Se Vishwas in three projects. One is on our parent company, PNC, one is from our subsidiary companies. All three, we declared and we duly intimated to the exchanges. Though now the last date got over yesterday, 31st October was the last date for filing the disputes. Now they are under process. So, we expect we offer things from NHAI rolling out from November onwards. So once those offers are accepted by us, then we duly intimate to that changes followed by to the industry.

Prem Khurana: And sir, just one bookkeeping question. If you could share the toll number for Bareilly -Almora please?

D. K. Maheshwari : It is INR14.25 crores, sir.

Prem Khurana: Sure, sir. Thank you. Sagar, that's from my side, thank you.

Moderator: Thank you so much. Well, ladies and gentlemen, due to time constraints, that was the last question. I now hand the call over to the management for closing comments.

Yogesh Jain: Thank you, everyone, for your participation in our earnings call. We wish everyone have a safe and happy Diwali as well as a prosperous new year. In case further queries, you may get in touch with these Strategic Growth Advisers, our investor relation advisers, or feel

free to get in

touch with us. Thank you very much.

Moderator: Thank you. On behalf of Anand Rathi Share and Stock Brokers, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

D. K. Maheshwari : Thank you.

Call: Feb 2024

PNCI q .4t- PNC Infratech Limited
An ISO 9001 :2015 Certified Company
Date: 12.02.2024 Ref No: PNC/SE/I 17 123-24

To,
The Manager
The Department of Corporate Services
BSE Limited
Floor 25, P.J. Towers,
Dalal Street, Mumbai-400 001
Scrip code:539150To,
The Manager
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai-400 051
NSE Symbol: PNCINFRA

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we are enclosing herewith the transcript of an earnings conference call on Financial Results for the quarter & nine months ended December 31,2023 held on Tuesday,06th February,2024.

You are requested to take this information on your record.

Thanking you,
For PNC Infratech Limited
Tapan Jain
Company Secretary & Compliance Officer
ICSI M. No.: 422603

Encl: ala

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CIN :145201D11999P1C195937 Fax: +91-11-29563844 Sub- Transcript of Q3 & 9M FY24 Earnings Conference Call on Financial Results for the

quarter & nine months ended December 31.2023.

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Q3 FY'24 Results Conference Call "
February 06, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 6th February 2024 will prevail.

MANAGEMENT : MR. YOGESH JAIN – MANAGING DIRECTOR – PNC
INFRATECH LIMITED
MR. T.R. RAO - DIRECTOR , INFRA – PNC INFRATECH
LIMITED
MR. D.K. AGARWAL - CHIEF FINANCIAL OFFICER –
PNC INFRATECH LIMITED
MR. D. K. MAHESHWARI – VICE PRESIDENT , FINANCE
– PNC INFRATECH LIMITED

MODERATOR : MR. SHRAVAN SHAH – DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the PNC Infratech Limited Q3 FY'24 Results Conference Call hosted by Dolat Capital.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shravan Shah. Thank you, and over to you, sir.

Shravan Shah: Thank you, Sagar. Good afternoon, everyone. On behalf of Dolat Capital, I am pleased to welcome you all on the PNC Infratech Limited 3rd Quarter FY'24 Earnings Conference Call.

We have with us Managing Director of the company, Mr. Yogesh Jain, along with senior management team. We will begin with the opening remarks from the management followed by interactive Q&A session.

Thank you, and over to you, sir.

Yogesh Jain: Good evening, everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

I have with me Mr. T. R. Rao, Director (Infra), Mr. D. K. Agarwal, Chief Financial Officer, Mr. D. K. Maheshwari, Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges and Company's website for your reference.

Initially, I would like to mention key updates of the industry, followed by operational developments of the Company and highlights of financial performance during the 3rd quarter and 9 months of Financial Year 24, post which we will be happy to answer your questions.

✓ In the interim budget for the financial year 25, the Government continued its focus on the development of infrastructure across the sectors, with a total capital outlay of Rs. 11.0 lakh crores, which is 11.1% higher than the outlay for the Financial Year 24.

✓ Project awarding activity in the roads and highways sector continued to be sluggish in the third quarter of the current financial year also.

✓ During the current financial year, so far the overall length of new contracts awarded till November 2023 was 2,815 kms only, out of the target of 13,000 kms set forth for the financial year 24.

✓ Though, it is expected that MoRTH & NHAI will hasten the awarding process from the middle of this month onwards, it needs to be seen to what extent the awarding target set for the current financial year will be met before the year end or before the code of conduct for general elections comes in to force.

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✓ However, the awarding activity during the next financial year, i.e., during FY 25 is expected to be swift with a large number of new projects.

✓ On the execution front, there is a 10% increase in national highway construction with 5,248 kms completed till November 2023, compared to 4,766 kms completed during the corresponding period of the last financial year.

✓ There has been significant growth in the toll revenues from national highways,

increasing from Rs. 17,759 crore in financial year 16 to Rs. 48,028 crore in financial year 23.

✓ With fast increasing national highway and expressway network in the country and wide - spread up -gradation projects being undertaken, the government aims for Rs. 1,30,000 crore toll revenues by 2030, with an ambitious annual compounded growth rate of 15%.

Now coming to the updates on the company:

✓ I am delighted to announce a significant milestone for our company.

✓ In line with our multifaceted strategic vision, which prioritizes value creation and the efficient utilization of operating assets for both reinvestment and shareholder value enhancement, we have successfully executed definite agreement with Highways Infrastructure Trust, which is an Infrastructure Investment Trust predominantly sponsored by KKR & Co. Inc. USA.

✓ This deal solidifies our commitment to unlocking our investment and maximizing value for our esteemed shareholders.

✓ This strategic move aligns with our ongoing efforts to fortify our position and contribute to sustainable growth.

✓ Under the proposed transaction, the company agreed to divest 12 of its road assets, comprising 11 National Highway HAM assets and 1 State Highway BOT Toll asset of approximately 3,800 total lane kms, located in the states of Uttar Pradesh, Madhya Pradesh, Karnataka and Rajasthan..

✓ The Enterprise Value of the transaction is Rs. 9,006 crore together with the earn outs translating to an equity value of Rs. 2,902 crores including cash on the invested equity of Rs. 1,740 crores.

✓ The transaction is subject to meeting certain regulatory and contractual conditions including obtaining necessary approvals from the respective concession authorities and lenders.

✓ This transaction would help the company to further strengthen its balance sheet and would give a large headroom to continue pursuing the company's growth plans.

✓ During the quarter ending 31st December 2023, the company received provisional completion certificate for 2 HAM projects of NHAI located in the state of Uttar Pradesh

✓ The company has achieved the financial closures for all 4 HAM projects that were awarded during the financial year 23 which is

■ Prayagraj Kaushambi Highway Package 3

and

■ Packages 2, 3 and 4 of Varanasi - Ranchi - Kolkata Greenfield Highway

✓ Company received LOA for construction of Western Bhopal Bypass HAM Project from MPRDC during the 3rd quarter for Bid Project Cost of Rs. 1174 crores.

✓ Company's strong balance sheet and financial prudence resulting credit rating upgrades which enables us to secure debt at competitive rates.

Moving on to the operational and financial performance of the company.

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✓ Out of the company's 28 fund -based projects, 3 are BOT -Toll projects, 2 are BOT Annuity Projects and 23 are HAM projects.

✓ Aggregate Bid Project Cost of the 23 HAM projects is around Rs. 30,000 crores, which is one of the largest highway HAM project portfolios in the country.

✓ Out of a total 23 HAM projects,

- The company has achieved PCOD/COD for nine projects,
- Nine projects are under construction,
- Four projects achieved financial closure
- For one project, the company has received the letter of award in January 2024.

✓ Regarding equity investment, the cumulative requirement for the HAM projects which are under construction amounts to approximately Rs. 3,000 crore.

✓ As of December 2023, the company already infused Rs. 1,881 crores and the remaining equity of Rs.1,062 crores is to be invested over the next 2 to 3 years.

✓ The internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirements.

Now moving on to our order book

✓ As of 31st December 2023, the company's unexecuted order book stands over Rs . 17,380 crores which include EPC value of about Rs. 5,580 crores of the five new HAM projects secured towards the end of last financial year and recently in current financial year.

✓ Out of the unexecuted order book, highway and expressway contracts contribute around 75%, while water projects contribute around 25%.

✓ The company has achieved

notable progress in Rural Drinking Water Projects under the Jal Jeevan Mission (JJM) during the first three quarters of the current financial year.

✓ Till 31st December 2023, the company has booked a total revenue of Rs. 2383 crores in the drinking water segment, while during the 3rd quarter booked a revenue of Rs. 533 crores.

Now I would present the results for the quarter ended December 31, 2023 and 9 months of FY24.

Before discussing financial performance, I would like to share that during 1st Quarter of FY23, the company received an early completion bonus of Rs. 37.02 crore, which was included in the revenue for the 9 months of FY 23.

We have moderated the same in key financials for the 9 months of FY23 to make the financial performance of 9 months of FY24 objectively comparable with the corresponding periods.

I would also like to highlight that 9 months of FY23 includes Revenue of Rs. 251 crores from Eastern Peripheral Expressway project which is not adjusted from 9 months FY23 financials.

Standalone Quarterly Results:

Revenue for the 3rd quarter of FY24 is Rs. 1,803 crore which is higher by 11% as compared to Rs. 1,627 crores in the 3rd quarter of FY23.

The EBITDA for the 3rd quarter is Rs. 239 crores which is higher by 15% as compared to Rs. 208 crores in the 3rd quarter of FY23. The EBITDA margin for the 3rd quarter of FY24 is 13.28%.

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The profit for the 3rd quarter of FY24 is Rs. 151 crores as compared to Rs. 129 crores in the 3rd quarter of FY23, a growth of 17% on a YOY basis. The PAT margin for the 3rd quarter of FY24 is 8.4%.

Standalone 9 months' Results:

The standalone revenue for 9 months of FY24 is Rs . 5,357 crores which is higher by 9% as compared to Rs. 4,909 crores in 9 months of FY23.

The standalone EBITDA of 9 months of FY24 is Rs. 712 crores which is higher by 12% as compared to Rs. 636 crores in 9 months of FY24.

The standalone profit for the 9 months of FY24 is Rs. 447 crores as compared to Rs. 390 crores in the 9 months of FY23, with a growth of 15%. The PAT margin for the 9 months of FY24 is 8.4%

Consolidated Quarterly Results:

Consolidated revenue of 3rd quarter of FY24 is Rs. 2,047 crores as compared to Rs. 1,803 crores

in 3rd quarter of FY23, a growth of 13%.

The consolidated EBITDA for the 3rd quarter of FY24 is Rs. 432 crores as compared to Rs. 345 crores in the 3rd quarter of FY23, a growth of 25%. The EBITDA margin for 3rd quarter of FY24 is 21.1%.

The consolidated PAT for 3rd quarter of FY24 is Rs. 185 crores as compared to Rs. 140 crores in 3rd quarter of FY23, a growth of 32%. The PAT margin for the 3rd quarter of FY24 is 9.0%.

Consolidated 9 months Results:

The consolidated revenue for 9 months of FY24 is Rs. 6,050 crores which is higher by 8% as compared to Rs. 5,614 crores in 9 months of FY23.

The consolidated EBITDA for the 9 months of FY24 is Rs. 1,268 crores as compared to Rs. 1,152 crores in 9 months of FY23, a growth of 10%. The EBITDA margin for 9 months of FY24 is 21.0%.

The consolidated profit for 9 months of FY24 is Rs. 514 crores as compared to Rs. 475 crores in 9 months of FY23. The PAT margin for the 9 months of FY24 is 8.5%.

ON THE STANDALONE BALANCE SHEET SIDE,

As on 31st December 2023, our net working capital cycle is 73 days as compared to 87 days as on 31st March 2023.

Our net worth on standalone basis is Rs. 4,378 crores as on 31st December 2023, whereas total standalone debt is Rs. 280 crore.

The total cash and bank balance as on 31st December 2023 is Rs. 315 crores. We have a net surplus of Rs. 35 crore. This translates to net debt to equity of 0.09 times.

On Consolidated Basis, our net worth is Rs. 4,798 crores whereas total debt is Rs. 7,652 crores as on 31st December 2023. The total cash & bank balance including current investments is Rs. 1,118 crores. This translates to net debt to equity of 1.57 times

With this, we now open the floor for question -answers. Thank you.

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Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Congratulations for signing the definitive agreement with the KKR. Sir, first question is, how are you going to utilize the cash flow from the proceeds? And what is the timeline in which you think you can complete the deal?

D.K. Maheshwari: Actually, we have informed that we have signed a share purchase agreement for 12 assets. There are 2 phase: Phase 1 and Phase 2. In Phase 1, there are 7 assets: 6 HAM and 1 BOT toll. And the second phase, there are 5 assets. In Phase 1, timeline is August '24, where the enterprise value Rs.5,015 crores, and remaining phase 2 is by December '24, where the enterprise value, Rs.3,990 crores.

Equity value of breakup is -- phase 1, it's Rs.1,790 crores as against our infusion of Rs.1,000 crores. And phase 2 is Rs.1,113 crores as against our infusion Rs.740 crores.

Mohit Kumar: What is the utilization of this cash flow, sir?

D.K. Maheshwari: Majorly in the HAM projects for future...

Mohit Kumar: Understood, sir. My second question is, how do you think about the order inflow outlook given that we are already in February? And it seems -- of course, the pipeline seems to be decent at NHA. But do you think that the -- in your opinion, that we can have a decent -- a substantial order flow in the remaining months?

And the next question is that, do you intend to bid for the toll roads?

T.R. Rao: See, as you all know, the awarding activity, as our MD just now said, has been very sluggish during the 9 months of the current financial year. Even in the month of January also, awarding activity was very, very low. Though the government set a target of 13,000 kilometers, they could not even award even 3,000 kilometers, which is just less than 25%. So the whole industry has the same issue, challenge in getting the new projects.

Nevertheless, as of now, there are 200 project opportunities have been floated by both the NHA as well as MoRTH and the state government. Here, around 100 EPC opportunities are there for --Rs.70,000 crores and then another 100 HAM opportunities for Rs.90,000 crores and 11 DBFOT toll opportunities for Rs.30,000 crores.

We are evaluating all these opportunities. We expect from the 15th of this month till the end of current financial year or otherwise before Model Code of Conduct kicks in, so the awarding activity would be there. So we are hoping to get some decent order book this year also to the extent of cumulatively around Rs.8,000 crores. That's what we are expecting.

With regard to toll projects, and the final model concession agreement or draft concession agreement, we are very carefully evaluating these toll assets because there is a traffic risk is

involved, and also, there is a huge investment is involved. We are not so aggressive. We will not
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be so aggressive in the toll assets. However, we will be carefully evaluating, and based on our detailed traffic studies and financial viability studies and the bankability studies, we will take a call whether to bid or not. If at all if we want to bid, we'll see which is the best project.

Accordingly, we'll take a call.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yogeshji, congratulations on the deal, sir. My question was that with Rs.1,740 crores of equity investments, so how much is the pending equity investment in this?

D.K. Maheshwari: Out of this Rs.1,700 crores, sir?

Parikshit Kandpal: Yes, out of the 12 assets, 11 HAM and 1 toll, can you tell, so out of this Rs.1,7

40 crores

investments which you have to make, how much is still pending to be invested?

D.K. Maheshwari: It's around Rs.238 crores, sir.

Parikshit Kandpal: About Rs.238 crores is yet to be invested on lock box date.

D.K. Maheshwari: Yes.

Parikshit Kandpal: But Rs.2,902 crores, will it increase or will it be the same only, even after this investment of Rs.238 crores? So this Rs.2,902 crores of equity valuation, will it increase because we have yet to invest Rs.238 crores in this on lock box date.

D.K. Maheshwari: No, we have compared entire equity to be infused or to reinfuse, so this including the Rs.2,903 crores, sir.

Parikshit Kandpal: Okay. So you have to still infuse cash of Rs.238 crores, so you will receive Rs.2,902 crores, so your net proceeds will be Rs.2,902 crores minus Rs.238 crores, right?

D.K. Maheshwari: Right, right, right.

Parikshit Kandpal: Okay. And just one thing -- one more thing, sir. In this Rs.2,902 crores, what will be the total cash? When -- the cut-off date which you have taken for this Rs.2,902 crores, sir, what is already the cash which is lying on these assets, 12 assets?

D.K. Maheshwari: In Rs.2,903 crores, cash and bank is Rs.375 crores, sir.

Parikshit Kandpal: Rs.375 crores, right?

D.K. Maheshwari: Yes.

Parikshit Kandpal: Sir, do use this cash for -- I mean is it unencumbered cash or again DSRA and MMR? Or can it be used for funding this Rs.238 crores of equity?

D.K. Maheshwari: This includes everything. This includes the DSRA, MMR and free cash.

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Parikshit Kandpal: So you cannot use it for investing Rs.238 crores of equity? So Rs.238 crores, you have to bring in separately, right?

D.K. Maheshwari: Yes, since it is to be infused from Sponsor not from SPV cash flow.

Parikshit Kandpal: Okay. Got it, sir. Just on the last question, sir, any update on -- beyond the NHAI pipeline, which you are evaluating, I mean, whatever NHAI awards this year for us for the financial year, what are the other segments where you see -- if you can give us some color on the bid pipeline in water, railways, other segments which we are targeting metro and all beyond the existing NHAI awards?

T.R. Rao: See, beyond the NHAI and beyond the highway sector, the water sector, we are already doing projects, drinking water sector. If the similar kind of project opportunities are coming in the other states are drinking water, that we are looking at those opportunities also. And apart from the highway projects that are being floated by NHAI, MSRDC, state government is also coming out with certain highway projects. So we are looking at that opportunity also, evaluating the opportunity.

And water sector, what has happened, the 3 states, which were also floating tenders like Chhattisgarh, Madhya Pradesh and Rajasthan because there was a pause because of the elections held there. Now since new governments are formed in all three states, we are looking forward to having some kind of bidding opportunities in water sector in these three states. So once the bids are floated, we'll evaluate the opportunities.

Parikshit Kandpal: Okay. And just, sir, so yesterday, the UP budget was announced. Sir, any major projects you're expecting out of that budget on the infrastructure side?

D.K. Maheshwari: Come again, which state?

Parikshit Kandpal: Yesterday, the UP government announced the financial budget for the year, I think, yesterday or day before yesterday. So any major projects do you expect from the state side beyond the Ganga

Expressway, any more projects to come in the next financial year?

T.R. Rao: See, UPEIDA is what we heard that UPEIDA has commissioned certain studies for the DPR that the full details are not available. But we will see that if some projects are coming up from within the UP, including any opportunities of the state highways, we'll look into it.

Pariksh

it Kandpal: And anything on the metro projects in UP? Any metro projects you are targeting in, obviously, Kanpur or any other city, anything coming up?

Yogesh Jain: Yes, some metro projects are coming.

T.R. Rao: Yes, yes, coming. Expansion of Kanpur network and...

Yogesh Jain: Gorakhpur, Varanasi.

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T.R. Rao: Varanasi and also in Agra also in further expansion of the -- extension of the metro lines which are already there, alignment. So we look at those opportunities also.

Moderator: The next question is from the line of Shravan Shah from Do lat Capital. Please go ahead.

Shravan Shah: Congratulations on the monetization deal. Sir, a couple of questions. So first, in terms of the -- coming to the guidance front. So 9 months, we have done an 8.3% revenue growth. So what's the guidance for the full year? And for FY'25, what kind of a revenue growth we are looking at?

T.R. Rao: This year, see, we are looking at 10% for the full year because there was some active and prolonged monsoon during the second quarter and also some other thing. So we have achieved 8.33% as of 9 months. So we are expecting around 10% revenue growth for the current financial year or the previous financial year. And also next year also, we are expecting the similar kind of a growth, 10% over the current financial year.

Shravan Shah: Okay. And the EBITDA margin will remain the same, 13% to 13.5%?

T.R. Rao: Yes, yes. EBITDA margin will sustain the same thing.

Shravan Shah: Yes. And in terms of the order inflow, sir, when we say that we are looking at another Rs.8,000-odd crores to be received, so -- by March. So in this, how much are we looking at NHAI, HAM and any other segment that we are looking at?

T.R. Rao: Primarily, this will be HAM projects of NHAI and also the EPC projects of highway sector only as of now. We are looking at cumulative of Rs.8,000 crores. Out of that, we already got Rs.1,174 crores. So another Rs.7,000 crores new order book we are expecting before 31st. It will be roughly, say, 50% HAM and 50% EPC.

Shravan Shah: So sir, let's say, this is relatively less versus what we initially have thought. So let's say, in the next year, even if, let's say, we don't get these Rs.7,000 crores also, maybe Rs.2,000 crores, Rs.3,000 crores less, from next year, how much we can -- so if we get the Rs.8,000 crores, how much number are we looking at in terms of the order inflow for next year?

T.R. Rao: Yes. As our Managing Director has mentioned, definitely next year, the awarding activity will be very active because the projects which NHAI could not be bid out during this year and also the NHAI's allocation and overall capital outlay is very high, Rs.11 lakh crores. So we are looking at a very major bidding opportunities in highway sector and also other sectors where this thing. So next year, we are expecting an order inflow of not less than Rs.12,000 crores.

Shravan Shah: Okay. Got it. So broadly speaking, so in terms of the -- till March, how much value -- you mentioned the opportunity definitely, but how much value of projects have been already bid and where the outcome is yet to come? And second, how much more are we planning to bid by March?

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T.R. Rao: See, already, we had submitted 17 bids, comprising 6 HAM projects as well as 11 EPC projects for a total aggregate value of Rs.14,000 crores. These bids we have submitted, and we are waiting for the opening of the price bids. So we expect some orders from this Rs.14,000 crores.

Apart from that, NHAI, MoRTH and also MSRDC floated bids for nearly 200 projects and with a total estimated cost of Rs.1.9 lakh crores. So we are evaluating these opportunities. So definitely, going forward, right from maybe around the second week of February till the end of March, so we'll be bidding this

hing. So we expect the order book from these thing also -- these projects also. So as I said, at least Rs.7,000 crores of new orders we are expecting before 31st March.

Shravan Shah: Okay. Okay. And for this, the 3 HAM projects, so 1 we have got the appointed date of FY '23. So remaining 3, when we expect the appointed date? And the recent MPRDC, when the

appointed date are expected?

T.R. Rao: For the one project, we got the appointed date with effect from 1st of February. That Prayagraj Kaushambi MoRTH project. Other 3 projects also, the land acquisition process is in progress, and also, disbursements are being made to the landowners. So we are expecting at least 2 projects before the end of the current financial year.

And in case of MPRDC project, it's a state government acquisition, it's a greenfield. It is not under NHAI, but still land control, everything is under the control of state administration and district administration. There, the progress is good. So that also, we expect second quarter of the -- and before the second quarter, we expect the appointed date for that also. So we don't expect any delay in the declaration of appointed date for MPRDC project because being a state project.

Shravan Shah: And the remaining 1 or so 2 NHAI, I think, said by March, and the 1 will be in Q1 FY '25?

T.R. Rao: Yes, yes, yes. Early Q1 FY '25.

Shravan Shah: And sir, in terms of the equity, what you mentioned that Rs.1,062 crores to be invested. So in Q4, how much in FY '25, '26 and '27? And does this include the MPRDC project equity also?

D.K. Maheshwari: This MPRDC's equity, we have not considered in Rs.1,062 crores. The total requirement in January, February, March is Rs.118 crores and FY '25 around Rs.450 crores and FY '26, Rs.360 crores and remaining in the FY '27.

Shravan Shah: Okay. Got it. Sir, a couple of project-wise order book, if you can help us. I will name the project, and if you can help me the outstanding order book as on December. So, Chakeri -Allahabad?

D.K. Maheshwari: It is only Rs.22 crores, sir.

Shravan Shah: Okay. Challakere -Hariyur?

D.K. Maheshwari: Rs.110 crores.

Shravan Shah: Rs.110 crores, okay. And Jagdishpur -Faizabad?

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D.K. Maheshwari: Only Rs.10 crores. So negligible, Rs.10 crores only. Almost complete..

Shravan Shah: Aligarh -Kanpur Package 5?

D.K. Maheshwari: Rs.350 crores, sir.

Shravan Shah: Rs.350 crores? Sir, it was...

D.K. Maheshwari: Only Rs.50 crores.

Shravan Shah: Okay, Rs.50 crores. Unnao -Lalganj?

D.K. Maheshwari: Unnao -Lalganj is only Rs.80 crores, sir.

Shravan Shah: Rs.80 crores. Meerut -Nazibabad?

D.K. Maheshwari: Meerut -Nazibabad is Rs.42 crores, sir.

Shravan Shah: Rs.42 crores. Okay. And Delhi -Vadodara Package 31, sir?

D.K. Maheshwari: Almost completed, hardly Rs.20 crores, Rs.25 crores.

Shravan Shah: Okay. And the irrigation project is how much?

D.K. Maheshwari: It is still Rs.950 crores.

Shravan Shah: And Gaju Village -Devinagar Bypass Package 1C?

D.K. Maheshwari: 1C, Rs.330 crores.

Shravan Shah: Rs.330 crores. And Haryana Orbit rail project?

D.K. Maheshwari: It is Rs.770 crores.

Shravan Shah: Rs.770 crores

Shravan Shah: Okay. And on the balance sheet front, sir, if you can help us with the inventory debtor and payable absolute value as on December?

D.K. Maheshwari: The debtor is Rs.1,810 crores.

Shravan Shah: Okay. Inventories?

D.K. Maheshwari: Rs.830 crores, sir.

Shravan Shah: And the payable is, sir?

D.K. Maheshwari: Payable is around Rs.750 crores.

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Shravan Shah: Rs.750 crores?

D.K. Maheshwari: Yes.

Shravan Shah: Okay. And mobilization advance, retention money and HAM debtors, water debtors, if it is available?

D.K. Maheshwari: Mobilization advance is Rs.630 crores. Retention is Rs.130 crores .

Shravan

Shah: Okay. HAM debtor and water debtors?

D.K. Maheshwari: Water debtor was Rs.730 crores. Out of that, around Rs.220 crores , we realized in the month of

January. And the HAM debtor is Rs.750 crores .

Moderator: The next question is from the line of Vishal Periwal from IDBI Capital.

Vishal Periwal: Sir, just wanted to check like a couple of data points that we provide every quarter, you are also open to sharing. So is it possible to keep this in PPT?

T.R. Rao: : Okay. We will look into. So we'll try to include these things in the PPT from next quarter onwards so that it is available to all the interested parties.

Vishal Periwal: Yes, sure, sir. And then on our -- the deal that we have signed, what do you see a tax implication on this particular thing, the amount of Rs.2,900-odd crores. Eventually, how much we will get after the taxes?

D.K. Maheshwari: Actually, we'll have to recalculate, sir. As on date, we can't say because no net current asset valuation will be done at the time of the closing.

Vishal Periwal: Got it. Got it. And sir, in terms of phasing that you mentioned, the early phase, May Phase 1 and a couple of assets and then secondly, a couple of assets are there. So is it like the deal is like independent to the phases or probably like both the deals will happen? How exactly it is structured?

D.K. Maheshwari: Actually, at the time of the initial talking with them and by signing of the nonbinding offer, the projects which were -- we have received the PCOD and COD, we have considered in Phase 1, and projects which were under construction, we have completed in the Phase 2. That was only reason.

In case Phase 2 project if we complete the project early then it can continue in the Phase 1 also.

There is no restriction on that also.

Vishal Periwal: Okay. Okay. Okay. So basically, they are independent, but...

D.K. Maheshwari: Yes. Independent completely, we have -- especially we have done because at that point of time, they were under construction. Then the Phase 2 out of 5 projects, we have already received the PCOD as on date. So we can consider out of 5, 3 projects in the Phase 1 also. So all the

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opportunity are with us. There are no restriction if we have to do 7, 9, if there is 12 even then we complete 12.

T.R. Rao: We have built in the flexibility in the security purchase agreement. There is an interchangeability is possible, either it can be in 2 tranches or 1 tranche. And the 7 plus 5 also could change, like 8 plus 4 or 9 plus 3 kind of a thing. So that is there.

Vishal Periwal: Okay. And then when this agreement is signed, in this signing fee is also involved or what, initially whether the other party provides you?

T.R. Rao: No, there is no signing fee as such. We signed it on 15th of January. There is no signing fee.

Vishal Periwal: Okay. Okay. No, I think -- the reason I'm asking everything is like can a party sign just a Phase 1 and can they like not get into Phase 2 with you later on?

D.K. Maheshwari: We have signed simultaneously all the 12 assets. SPA, we have signed single.

Vishal Periwal: Okay. Okay. Got it. And last thing -- yes, sorry, sir.

T.R. Rao: Both parties are interested to sell and purchase all the 12 assets.

Vishal Periwal: Okay. Okay. And then last thing from me is on the awards. I think there were comments from secretary of MoRTH that there will be a new MCA, model concession agreement, will be there and then like they are doing some changes. So I think though, and like as an industry participant, everyone is quite hopeful like next 2 months, there will be awards -- but is it like in terms of steps, if one has to see there will be a new MCA and then the awarding will happen? Or how exactly you are seeing this, sir?

T.R. Rao: Yes. See, now they have floated about 11 tenders. Out of 11 tenders, they issued a draft concession agreement for

the 3 tenders and based on the old format . So they have not revised.

We expect revised MCA will be issued maybe in a couple of weeks. The award will be based on the new concession agreement -- revised concession agreement only. So the revised concession agreement, they have not issued so far.

Vishal Periwal: Okay. Sir. And sir, the tender announced, the 11 that you have mentioned, when this came out?

T.R. Rao: This came out during the month of January and some towards the end of December. But though they have issued the RFP and NIT, the schedules they issued only in the month of January. And very recently, they issued the schedule as well as draft concession agreement for Guwahati, that is in the -- towards the end of January.

Vishal Periwal: Okay. So -- I mean, basically, everything is recent. So they are still going ahead with the old agreement, and then MCA will further come, and then further, you need to reevaluate everything and then the bidding will happen or how exactly it will happen?

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Yogesh Jain: All the bid will be with the new MCA.

Vishal Periwal: Okay. Okay. And this new MCA is for both, is it, sir, HAM and BOT? Or it's only for one?

Yogesh Jain: No, no. it's for BOT only.

T.R. Rao : It's for only BOT.

Moderator: The next question is from the line of Jiten Rushi from Axis Capital.

Jiten Rushi: Congratulations on the deal with Highways Infrastructure Trust. Sir, my first question is on the Vivad se Vishwas scheme. So we had received approvals from a NHAI of more than Rs.750 crores. So when do we expect the claims to be -- the proceeds from the claims?

T.R. Rao: Yes. This NHAI's offers we received in the month of December, and then we accepted those offers. And post that, there will be a procedure to be followed. The applications what we filed to execute these awards, execution applications as well as the applications filed by NHAI challenging the award under Section 34, these petitions have to be withdrawn.

So we have already withdrawn in 2 matters, execution petition. NHAI withdrawn the Section 34 application in 1 matter. Post withdrawal of the applications, the settlement agreement has to be signed. Within 30 days from the date of settlement agreement, NHAI has to pay the amount to the parties. This is the procedure.

We expect out of 3 -- so far, we accept for 3 projects, 3 awards. So we expect at least 1 or 2 cases should be settled before the end of this financial year. We receive the proceeds.

Jiten Rushi: Sir, this would be, in value terms, how much?

T.R. Rao: See, total Rs.766 crores, the offers what we had accepted. So at least if you combine 2 -- maybe 2 out of 3, maybe something around Rs.300 crores could be this year, and the remaining would be next year.

Jiten Rushi: Q1 -- in Q1 FY '25, you can expect the balance.

T.R. Rao: Maybe. Yes, you can say it's something like 50-50 kind of a thing.

Jiten Rushi: Sir, because we have received one more claim recently of Rs.42 crores, that is a different claim?

T.R. Rao: Yes, yes, that's because it's not under Vivad se Vishwas. It's a regular kind of a thing. Section 34 application was dismissed and, accordingly, the amount be deposited by the respondent with the court. Court has released them Rs.42 crores. That is a state government project, Haryana State Roads and Bridges Development Corporation. We receive the amount.

Jiten Rushi: Okay. And sir, coming back to the deal with Highways Infrastructure Trust. So as you said there is a balance equity requirement, so sir, you'll invest on the balance equity requirement before the PNC Infratech Limited

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long shot date of August -- December '24 for the remaining HAM projects. Is my understanding correct, sir?

D.K. Maheshwari: Actually, at the same time of the lock box date, total equity were required, but as on date on 31

December, only Rs.90 crores is outstanding for all these projects. But as on 31st March 2023, where it's by the lock box date, it was outstanding Rs.238 crores. We already invested during this year.

Jiten Rushi: So now do you just invest Rs.90 crores balance?

D.K. Maheshwari: Rs.90 crores as on 31 December in all these projects before closure of the deal.

Jiten Rushi: Closure of the deal, okay. Sir, this is included in this equity requirement of Rs.1,062 crores, right, sir?

D.K. Maheshwari: Yes, yes.

Jiten Rushi: And sir, so by August '24 and December '24, respectively, if you take 2 -- separately, the 2 phase, we have to just finally conclude the deal and the proceeds will follow after the long shot date that is after August '24 and December '24. Is my understanding correct?

D.K. Maheshwari: Right, right.

Jiten Rushi: So we can expect the first proceed or first Phase 1 by Q3 and the second one by Q4, if at all, we follow the same structure?

D.K. Maheshwari: Yes, yes, yes.

Jiten Rushi: Okay. And sir, one more thing, so -- sorry, another thing that, sir, the deal which we have entered. So what will be the outstanding debt as on date?

D.K. Maheshwari: Actually, we have calculated in the other manner, what was outstanding, what we have to take because there are certain projects which are under construction, where we have to include the work and we have to take the disbursement. So comply all these things, it was Rs.6,479 crores, sir.

Jiten Rushi: But by the time of the day, that can come down because we must have repaid for...

D.K. Maheshwari: Yes, yes, it can come down because certain repayment has already been started on all the projects

which are under operation.

Jiten Rushi: So then there could be some change in the valuation, right, sir? Okay. Okay. Sir, final thing from my side. Can you give me the toll collection data for the operational toll projects?

D.K. Maheshwari: Yes. In the Kanpur Highway, it is Rs.24 crores in third quarter. Bareilly -Almora is Rs.17 crores. And Raebareilly -Jaunpur is Rs.32 crores. That is annuity amount.

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Jiten Rushi: Yes. Annuity project, sir. And what was the other one, the Narela?

D.K. Maheshwari: Narela, it is Rs.13.6 crores.

Jiten Rushi: Rs.13.6 crores, yes. Okay. And sir, on the irrigation project, canal project, so the revenue is not moving, but you said that there could be some movement in Q4. So are we going to -- because now the government -- are we going to hand over -- are we looking to hand over the project or we are going to still persist to complete the project? So what is the thought behind it? Because it's been lagging for quite some time now.

T.R. Rao: Which one, sir?

Jiten Rushi: Sir, the irrigation project of Rs.950 crores, which has been in the order backlog.

T.R. Rao: See, as of now, we are not executing. Of course, there is a water in the canal system also. We are vigorously pursuing with the government for realization of whatever the billed amount. And also then we see because now next 2 months, there will be elections because state government - state assembly elections are coupled with the general elections. So we'll take a strategic decision with advisory assembly.

Jiten Rushi: So we are taking -- okay. And sir, the final question from my side on the JJM projects. So the outstanding also, what is the targeted revenue for FY '24, '25, '26?

T.R. Rao: Jal Jeevan, we have already achieved Rs.1,350 crores of revenue in the current financial year till 31st December. And subsequently, also we executed more than Rs.400 crores as of date.

So we are expecting Rs.2,000 crores plus revenue in the current financial year and Rs.3,000-plus crores at a cumulative rate at the end of the current financial year. And next financial year, we are expecting a revenue of Rs.3,000 crores. And the remaining anything will

be there, that

will be for a commissioning, and other things, they hold 10%, that will be realized during the FY '26.

Jiten Rushi: So basically, you have done Rs.1,351 crores in 9 months, and you're targeting almost Rs.2,000 crores plus in FY '24, right, sir. That's it from my side. Congratulations and all the best.

Moderator: The next question is from the line of Vasudev from Nuvama.

Vasudev: Congratulations for the monetization. So most of my questions are answered. I just needed one data point on CapEx. So what is the CapEx that we did in Q3? And how much are we planning for Q4 then?

D.K. Maheshwari: Actually, we have -- earlier, we have estimated around Rs.100 crores to Rs.120 crores in the FY '24. But till December, capex was Rs.35 crores. Now we are changing. It should be not more than Rs.50 crores to Rs.60 crores in FY '24, sir.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial Limited.

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Vaibhav Shah: Sir, what would be the tax implication on the arbitration award that you will receive from the Vivad se Vishwas scheme on the Rs.750 crores?

T.R. Rao: It's a regular tax will be there. Tax implication would be regular.

Vaibhav Shah: So 20% or 25%?

T.R. Rao: 25%.

Vaibhav Shah: 25%, okay. And sir, in the AP project, what is the outstanding debtors that we have as of now? Irrigation project?

T.R. Rao: Which one?

Yogesh Jain: AP.

T.R. Rao: Irrigation project is Rs.179 crores.

Vaibhav Shah: That is a receivable from the government?

T.R. Rao: Yes.

Vaibhav Shah: Okay. And what is the cumulative execution debt we have done in the project till date, around Rs.250 crores?

T.R. Rao: Yes, it will be around that.

Vaibhav Shah: Okay. So any time line and when would we be able to recover this amount?

T.R. Rao: See, we are expecting some part payment before the end of the February and some more payment

before the end of the current financial year. But we are crossing our fingers as state government is already in the election mode. And also, there is paucity of funds with the state government. But we are expecting some amount before the end of the current month.

Vaibhav Shah: Okay. And sir, lastly, when do we expect to receive PCOD for the remaining 2 HAMs, which are in the deal?

T.R. Rao: One HAM project, we are expecting before end of this month. And another also, we are trying to get before end of this month. Both the projects, Meerut -Nazibabad as well as Challakere - Hariyur between 15th of February and the 29th of February, we're expecting PCOD for these 2 projects.

Moderator: As there are no further questions from the participants, I would like to hand the conference over to Mr. Shravan Shah for closing comments.

Shravan Shah: Sir, before the concluding, just one question in terms of the early completion bonus. So I think we -- in the 2 projects, Mitrasen -Kanpur, where we are expecting a bonus and Unnao -Lalganj, PNC Infratech Limited

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Rs.5.21 crores, so when are we going to receive? And what's the value of the early completion bonus?

T.R. Rao: Sir, see, as you said, Unnao -Lalganj is around Rs.5 crores odd and in case of the Aligarh -Kanpur package so, around Rs.6 crores. As per the terms of the concession agreement, the bonus, the NHAI will release along with the first annuity.

Shravan Shah: Okay. So apart from this, there is no project where we are expecting any bonus?

T.R. Rao: As of now, we are not expecting any bonus for any other projects.

Shravan Shah: Okay. Got it. And sir, these 3 states where we mentioned, MP, Rajasthan and Chhattisgarh water projects, so any ballpark idea in terms of the size, how much it could be the -- or broader idea?

T.R. Rao: No. Because see, these states have not floated the tenders. Until and unless they float the -- we know there are certain pro

jects to be executed across these 3 states. But since they have not floated the tenders, owing to elections and the formation of government and all, would not be shared any ballpark figure as of now. Certainly, going forward, once the tenders are floated, that would be helpful to share. So some clarity will emerge maybe during the next quarter.

Shravan Shah: Okay. And sir, these 4 HAM projects that we received in FY '23, so in the presentation, I can see the EPC value is higher than the BPC value. So what would be the reason?

T.R. Rao: See, BPC values, exclusive of GST, whereas the EPC value, we are including the GST.

Shravan Shah: But then also, sir, for the GST, even if we take a 18%, so normally, if I add the BPC plus 18% GST, so the EPC should be closer to 90% of BPC, but it seems the EPC value is much higher.

T.R. Rao: We'll just relook into. We have not gone through the thing in detail. So we'll share it to you separately, off -line.

Shravan Shah: Okay. Thank you. Thank you, everyone, and thank you, management, for giving us the opportunity to host the call.

Sir, do you have any closing comments?

Yogesh Jain: Thank you, everyone, for your participation in our earnings call. In case of further queries, you may get in touch with the Strategic Growth Advisors, our Investor Relations advisers, or feel free to get in touch with us. Thank you.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

PNC PNC Infratech Limited
An ISO 9001 :2015 Certified Company
Date: 28.05.2024 Ref No: PNC/SE/23 124-25

To,
The Manager
The Department of Corporate Services
BSE Limited
Floor 25, P.J. Towers,
Dalal Street, Mumbai-400 001
Scrip code:539150To,
The Manager
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza, BandraKurla Complex,
Bandra (East), Mumbai-400 051
NSE Symbol: PNCINFRA

Dear Sir,
Sub- Transcript of Q4 FY2024 Earnings Conference Call on Financial Results for the quarter and year ended 31st March 2024.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we are enclosing herewith the transcript of an earnings conference call on Financial Results for the quarter and year ended 31st March 2024 held on Saturday, 25th May 2024. You are requested to take this information on your record.

Thanking you,
For PNC Infratech Limited
Tapan Jain
Company Secretary & Compliance Officer
M. No.: A22603

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Q4 FY '24 Earnings Conference Call "
May 25, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 25th May 2024 will prevail.

MANAGEMENT : MR. YOGESH KUMAR JAIN – MANAGING DIRECTOR –
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MR. T.R. RAO – DIRECTOR , INFRA – PNC INFRATECH
LIMITED
MR. D. K. AGARWAL – CHIEF FINANCIAL OFFICER –
PNC INFRATECH LIMITED
MR. D. K. MAHESHWARI – VICE PRESIDENT , FINANCE
– PNC INFRATECH LIMITED

MODERATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the PNC Infratech Limited Q4 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone.

Please note that this conference is being recorded. This conference call may contain forward - looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital India Private Limited. Thank you, and over to you, sir.

Vikram Suryavanshi Thank you, Lisa. Good afternoon, and very warm welcome to everyone. On behalf of PhillipCapital, I am pleased to welcome you all on the PNC Infratech Limited fourth quarter FY '24 earnings conference call. We have with us Managing Director of the company, Mr. Yogesh Jain, along with senior management team. We'll begin with the opening remarks from the management, followed by interactive question and answer session. Over to you, sir, for opening comments.

Yogesh Kumar Jain: Good afternoon everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

I have with me Mr. T. R. Rao, Director (Infra), Mr. D. K. Agarwal, Chief Financial Officer, Mr. D. K. Maheshwari, Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges and Company's website for your reference.

Initially, I would like to mention key updates of the industry, followed by operational developments of the Company and highlights of financial performance during the 4th quarter and for financial year 24, post which we will be happy to answer your questions.

✓ During the financial year 2023 -24, MoRTH including NHAI and NHIDCL constructed 12,349 kilometres of national highways, marking the second -highest aggregate route length constructed in a year, in its history.

✓ However, as per the industry reports, road construction activities during financial year 25 would be lesser and will be in range between 11,100 km and 11,500 km.

✓ This anticipated decline compared to financial year 24 is largely attributed too much slowdown in projects awarding process during financial year 24, persistent land acquisition and other issues in already awarded projects.

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✓ As far as NHAI is concerned, during financial year 24, 6,644 km length of national highways constructed exceeding the target of 6,544 kms set forth, which is higher by nearly 20% as compared to 5,544 kms constructed by NHAI during the financial year 23.

✓ MoRTH announced plans to integrate an additional 6,000 kilometres of high -speed highways into the country's national highway network. This ambitious initiative will tremendously improve connectivity and increase efficiency of transportation across the geographies of country.

✓ As mentioned earlier, on new contracts awarding front, the sector witnessed very subdued activity during the entire financial year 24.

✓ Slowdown in new projects awarding activity will have significant negative impact on the industry over the next two years particularly in achieving the construction targets and revenues by both authorities as well as by developers.

✓ However, the industry is hopeful that bidding and awarding activities will pick -up after the conclusion of on -going General Elections and large number of projects would be awarded during financial year 25.

Now coming to the recent updates on the company:

✓ On 16th May 2024, Company's Subsidiary M.P. Highways Pvt. Ltd. received communication from MPRDC, Authority conveying approval for the extension of Concession Period for Gwalior -Bhind BOT -Toll Project by 2 years 9 months 18 days i.e. up to 25th March 2028.

✓ On 8th March 2024, Company received 'Completion Certificate' from NHAI for Lucknow Ring Road EPC Project of value Rs. 1,069 crores effecting from 29th February 2024

✓ On 7th May 2024, Company received Provisional Completion Certificate for Meerut – Najibabad HAM Project from NHAI with effect from 4th May 2024.

✓ Company executed Concession Agreement with MPRDC for Western Bhopal Bypass HAM Project on 7th March 2024.

✓ On 26th February 2024, Madhya Pradesh Public Works Department awarded an EPC Contract namely construction of an elevated corridor in Gwalior for a contract value of Rs. 699 crores.

✓ Company's strong balance sheet and financial prudence continue to result in credit rating upgrades which enables Company to secure debt at competitive rates.

Moving on to the operational and financial performance of the company
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✓ Out of the company's 28 fund -based projects, 3 are BOT -Toll projects, 2 are BOT Annuity Projects and 23 are HAM projects.

✓ Aggregate Bid Project Cost of 23 HAM projects is around Rs. 30,000 crores, which is one of the largest highway HAM project portfolios in the country.

✓ Out of a total 23 HAM projects,

- Company achieved PCOD/COD for TEN projects,
- NINE projects are under construction,
- THREE projects achieved financial closure and appointed dates yet to be declared
- For ONE project, Company executed concession agreement in March 24

✓ Regarding equity investment, total requirement for the 23 HAM projects is Rs. 3,092 crore.

✓ As of March 2024 , Company already invested Rs. 1,975 crores and the remaining equity of Rs.1,117 crores is to be invested over the next 2 to 3 years.

✓ The internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirements.

Now moving on to our order book

✓ As of 31st March 2024 , the company's unexecuted order book stands at Rs. 15,490 crores which does not include the contract value of 2 EPC contracts recently secured for an aggregate value of Rs. 4,994 Crores. Upon inclusion of these 2 EPC projects, our unexecuted order book would be over Rs. 20,400 Crores which is 2.7 times of FY 24 Revenue.

✓ Out of the unexecuted order book of Rs. 15,490 Crores, highway and expressway contracts contribute around 70%, while water & canal projects contribute around 30%.

✓ Substantial progress achieved in Rural Drinking Water Projects under the Jal Jeevan Mission (JJM) during the financial year 24 by Company.

✓ During FY24, Company has booked a total revenue of Rs. 1,906 crores in the drinking water segment, while during the 4th quarter booked a revenue of Rs. 555 crores.

ARBITRATION AWARDS

I would like to share that one of the Company's subsidiaries namely PNC Kanpur Highways Ltd executed a settlement agreement with NHAI on 9th May 2024 for Rs 398.6 crores under the 'Vivad Se Vishwas II' scheme, which is expected to be received in Q1 of FY 25.

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Further, another subsidiary of Company namely PNC Raebareli Highways Pvt Ltd received Rs. 117.15 crores from NHAI in April 2024 pursuant to a settlement agreement executed with NHAI 'Vivad Se Vishwas II' scheme.

Now I would present the results for the quarter ended March 31, 2024 and FY24.

Before discussing financial performance, I would also like to highlight that during 1st Quarter of FY23, the company received Rs. 37 crore towards bonus for early completion of Purvanchal Expressway (Package VI) is included in the revenue for FY23.

Whereas, during FY24, the company has received Rs. 297 crores towards arbitration award for 2 projects Dholpur -Morena of NHAI and Gurgaon -Nuh-Rajasthan Border of HSRDC.

I would also like to highlight that FY23 includes Revenue of Rs. 251 crores from Eastern Peripheral Expressway project which is not adjusted from FY23 financials.

Standalone Quarterly Results:

Revenue for the 4th quarter of FY24 is Rs. 2,342 crore which is higher by 11% as compared to Rs. 2,115 crores in the 4th quarter of FY23.

The EBITDA for the 4th quarter is Rs. 565 crores which is higher by 101% as compared to Rs. 281 crores in the 4th quarter of FY23. The EBITDA margin for the 4th quarter of FY24 is 24.1%.

The profit for the 4th quarter of FY24 is Rs. 402 crores as compared to Rs. 184 crores in the 4th quarter of FY23, a growth of 118% on a YOY basis. The PAT margin for the 4th quarter of FY24 is 17.2%.

Standalone FY24 Results:

The standalone revenue for FY24 is Rs. 7,699 crores which is higher by 9% as compared to Rs. 7,061 crores in FY23.

The standalone EBITDA of FY24 is Rs. 1,277 crores which is higher by 34% as compared to Rs. 954 crores in FY23.

The standalone profit for FY24 is Rs. 850 crores as compared to Rs. 611 crores in FY23, with a growth of 39%. The PAT margin for FY24 is 11.0%.

Consolidated Quarterly Results:

Consolidated revenue of 4th quarter of FY24 is Rs. 2,600 crores as compared to Rs. 2,305 crores in 4th quarter of FY23, a growth of 13%.

The consolidated EBITDA for the 4th quarter of FY24 is Rs. 736 crores as compared to Rs. 411 crores in the 4th quarter of FY23, a growth of 79%. The EBITDA margin for 4th quarter of FY24 is 28.3%.

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The consolidated PAT for 4th quarter of FY24 is Rs. 396 crores as compared to Rs. 146 crores in 4th quarter of FY23, a growth of 171%. The PAT margin for the 4th quarter of FY24 is 15.2%.

Consolidated FY 24 Results:

The consolidated revenue for FY24 is Rs. 8,650 crores which is higher by 9% as compared to Rs. 7,956 crores in FY23.

The consolidated EBITDA for FY24 is Rs. 2,005 crores as compared to Rs. 1,600 crores in FY23, a growth of 25%. The EBITDA margin for FY24 is 23.2%.

The consolidated profit for FY24 is Rs. 909 crores as compared to Rs. 658 crores in FY23 a growth of 38%. The PAT margin for FY24 is 10.5%.

ON THE STANDALONE BALANCE SHEET SIDE,

As on 31st March 2024, our net working capital cycle is 102 days as compared to 106 days as on 31st March 2023.

Our net worth on standalone basis is Rs. 4,781 crores as on 31st March 2024, whereas total standalone debt is Rs. 382 crore.

The total cash and bank balance as on 31st March 2024 is Rs. 616 crores. We have a net surplus of Rs. 234 crore. This translates to net debt to equity of 0.08 times.

On Consolidated Basis , our net worth is Rs. 5,185 crores whereas total debt is Rs. 8,016 crores as on 31st March 2024. The total cash & bank balance including current investments is Rs. 1,793 crores. This translates to net debt to equity of 1.52 times.

With this, we now open the floor for question -answers. Thank you.

Moderator: The first question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah : Sir, just first on the guidance front. So on the revenue front, what's the guidance for FY '25 and EBITDA margin. Hopefully, you will be maintaining at 13 %-13.5%, and also on the order info front, given the kind of INR5,000 crores that we have already received, how much more we are likely to get, and if also possible, in terms of segment HAM, toll, or the water and the other segment, if possible?

T. R. Rao : Thank you. See, for FY '25, we express our guidance of 10% over FY '24, given the prevalent position. And E

BITDA, as the industry knows that the competition has increased, particularly during the last 2 to 3 years, so to secure the projects and all, then we have to be also competitive as far as the industry. So the EBITDA margin for the FY '25, we are expecting around 12% to 12.5%, which is slightly lesser than what earlier.

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And on the business development front, as you had said that we had already secured INR5,000 crores worth of projects. So we are expecting another INR8,000 crores to INR10,000 crores of new projects before end of FY '25, because a robust pipeline of projects are there, which are for bidding. Yes, as far as the mix of bidding is concerned, we'll continue to bid EPC and HAM projects, which will be our priority.

And we are also looking at the BOT opportunities. But there, we'll be very cautious and would like to be very comfortable in case of BOT toll projects, where the revenue risk is important.

Shravan Shah : Sir, when we are saying that we are lowering our EBITDA margin from 13 %-13.5% to 12 %-12.5%, given whatever the orders that we have received, that will be flowing into revenue this year. The new orders maybe will not be contributing that much. So does that mean that the new orders are even coming at much lesser margin? And maybe, going forward, from FY '26, maybe this margin number can further come down to 11 %-11.5%?

T. R. Rao : No, we don't expect that it will further come down to 11 %-11.5% going forward during the FY '26 and onwards. But this also, 12.5%, we are expressing that we'll be executing the new projects also, a sizable amount during the FY '25. The new projects, as we said that the competition is at a higher level, so we'll be bidding more competitively. So as far as the existing projects are there,

that will be around 13%. The mix overall would be around 12.5%. And we don't expect that this will come down further sizably during FY '26 and going forward.

Shravan Shah : Okay. Got it. Secondly, needed a couple of data points of project -wise order book, and equity for '25, '26 and '27, if possible. And before that, if possible, 10% growth on the revenue we are looking at for FY '25. For FY '26, if we get another INR10,000 crores, INR15,000 crores, then also for '26 also similar kind of growth, or it can be a much higher growth that we can look at in FY '26?

T. R. Rao : It would be speculative as of now to say how these things will unfold. But the growth will not be less than 10% in FY '26.

Shravan Shah : Yes. Sir, first in terms of the equity breakup of '25, '26, '27, and then the project -wise order book, I will ask.

D. K. Maheshwari : So total equity requirement on 31 March is INR1,117 crores, and out of that INR640 crores will be required to infuse in the year FY '25, INR330 crores in FY '26, and INR145 crores in FY '27.

Shravan Shah : Okay. And in terms of the project -wise order book, so first is, irrigation project is how much?

D. K. Maheshwari : Irrigation is INR932 crores, sir.

Shravan Shah : INR932 crores. Second is this Hardoi project, which was INR424 crores as on December?

D. K. Maheshwari : It is, Hardoi, INR268 crores; and Mathura Bypass Hathras is INR184 crores, Challakere INR92 crores.

Shravan Shah : Okay. This Gaju Village -Devinagar is INR168 crores?

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D. K. Maheshwari : Yes.

Shravan Shah : Okay, INR168 crores. And Haryana Rail project?

D. K. Maheshwari : Yes, INR745 crores.

Shravan Shah : INR745 crores. Okay. Got it. And retention money, mobilization advance, and HAM debtors, sir?

D. K. Maheshwari : Advance from client is INR217 crores and retention is INR130 crores, sir.

Shravan Shah : INR130 crores. HAM debtors and water debtors, if possible?

D. K. Maheshwari : HAM debtors is INR660 crores.

Shravan Shah : Okay. And water debtors, sir?

D. K. Maheshwari : It is INR920 crore

s, sir.

Moderator: The next question is from the line of Siddharth Shah from Max Overseas.

Siddharth Shah: Sir, there was an asset monetization of 12 projects that you had announced a few months back. Can you please tell us when is that money going to be received? And any debt reduction plans of the company?

D. K. Maheshwari : As we have discussed earlier that there are two phases in our monetization. Out of 12 projects, in first phase there are 7 projects and in second phase, there are 5 projects. There are certain condition precedents which we have to fulfil , and major are NOC from lenders and NOC from NHAI. So majority of the lenders of first tranche assets have already been received and others are expected within the next 4 to 6 weeks.

And as regards to the NOC from NHAI, financial consultants of NHAI reviewed the NOC application and observations made by them have already been clarified, compiled with. We are closely following up with finance, concerned technical department, and project implementation unit of NHAI. For accrediting the approval process, NOC from NHAI for the first tranche is expected by middle of July. So we expect that we should receive the payment of first tranche, which is INR5,015 crores enterprise value, by 30th of September.

Siddharth Shah: Okay. And sir, any debt reduction plans after this money is received?

D. K. Maheshwari : Certainly. The total debt in 12 projects is INR6,479 crores. Yes, yes, it will reduce directly.

Moderator: We'll move on to the next question that is from the line of Bharani Vijayakumar from Avendus.

Bharani Vijayakumar : What is the order inflow that we saw in FY '24 for PNC in rupees crores ?

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T R Rao: As our MD has mentioned, the awarding activity during the FY '24 was very subdued. So we got 1 HAM project of INR1,174 crores. And we got 1 EPC project of INR699 crores, which comes to INR1,873 crores. That was the order inflow during the FY '24.

Bharani Vijayakumar : Okay. And how much was the awarding done by NHAI in kilometres in '24?

T R Rao: That we don't have readily -- figures are not readily available with us. We'll share you separately.

But however, whatever the awarding target of NHAI was set forth before beginning of FY '24, what award they made is much lesser than that was set forth.

Bharani Vijayakumar : And according to you, how much is the near -term bidding pipeline of NHAI, say, in EPC, HAM, and the BOT separately, sir, where we would be bidding?

T R Rao: See, there is around -- over 90 projects we have identified for evaluation, comprising 20 EPC projects, around 60 HAM projects, and 30 DBFOT toll projects, for a total value of more than INR100,000 crores. That's what -- otherwise, out of that -- see, maybe next 2, 3 months, these projects is to bid out, but as NHAI as a whole, they floated more than 150 projects with an aggregate value of INR1.5 lakh crores. So the projects identified by us for bidding would be around INR1 lakh crores worth of projects.

Bharani Vijayakumar : Okay. And you're telling it would be without -- this 150 number of projects would be bid out in FY '25?

T R Rao: Yes, yes.

Bharani Vijayakumar : Okay. Do you see any preference for BOT projects first before EPC and HAM projects are awarded?

T R Rao: No, no. Our order of preference would be in the sequence of EPC is our first preference, followed by HAM, then our last preference would be BOT toll.

Bharani Vijayakumar : I'm asking for NHAI, sir. So is NHAI going to prefer BOT?

T R Rao: NHAI would definitely prefer BOT, but NHAI is also, and ministry is also having an internal evaluation system. Until and unless BOT projects are viable on a stand -alone basis within limited grant that what they'll be providing, so otherwise, they are going on a HAM mode, because BOT projects would be self -sustaining and sufficient revenue should be coming from t

hem. So they

just can't go for a BOT project -- BOT mode for all the projects what they're envisaging.

Bharani Vijayakumar : Okay. And in the recent MSRDC projects that we won, how much was the competition and how much margins we are expected to make, sir?

T R Rao: There was a substantial competition by all big players. And there, we are expecting an EBITDA margin of, as we said, between 12.5% and 13%.

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Bharani Vijayakumar : Okay. Last question on this arbitration that we received on the Vivad Se Vishwas scheme. So this arbitration money we had booked in '24, that is 4Q FY '24. Has it been received by us or yet to be received?

Yogesh Kumar Jain : A fair amount we have received already.

T R Rao : FY '24, we received before 31st March, that is on 31st.

Yogesh Kumar Jain : It is. INR255 crores.

T R Rao: In 1 of the projects in Vivad Se Vishwas, it's INR255 crores. Apart from, we also received INR45 crores in another project of EPC of HSRDC.

Bharani Vijayakumar : And what would be the adjusted PAT and EBITDA for FY '25 apart from this arbitration?

T R Rao: As I said, that will be 12.5%. If you don't consider the arbitration awards that we'll be getting during FY '25.

Bharani Vijayakumar : Sorry, I asked for '24, what would be the adjusted EBITDA and PAT?

T R Rao: Yes, '24, I stand correct, it was 13.13%.

Bharani Vijayakumar : Absolute number can you give sir, EBITDA and PAT, adjusted for the one -off income, sir?

D. K. Maheshwari : It is INR980 crores, without taking the consideration of arbitration,

Bharani Vijayakumar : INR980 crores. And PAT?

D. K. Maheshwari : PAT is INR630 crores.

Moderator: The next question is from the line of Rohan Kamath from Tiger Asset.

Rohan Kamath : I have two questions. One is, could you provide me details of industry -wise breakup of the current order inflow?

T R Rao: The expected order inflow you are telling?

Rohan Kamath : Yes, I want to know that could you provide a detailed industry -wise breakup of the current order inflow?

T R Rao: So see, whatever unexecuted order book is there, as mentioned by my colleague, more than 70% is the highway and expressway projects and around 30% is from our rural drinking water and AP Canal project. So that is the only two segments primarily we are operating, only the roads and highways and another is the rural drinking water and a small irrigation project. That is the breakup.

Rohan Kamath Okay. And I want to know what is your order inflow guidance for FY '25?

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T R Rao: FY '25, we have already received projects worth of INR5,000 crores we secured -- L1. And apart

from that, we are expecting another INR8,000 crores to INR10,000 crores. So the cumulative, it would be around INR13,000 crores to INR15,000 crores during FY '25, order inflow.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial Limited.

Vaibhav Shah : Sir, if I remove the exceptional part from the revenue for the quarter 4, so there was a 3% decline in the total revenue. There was a significant growth in the water revenue on a Y -o-Y basis. So what has led to the weak revenue on the highway side? Is there any project specific issues in the quarter 4?

T R Rao: See, quarter 4 of FY '24 vis -a-vis the quarter 4 of FY '23, what has happened, during the quarter 4, we got the PCODs for quite a few projects, starting from November and October. So these projects we achieved and completed, so the revenues were a bit less er compared to FY '23, when these projects were peak in its execution from particularly in the road sector. So there is a very marginal decline in Q4 of FY '24 in comparison to Q4 of FY '23. Otherwise, there is no other major reason. That time tho se projects were in peak. Now those projects are in a completion stage.

Vaibhav Shah : So sir, are th

ere any slow -moving projects in the order back log right now, which are under execution?

T R Rao: No. Almost all projects are going as per the schedule only. There is no major slowdowns in any particular project .

Vaibhav Shah : And sir, for the JJM projects, what revenue do we expect for FY '25?

T R Rao: For FY '25, our guidance for the JJM is INR2, 500 crores.

Vaibhav Shah : Okay. And sir, when do we expect to receive the ADs for the HAM project, for the 4 HAMs?

T R Rao: See. One of the 3 HAM projects, that is Varanasi to Kolkata, we are expecting maybe in a couple of months, maybe before July. And the other two projects, land acquisition is in progress. So we expect in the current financial year. And similarly, for Western Bhopal Bypass of MPRDC, we executed concession agreement in the month of March. So NHAI has got time to finally declare the appointed date and financials for this. So that also we are expecting in Q3, appointed date.

Vaibhav Shah : Okay. And sir, lastly, when do we expect to start the work for the MSRDC project?

T R Rao: See, now...

Yogesh Kumar Jain: Last quarter -- we are expecting in last quarter of current financial year.

Vaibhav Shah : In the last quarter or the third quarter?

Yogesh Kumar Jain: Yes, last quarter.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

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Parikshit Kandpal: Sir, my first question is on the Phase 1 of EV, which is INR5,015 crores. So how much is the equity value in this, which you will realize?

D. K. Maheshwari : Equity value, first phase is around INR1,000 crores.

Parikshit Kandpal: How much, sir?

D. K. Maheshwari : INR1,000 crores -- INR999 crores.

Parikshit Kandpal: This is our receivable which you will get, right, and rest INR4,000 crores will go towards that?

D. K. Maheshwari : Yes, INR1,000 crores equity we have infused, and we are expected to receive around -- INR5,015 crores is the enterprise value.

Parikshit Kandpal: Okay. So in that, how much is the debt, sir? That is what I'm asking. Out of INR5,015 crores, how much is debt?

D. K. Maheshwari : INR3,560 crores.

Parikshit Kandpal: Okay. So INR5,015 crores minus INR3,560 crores is the equity realization or the inflow to you.

D. K. Maheshwari : Right.

Parikshit Kandpal: Okay. And second question is on the bid pipeline, sir. So if you can help us understand what is the bid pipeline segment -wise in the state of UP, both on the state side and NHAI side?

T R Rao: We have a big pipeline. As we mentioned, around 150 projects, NHAI has floated. Out of that, we identified around 100 projects. But right now, the state -wise breakup is not readily available.

We'll share with you separately.

Parikshit Kandpal: But what about the state projects, any majors? Like after Ganga Expressway, do you think any other projects are lined up for the state of UP in metro, water, or JJM, state highways, any pipeline there which you can initialize or see in the next 6 months?

T R Rao: No. As of now, none of the states have declared any major projects announced, particularly in the road sector.

Parikshit Kandpal: What about the JJM pipeline, sir? Any sense on the JJM pipeline for UP state?

T R Rao: In UP, almost all 5 phases they awarded. UP, we don't see. We need to see the other states, but the clarity will emerge only post general elections, because the governments are not coming out with any concrete plan until general elections get over. So only in the next quarter, we'll be in a better position to assess what could be the bidding opportunities across the sectors.

Parikshit Kandpal: Now you're highlighting, sir, INR15,000 crores of inflows, when this year is expected to be a truncated year towards ordering. What gives you so much of confidence? Because we don't see any major projects announcement by state government. So you have already wo

n INR5,000

crores, but another INR10,000 crores, you need to rely heavily on how NHA does. And in that,

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you are also focusing more on EPC and HAM. So in absence of any major state projects, how do you think that you will reach that number of INR15,000 crores?

T R Rao: See, historically, our revenues and our BD has been from the NHA only, if you see it. And now, as I said, 150 projects, which amounts to INR1.5 lakh crores. As our Managing Director said, there are 6,000 kilometres of high-speed highways, which would roughly translate into INR2.5 lakh crores to INR3 lakh crores. Definitely, government will expedite these projects. So we are a bit confident that the total pipeline during the FY '25 would be more than INR 2 lakh crores. It could be even touching INR3 lakh crores. In that sense that what we are assuming, INR8000 crores to INR10,000 crores is not an unrealistic figure.

Parikshit Kandpal: Okay. Sir, just the last question on this Vivad se Vishwas scheme. So how much is the total pending collection claims, which is yet to be recognized or received, though it has been awarded or settled, but yet to be recognized, and when do you expect it?

T R Rao: We have actually received INR398.6 crores, for which we have signed the settlement agreement with NHA. That we are expecting maybe next 10 to 15 days, we are expecting realization of the said money. It is INR398.6 crores.

Parikshit Kandpal: So this is over and above the INR255 crores you have already received in Q4, right?

T R Rao: Yes. This is over and above INR255 crores we received during FY '24, and also INR117.15 crores we have received during Q1 of FY '25. Apart from INR255 crores, we had also received INR117.15 crores in April 2024, that means Q1 of FY '25, which will reflect in Q1 results.

D. K. Maheshwari: Actually, in FY '25, we are expecting in PNC, INR378 crores in two projects, Kanpur-Kabrai and Raebareli-Jaunpur, in PNC books.

T R Rao: And remaining in SPVs.

Parikshit Kandpal: So remaining in SPVs.

Parikshit Kandpal: So just to reconcile, INR255 crores has been due in Q4, INR117 crores you've received in April, INR398 crores is expected in the next 10 to 15 days. And beyond that, is there anything else which is there in our favour yet to be like closed or signed?

T R Rao: No, because there are only 3 projects which qualify for settlement under the Vivad se Vishwas scheme II.

Moderator: The next question is from the line of Prem Khurana from Anand Rathi.

Prem Khurana: My first question was with respect to our water orders. If I heard you right, you said you have almost around INR900-odd crores of debtors from water orders. And if I remember, this is against INR1,900 crores of revenues that you've done, which works out to be almost 180 days sort of cycle. So is it in line with how you anticipate it to be, or would you say this is higher than what you would have envisaged at the time of bidding for each project.

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Because when I see it, this INR900 crores technically means, I mean some of these payments have been due for more than 4, 5 months, because the last two quarters together you've done almost around INR1,100 -odd crores of revenue. So do you see this to correct, or this would remain like this next year as well, the cycle, the debtor's cycle with water orders?

T R Rao: No, no. That debtor cycle has not been like that. We are having this constraint, we are facing issue only in the Q4. What has happened, whatever billing we have done, we have done around INR500 plus crores of billing during the Q4 by March 31, and what has happened, after the announcement of elections, and also the present government only passed the vote-on-account budget for 3 months, that is up to June, with a very limited allocation in the Jal Shakti Ministry and the Jal

Jeevan Mission. So the whole project, 50% grant is provided by Government of India, and the remaining 50% matching grant is given by the state government.

Because of the vote-on-account and the limited budget allocation, so there is a paucity of funds from the central government, which is resulting in the slowdown in the disbursement. This month, Government of India has released INR1,800 crores and matching grant of another INR1,800 crores released by state government. We are gradually getting the payments. So once

the general elections are over and once the full -fledged budget is presented and approved by the parliament before 30th of June, going forward, from July onwards, the payments will be streamlined, and we don't foresee that any major issue in getting the repayments on the Jal Jeevan Mission.

Prem Khurana : Sure. Sir, would it be fair to assume that June, again, the debtors would be on elevated side, because, I mean, till you get to see the central government get settled, till then it will be a little slow in terms of payment cycle, right?

T R Rao: Yes, yes. It's only temporary phenomenon. Due to general elections and since the outgoing government was able to pass only vote -on account budget for 3 months.

Prem Khurana : And when I look at the presentation, so our net working capital cycle has gone up from some 73-odd days to 102 on a sequential basis, I mean, compared to what was reported in the presentation for the 9 months. So this entirely would be on account of this water order, or we've seen some buildup on roadside as well?

D. K. Maheshwari : It is mainly on account of the water debtors. If you will compare with the March '23, it has reduced from 106 days to 102 days, sir.

Prem Khurana : Sure, sure. And sir, so these MSRDC orders that we've emerged L1 with, I mean, what I gather is, I mean, most of the bids are almost 30%, 40% higher than the base cost estimate. I mean, could there be a situation wherein the government comes and starts negotiating with the successful bidder, or you need them to kind of go ahead with the same bid they've placed? Because last time when you had similar sort of situation with somebody, there were some sort of renegotiations, right?

So fair to assume, given the fact that it's substantially higher than what they were envisaging or what the base cost estimate was, I mean, will you get to have some sort of renegotiations again?

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and which could mean, I mean, it could take a little longer than what you generally would build into kind of start execution at the ground?

Yogesh Kumar Jain: We are expecting negotiation. But we have not received any letter from MSRDC until now.

Prem Khurana : Okay, sure. And the third one was on this arbitration claim under Vivad se Vishwas. So the balance money, which is, I mean, the INR117-odd crores that you received in April and then another INR390 crores or INR400-odd crores are supposed to be with the SPVs, right? And the money would flow through to the parent, right, which is how it will work. So only INR378 crores out of this INR500-odd crores plus would reflect in stand -alone. So do we have any receivables due from the SPVs, against which this money, INR378 crores, would come to us? Or how would the pass -through be? Do we have any costs reflecting in our books of account for this INR378-odd crores in the stand -alone entity?

Yogesh Kumar Jain: No, no. There is no cost on that. Entire will be the EBITDA only.

Prem Khurana : Okay. And sir, how would the tax structure work then in this case? Because the SPVs would receive the money. They'll book that as a part of the income statement, pay taxes, and then the money would come to us, again would be booked in income statement. Is it? Or how would the tax part work with the arbitration claims?

T R Rao: See, these arbitration claims, whatever SPVs write are comprising both

the EPC claims as well

as the claims belong to SPV. When SPV receives the total amount, the EPC portion will be transferred to the EPC contractor. That will not have any tax impact on the SPV. Whatever the net amount SPV is retaining belongs to SPV will have a tax impact.

Moderator: The next question is from the line of Jiten Rushi from Axis Capital.

Jiten Rushi : First of all, congratulations on the win of MSRDC orders. Sir, my first question is you had said that your FY '24 PAT is INR631 crores. Am I right, sir? After the adjustment for this arbitration claims?

D. K. Maheshwari : Yes.

Jiten Rushi : So what is the tax which you paid on the Vivad se Vishwas claims, which you received, INR296 crores?

D. K. Maheshwari : It's 25.168% sir, normal tax rate.

Jiten Rushi : Normal tax rate, okay. And sir, on the capex, so what was the capex guidance for FY '25?

D. K. Maheshwari : Last year, we have taken around INR46 crores. And this year, we are expecting INR100 crores to INR120 crores capex.

Jiten Rushi : This capex is largely for the MSRDC project, or this is for the inflows which you are targeting, back -ended CAPEX?

D. K. Maheshwari : For new HAM projects and MSRDC, both.

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Jiten Rushi : And sir, on appointed date, so just want to clarify, for the Varanasi package II and III, when do we expect the appointed date, and the package VI?

T R Rao: Package VI, as we said that maybe within next two months, we'll get the appointed date, we are expected to get the appointed date for Package VI. And package II and III may take further time, but overall, we are expecting appointed dates declaration by end of this financial year for both the remaining packages.

Jiten Rushi : Okay. So by Q4, we can expect for II and III, and VI by Q2 probably. And you said...

T. R. Rao : February.

Jiten Rushi : Okay, February. Got it. And sir, the enterprise value for the Phase II, can you highlight what is the enterprise value? And then can you break it down in terms of the equity and debt?

D. K. Maheshwari : Enterprise value of first phase is INR5,015 crores, and of second phase is INR3,990 crores.

Jiten Rushi : Okay. What would be the debt and equity for the second phase?

D. K. Maheshwari : Second phase debt is INR2, 920 crores and first phase is INR3,559 crores. The total is INR6,479 crores.

Jiten Rushi : Sorry, I missed it, sir. You said first phase debt is INR2, 920 crores, right, sir?

D. K. Maheshwari : No, second phase, INR2, 920 crores.

Jiten Rushi : INR2, 920 crores, second phase. And equity would be how much sir? Second phase?

D. K. Maheshwari : Second phase, INR740 crores, we have infused.

Jiten Rushi : INR740 crores. And what you are expecting the EV, total -- EV is the INR3,990 crores, which you will receive?

D. K. Maheshwari : Yes.

Jiten Rushi : So basically, against the EV of INR3,660 crores, you will receive an EV of INR3,990 crores. Correct, sir?

D. K. Maheshwari : No, first phase debt is INR3,559 crores and EV is INR5,015 crores, first phase.

Jiten Rushi : Okay.

D. K. Maheshwari : And second phase, debt is INR2, 920 crores and EV is INR3,990 crores.

Jiten Rushi : Right. And the equity which you will invest is INR740 crores, that is what you said, right, sir?

D. K. Maheshwari : In the second phase, yes.

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Jiten Rushi : Got it. And sir, in terms of the guidance, so if you say that 10% growth you expect in FY '26. So bulk of the revenue should come in, in H2 FY '26. So like can we see that in MSRDC we can see the pickup in execution, because, sir, the ordering has happened in the first quarter. And these are the EPC projects , the land acquisition should be faster. Can we not start these projects in H2, like Q3 other than Q4 and we can push the revenue growth high in FY '25 also?

T R Rao: See, these projects are essentially in a

greenfield nature, because the land acquisition has to be done and then some further approvals and other things will be there. So what we are hopefully expecting, there will be some sizable amount we'll be doing. So me sizable quantity of work we'll be doing in Q4, which would be realistic. Q3, we don't expect any significant work will be executed. Before that even agreement signing and other things will happen.

Jiten Rushi : Sir, land is acquired or what is the status of land there, sir?

T R Rao: Some of the land is available and the remaining land has to be acquired. This is in progress.

Jiten Rushi : Okay. And sir, in terms of the growth for '26, like again, you said 10%, but now with high inflows, which you're targeting, and we have received inflows of MSRDC, which is front ended . So don't you think the growth and appointed dates also for the 4 projects and 1 EPC projects of Gwalior, we expect this year. So FY '26 should be better in terms of execution and growth over FY '25, if at all, can we have 15%, 20% growth?

T R Rao: See, we hope so that our listing, if growth should be more, and then should do valuation to our stakeholders, shareholders, but as of now, say, before two years, saying something, growth of FY '26 would be stark, that it would be premature. The growth of FY '26 of 10% over FY '25 is the growth what we are communicating now. So going forward, maybe in Q2 or Q3 results, we should be able to tell what you see the growth of FY '26, that it should be more than 10% or it would be above 1 0%.

Jiten Rushi : Sir, last question from my side is on the irrigation project of Andhra. So now again it is a slow - moving project. So you were saying last time that we might hand it over. So what is the status now? How will we execute or what is the next step we are target ing to do?

T R Rao: I would say actually when project was awarded, it 's a INR1,000 crores project. We started with the right earnest and so far we've built around INR196 crores invoices we raised. So we put a pause because we have not received the payments from the state government. After 4th of June, some clarity will emerge, but nonetheless, this project being an important project as a part of

Rayalaseema drought relief, whichever government comes, they just can't neglect this project, because a lot of social issues are involved.

And there Rayalaseema is an arid and dry region, so until and unless -- there also there are two reservoir on the irrigation -- there is a big cut of irrigation is there. So we expect whatever government comes, they will continue with this project. And also will release our amounts.

Jiten Rushi : And sir, toll numbers, can you give me the toll numbers? Toll collection numbers for the projects, Q4 and FY '24?

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D. K. Maheshwari : MP Highways, total FY '24, INR30.4 crores. Kanpur Highway, INR95.6 crores; Narela is INR51.5 crores; Bareilly INR62.4; and RBJ annuity INR128.6 crores.

Jiten Rushi : For Q4?

D. K. Maheshwari : Q4: MP Highways, INR6.38 crores; Kanpur Highway, INR24.6 crores; Narela INR12.5 crores; Bareilly INR15.8 crores, RBJ INR32.16 crores.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah : Sir, just a clarification. Sir, when we say, for MSRDC, the negotiation can happen next week.

Any broader idea, normally, how the government tries to negotiate? So broadly, is it from the base cost they only try to negotiate 10%, 15% higher? That's how it works? Or any rough ballpark area from your past experience?

Yogesh Kumar Jain : We can't say anything now, but it is a procedure in Maharashtra government. They will negotiate first and then award.

Shravan Shah : But at the current price what we have declared L1, if that is the case, then it is fair to assume that we can have a much, much higher, 17%, 18% kind of EBITDA margin, or L1 price itself is 12

%,

12.5%. So just 5% if we further reduce the government negotiation, it comes down 5%, then the margins on that will come down?

T R Rao: Yes. See, whatever rate we've quoted, we've quoted competitively. Because substantial competition was there, so we quoted competitively with the EBITDA margins what we assume.

But we can't disclose, being a proprietary thing, now we can't say that what margin we quoted and what would be this thing. But whatever negotiation will be there, we assume that it will be very reasonable and justifiable. Accordingly, then we will see how the things will unfold. It will be too premature to say anything now.

Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi: Sir, I just wanted to reconfirm the number that we have given for the asset monetization. So for the first phase , the EV is INR5,500 crores. Is that correct?

D. K. Maheshwari : INR5,015 crores.

Parvez Qazi: INR5,015 crores. And the debt that you have infused is INR3,564 crores and equity was INR991 crores?

D. K. Maheshwari : Debt was INR3,559 crores, yes.

Parvez Qazi: INR3,559 crores. Equity is INR991 crores?

D. K. Maheshwari : INR999 crores is equity.

Parvez Qazi: And for Phase II, the EV is INR3,990 crores, debt is INR2,920 crores, and equity INR740 crores?

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D. K. Maheshwari : Right.

Moderator: The next question is from the line of Shubham Shelar from IDBI Capital.

Shubham Shelar : Sir, stand-alone number 10% increase that you mentioned. So this factors the Vivad se Vishwas couple of amounts that we'll be booking in quarter 1 FY '25?

T R Rao: No. Whatever 10% guidance we have given, this is net of whatever arbitration awards we would be receiving under Vivad se Vishwas for FY '25.

Shubham Shelar : When you say net of, which means it includes that, or...

T R Rao: It doesn't include.

Shubham Shelar : Doesn't include. Okay. And second is on MSRDC order, I think you did briefly mention to one of the previous participants that there could be some sort of negotiation that could happen. So then 12.5% EBITDA margin that you mentioned, that is on the quoted amount which you have in the BSE notification you have mentioned, on that 12.5%, or from negotiation you're already factoring in something will be there, and then 12.5% margin we'll make?

T R Rao: See, this 12.5% is what we had mentioned for FY '25 and FY '26 going forward. And this is the overall company's income. Whatever the percentage of work we would be executing during FY '25 in MSRDC will be insignificant. This is the thing. We can't say that how this particular

project will have an impact on the overall this thing. What EBITDA we mentioned, guidance, this is for the whole portfolio of what we are having.

Shubham Shelar : Right. No, no, I'm not saying for FY '25, but I think in one of the queries you did mention like MSRDC order margins will be like 12.5% sort of number, which I could hear it. So just thought to clarify that it is on the quoted amount of what is there in the stock exchanges or it is already factoring in negotiation?

T R Rao: No, no, we have not informed the stock exchange what would be the EBITDA margin on whatever order we secure. So that said, we think, to say, as I said, its proprietary in nature. And also it's something like a very forward -looking kind of a thing, which we don't want to comment as of now, until and unless the negotiation process is completed.

Moderator: The next question is from the line of Gautam Gosar from Monarch AIF.

Gautam Gosar : Sir, I just needed some clarification on the Vivad se Vishwas scheme. So you mentioned that we've received INR255 crores in Q4. In April, we've received INR117 crores, and we are yet to receive INR398 crores in the next 10 to 15 days. Sir, my question is, how much of this will reflect in the Q1 stand -alone books of ours.

T R Rao

o: Q1 stand -alone books if you receive INR398 crores something...

D. K. Maheshwari : INR378 crores will reflect.

T R Rao: Yes. INR378 crores will reflect on the top line of stand -alone basis.

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Gautam Gosar : Okay. And this INR378 crores will include the INR117 crores, which we've also received in April?

T R Rao: Yes, it includes.

Gautam Gosar : Okay. So total in all will have INR378 crores included in the top line?

T R Rao: Yes, yes.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to Mr. Vikram Suryavanshi for his closing comments.

Vikram Suryavanshi : We thank the management of PNC Infratech Limited for giving us an opportunity to host the call and taking time out for the interaction with the stakeholders. Sir, any closing comments you would like to give?

Yogesh Kumar Jain: In case of further queries, you may get in touch with Strategic Growth Advisors, our Investor Relations advisers, or feel free to get in touch with us. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of PhillipCapital India Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

PNC PNC Infratech Limited
Ref No: PNC/SE/44 124-25

To,

The Manager

Department of Corporate Services

BSE Limited

Floor 25, P.J. Towers,

Dalal Street, Mumbai-400 001

Scrip Code: 539150 An ISO 9001 :2015 Certified Company

Date:17.08.2024

To,

The Manager

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East), Mumbai- 400 051

NSE Symbol: PNCINFRA

Dear Sir,

Sub- Transcript of Q1 FY25 Earnings Conference Call on Financial Results for the quarter ended 30th June. 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 we are enclosing herewith the transcript of earnings conference call on Financial Results for the quarter ended 30th June, 2024 held on Monday, 12th August, 2024.

You are requested to take this information on your record.

Thanking you,

For PNC Infratech Limited

Tapan Jain

Company Secretary & Compliance Officer

ICSI M. No.: 422603

F.ncl: ala

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"PNC Infratech Limited

Q1 FY '25 Earnings Conference Call "

August 12, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th August 2024 will prevail.

MANAGEMENT : MR. YOGESH KUMAR JAIN – MANAGING DIRECTOR –
PNC INFRA TECH LIMITED

MR. T.R. RAO – DIRECTOR , INFRA – PNC INFRA TECH
LIMITED

MR. D. K. AGARWAL – CHIEF FINANCIAL OFFICER –
PNC INFRA TECH LIMITED

MR. D. K. MAHESHWARI – SENIOR VICE PRESIDENT ,
FINANCE – PNC INFRA TECH LIMITED

MODERATOR : MR. VISHAL PERIWAL – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to the PNC Infratech Q1 FY '25 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Please note, this conference may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vishal Periwai from Antique Stock Broking. Thank you, and over to you, sir.

Vishal Periwai: Yes. Thanks, D orwin. Good afternoon, everyone. I'm pleased to welcome you all for the PNC Infratech First Quarter FY '25 earnings call. We have with us today Managing Director of PNC Infratech , Mr. Yogesh Kumar Jain, along with the senior management team. And also would like to thank Shri. Yogesh Kumar ji for giving us this opportunity to host their call. As usual, we'll have brief from the management on the gone by quarter, and then we'll open the line for Q&A. Yes. Thank you and over to you, sir.

Yogesh Kumar Jain : Good afternoon everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

I have with me Mr. T. R. Rao, Director (Infra), Mr. D. K. Agarwal, Chief Financial Officer, Mr. D. K. Maheshwari, Senior Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges and Company's website for your reference.

Initially, I would like to mention key updates of the industry, followed by operational developments of the Company and highlights of financial performance during the first quarter of Financial Year 25, post which we will be happy to answer your questions.

✓ In the first quarter of current financial year, roads and highway sector in India witnessed muted progress due to several factors including the general elections, early onset of monsoon at certain geographies and delay in declaration of appointed dates due to delay in acquisition and possession of vacant land for construction of already awarded projects.

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✓ Reflecting the above subdued situation, only 1,934 km aggregate length of highways constructed during the First Quarter of Current Financial Year, compared to 2,250 km constructed during the corresponding period of the last financial year.

✓ The construction progress during the second quarter of current financial years is also getting significantly affected due to a very active monsoon and continuous rains across the country. Given the condition, construction activities are expected to pick d uring the third quarter of current financial year only.

✓ The recent union budget for financial year 25 demonstrates that the government is focused on India's infrastructure development across core sections including, highways, railways, and airports by making substantial budgetary allocations for transportation sector as a whole.

✓ The finance ministry maintained the allocation for the NHAI at Rs 1.68 lakh crore

while retaining the highways sector's outlay at Rs 2.78 lakh crore for Financial Year 2025.

✓ Recently, the Cabinet has approved eight High Speed Road Corridors aggregating a length of 936 Kms with total estimated cost of over Rs. 50,000 Crore.

✓ These road corridors will improve connec

tivity and logistics efficiency. Out of the

total cost, Rs. 30,000 crore worth of projects are expected to be awarded on BOT -Toll model and remaining on HAM and EPC modes.

✓ To improve road user convenience and provide a barrier -free travel experience on the National Highways, MoRTH and NHAI jointly through IHMCL commenced the implementation of 'Global Navigation Satellite System' based Electronic Toll Collection, which will enhance tolling efficiency to global standards.

Now coming to the recent updates on the Company:

✓ During the first quarter, following subsidiaries of the Company are in receipt of total Rs. 515 Crore from NHAI under the Vivad Se Vishwas II (Contractual Disputes) Scheme

➤ Rs. 117 Crore by PNC Raebareli Highways Private Limited

➤ Rs. 398 Crore by PNC Kanpur Highways Limited –

✓ On 28th May 2024, Company received an early completion bonus of Rs. 56 Crore for an EPC project executed in Maharashtra.

Both are accounted for in the Q1 of FY25 financials

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✓ During the first quarter, the Company's subsidiary MP Highways Private Limited received 2.8 years extension of Concession Period for Gwalior -Bhind BOT -Toll Project on account of shortfall in actual traffic vis -à-vis the target traffic

✓ On the project development side, the Company's subsidiary Meerut -Haridwar Highways Private Limited received Provisional Completion Certificate for Meerut – Najibabad HAM project on 4th May 2024

Moving on to the operational and financial performance of the company

✓ Out of the company's 28 fund -based projects, 3 are BOT -Toll projects, 2 are BOT Annuity Projects and 23 are HAM projects.

✓ Aggregate Bid Project Cost of 23 HAM projects is over Rs. 30,000 Crore, which is one of the largest highway HAM project portfolios in the country.

✓ Out of a total 23 HAM projects,

o Company achieved PCOD/COD for ten projects,

o Nine projects are under construction

o Three projects achieved financial closure and appointed dates yet to be declared

o For one project, financial documents for a term loan Rs. 677 crore executed & submitted to the Authority well before the stipulated due date of 4th August 2024.

✓ Total equity investment requirement for the HAM projects is Rs. 3,092 crore.

✓ As of June 2024 , Company already invested Rs. 2,079 crores and the remaining equity of Rs. 1,013 crores is to be invested over the next 2 to 3 years.

✓ The internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirement.

Now moving on to our order book

✓ As of 30th June 2024, the company's unexecuted order book stands at Rs. 14,100 crores which does not include the contract value of 2 EPC contracts recently secured for an aggregate value of Rs. 4,994 Crores. Upon inclusion of these 2 EPC projects, our unexecuted order book would be over Rs. 19,098 Crores which is 2.5 times of FY 24 Revenue.

✓ Out of the unexecuted order book of Rs. 19,098 Crores, highway, expressway & Canal contracts contribute around 82%, while water projects contribute around 18%.

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✓ During the first quarter of financial year 25, Company has booked a total revenue of Rs. 289 crores in the drinking water segment.

Now I would present the results for the quarter ended June 30, 2024.

Standalone Quarterly Results:

Revenue for the 1st quarter of FY25 is Rs. 1,744 crore.

The EBITDA for the 1st quarter is Rs. 593 crores which is higher by 142% as compared to Rs. 245 crores in the 1st quarter of FY24. The EBITDA margin for the 1st quarter of FY25 is 34%.

The profit for the 1st quarter of FY25 is Rs. 421 crores as compared to Rs. 157 crores in the 1st quarter of FY24, a growth of 169% on a YOY basis. The PAT margin for the 1st quarter of FY2

4 is 24.1%.

Consolidated Quarterly Results:

Consolidated revenue for the 1st quarter of FY25 is Rs. 2,168 crores as compared to Rs. 2,092 crores in 1st quarter of FY24, a growth of 4%.

The consolidated EBITDA for the 1st quarter of FY25 is Rs. 969 crores as compared to Rs. 436 crores in the 1st quarter of FY24, a growth of 122%. The EBITDA margin for 1st quarter of FY25 is 44.7%.

The consolidated PAT for 1st quarter of FY25 is Rs. 575 crores as compared to Rs. 181 crores in 1st quarter of FY24, a growth of 218%. The PAT margin for the 1st quarter of FY25 is 26.5%.

ON THE STANDALONE BALANCE SHEET SIDE,
As on 30th June 2024, our net working capital cycle is 121 days.

Our net worth on standalone basis is Rs. 5,203 crores as on 30th June 2024, whereas total standalone debt is Rs. 389 crore.

The total cash and bank balance as on 30th June 2024 is Rs. 486 crores. We have a net surplus of Rs. 97 crore. This translates to net debt to equity of 0.07 times.

On Consolidated Basis, our net worth is Rs. 5,761 crores whereas total debt is Rs. 8258 crores as on 30th June 2024. The total cash & bank balance including current investments is Rs. 1,501 crores. This translates to net debt to equity of 1.43 times.

With this, we now open the floor for question -and-answer. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

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Shravan Shah: Yes, thank you, sir. Sir, just a clarification. This entire arbitration and the bonus, the entire amount directly goes to the EBITDA. There is no expense related to that before EBITDA?

D. K. Maheshwari : Yes, there is no expenses on this arbitration and bonus, sir.

Shravan Shah: Okay. Now, sir, given that, if I remove this in terms of the core revenue, which is kind of on, and on the low rate 29% kind of a decline, 30%. And we were looking at 10% growth on that -- this revenue in FY '25. So, the ask rate is significantly higher. So how do we now see the revenue and also the EBITDA margin? Are we maintaining the same 12%, 12.5% for FY '25?

T. R. Rao : Yes, this first quarter growth, you see, affected due to some unprecedented activities, unprecedented conditions. Some of them are expected, like general elections. But like this summer has been very severe and extreme heat also affected our progress and all the way, early onset of monsoon. And more importantly, the projects which we secured during FY '23, FY '23 March, could not be commenced due to delays in declaration of appointed date on account of delay in land acquisition.

So, this is a multiplicity of factors, general elections, early onset of monsoon and the excessive heat during the summer, then the delay in declaration of appointed dates. And also particularly in case of the water sector, there has been delay in the release of payments due to lack of budgetary allocations during the period of vote on account budget time. So, all these things had a complex and complexity. So it's reduced our first quarter revenue.

So still, we'll be trying to expedite it. But the second quarter also, because now, again the, monsoon has been very active and widespread. So we expect a similar kind of situation during the second quarter also. The situation is challenging. Given the conditions -- and some of them are expected things. So the guidance for the FY '25 would not be what we expected earlier would be may be at flat or maybe around 10% downwards .

Shravan Shah: Sorry, sir, you said flat to minus 10%, you are saying.

T. R. Rao : Sir, minus 10%.

Shravan Shah: Minus 10%?

T. R. Rao : Yes, guidance for FY '25.

Shravan Shah: Okay, okay, okay. Got it. And the margins remains the same at 12% to 12.5%?

T. R. Rao: Yes. Yes. EBITDA margins would be around 12.5%.

Shravan Shah:

We already have INR5,000 crores of L1 and we were looking for INR15,000 crores of order inflow, hope that number is still on track?

T. R. Rao : We already secured INR5,000 crores worth of new orders during the current financial year, and we expect to secure another INR8,000 crores to INR10,000 crores . So it will be around -- between INR13,000 crores to INR15,000 crores new orders during the FY '25.

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Shravan Shah: Okay. Got it. Let's say, this year, if we are doing minus 10%. How do we look at FY '26?

T. R. Rao : FY '26 guidance would be around 15%. See, we expect 15% because the projects which we are expecting -- we are expecting quite a few projects appointed date during the current financial year even during the second quarter. So, the progress will be picked up . There is a low as I said, we will have around 15% plus during the FY '26.

Shravan Shah: Got it. And sir, now for date of appointments and appointed date for all the Varanasi /Ranchi Kolkata package Ranchi and Bhopal local bypass what's the project -wise order book and the balance sheet numbers, if you can share?

T. R. Rao : See, first, is the appointed date we'll share with you, Western Bhopal bypass of MBRDC project, which is a HAM project and Varanasi, Kolkata package 6, that is also HAM project, and there is one bridge project in Gwalior, which is UP MPPWD project. So, appointed dates for all these three projects we expect in the first week of October as the land is expected to be possessed before end of September, the required land, more than 80%. So, these three projects, we expect appointed dates in the first week of October. And the revenue, maybe initial revenues would be booked during the Q3 of the current financial year.

Shravan Shah: Okay, sir. And package two and three, Varanasi - Kolkata?

T. R. Rao: Package two and three, there are challenges in land acquisition and possession, so that may take some more time. So, we'll update during the next meeting and interaction. As of now, the land acquisition has been slow. So I'm not able to tell now what would be the appointed date for these two packages.

Shravan Shah: Okay. Sir, now to balance sheet numbers. So, our inventory, trade payable, and then the debtors , also in terms of the breakup of debtors, -- HAM, water, and EPC debtors?

D. K. Maheshwari : Trade payable is INR700 crores.

Shravan Shah: INR700 crores . Inventory?

D. K. Maheshwari : Inventory? INR750 crores.

Shravan Shah: And total debtors?

D. K. Maheshwari : Total debtors is INR2,212 crores.

Shravan Shah: INR2,212 crores? And out of that, how much is HAM debtors and water debtors?

D. K. Maheshwari : EPC contract is around INR1,394 crores. And HAM, debtors is INR818 crores.

Shravan Shah: INR818 crores. And water would be how much?

Moderator: Sir, sorry to interrupt, but your line is not very clear. Your audio is not coming through clearly,

sir. Sir, may we request you to please establish a better connection and rejoin the queue, sir.

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Shravan Shah: I can hear clearly. Sorry, if you can hear me, what water debtors and mobilization and retention money?

D. K. Maheshwari : Water debtors is INR1,040 crores .

Shravan Shah: INR1,040 crores ? And mobilization and retention money?

D. K. Maheshwari : Mobilization advance is INR385 crores, is and retention is INR143 crores .

Shravan Shah: INR143 crores . Got it. And if possible, project -wise order book, if you can share. So Hardoi...

Moderator: We request you to please rejoin the queue for these follow -up questions sir. We request you also to please re -establish a better connection. Thank you.

The next question is from the line of Jainam Jain from ICICI Securities.

Jainam Jain: Good afternoon, management. Congratulations on a great result. So I had a couple of questions. Firstly,

starting with the EBITDA margin. So we have seen an amazing spike in the EBITDA margins to 34% in the standalone financial segment. So I would like to understand like what was the specific reason for such increase in EBITDA margins? And is this an increase of EBITDA margin expected to continue for the entire FY '25?

D. K. Maheshwari : So, the 34% is inclusive of INR435 crores amount received on account of arbitration and bonus in this quarter. Otherwise, the EBITDA margin will be maintained around 12.5%.

Jainam Jain: Okay, sir. And sir, what's the beta pipeline which the company has been expected in this FY '25?

T. R. Rao : The pipeline, as I had mention, so we expect another INR8,000 crores to INR10,000 crores new orders during the FY '25. Already, we secured around INR5,000 crores new orders. So, total cumulative would be around INR13,000 crores to 15,000 crores new orders.

Jainam Jain: Sorry, I didn't got the amount -- exact amount, it's INR8,000 crores to...

Yogesh Kumar Jain: INR8,000 crores to INR10,000 crores.

Jainam Jain: Okay. And sir, I wanted to have an update on the asset monetization and divestment plan, which the company has been planning for?

D. K. Maheshwari : With regard to the monetization, after execution of Security Purchase Agreement , there was a condition precedent, mainly NOC for change in ownership from lenders and NHAI. The NOC from the majority of the lenders, or first tranche of assets have already been received and others are expected by end of second quarter. As regards the NOC from lender.

And as regards the NOC from NHAI, the financial consultants of NHAI reviewed the NOC application and observation made by them have already been clarified, compiled. With PDI and RO had also recommended of seven projects out of 10 and sent to HO for file approval. We are expecting that in one or two months, it should be processed in head office.

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Jainam Jain: Okay sir. All the asset monetization and divestment plan will be completed in coming one to two months. Is that correct? Is that understanding, correct?

D. K. Maheshwari : CPs of Phase -I is expected by Dec 24 & payment by end of March 25 and Phase -II by Sep 25 in case we receive the NOC from NHAI

Jainam Jain: Okay, okay. Thank you.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir, my first question is on -- so the issue which we faced recently in June. So what is the status now on the bidding? So, are we allowed to bid now? Is there any punitive action taken, in terms of restricting us from bidding for some time or debarring us for some time? So, any update on that issue?

T. R. Rao : So, no punitive action has been taken by NHAI. We don't foresee anything in near future. So we are able to bid, and we are hopeful that we'll continue to be able to bid these projects.

Parikshit Kandpal: Okay. So, but -- has any of our bids been opened till now? Have you submitted any bids and those bids being opened or -- so any update if you can give us.

T. R. Rao : Yes. Yes. Bids are -- bids are being opened. Last week also three of our bids got opened. And also some of the bids we submitted, around 18 bids are there, that will be opened.

Parikshit Kandpal: Okay. Sir my second question is on, I think Maheshwari ji earlier highlighted that seven projects

have been, I think, advised for NOC by NHAI consultants. So does it in any way impact our Jhansi projects where this issue has happened? So do you think those projects may right now be on hold in terms of monetization or do you think that it can still get NOC and projects will proceed normally towards the execution of monetization?

T. R. Rao: No, we don't expect anything as the issue. And also, see, for the other listeners also we want to share that matter being sub-judice, we don't want to share

further details in the matter. But

whatever the update status is there in the matter, we already intimated to the exchanges. Our intimation is dated 9 of August and 19 of August -- 9th of June, 19th of June and 9th of August. These intimations are available in the public domain. So, don't want to share further details in the matter as of now.

Parikshit Kandpal: Okay. And just the last question is around this diversification. So, now, I mean, we are facing growth challenges because of last year has not been a good year for ordering for a sector as a whole and also for the company. So, this year, we have a big order intake guidance of INR13,000 crores to INR 14,000 crores, and we also achieved something.

So first, whether on MSRDC project, any update you have heard because there were media news of these -- the Pune award are being reevaluated for award. So any update? I mean, when do you expect the appointed date to come in? And also on diversification, if you can help understand beyond water, I mean, in water we have seen new orders coming in. So how do you think that PNC Infratech Limited

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this pipeline will grow from non-road segments? So, which segments you're looking to diversify?

T. R. Rao: First thing is, in case of MSRDC projects that we recently secured, we expect the letters of award will be issued before end of this month.

Parikshit Kandpal: Okay.

T. R. Rao: And the second thing, with regard to diversification, so another sector, what core sector we are focusing upon is the railways. Because again, just a few days before, union cabinet has approved INR25,000 crores of new railway projects. So, already, we are there. We are working on one, railway project, HOCR, Haryana Orbital Rail Corporations Project in Gurgaon. So, we are looking that, that is one of the sectors where we'll be focusing upon to diversify and to foray into new areas.

Parikshit Kandpal: Okay, sir. Sure. Thank you and wish you the best.

T. R. Rao: Thank you.

Moderator: The next question comes from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, what kind of revenue are we targeting from the JJM projects for FY '25 given the weaker execution in first quarter?

T. R. Rao: See, as I mentioned, the progress was not substantial, it was affected during the Q1, and the trend would continue to be in Q2 also because many of our scheme locations are inundated due to heavy rainfall. So, nevertheless, we are expecting around INR1,500 crores during the FY '25 as revenue from the water sector.

Vaibhav Shah: And payments have improved in the second quarter for the water segment?

T. R. Rao: Yes, yes. See, now the full-year budget is approved. So the funds, we expect the funds coming from the government of India, 50% of the project cost, and the remaining 50% matching grant also is expected timely from the state government. So we expect that whatever our outstanding payments are there, it would be cleared before end of the second quarter. And thereafter, the funds flow and the payments would be normal.

Vaibhav Shah: Okay. And sir, remainder would be done in FY '26, should be completed, water?

T. R. Rao: Yes, FY '26 basically, complete the water sector or projects what we've secured.

Vaibhav Shah: Okay. And sir, in your initial remarks you mentioned that the execution should be weak in the second quarter as well. So that is the case for the entire portfolio or only for water. So, the revenue would be somewhere around INR1,300 crores only on a total basis?

T. R. Rao: See, what happens when compared to highway, the water -- in case of monsoon, it continues to be active and widespread. The water gets more affected, water projects because of these

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projects are in isolated locations, spread and also then pipelining and other things gets

affected

when compared to highway sector. So water would be more affected, but highway also the effect

will be -- certain effect will be there on the highway sector also in terms of progress.

Vaibhav Shah: But do we expect a quarter-on-quarter increase in terms of revenue for second quarter, overall revenue?

T. R. Rao : Yes.

Vaibhav Shah: And sir, lastly, what was the capex in first quarter, and for the year, what are you guiding?

D. K. Maheshwari : Capex last year was INR46 crores. But this year, we are expecting around INR80 crores to INR100 crores.

Vaibhav Shah: And what was done in first quarter?

D. K. Maheshwari : Only INR3 crores.

Vaibhav Shah: Okay. Thank you, sir. Those were my questions.

Moderator: Thank you. We have the next question from the line of Anupam Gupta from IIFL Securities. Please go ahead.

Anupam Gupta: So you said a 15% growth in FY '26, after a 10% decline in FY '25, although you have a reasonably large order book at this point of time and you're expecting another INR8,000 crores of order inflows in this year. So ideally, FY '26 should be higher unless there is something -- some slowdown which you're expecting. So any clarity on that?

T. R. Rao : See, this 15%, what we said is the minimum because we start during the FY '25, initial stages will be low value works will be there. So it will be ramping up during the FY '25. But hopefully, this is the minimum number what we are expecting, but it could go up to 20% upside within FY '26.

Anupam Gupta: Okay. And can you just give a breakup of the equity investment, which is balance for FY '25, '26, '27?

D. K. Maheshwari : Actually, out of the INR3,092 crores equity required for completing the projects, we have already infused INR2,079 crores till June 2024 . And remaining INR1,013 crores is required in FY '25, around INR587 crores; FY '26 is INR290 crores ; and FY '27 is INR140 crores .

Anupam Gupta: Okay, okay. That's all from my side.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, good afternoon, and thanks for taking my question. So first, would be great if you could give us the toll collection number for the various projects?

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D. K. Maheshwari : Toll collection, MP Highways INR6.5 crores; Kanpur Highway INR24.8 crores; Narela INR26.6 crores; Bareilly -Almora INR16.5 crores; and Raebareilly INR32.16 crores.

Parvez Qazi: Sure. The second question is, I mean, you expected that we expect the NOC from NHAI and the lenders, etc. in the next month, two months. So, by when do we expect the entire asset monetization process to get completed and to receive these funds from the buyer?

D. K. Maheshwari : So, there are two phases in this entire transaction. We are expecting first phase will be completed by December, and by end of the financial year '25, funds should come of first tranche.

Parvez Qazi: Okay. And for the second tranche ...

D. K. Maheshwari : And after around, say, September '25.

Parvez Qazi: The fund should come by September '25,

D. K. Maheshwari : Second tranche.

Parvez Qazi: Sure. Great. Last question, what is the status of the Andhra Canal project? I am assuming currently it is monsoon, so maybe work would have been stopped. But for the year as a whole, what is the kind of execution that we expect there, especially after the change in the government?

T. R. Rao : See, canal project, as you said, now work stopped because the water is flow again both in main canal as well as branch canal. So as we've seen -- witnessed last two, three years, so work could be commenced either in the month of December or January. So, the current financial year we'd be able to do around INR60 crores to INR75 crores worth if we start in the month of December. And also the -- since this -- particularly this project is very vital for the Rajasthan

n -- for

Rajalaseema drought relief, we don't expect that the new government will have a different stance. So they will continue with the project. So we'll be execute further. Here, we want to share this -- whatever amount is outstanding towards the work done. So we received INR60 crores last week. So, we expect to receive further funds from the new government. As we receive the funds, then we'll continue with the work.

Parvez Qazi: Sure. Thanks and all the best.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Yes. So, the outstanding order book of this irrigation project remains the same, INR932 crores?

D. K. Maheshwari : Yes.

Shravan Shah: Okay. And what is the outstanding order book of Hardoi and Gaju village?

D. K. Maheshwari : Hardoi is INR137 crores.

Shravan Shah: Gaju Village, Devinagar Package -1C.
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D. K. Maheshwari : 1C is INR100 crores.
Shravan Shah: INR100 crores? And Haryana Orbital Rail?
D. K. Maheshwari : INR720 crores, 7 -2-0.
Shravan Shah: INR720 crores, okay. And the small one now, Lalganj, Meerut, Nazibabad, has it completed or still some order book is there?
D. K. Maheshwari : Lalganj, hardly INR20 crores is remaining.
Shravan Shah: Okay, and Meerut -Nazibabad?
D. K. Maheshwari : INR28 crores , Meerut -Nazibabad.
Shravan Shah: Okay. And Challakere -Hariyur?
D. K. Maheshwari : That is INR90 crores.
Shravan Shah: Sorry, INR90 crores?
D. K. Maheshwari : 9-0, yes.
Shravan Shah: Okay. 9 -0 crores. Okay. Got it. And sir, in terms of the working capital, obviously, primarily debtors which has increased. So what do we see by end of this year in terms of the working capital days?
D. K. Maheshwari : Working capital days should be around 100 days, because at this time, it has increased from 102 to 121 because of the increase in the debtors.
Shravan Shah: Yes. Yes.
D. K. Maheshwari : It should be subsequently realized irrespective either of water or HAM projects.
Shravan Shah: Okay. Got it. And is there anything further in terms of arbitration claim or bonus that are likely to be there in the remaining three quarters?
T. R. Rao : We don't expect any realization of any arbitration award during the three quarters. In terms of bonus, we completed AKP -5 and now Lalganj HAM a few months ahead of the schedule. So, we'll be receiving bonus during the current financial year. These will be HAM projects, but since HAM projects, bonus is not as large as EPC projects, will be a minimal. As of now, readily we don't have figures. But will be minimal bonuses we'll be receiving from Unnao, Lalganj and AKP5.
Shravan Shah: Okay. And sir, till now, how many value of projects that we have bided and where bid has not yet opened?
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T. R. Rao : We have bided 18 projects for a total value of -- estimated value of INR17,700 crores, price bids of which are yet to be opened.
Shravan Shah: And this largely would be in the road and that too in HAM?
T. R. Rao : Yes, Yes. Say, 50% in HAM and 50% EPC.
Shravan Shah: Okay. And for BOT toll, are we looking to bid any of the BOT toll projects?
D. K. Maheshwari : See, we are evaluating the opportunities, BOT toll projects. We'll take a call, and accordingly, we see whether we will bid or not.
Shravan Shah: Okay. Okay. Okay. Thank you, sir. All the best.
D. K. Maheshwari : Thank you.
Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.
Vishal Periwal: Yes, sir. Sir, thanks for the opportunity. One is on our revenue guidance that we have changed. So, this is primarily coming from roads or from the water side?
T. R. Rao : See, revenue guidance. So, it will be the combined thing, whatever revenue should be coming from the, both the th
ings. And the majority from the highways. If you see the order book, more than 80% is from highway and less than 20% from the water sector. So the revenue also increase in the same ratio.
Vishal Periwal: Okay, okay. And actually, this quarter one was showing a little bit of weakness in water, but that is expected to pick up, and then that's what basically you're saying?
T. R. Rao : Yes, sir. That's expected to pick up during the second half of the current financial year and the ratio will be maintained.
Vishal Periwal: Okay. Got it. And second -- just the increase in the capex vis -a-vis FY '24 of INR40 crores to INR80 crores to INR100 crores in this year. So, any particular line item where exactly we are seeing this opportunity where the capex is getting infused? Any broad that you would like to share?

D. K. Maheshwari : Actually, after this award of the Maharashtra Road Development, the projects are of INR5,000 crores. So, there, we require some capex, and additionally, Varanasi -Kolkata, that project we require some new capex. So that is why we have considered around INR80 crores, INR100 crores, maybe lower than this.

Vishal Periwal: Okay, okay. Got it. Got it. And then, I think I missed on that MSRDC project that you mentioned. So, when is the outcome expected on this? I think you did briefly mentioned, I just missed. If you could just clarify.

D. K. Maheshwari : As you said, the letters of award are expected before end of this current month.

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Vishal Periwal: Okay.

Yogesh Kumar Jain: We are expecting turnover in third quarter.

T. R. Rao : From third quarter onwards.

Vishal Periwal: Okay. And maybe one last two things from my side, and then I'll come back in the queue. For this asset monetization, I think just correct me -- I mean, like you know, earlier we were expecting everything to get concluded by '25, FY '25, but any -- anything that you'd like to share for slight delay that we are seeing or just a procedural thing that we are seeing for this asset monetization for us, the conclusion of it?

D. K. Maheshwari : That is only procedural situation from -- NOC from NHAI and NOC from the lender. Major condition precedent out there.

Vishal Periwal: Okay. Okay. Got it, sir. Okay. And I come back in the queue sir for more. Thank you.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, thanks for the follow up. Sir, we indicated that the Phase 1 should get completed by December and money should come by March. So, the Phase 1 earlier, we had mentioned that it includes six HAMs and one BOT. And valuation for that is around INR1,789 cr ores. So that remains the same, the mix of Phase 1 assets?

D. K. Maheshwari : Yes.

Vaibhav Shah: Okay. Okay. Okay, and sir, so you mentioned that we'll be starting the execution for MSRDC projects in third quarter. But what kind of revenue can be factored for the -- for FY '25 from the two packages?

T. R. Rao : See, these two projects are being a greenfield project, initially, the items involved will be earthwork. So there won't be any high value, once it will be executed in initial period . So, we expect some minimum of around INR200 crores to INR400 crores kind of a turnover revenue from these two projects in the current financial year. It could be more also, depending upon the situation.

Vaibhav Shah: But in FY '26, roughly 45% to 50% you would be executing, right?

T. R. Rao : Yes. Yes. May not be 50%, but it will be around 40%.

Vaibhav Shah: Okay. Okay. Thank you, sir.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Yogesh Jain from PNC Infratech for closing comments. Over to you, sir.

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Yogesh Kumar Jain: Thank you. Thank you, everyone, for your

participation in our earnings call. In case of further queries, you may get in touch with the Strategic Growth Advisors, our Investor Relations Advisors, or feel free to get in touch with us.

Moderator: Sir, sorry, to interrupt, but we do have one last minute entry into the question queue. Would you like to take that, sir?

Yogesh Kumar Jain : Yes.

Moderator: We have the question from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi: Thanks for taking my question. Sir, my question would be on upcoming bid pipeline. So obviously, you have got 18 projects, which you've bided for. But what kind of bid pipeline you see in railways and highways, which you look to participate in next six to eight months?

T. R. Rao: NHAI has floated tenders and NIT for more than 100 projects. Around 30 projects on EPC and more than 70 projects on a HAM basis. The total value of these projects will be more than INR1,00,023 crores. So we expect that we are evaluating all these opportunities. So we'll be bidding these p rojects next maybe, say, five to eight months.

Jiten Rushi: So this will include BOT toll also?

T. R. Rao : BOT toll, this is excluding BOT toll. BOT toll also there are some -- around 10 projects are

there. They're also evaluating the viability and other aspects. So, there, we'll be judicially taking a call to pursue these projects.

Jiten Rushi: On railways, sir, any thought process on railways?

T. R. Rao : Railways also we are looking. Keenly, we are looking at the sector, because recently, as I mentioned, INR25,000 crores of new projects are announced by the cabinet.

Yogesh Kumar Jain : We are bidding railway project.

D. K. Maheshwari : Now we are bidding the project, and one bid is already, we submitted a bid which is under evaluation and the price of bid is yet to be opened.

Jiten Rushi: And sir, on the water segment, obviously, we were supposed to participate in other states, which you were talking in the last quarter. So this quarter, I think we are not speaking on the water segment. So is it safe to understand that we will not be taking any more water projects going forward?

T. R. Rao : No, no. Certainly, we'll be bidding water projects , as of now no new water projects supported by any of the states now . I think now the everybody is waiting for the budgetary allocations and other things. So, now since general elections are over, so we expect new projects will come up in other states. And certainly, we look forward to bid for these projects, if they find ...

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Jiten Rushi: So, in the midst of next inflow of what you said, INR8,000 crores to INR10,000 crores, what kind of inflows you're expecting in terms of non -roads and it -- or it could be purely roads.

T. R. Rao : We see the thing, now whatever it'd be, it will be a hypothetical kind of a thing. So we'll see going forward what kind of opportunities are coming in the other sectors, other than road .

Jiten Rushi: And sir my last question on the Q2 number. As you said, the revenue would still remain subdued, or it would decline year -on-year in Q2 also because of heavy monsoon. Is my understanding correct?

T. R. Rao : Yes, I think the revenue would continue to be subdued in Q2 also because of the intense monsoon.

Jiten Rushi: Okay, sir. That's from my side. And thank you and all the best, sir.

Management: Thank you.

Moderator: Thank you. Sir, there are no further questions at this time.

D. K. Maheshwari : Okay. Thank you.

T. R. Rao : Thank you. Thank you.

Yogesh Kumar Jain: Thank you very much.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Oct 2024

PNC PNC Infratech Limited

Ref No: PNC/SE/71 124-25

To,

The Manager

Department of Corporate Services

BSE Limited

Floor 25,P.J. Towers,

Dalal Street, Murnbai-400 001

Scrip Code:539150An ISO 9001 .2015 Certified Company

Date:22.10.2024

To,

The Manager

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex,

Bandra (East), Mumbai- 400 051

NSE Symbol: PNCINFRA

Dear Sir,

Sub- Transcript of Business Update Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 we are enclosing herewith the transcript of Business Update Call held on

October 21,2024 to discuss over the business.

You are requested to take this information on your record.

Thanking you,

For PNC Infratech Limited

Tapan Jain

Company Secretary & Compliance Officer

ICSI M. No.: 422603

Encl: a/a

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"PNC Infratech Limited Business Update Conference
Call"

October 21 , 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 21st October 2024 will prevail.

MANAGEMENT : MR. YOGESH KUMAR JAIN – MANAGING DIRECTOR
MR. T. R. RAO – DIRECTOR (INFRA)
MR. D. K. AGARWAL – CHIEF FINANCIAL OFFICER
MR. D. K. MAHESHWARI – SENIOR VICE PRESIDENT
(FINANCE)

PNC Infratech Limited
October 21 , 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Business Update Call of PNC Infratech Limited.

This conference call may contain forward -looking statements about the Company , which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jigar Kavaiya from Strategic Growth Advisors. Thank you and over to you, Mr. Kavaiya.

Jigar Kavaiya: Thank you, Anuj. Good morning, ladies and gentlemen. On behalf of PNC Infratech Limited, I am pleased to welcome you all on this Business Update Call.

We have with us today the Managing Director of the Company – Mr. Yogesh Kumar Jain, along with the Senior Management Team .

We will begin the call with the opening remarks from the Management , followed by a Q&A session. Thank you and over to Yogesh sir.

Yogesh Kumar Jain: Good morning, everyone. On behalf of PNC Infratech Limited, I thank you all for joining on this call today at a short notice.

Today on the call, I have with me Mr. T. R. Rao, Director (Infra), Mr. D. K. Agarwal, Chief Financial Officer, Mr. D. K. Maheshwari, Senior Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

The purpose of this call is to give an update on the recent key developments that include an Order issued by Ministry of Road Transport & Highways say MoRTH, disqualifying the Company and two of its SPVs namely PNC Bundelkhand Highways Private Limited and PNC Khajuraho Highways Private Limited from participating in any tender process of the Ministry for a period of 1 year with effect from 18th October 2024.

It may please be appreciated that this call is essentially limited to the above key development only.

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As the Company is yet to declare its financial results for the quarter and half year ended 30th September 2024, we will not be able to share any details or address any queries relating to the financial results, which we hope the participants understand.

I will start with briefly recalling the background of the matter.

As we have been intimating the Stock Exchanges from time to time, you are aware that the matter relating to the CBI, ACB III registering an FIR on 8 June 2024 in the matter of alleged illegal gratification by the employees of Company under certain provisions of the PC Act and IPC; filing of a chargesheet in the matter before the hon'ble Court of Special Judge, CBI, Bhopal on 8 August 2024 and release of the employees of Company who were under the judicial remand, on 29 August 2024 pursuant to the bail granted by the hon'ble High Court of Madhya Pradesh, Jabalpur.

As further intimated on 19 October 2024, the MoRTH asked the Company and its two subsidiary companies namely PNC Khajuraho Highways Private Limited and PNC Bundelkhand Highways Private Limited (SPVs) to appear before MoRTH on 18th October 2024 along with all documents in their support for personal hearing in the matter. Post hearing, vide its Order dated 18th October 2024 MoRTH has disqualified the Company and the two SPVs from participating in any tender process of the Ministry for a period of 1 year with effect from 18th October 2024.

As we had already intimated to the exchanges on 19 October 2024, there will not be any impact on the ongoing development, construction, operation &

; maintenance

activities of the Company and its subsidiaries including the said two SPVs on account of the aforesaid Order.

As the Company has been disqualified from tender process for period of one year of the MoRTH only, the Company is able to continue to pursue business opportunities with the other central ministries and various authorities/agencies of the state governments and accordingly should be able to participate in tender processes.

As we had intimated to the exchanges, the Company has recently been awarded three new major projects for an aggregate contract value of Rs. 6,670 crores; two projects by MSRDC and one project by CIDCO.

Including the value of above three new projects, the Company's gross order book as on date is over Rs. 21,000 crores, without deducting the value of execution done during the second quarter ending 30 September 2024.

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The above robust unexecuted order book shows a tangible revenue visibility over the next two to two & half years.

Nonetheless, we are evaluating all the resources available to the Company including legal actions that can be taken by the Company to minimise and mitigate the impacts of the said Order on the Company's performance going forward.

We now open the floor for questions and answers. Thank you.

Moderator: Shall we open the line for questions?

Yogesh Kumar Jain: Yes.

T. R. Rao : Before this thing, we would like to add, we would not be in a position to disclose any material information, particularly price sensitive information before informing to the exchanges. So, we request the audience, we request the participants to keep this in mind while seeking the queries or questions from us. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Shravan Shah with Dolat Capital. Please go ahead.

Shravan Shah: Thank you, sir. Sir, just a couple of clarification. First, this order talks about not bidding in NHAI also or only in MORTH?

Yogesh Kumar Jain: NHAI is part of MORTH, so this is for MORTH, NH AI and NHIDCL.

Shravan Shah: And can we bid through any other Company apart from the three companies mentioned in NHAI and MORTH, or cannot we bid through any of our subsidiaries also?

Yogesh Kumar Jain: Yes, only three companies are disqualified. If other subsidiary qualified for the other project then we can bid.

Shravan Shah: Okay, so in NHAI and MORTH we can bid through any other subsidiary?

Yogesh Kumar Jain: Yes, if it qualifies.

Shravan Shah: And second, we have talked about legal action. So, just trying to understand even if whatever we will take legal action, so two aspects to understand, what's likely to be the action? And let's say this one year if MORTH decides to lower this time frame in terms of disqualification, by what time will we be able to know that this one year will be lower to let's say six months or three months or complete removal, what minimum time frame it will take to understand this?

T. R. Rao : First question, we want to answer. Lowering of this time period from one year to now below this, it's hypothetical. So, we can't say anything now about that, because we need to evaluate. And the second thing regarding the legal actions, we are contemplating the available legal actions, and we

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will let you know once we take some kind of a tangible thing after informing to the stock exchanges.

Yogesh Kumar Jain: We hope in 15, 20 to days you will get.

Shravan Shah: Okay. And will it also impact in terms of whatever we have till now bided in NHAI and MORTH and where the outcome has not come, so will it also impact that? And if possible, can you share how many projects and the value we have already bided in MORTH and NHAI where the outcome has not come?

T. R. Rao :

This call has to be taken by MORTH and NHAI, whether this order would be made effective retrospectively and what is their internal procedure. And regarding the bids we submitted, we submitted a couple of bids, we will share it separately because currently we don't have the information.

Shravan Shah: Okay. So, now in terms of the order inflow that we were looking at fresh further of maybe Rs. 7,000 crores, Rs. 8,000 crores, how do we want to compensate, let's say, if this order continues from which segments or the other central and the state authorities from where we would like to achieve our order inflow? And what's the risk in terms of not achieving this and what next we can achieve in terms of the order inflow for FY '25?

T. R. Rao : See, as our Managing Director has already said, we had already received orders worth of Rs. 6,700 crores nearly this year, and there is scope for pursuing the opportunities at other ministries as well as at the state governments. So, we will continue to pursue those business opportunities and try to achieve further business during the current financial year. So, in case of any reduction in these things, our order book is already robust, and it is having more than Rs. 21,000 crores, we don't foresee there will be any major impact on the Company 's operations going forward.

Moderator: Thank you. Next question comes from the line of Alok Deora with Motilal Oswal, please go ahead.

Alok Deora: Just a couple of questions. So, first is, you mentioned that PNC Infratech can bid through its subsidiary because, I just wanted some clarity on that, because eventually it would come in PNC Infratech only, right? So, are we sure we can bid via a subsidiary because then it would be like a no impact for us, we can like float a subsidiary and start bidding via that subsidiary. Just if you could provide some clarity on that, because if that happens then there is really no impact on us.

Yogesh Kumar Jain: Generally, what you are talking about, you are talking about SPVs?

Alok Deora: Yes, SPV or a subsidiary we create, and we bid via that.

Yogesh Kumar Jain: We cannot bid through SPV. We cannot bid any project through SPV because the SPV is the special purpose vehicle only for the said project only.

Alok Deora: Right. So, in the earlier question you mentioned you can create a subsidiary and bid, is that possible?

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T. R. Rao : We are evaluating the options. See, we can't say anything right now formally, so we're evaluating the options.

Alok Deora: Okay. Because what I mean the basic understanding which we have is that ultimately that will come in PNC Infratech only, right, so that won't be kind of allowed if we create a subsidiary and bid through that.

T. R. Rao : Yes, we appreciate that, so we are evaluating the options.

Alok Deora: Sure. And also , we are already in October, if we take any legal course and it will take maybe a few months or so, so is it fair to assume that this year it would be very difficult to kind of turn this order and get bidding? Because after March or April we will hardly see any bidding again coming through, then we will again be eligible in October onwards, October '25. So, realistically speaking, what's your thought process on this?

T. R. Rao : See, the legal course is one of the options available, but what would be the outcome of the legal course and how much time it will take, again, is hypothetical as of now. Now, we don't know what month, it could take much lesser time also, it could take more time also. So, as of now we are hopeful of getting some kind of remedy . We will share as we move ahead.

Alok Deora: Sure. Sir, just last thing. So, we had given this order inflow of nearly Rs. 8,000 crores for the remaining part of the year, so any change in that number now?

Yogesh Kumar Jain: This is already awarded.

T. R. Rao : No, no, the further or

der book, as of now we don't want to say, I don't want to say any firm numbers, but in the month of November when we meet Q2 Results then we will be able to tell some tangible

things.

Moderator: Thank you. Next question comes from the line of Ashish Narendra Shah with HDFC AMC. Please go ahead.

Ashish Narendra Shah: Sir, just a couple of things. One, does this order impact any of the projects where appointed date is awaited, or that part will not get affected?

T. R. Rao : That part will not be affected.

Ashish Narendra Shah: So, that part is clear. Secondly, in terms of the assets which are in the process of being sold to KKR, now does this get into from approval from the government perspective, NHAI perspective, again, does that part get affected in our best of understanding?

T. R. Rao : No, to our best of understanding, we don't think that it will get affected and seeking NOCs from the government as well as since the buyer is also aware of all these developments which are in the public domain, we don't take any deviations would be there from the present course of action.

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Ashish Narendra Shah: Alright. And outside of NHAI, can you maybe indicate what's the kind of bidding that you have done at this point, and which are the top maybe two or three sectors where you think you can bid and compensate for this loss of opportunity that may happen?

T. R. Rao : As we said earlier also, we have been bidding other sectors like Orbital Rail Corporation and also water sector under Jal Jeevan mission and other recently secured projects from Maharashtra and Railways are there. So, we will be pursuing those opportunities. We can't say anything concretely now, but we will continue to pursue those opportunities, and we will be hopeful of securing some business from those sectors and those spaces.

Ashish Narendra Shah: Sure, but any indication of how much you might have bid at this point of time or outside of NHAI projects?

T. R. Rao : We will share the details, readily its not available, it's not a regular kind of thing , we will share the details.

Moderator: Thank you. Next question comes from the line of Parikshit Kandpal with HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir, is there any conditions in the non-NHAI segment if you are bidding, so is there any condition which mandates that if any agency has been barred from bidding in say central agency so will still the bids be accepted by the non -NHAI entities?

T. R. Rao : So, if you go by the order, the order specifically says, we are disqualified from the tender process of the Ministry only, it is very specific. See, it will be something like a speculative thing what will happen if other agencies are coming up, that will depend upon the RFP conditions of that particular project. So, we can't say anything now, but the order is very clear, we are disqualified only and only from the bidding process of Ministry, which includes NHAI and NHIDCL.

Parikshit Kandpal: The second question is, the bar red seems to be quite harsh because we have seen contractors, I mean, similar contractors with similar kind of thing getting barred between one month to six months. So, what's your internal assessment, why was such a harsh step taken for a year kind of a ban?

T. R. Rao : See, we don't want to comment on this because we are evaluating the thing, so we don't want to comment why such harsh, and we can't even assess also why that was taken by the Ministry.

Parikshit Kandpal: And the last questions on these two SPVs which are part of KKR, so we will continue to receive annuities, right, I mean over this one-year period, so any color on that?

T. R. Rao : Yes, absolutely, this thing has no issue. These SPVs will continue to receive annuities and O&M payments and other payments under the change in law. So, there should not be any issue in receiving the p

ayments from the other companies.

Moderator: Thank you. Next question comes from the line of Karan with Monarch AIF. Please go ahead.

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Karan: Sir, you mentioned that you are kind of looking at other agencies in other sectors to kind of win projects. According to us, according to our technical know-how and technical visibility, which other agencies or ministries that we can approach now to kind of reach around Rs. 13,000 crores, Rs. 15,000 crores of order inflows that we had previously guided, or do you think now we will have to work with a different number moving forward in terms of order inflows?

T. R. Rao : As we said, in the current financial year with the recently secured projects our order book, now already we secured around Rs. 7,000 crores of new projects already. So, whatever the remaining we will be pursuing in the next 5 and 5.5 months from the other sectors and other ministries, including state governments. So, as of now, we want to maintain the same order book guidance.

Going forward, in the month of November when we declare Q2 results and we will have a concall, then we will be able to tell you more firm numbers and more kind of concrete changes.

Karan: Understood, sir. And sir in terms of revenue execution and our book-to-bill, what do you think we can achieve going forward in FY26 and FY27 if there's any broader guidance that you can give over there?

T. R. Rao : So, we don't want to discuss this until and unless we declare our Q2 Results and these things. So, we want to limit this call only to what has happened, hope you understand.

Karan: No worries, I understand sir.

Moderator: Thank you. Next question comes from the line of Parvez Qazi with Nuvama Group. Please go ahead.

Parvez Qazi: Sir, I have one question, does this development in any way can it impact our potential asset monetization that we are trying?

T. R. Rao : It should not be. It should not be because our buyer is also quite aware of all these developments, because we intimated to the exchanges, which are in public domain, is aware of it. And also, NHAI, this order is only limited to participation in the tender process, we are supplying emphasis only participation in the tender process by the ministry. So, we are not expecting any such kind of a thing as of now.

Moderator: Thank you. Next question comes from the line of Vaibhav Shah with JM Financial Limited. Please go ahead.

Vaibhav Shah: Sir firstly for the two subsidiaries where we have disqualified Khajuraho and Bundelkhand, so particularly for them will the monetization be impacted, or will they also not be impacted with respect to the NOCs that we need to receive?

T. R. Rao : See, it will be too early to say something, so we are evaluating that. We will be able to share in case of any further development in that aspect what we had asked.

Vaibhav Shah: And sir, secondly for the five HAMs where AD is awaited, so any impact on particular those side projects or that also should not be impacted?

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T. R. Rao : That also should not be impacted.

Moderator: Thank you. Next question comes from the line of Ronald Siyoni with Sharekhan Limited. Please go ahead.

Ronald Siyoni: Sir, just two questions. Firstly, does this order put the case behind us? Or as the procedure continues and the investigations continue against the senior management and the Company as well, so is it a done and dusted case or there can be further actions from the Ministry?

T. R. Rao : No, we don't think there can be any further action from the Ministry because these are two different things. Ministry, what are the actions taken in terms of the concession agreement executed with this thing. And the case which is there going on at the sessions court this thing, that is a different aspect. And also, we want to share that the

designated court has not taken cognizance of the matter and also not framed the charges, and the trial has not begun.

Ronald Siyoni: And second one, as you know, in the past have you seen such a clause in other government agencies that if you are debarred from affiliated government agencies then you cannot bid, in the past in the history have you seen such a clause?

T. R. Rao : No, actually this kind of condition differs from one ministry to another ministry and one project proponent to another project proponent, and there is nothing any such kind of a rule in the government and a written kind of a thing that a particular firm is disqualified by a particular ministry, you can't bid for another ministries or other agencies. There is no such rule, so it depends on the client and the authority.

Moderator: Thank you. Next question comes from the line of Shravan Shah with Dolat Capital. Please go ahead.

Shravan Shah: Sir, I just wanted some update on the CBI case. So, when the next hearing is there and is there in terms of any negative outcome can come there?

T. R. Rao : It's too forward-looking and very hypothetical kind of a thing. As just now we had mentioned, the designated court has not taken cognizance of the matter yet, so once the court has to take cognizance of the matter followed by framing of charges and then the hearings come. So, it is too early to say, too early to talk about it. So, anyhow, we will keep informing the exchanges and through exchanges all these stakeholders. So, any further development is happening in that direction.

Shravan Shah: And as such it will not, you already mentioned, just wanted further confirmation that it will not impact any payment which we are likely to get from NHAI or MORTH for existing projects?

T. R. Rao : Yes.

Moderator: Thank you. Next question comes from the line of Parikshit Kandpal with HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir my question is that these two entities, the SPVs, which are the part of KKR deal, how much is the total invested equity and what is the equity value of these assets?

T. R. Rao : The figure is not readily available, as I mentioned that we convened this call at a very short notice and we will share with you separately offline.

Moderator: Thank you. Next question comes from the line of Vaibhav Shah with JM Financial Limited. Please go ahead.

Vaibhav Shah: Sir, can we do subcontracting works for any of the other players pertaining to MORTH or NHAI project?

T. R. Rao : That aspect we have not evaluated, we are neither contemplating that one. So, we will share with you in case we have any kind of ideas.

Vaibhav Shah: If they are allowed, then are we open to do that?

T. R. Rao : Again, it's hypothetical .

Moderator: Thank you. Next question comes from the line of Prem Khurana with Anand Rathi. Please go back.

Prem Khurana: Sir, most of my questions are already answered, just one small clarification if you could help me with. So, these two SPVs, I mean, do we have any payments due from NHIA towards either grant or annuity, grant specially, annuities you said you are receiving on a frequent basis, but any payments which are still due with NHAI towards grant?

T. R. Rao : See, there is no grant in these SPVs because the grant completes once the project is commissioned during the construction time, no grant is pending, and as of now no annuities are also pending. But maybe there are certain payments under change in law which we will be getting.

Prem Khurana: Okay, so change in law is essentially

T. R. Rao : GST payment.

Moderator: Thank you. Next question comes on the line of Ankita Shah with Elara Capital. Please go ahead.

Ankita Shah: Sir, I didn't understand one thing, why were only two SPVs barred for bidding? Why were other SPVs not mentioned in this order?

T. R. Rao : See, the case ha

s been registered by CBI against PNC. In fact, the case has not been listed in the SPVs, but the project where this alleged incident has happened, as alleged by CBI, tends to be these SPVs, so then they included those SPVs also, because there was an Integrity Pact signed by these SPVs. They combined PNC along with two SPVs, and none of the other SPVs have any kind of role in the whole thing or connected to the matter.

Moderator: Next question comes from the line of Nitin Dharmavat with Aurum Capital. Please go ahead.

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Nitin Dharmavat: Just to reconfirm sir, this order will not have any impact on the existing projects awarded by NHAI, even if the work has not begun over there?

T. R. Rao : Yes, this order will not have any effect.

Moderator: Next question comes from the line of Bharanidhar Vijayakumar with Avendus Spark, please go ahead.

Bharanidhar Vijayakumar: Can you throw some light on these recent MSRDC projects in terms of the land availability when it is starting?

T. R. Rao : See, Mr. Vijaykumar, as this call is particularly limited to the development that has happened on 18th and which we had intimated to 19th, and anyhow we will be meeting during the second week of November to discuss on our Q2 results, and certainly we will share all these things during that one. We don't want to extend the discussions beyond the matter in question.

Bharanidhar Vijayakumar: Sure, okay, understood sir, will talk to you then.

T. R. Rao : We appreciate.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of the question -and-answer session. I would now like to hand the conference over to the management for closing comments.

T. R. Rao : Again, we want to inform all of you while extending our thanks. The PNC is a law abiding corporate, as we had already said. And also, we will not be sparing any efforts, and we will not be leaving any kind of a stone unturned to minimize and mitigate the adverse impacts that might be caused due to the order, and we will continue to endeavor to safeguard the interest of all its stakeholders, including shareholders.

Yogesh Kumar Jain: Thank you everyone once again for participating on this call today at very short notice. In case of further queries, you may get in touch with the Strategic Growth Advisors, our Investor Relations advisors, or feel free to get in touch with us. Thank you.

Moderator: Thank you. On behalf of PNC Infratech Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2024

PNC PNC Infratech Limited
Ref No: PNC/SE/83 124-25

To,
The Manager
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BSE Limited
Floor 25, P.J. Towers,
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Scrip Code: 539150An ISO 9001 :2015 Certified Company
Date:21.11.2024

To,
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Exclrange Plaza, BandraKurla Complex,
Bandra (East), Mumbai- 400 051
NSE Syrnbol:PNCINFRA

Results for theDear Sir,
Sub- Transcript of 02 FY25 Earninss Conference Call on Financial
quarter and half year ended 30th September,2024
Pursuant to l{egulation 30 of the SEBI (Listing Obligations and Disclosure Requirernents)
Regulations, 2015 we are enclosing herewith the transcript of earnings conference call on
Financial Results for the quarter and half year ended 30th September, 2024 held on Thursday,
Novenrber 14,2024.

You are requested to take this information on your record.

Thanking you,
For PNC Infratech Limited

Tapan Jain
Company Secretary & Compliance Ollicer
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Encl: a/a

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Q2 FY '2 5 Earnings Conference Call "
November 14 , 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio
recordings uploaded on the stock exchange on 14th November 2024 will prevail.

MANAGEMENT : MR. YOGESH JAIN – MANAGING DIRECTOR – PNC
INFRATECH LIMITED
MR. T.R. RAO – DIRECTOR , INFRA – PNC INFRATECH
LIMITED
MR. D. K. MAHESHWARI – SENIOR VICE PRESIDENT ,

MODERATOR : MR. MANGESH BHADANG – CENTRUM BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of PNC Infratech Limited hosted by Centrum Broking Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Mangesh Bhadang from Centrum Broking Limited.

Thank you, and over to you, Mr. Bhadang.

Mangesh Bhadang : Thanks, Michel le. Good afternoon ladies and gentlemen , on behalf of Centrum Broking, I'm pleased to welcome you all on the PNC Infratech Limited 2nd Quarter FY '25 Earnings Conference Call. We have with us today the Managing Director of the company, Mr. Yogesh Jain, along with the senior management team of the company. We will begin the call with the opening remarks from the management, which will be followed by the interactive Q&A session. Thank you, and over to you, sir.

Yogesh Jain: Good afternoon everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

Let me start by wishing Everyone on the call a Very Happy Diwali and a Prosperous New Year from PNC Infratech family.

Today, I have with me Mr. T. R. Rao, Director (Infra), Mr. D. K. Maheshwari, Senior Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges and Company's website for your reference.

Initially, I would like to mention key updates of the industry, followed by operational developments of the Company and highlights of financial performance during the second quarter and the first half year of Financial Year 25, post which we will be happy to answer your questions.

✓ Over the past six months, the infrastructure sector experienced unprecedented subdued execution activity, largely impacted by intensely widespread monsoon during the period from mid -May till mid -September, critically low new projects awarding activity by MoRTH including NHAI over the past one & half years and delay in declaration of appointed dates for the already awarded projects due to non -availability of enough vacantly possessed for commencement of construction, complete hold on the Bharatmala program and the General Elections 2024.

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✓ MoRTH and NHAI awarded only around 700 km of new projects until August 31, 2024, while around 2,700 km of national highways constructed during this period.

✓ Both were significantly lower than 1,750 km awarded, and 3,200 km constructed during the corresponding period in FY 24.

✓ Though, as per the MoRTH and NHAI, the bidding awarding activity would be expedited in the coming months starting from December 24 onwards, across all the modes of implementation, commencement of physical execution of awarded projects will always be

subject to availability of sufficient vacant land in contiguous stretches for uninterrupted construction.

✓ It is also a fact to be recognized that even though large number of projects could be awarded before the end of current financial year, visibility of progress and translation into revenues could only be seen from the second half of FY 26, not before that.

✓ While national highway a

nd expressway awarding activity remained muted over the past one and half of years at the central level, industry witnessed a significant headway in new projects bidding activity by the Indian Railways across its zones and by some of central PSUs.

✓ As new governments have recently been formed in the states of Telangana, Andhra Pradesh, Haryana and J&K and after the ongoing elections new governments will be formed in Maharashtra and Jharkhand, significant new business opportunities in the infrastructure space are expected to emerge in the near future in these states.

✓ New projects are also expected to be launched in airports development space in the coming months, as many of the domestic airports are poised for major upgradation and expansion activities.

Now coming to the recent updates on the company:

✓ On the project implementation front during the quarter, Company's subsidiaries PNC Challakere (Karnataka) Private Limited received Provisional Completion Certificate for 4 laning of Challakere to Hiriyur HAM Project on 11th September 2024 and PNC Bithur Highways Private Limited received Final Completion Certificate on 29th October 2024 for 4 laning of Aligarh - Kanpur Package 5 HAM project.

✓ During the third quarter of current financial year, the Company's subsidiaries Hathras Highways Private Limited and Hardoi Highways Private Limited expected to receive Provisional Completion Certificates for 4 laning of Mathura 1C and Hardoi Bypass HAM projects respectively.

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✓ On the project awarding front, the Company:

o Received LOA on 10th October 2024 for an EPC project of contract value Rs. 2,040 crores from City & Industrial Development Corporation of Maharashtra Ltd. (CIDCO) for Integrated Infrastructure Development in the Town Planning Schemes 8, 9 and 12 of 'NAINA' Project.

o Received LOAs for two EPC projects from Maharashtra State Road Development Corporation (MSRDC) for an aggregate contract value of Rs. 4,630 crores on 14th October 2024 including construction of access controlled Pune Ring Road Package E2 for Rs. 2268 Crore and Construction of access controlled expressway, from Jalna to Nanded Package JNE -04, which is the connector to Nagpur – Mumbai Samruddhi Mahamarg for Rs. 2362 Crore.

o With the award above mandates, the total new business secured in the current financial year till date comes to RS. 6670 crore.

o Company has received Rs. 62 crores in the month of August 24 and Rs.108.0 crores in the month of October 24, totalling to Rs. 170.00 crores out of the total outstanding of 222.0 crores from the Government of Andhra Pradesh towards work done in the Canal Upgradation Project in AP.

o Company will be resuming execution of the remaining works of the Canal Project of value over Rs. 900 crores shortly.

Moving on to the operational and financial performance of the company

✓ Out of the company's 28 fund-based projects, 3 are BOT -Toll projects, 2 are BOT Annuity Projects and 23 are HAM projects.

✓ Aggregate Bid Project Cost of 23 HAM projects is over Rs. 30,000 Crore, which is one of the largest highway HAM project portfolios in the country.

✓ Out of a total 23 HAM projects,
o Company achieved PCOD/COD for eleven projects
o Eight projects are under construction, out of which 4 projects are expected to achieve PCOD before the end of current financial year.
o Three projects achieved financial closure and appointed dates are expected to be declared shortly
o For one project, concession agreement was executed with the Authority on 7th March 2024 and financial closure documents has been executed & submitted to MPRDC for the Financial Closure.

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✓ Total equity investment requirement for the ongoing and awarded HAM projects is Rs. 3,092 crore.

✓ As of Se

ptember 2024 , Company already invested Rs. 2,220 crores and the remaining equity of Rs. 872 crores to be invested over the next 2 to 3 years.

✓ The internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirements.

Now moving on to our order book

✓ As of 30th September 2024 , the company's unexecuted order book stands over Rs. 19,900 crores, which includes 3 EPC contracts secured by the Company for aggregate contract value of Rs. 6,670 Crore.

✓ Out of the unexecuted order book, highway/expressway contracts contribute around 65%, while water, canal, area development and railways projects contribute around 35%.

✓ In terms of the project proponents, out of the total unexecuted Order Book of over Rs. 19,900 crores, value of MoRTH including NHAI contracts comes to 33% and value of contracts awarded by other authorities/clients comes to 67%.

✓ During the first half of financial year 25, Company has booked a total revenue of Rs. 429 crores in the drinking water segment.

Now I would present the results for the quarter and half year ended September 30, 2024.

Standalone Quarterly Results:

Revenue for the 2nd quarter of FY25 is Rs. 1,149 crores.

The EBITDA for the 2nd quarter of FY25 is Rs. 134 crores. The EBITDA margin for the 2nd quarter of FY25 is 11.6%.

The profit for the 2nd quarter of FY25 is Rs. 81 crores. The PAT margin for the 2nd quarter of FY25 is 7.0%.

Standalone Half Yearly Results:

Revenue for H1 FY25 is Rs. 2,894 crores.

The EBITDA for H1 FY25 is Rs. 727 crores which is higher by 54% as compared to Rs. 473 crores in the H1 FY24. The EBITDA margin for H1 FY25 is 25.1%.

The profit for H1 FY25 is Rs. 502 crores as compared to Rs. 296 crores in H1 FY24, a growth of 69% on a YOY basis. The PAT margin for H1 FY25 is 17.3%.

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Consolidated Quarterly Results:

Consolidated revenue for the 2nd Quarter of FY25 is Rs. 1,427 crores.

The consolidated EBITDA for the 2nd quarter of FY25 is Rs. 356 crores. The EBITDA margin for Q2 FY25 is 25.0%.

The consolidated PAT for the 2nd quarter of FY25 is Rs. 83 crores. The PAT margin for Q2 FY25 is 5.8%.

Consolidated Half Yearly Results:

Consolidated revenue for H1 FY25 is Rs. 3,595 crores.

The consolidated EBITDA for H1 FY25 is Rs. 1,325 crores as compared to Rs. 836 crores in the H1 FY24, a growth of 58%. The EBITDA margin for H1 FY25 is 36.9%.

The consolidated PAT for H1 FY25 is Rs. 659 crores as compared to Rs. 329 crores in H1 FY24, a growth of 100%. The PAT margin for the H1 FY25 is 18.3%.

ON THE STANDALONE BALANCE SHEET SIDE,

As on 30th September 2024, our net working capital cycle is 144 days.

Our net worth on standalone basis is Rs. 5,269 crores as on 30th September 2024, whereas total standalone debt is Rs. 410 crore.

The total cash and bank balance as on 30th September 2024 is Rs. 640 crores. We have a net surplus of Rs. 230 crore. This translates to net debt to equity of 0.08 times.

On Consolidated Basis , our net worth is Rs. 5,830 crores whereas total debt is Rs. 8,780 crores as on 30th September 2024. The total cash & bank balance including current investments is Rs. 1,535 crores. This translates to net debt to equity of 1.5 times.

With this, we now open the floor for question -answers. Thank you.

.Moderator: Thank you very much, sir. We will now begin with the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, just to check on what we recently discussed sir regarding MoRTH one-year ban. So any update first, what kind of even I think our Writ Petition has also been rejected. So what's the course of action for us. And by when can we have some clarity on that part. and if there is no clarity than in terms of order i

nflow, how we are now looking at how much more and from which segments, sectors are we looking at to get the orders?

T. R. Rao : That Writ Petition have been not been allowed by the single bench of honorable high court.

We are evaluating options, including file of an appeal against the order of the MoRTH as well

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as the order of the single bench . We are evaluating that one of these options. We are also taking measures to mitigate the impacts because of this order, how we can mitigate? To what extent we'll be able to mitigate?

And in case of any positive results, we'll certainly share after intimating to the exchanges.

However, we are hopeful of getting certain relief from current challenging situation further later. Second thing, we'll keep all the case orders updated, any material development in this matter after due intimation to the exchangers. And we appreciate and we trust that you will understand the sensitivity of the matter and does not seek any further details. Or further elaboration on the matter as the matter being the sensitive.

. With regard to order book we still maintain, as I mentioned in the beginning of the year that our order book for the current financial year guidance will between INR13,000 crores to

INR15,000 crores. Already we secured around INR6,700 crores of orders. So remaining we are expecting another INR6,000 crores to INR8000 crores orders from authorities and proponents other than MoRTH .

There are opportunities we identified. So we'll be pursuing those opportunities to secure further business before the end of current financial year.

Shravan Shah: Sir, if you can help there, which sector, or which authority even at state level, any state authority road projects are we looking at? Is there any -- are there any bids we have already bid and the outcome is yet to come and how much more are we planning to bid maybe sector -wise possible that will be helpful because this is the most important thing for us to in terms of to get revenue visibility.

T. R. Rao : See we had already submitted around 17 Bids, – we submitted eight bids for projects floated by authorities other than NHA I and MoRTH . Some of them are state and some of them are central, including railway bids, the value of over INR11,000 crores. The price bids are of these bids are yet to be opened. So maybe next one, 1.5 months of these bids will open. So we are hopeful of getting some projects from these bids.

And further, other than again MoRTH and bids, there are around 12 bids have been invited by other agencies and other authorities having an aggregate value of INR14,000 crores, which we have identified for bidding, and we will be bidding. These projects will be evaluating these opportunities and bidding these projects in the coming months.

So INR11,000 crores already bid and INR14,000 crores we identified. So total INR25,000 crores worth of projects we are pursuing.

Shravan Shah : We need to get a very good success rate in this INR25,000 crore to get the this INR6,000 crores to this INR8,000 crores kind of orders that we are looking at now. So now, just to get back in terms of the guidance, what we previously said so, terms of revenue. So till now 19% de-growth is there in standalone. Last time we said flat to minus 10% growth. So now what's the standard for FY '26? We said 15%, 20% growth. So what's the revised guidance? And also on the EBITDA margin also.

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T. R. Rao : The given the situation, the revised guidance for the FY '25 would be 15% to 20% decline, and accordingly FY '26 would be up to 30% plus growth.

Shravan Shah : Margin will be a 12% -12.5% as previous ly guided ?

T. R. Rao: Yes. Okay, as per previous guidance.

Shravan Shah : If you can help us with a couple of balance sheet data points, that would be a grateful and even

the project wise order book. So just to mobilization advance , retention money , HAM debtors , water debtors .

T. R. Rao : Can you again discuss because there are other participants are there. So request you go again, we'll come at this one going forward. .

Shravan Shah : Okay.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital Private Limited. Please go ahead.

Sarvesh Gupta: Yes. Before I ask the question, I could not hear the revised guidance. So is it 15% to 20% decline or what was it?

Yogesh Jain : 15 to 20% decline.

Sarvesh Gupta: And next year, 30% growth?

Yogesh Jain : Yes

Sarvesh Gupta: And margins to remain 12.5%

DK Maheshwari : Yes. EBITDA Margins will be around 12% to 12.5% in FY'25 and around 13% in FY'26.

Sarvesh Gupta: Now that you know this matter which has come up of the ban by MoRTH, so you must have had discussions with about this asset sale with the counterparty. So is there any problem in terms of doing that transaction or everything is going as per plan?

DK Maheshwari : We don't see any problem in the transaction. Everything is as per the plan.

Sarvesh Gupta: And sir, by when are we planning to close this thing, and when can we expect to receive the money?

DK Maheshwari : Out of total assets for which we had entered into a master security purchase agreement in the month of January, we expect to close 10 mandates, 10 assets before the end of the current financial year. And the remaining two assets will be in the next financial year

Sarvesh Gupta: Remaining in the next two financial years. Okay. And sir.

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DK Maheshwari : Yes.

Sarvesh Gupta: And sir, now coming to your growth. The execution in this quarter that has been sort of very subdued like almost for H1, also it is almost down by 30 odd percentage. So how do we see the execution I mean, I can understand that now no new orders will flow through. But in any case, if they were to come that would have been probably impacting the revenue of FY '26 and not FY '25, which is coming from the current order book only. So why should we have such a decline in FY '25, 15%-20%? And why are we seeing such low execution on our existing order book in terms of revenue transition?

T. R. Rao : See, we appreciate your kind of concern about the decline in the revenues. Particularly, what has happened, if you see the background of last 1 – 1.5 years or nearly 2 years, awarding activity has been very slow by the MoRTH, which was one of your focus sectors and focused about this.

As you know, last 1.5 years to 2 years the order awarding – activity has been very slow. One way the ministry talks about 40 kilometers of road per day. But they are targeting 40 kilometers of road per day whereas they are awarding less than 10 -kilometer of road per day awarding – awarding is less than 10 kilometer. In this current -- last five months, the awarding activities is less than 6 kilometers. If they are talking about 40 kilometers of every day constructions.

So awarding activity has been very slow. So we could not get the new orders last 1 year and 1.5 years, particularly from the MoRTH. And then strategically, we shifted our focus and we set our efforts to areas and other state governments. That is one aspect.

Second thing is as MD has mentioned, they put a brake on the Bharatmala project. There were the general elections this year. And also the monsoon was very active, very insistent rains and very widespread across our project areas. The time unprecedentedly, monsoon continuously it was raining.

And particularly in our water sector where we need to lay the pipelines below the existing and also construct water tanks below the – track on the underground. So these are – all of these projects have been severely affected progress. That has happened in the second quarter of this year.

This is one – and third thing, third important thing though we got more than INR6,000 crores worth of new projects before last year. These projects could not be taken up due to non - availability of sufficient land, particularly, in the contiguous stretches ; that is Varanasi to Kolkata, three HAM projects and one MPRDC project and one project in Gwalior City . So nevertheless, so we have eight new projects .

Five already awarded projects and three recently awarded projects from MSRDC and CIDCO. These eight mandates will have a value of over INR11,000 crores for which we are expecting our appointed dates before end of this calendar year. And we are quite hopeful that we'll commence construction and preconstruction activity right now.

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In case of Maharashtra project, immediately after the current election process and code of conduct gets over, we'll commence. And we'll see some sizable income from these new eight projects in the Q4 of FY 2025, and we'll get a significant income from FY '26 onwards from these projects.

Sarvesh Gupta: Understood, sir. In the Maharashtra, there are two projects now in case there is a change in the government, do you foresee any problems in terms of getting the final orders for these two projects, which are sizable part of unexecuted order book?

T. R. Rao : No. We don't foresee -- a continuity of policies are there. Even last time also, there has been a change in government when we are executing Nagpur -Mumbai Expressway and we didn't get any issue over there. And now contract agreements have also been signed for all these projects.

So we don't foresee any issue.

Yogesh Jain : Advances have taken.

T. R. Rao : Yes, mobilization advances have been received. So we don't foresee any issue in any of the Maharashtra projects because these are the very development projects and very crucial for this socio -economic development of the state. We don't see any issue.

Moderator: Thank you. We'll take the next question from the line of Niteen Dharmawat from Aurum Capital. Please go ahead.

Niteen Dharmawat: Okay. My question is after this order, which is come, have you won any new contracts or we are just yet to get that from authorities other than NHAI, of course?

T. R. Rao : Yes. As I mentioned, we submitted eight bids to Indian Railways, different zones and one bid to Haryana Rail Infrastructure Development Corporation and also four bids to MSRDC. These

are all other than the MO bids. The opening of price bids are awaited because the Code of Conduct is in place in Maharashtra, so this INR11,000 crores, we expect some projects we will secure. We are hopeful of that.

Niteen Dharmawat: Got it. And what is the growth you mentioned, I missed that in the top line this year and next year? What is the guidance that you have given?

T. R. Rao : We had already mentioned this year there will be a decline between 15% to 20% in the top line, and whereas next year, we see a growth on the plus side up to 30% over FY'25.

Niteen Dharmawat : Got it. And what is the EBITDA guidance that you have given for this year, sir?

T. R. Rao : Current year, we have given 12% to 12.5%, and next year will be around 13%.

Niteen Dharmawat : Okay, got it. Thank you so much.

Moderator: We'll take the next question from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

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Jyoti Gupta: Thank you so much, sir, for taking my question. This is related to your – am I audible? Just wanted to know, how does this affect your credit rating in terms after this order? Do you think will that impact in any way your balance sheet items because of this order?

D. K. Maheshwari : The rating agency duly scrutinized / update the things post-declaration of this order, and they reconfirmed the same as a double A plus for long term. They

reconfirmed the same rating.

There is no change in the rating

Jyoti Gupta: Okay. That's my question.

Moderator: We'll take the next question from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah: Yes, thanks for the opportunity. Sir, can you just provide the data on the detail of 10 assets which we are going to monetize now in FY25? So, what would be the equity value and what was the investment in those 10? Earlier, we had broken up in 7 and 5 assets. So, can you provide similar data for 10 and 2 assets?

D. K. Maheshwari : The 10 assets equity value is INR1,490 crores as against the INR1,739 crores of 12 assets, and enterprise value will be around INR7,690 crores.

Vaibhav Shah: Okay. And secondly, sir, we saw that muted execution in JJM for the second quarter. So, was it only due to the heavy monsoon or also due to delayed payments? So, how have been the payments so far on the JJM side? And last time, I guided for revenue of INR1500 crores from JJM. So, what would be the revised guidance given the weaker execution in first half?

T. R. Rao : The revised guidance is INR1,200 crores. And this is basically essentially due to the active monsoon, many of the works affected at the site. Because even post monsoon also, post rain also, this after effects will be there, because most of the works are to be executed below the ground.

Essentially, we have that. And since we have sufficient working person, any delay in the payment affects our work. And with regard to the payment, we are getting the payments. Certain payments are due, exact figures we share separately. But we do not foresee, because the 50% grant has to come from central government and 50% has to be given by state. And being a priority sector, we do not foresee any long term issues in payments, but maybe there may be slight interruptions in the payments.

Vaibhav Shah: Then lastly, can you provide a breakup of equity investment over FY'25 to FY'27 of the INR872 crore s pending equity?

D. K. Maheshwari : Yes. In case we receive the appointed of all the BOT HAM projects by end of calendar year this year (Oct-March'25) we have to infuse around INR486 crore s and FY20 26 INR256 crores and FY20 27 INR132 crore s.

Vaibhav Shah: And so, we expect appointments for all the projects by December 24?

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D. K. Maheshwari : Yes, we are expecting it.

Vaibhav Shah: Okay. Thank you, sir. Those were my questions.

Moderator: Thank you. We will take the next question from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Good afternoon, sir. My first question is to understand the pipeline on the JJM projects. I think it has been quite long since we have last run the projects in JJM. How is the pipeline looking at and are we active in bidding for those projects?

T. R. Rao : We are certainly looking very actively in case of any further projects come up in the JJM space. As of now, there are no major projects in the JJM because of the state elections and

followed by general elections for Lok Sabha. So, if any projects are coming up in JJM, certainly we look into those opportunities for pursuing.

Deepesh Agarwal: Sure. And, sir, I want to understand on the diversification side now with the restriction on the major customer on the road, how are you thinking about diversification beyond road and water? I understand you are bidding for some railway projects, but beyond this, what is your preparedness in bidding for projects, team building, etc.?

T. R. Rao : Apart from railway projects, as you know, we got the area development project, major area development project from CI DCO. It is certainly a diversification because it is not a highway project, it is not a railway project, it is a development project. Around the Navi Mumbai airport, this NAINA project is Navi Mumbai Airport Inflow

ntial Notified Area.

They are constructing a new city over there under different town planning schemes. It is a comprehensive development of a new city. So, we got that project for more than INR2,000 crores. Certainly, it is a big thing and it will also open the start for us for entering into the area development projects across the country. So, this is one diversification area and also we are pursuing similar projects. Some of the projects are coming up in UP also by UPSI DA, area development and industrial area development.

And we are also bidding in railways and we have senior railway officers. We superannuated from railway. So, they are also pursuing and railways also. And water segment, apart from the Jal Jeevan Mission, we are also looking at the other water projects including treatment plants and all, some collaboration with others. So, we are looking at all the options. So, for ay in to diversification, for ay in to new sectors and new spaces.

Deepesh Agarwal: Okay, okay. Thank you and all the best.

Moderator: Thank you. We will take the next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hello. Sir, my first question is these two projects which you said will move into FY26. So, these are the Khajuraho and the Bundelkhand projects?

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D. K. Maheshwari : They are Challakere and Meerut projects.

Parikshit Kandpal: So, these two where the issue has been, the bidding has been suspended. So, they continue to be part of that 10 projects which will get exercised in FY25.

T. R. Rao : Yes, yes, yes. As you know, these two are the SPV projects. Any suspension of bidding and all doesn't have any consequence to these projects because these projects are meant exclusively for implementation of a particular project.

So, the bidding and all is totally inconsequential to these two projects. So, these two projects will be a part of first tranche which we expect to close before the end of the current financial year. Only Meerut Nizamabad and Challakere Hiriya where we got the PCOD delay lately. So, those two projects will be in the next financial year. That also will be able to close during the first half of next financial year.

Parikshit Kandpal: Okay. Second question is when someone is debarred, like now, I mean, if the bids are not opened and the contractor gets disqualified. But in case where the LO has been signed and FC has been achieved, like in case of three projects which are pending AD. So, how does the authority assess those projects? So, will those projects be progressed or is it like legally binding now on the authority to proceed and award those projects or there's still some room that they may still re-evaluate and look at how it gets awarded?

T. R. Rao : No, no, no. This awarding project and this thing is irreversible and this debarment order affecting from 18th of October, this has nothing to do with those projects. So, these projects will go and whatever projects we secure, those projects will go ahead with the execution and we'll complete those projects. So, there is no point of any kind of a review of these projects in view of the ordering process.

Parikshit Kandpal: So, the LO A is the main document which basically is the cut-off kind of a document where if it has been issued before that date, so then this has to be honored by the authority.

T. R. Rao : Even we have executed the contract agreements for these projects and we have received the mobilization advance also.

Parikshit Kandpal: Okay. So, for all these three projects, Varanasi, Ranchi and these three packages, so you have received mobilization advance also?

T. R. Rao : We have not taken advance in 3 packages of Varanasi Kolkata as appointed dates are yet to be declared. Those concession agreements have been signed and financial closure achieved. So

appointed dates will be declared of these projects. So nothing to do with the MoRTH order.

Parikshit Kandpal: So I just want to understand legally, how it is binding in terms of like what the cutoff date. So

is it the LO A which decides that or the signing of concession agreement, it decides that the authority will not take any punitive actions against these three projects , what confidence do you have on that? So what determines that I want to understand?

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T. R. Rao : Even opening up the bid itself with the cutoff date before LOA, if the bids -- financial bids are open because it's only for bidding process, so that is the thing. If LO A is given, it's totally irreversible.

Parikshit Kandpal: Okay. So now just on the AP side, one thing you touched upon was that the project, the canal project is now restarting and you have received the payments. Just wanted to understand any of the opportunities you look at now the building out of the AP city, AP state. So any further opportunities you're looking to kind of replace the shortfall which may happen due to NHAI from the AP state?

T. R. Rao : Yes, we are. We are certainly looking at the opportunities because even for the Amravati new capital for the AP, World Bank is granting INR15,000 crores for the infrastructure development there. And also state government is coming with some other projects. Also, the state government is contemplating connecting both Godavari and Krishna and Penna rivers. So many irrigation projects that may come up in the state government. So certainly, we'll look at those opportunities. We'll pursue it because this government has got more than 4.5 years -- more than 4 years of tenure. Certainly, we'll pursue opportunities there.

Parikshit Kandpal: I mean, because your guidance of around INR14,000 crores, INR15,000 crores for this year despite not factoring anything from NHAI itself. So you have that confidence that you will be able to deliver that, right?

T. R. Rao : Yes.

Moderator: The next question is from the line of Jinay Mehta from LKP Securities. Please go ahead.

Jinay Mehta: Sir, in the investor presentation, I see the EBITDA margins for the H1 FY '25 25%. So are we maintaining the same , or did you mention 13%...

D. K. Maheshwari : EBITDA margin FY '25 as told by T.R. Rao , it will be around 12% to 12.5% in FY '25. But however, in FY '26, it will be around 13% .

Jinay Mehta: Okay. Because the first half, I see it is mentioned 25% the H1 as of now.

DK Maheshwari : No. Actually, H1, it includes the arbitration award. So it is 25%. Otherwise, the EBITDA margin without considering the arbitration award, what we have received, it would be around 12% without external income.

Moderator: We'll take the next question from the line of Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: Yes, sir. A couple of clarifications. I think you mentioned that the pipeline of projects that you will be bidding or you have bid is INR25,000 -odd crores. So INR11,000 crores is railway. So this INR14,000 crores is from whichever authority ? Can you give some breakup on that front?

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T. R. Rao : See, INR14,000 crores, what we are thinking, there is 8 railway bi ds are there. And there is one UP state industrial development area and one UP expressway industrial development authority. There is one bit by Airports Authority of India and one bi d by Maharashtra State Industrial Development Corporation. So these are 12 bi ds other than MoRTH and NHA of a total value of INR14,000 crores.

Vishal Periwal: Okay. Got it, sir. And then is that the right way to understand the next year's growth rate of 30% will dependent upon the timely received of AD which we are expecting by December '24. That's a right way to understand, right sir?

T. R. Rao :

See whatever spillover things are there on the ongoing projects , because eight HAM projects are ongoing and also water project and cannel projects , these are the projects which are ongoing. Definitely, there will be a spillover of these projects with the balance work. Apart from that , the eight projects where we are going to receive appointed dates before end of the calendar year. So these projects are valued more than INR11,000 crores. So coupling both will be 30% growth. 30% growth is also because of the low rate effect of FY '25.

Vishal Periwal : Right sir, Got it , sir. And maybe one last thing, how are you seeing the capex for this year and anything on next year that you have planned as of now?

D. K. Maheshwari : This year, capex, we want to revise from INR80 -100 crores to INR30 -40 crores sir . And next year it will be around INR100 -120 crores.

Moderator: We'll take the next question from the line of Vasudev from Nuvama. Please go ahead.

Vasudev : Yes. Sir, you said capex you're planning is INR30 crores to INR40 crores in FY '25. So out of this, how much have we done in H1?

D. K. Maheshwari : In H1 around INR7 crores only.

Vasudev : Okay. And can you help me with the toll collection numbers?

D. K. Maheshwari : Yes. Toll collection in MP highway, it's INR9.8 crores; in Kanpur highway, it's INR18.1 crores and Bhanoli, Almora is INR15.1 crores.

Vasudev : Okay. And Narela one sir?

D. K. Maheshwari : Narela INR11.2 crores and Raebareilly Annuity INR32.2 crores.

Vasudev : Okay. And sir, just some clarification. What is the amount that we have received from Andhra Pradesh you said?

T. R. Rao : INR170 crores in two tranches.

Moderator: We'll take the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, will you now be able to share balance sheet data points?

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Shravan Shah: Yes. Sir, mobilization advance, retention money, HAM letters, water letters?

D. K. Maheshwari : The mobilization advance is to INR 290 crores, retention is INR140 crores and HAM Debtors is INR500 crores.

Shravan Shah: INR500 crores. And water Debtors

D. K. Maheshwari : Water is INR710 crores.

Shravan Shah: Okay got it. Sir, is it possible to share a couple of outstanding project-wise order book value?

D. K. Maheshwari : Yes, please.

Shravan Shah: Yes. Sir, Haryana Orbital Rail Corporation?

D. K. Maheshwari : INR670 crores.

Shravan Shah: And this irrigation project AP?

D. K. Maheshwari : INR 950 crores.

Shravan Shah: So it seems some increase has happened there ...

T. R. Rao : The revised estimate, this increase happened from INR 1,000 crores to INR1,150 crores.

Shravan Shah: Okay. And Kanpur, Lucknow express package one and package two?

D. K. Maheshwari : One is INR400 crores and package two is INR430 crores.

Shravan Shah: Okay. And what is Mathura Bypass to Gaju Village?

D. K. Maheshwari : This is almost complete. For Yamuna 1B is INR275 crores

Shravan Shah: Sorry. Mathura Bypass to Gaju Village last time, it was INR340 crores, you said it is completed.

D. K. Maheshwari : No. I think there will be some confusion because there are two projects, 1B and 1C of Mathura. So, 1B is INR275 crores outstanding and 1C is only INR20 crores.

Shravan Shah : And Hardoi? How much is value left now?

D. K. Maheshwari : INR 80 crores, sir. Hardoi is also almost completed. We are expecting PCOD soon.

Shravan Shah : Yes. And this Unnao Lalganj and Meerut -Najibabad, that is also completed?

D. K. Maheshwari : Almost completed. Around INR20 crores, INR15 crores is outstanding.

T. R. Rao: Both projects we received PCODs.

Shravan Shah : Okay. And last, Challakere -Hiriyur ?

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D. K. Maheshwari : INR70 crores, sir.

Shravan Shah : Yes. Sir, got it. Thank you very much, sir.

Moderator: Thank you. We'll take the next question from the line of Sarvesh Gupta from Maximal Capital Private Limited. Please go ahead. Mr. Gupta, yes, please proceed.

Sarvesh Gupta: Yes, sir. See, this year when these 10 road assets will be sold to the counterparty, I missed the earlier communication. So, how much of the debt reduction will happen from the console entity and how much of your profit will be booked?

D. K. Maheshwari : Profit will be booked at the time of the closing date after adjustment. And as regards the debt, as we have already informed that total debt was INR6480 crores of all 12 assets.

Sarvesh Gupta: So, from your console, INR6480 crores will go away of 12 assets ?

D. K. Maheshwari : Yes.

Sarvesh Gupta: And against this INR1,400 crores invested equity, how much is the equity sale value for this?

D. K. Maheshwari : We have invested INR1,739 crores in all the 12 assets.

Sarvesh Gupta: No, for these 10 assets.

D. K. Maheshwari : 10 assets, only INR1,490 crores we have invested.

Sarvesh Gupta: INR 1,490 and how much are you getting in return?

D. K. Maheshwari : It will depend on the closing of the deal when we will receive the payment, sir. Because there are certain adjustments...

T. R. Rao : See, this is a material and a financially significant information. So, we'll not be able to share now without intervening to the exchanges.

Sarvesh Gupta: Okay. Understood. Thank you, sir.

Moderator: Thank you. We'll take the next question from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah: Yes. So, thanks for the follow-up. Then for the CIDCO project, what would be our EPC share?

T. R. Rao : Which project?

Vaibhav Shah: NAINA project.

T. R. Rao : 95%.

Vaibhav Shah: Okay. And for AP Canal, now what is the outstanding receivable after the receipt of INR172 crores?

PNC Infratech Limited

November 14 , 2024

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T. R. Rao : Excuse me. Please stand corrected. For NAINA project, our share is 90% of the APC value.

And AP Canal, it had an outstanding of INR225 crores. Out of that, we released INR170 crores. The balance outstanding would be around INR55 crores.

Vaibhav Shah: Okay. And sir, now how do we see the execution panning out for this AP project in the next '25, '26' and '27'?

T. R. Rao : See, we are expecting to commence the works in the month of December because in the both Canals, main Canal and the branch Canal, still water is flowing for the irrigation purpose.

Once the water supply is stopped in these Canals, we start from either mid of December or from January.

We expect a work done of INR200 crores, INR 300 crores before the end of current financial year. And again, next year, it will be around INR400 crores. We are able to share the tangible figures only once we commence the work and how it will progress. Maybe in the next quarter, we will be able to tell you.

Vaibhav Shah: And what is the revenue in first half from the project?

T. R. Rao : See, what happens every year, no revenue in the current for Q2 because we are not able to do any work over there because both the Canals are full.

Vaibhav Shah: Okay. And sir, lastly, when do we expect the money to come from the asset monetization deal for both the phases?

T. R. Rao : First tranche of 10 assets, what my colleague had mentioned, before the end of the current financial year, we should be able to realize the money and remaining two before end of the H1 FY '26.

Vaibhav Shah: Okay. Thank you, sir. Those were my questions.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Yogesh Jain : Thank you, everyone, for your participation in our earning call. In case of further queries, you may get in touch with the Strategic Growth Advisors, our Investor Relations Advisor

rs, or feel

free to contact us. Thank you.

Moderator: Thank you so much, sir. Thank you, members of the management. On behalf of Centrum Broking Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

IPNC PNC Infratech Limited

To,

The Manager

Department of Corporate Services

BSE Limited

Floor 25, P.J. Towers,

Dalal Street, Mumbai-400 001

Scrip Code: 539150Ref No: PNC/SE/I13/24-25Date:15.02.2025

To,

The Manager

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex,

Bandra (East), Mumbai- 400 051

NSE Symbol: PNCINFRA

Dear Sir,

S"b-

nine months ended December 31. 2024

Pursuant to Regulation 30 of the SEBI (Listing obligations and Disclosure Requirements) Regulations,2015 we are enclosing herewith the transcript of earnings conference call on Financial Results for the quarter and nine months ended December 31,2024 held on Tuesday, February 11,2025.

You are requested to take this information on your record.

Thanking you,

For PNC Infratech Limited

Tapan Jain

Company Secretary & Compliance Officer

ICSI M. No.: A22603

Encl: ala

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NH-2, Agra-282002

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9't-11-29566511, 64724122An ISO 9001 :2015 Certified Company

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"PNC Infratech Limited Q3 FY25 Earnings Conference
Call"

February 11, 2025

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th February 2025 will prevail.

MANAGEMENT : MR. YOGESH JAIN - MANAGING DIRECTOR , PNC
INFRATECH LIMITED
MR. T. R. RAO - DIRECTOR (INFRA), PNC INFRATECH
LIMITED

MR. D.K. AGARWAL - CFO, PNC INFRATECH LIMITED
MR. D.K. MAHESHWARI - SENIOR VICE PRESIDENT (FINANCE), PNC INFRATECH LIMITED
MODERATOR : MR. KUNAL SETH - BATLIVALA & KARANI SECURITIES

PNC Infratech Limited
February 11, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY25 Earnings Conference Call of PNC Infratech hosted by Batlivala & Karani Securities India Pvt. Ltd.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now had a conference over to Mr. Kunal Seth from Batlivala & Karani Securities. Thank you and over to you, sir.

Kunal Seth: Thank you, Steve. Good afternoon, ladies and gentlemen. On behalf of B& K Securities, I'm pleased to welcome you all on PNC Infratech Limited Q3FY25 Earnings Conference Call . We have with us the Managing Director of the Company – Mr. Yogesh Jain, along with the senior Management Team .

We will begin with an opening remark from the management, followed by an interactive Q&A session. Thank you and over to you, sir, for the opening remarks.

Yogesh Jain: Good afternoon, everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

Today, I have with me Mr. T. R. Rao, Director (Infra), Mr. D. K. Agarwal, Chief Financial Officer, Mr. D. K. Maheshwari, Senior Vice President (Finance) and Strategic Growth Advisors - our Investor Relations Advisors.

We have uploaded the financial results and Investor Presentation on the Stock Exchanges and Company's website for your reference.

Initially, I would like to mention key updates of the industry, followed by the operational developments of the Company and highlights of financial performance during the quarter and nine months of Financial Year 25, post which we will be happy to answer your questions.

✓ Like the last year, the first nine months of current financial year also witnessed subdued new project awarding activity by both MORTH and NHAI.

✓ It is understood that total hold on the Bharatmala program, the general elections held in June 2024 and delay in acquisition of minimum land required before bidding are the key reasons for very low project awarding activity.

✓ However, since beginning of fourth quarter of the current financial year, awarding activity is getting expedited by both MoRTH and NHAI as such sizeable number of new projects on EPC, HAM and DBFOT Toll modes are expected to be awarded before 31 March 2025.

✓ Highway construction activity declined by nearly 6% in the first nine months of FY25, to 5,283 km from 6,216 km in the same period of FY24.

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✓ During the current financial year, execution of already awarded projects severely impacted due to intense and prolonged monsoon and low awarding activity over the past one & half years and persistent delay in declaration of appointed dates due to non-availability of land for commencement of construction.

✓ Providing peacefully possessed minimum vacant ROW has become critically important for both timely commencement of awarded projects and uninterrupted construction.

✓ In recently introduced budget, the government allocated ₹2.8 lakh crore to the

Ministry of Road Transport and Highways for the financial year 2025 -26.

✓ Out of the above budgetary provision, allocation to NHAI has been increased to **■1.8** lakh crore for highway expansion and modernization programs.

✓ To further optimize infrastructure development, MoRTH is implementing a corridor - based approach, prioritizing uniform standards, enhanced user convenience, and improved logistics efficiency.

✓ This initiative aims to streamline transportation, reduce travel time, and lower logistics costs, fostering better connectivity and seamless mobility across the country.

✓ To leverage technological advancements, which is playing a pivotal role in infrastructure, MoRTH is exploring adoption of Artificial Intelligence in infrastructure particularly through Automated & Intelligent Machine -Aided Construction (AIMC) for national highway projects.

✓ Notably, our company is at the forefront of this initiative, having implemented Automated & Intelligent Machine -Aided Construction for the first time in India at Lucknow -Kanpur Expressway Project.

✓ As part of this state -of-the-art technology, graders, rollers and pavers fitted with 'GPS based 3D Machine Guidance & Control Systems' for precise grading, compaction and paving conforming to the design parameters. This technology also ensures real time monitoring and controlling of operations.

✓ This innovative approach is poised to bring revolutionary changes in road construction in India.

Now coming to the recent updates on the company:

✓ On the project development side, Company's subsidiary Hathras Highways Private Limited received Provisional Completion Certificate for its HAM project on 31st October 2024, two months ahead of the scheduled completion date for Mathura 1C package .

✓ On the Asset Monetization front, during the quarter, the company received in - principle approvals from NHAI for the Divestment of the Company's interests in eight target assets.

✓ For the remaining three assets, approvals are expected by end of this month.

✓ Company has already received NOC from 34 Lenders for 11 projects.
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✓ On the project awarding front, the Company, has received Letters of Award for 3 EPC projects for an aggregate contract value of Rs. 6,670 crores in the state of Maharashtra.

✓ During the quarter, we have received Rs. 108 crores from the Government of Andhra Pradesh towards work done for the Canal Upgradation Project.

✓ We are pleased to share that as per the MORTH Order dated 6 February 2025, the disqualification imposed on the Company and its two subsidiaries has been reduced from 12 months to 4 months. Accordingly, we will resume participation in the bidding processes of MoRTH, NHAI and NHIDCL from 18 February 2025 onwards.

Moving on to the operational and financial performance of the company

✓ We have 28 fund -based projects, out of which 3 are BOT -Toll projects, 2 are BOT Annuity Projects and 23 are HAM projects.

✓ Out of the 3 BOT Toll projects, concession period for one of the projects, Kapur - Kabrai Toll Project concluded on 20 January 2025 and accordingly tolling operations have been handed over to NHAI

✓ Aggregate Bid Project Cost of 23 HAM projects is over Rs. 30,000 Crore, which is one of the largest highway HAM project portfolios in the country.

✓ Out of a total 23 HAM projects,

✓ 12 projects achieved PCOD/COD

✓ 7 projects are under construction,

✓ 3 projects achieved financial closure and appointed dates are to be declared

✓ For one project, concession agreement was executed with the MPRDC on 7th March 2024 and financial closure documents has been executed & submitted to MPRDC.

✓ Total equity investment requirement for the HAM projects is Rs. 3,092 crore.

✓ Till December 2024, Company already invested Rs. 2,283 crores and the remaining equity of Rs. 809 crores is to be invested over the next 2 to 3 years.

✓ The internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirements.

Now moving on to our order book

✓ As of 31st December 2024, the company's unexecuted order book stands over Rs. 18,900 crores, which includes 3 EPC contracts secured by the Company in FY'25 for aggregate contract value of Rs. 6,670 Crore.

✓ Out of the unexecuted order book, highway/expressway contracts contribute around 75%, while water, canal, area development and

railways projects contribute around 25%.

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✓ In terms of the project proponents, out of the total unexecuted Order Book of over Rs. 18,900 crores, value of MoRTH including NHAI contracts comes to 30% and value of contracts awarded by other authorities comes to 70%.

Now I would present the results for the quarter and nine months ended December 31, 2024.

Standalone Quarterly Results:

Revenue for the 3rd quarter of FY25 is Rs. 1,205 crores.

The EBITDA for the 3rd quarter of FY25 is Rs. 146 crores. The EBITDA margin for the 3rd quarter of FY25 is 12.1%.

The profit for the 3rd quarter of FY25 is Rs. 83 crores. The PAT margin for the 3rd quarter of FY25 is 6.9%.

Standalone 9 Month's Results:

Revenue for 9M of FY25 is Rs. 4,099 crore.

The EBITDA for 9M of FY25 is Rs. 873 crores which is higher by 23% as compared to Rs. 712 crores in the 9M of FY24. The EBITDA margin for 9M of FY25 is 21.3%.

The profit for 9M of FY25 is Rs. 585 crores as compared to Rs. 447 crores in the 9M of FY24, a growth of 31% on a YOY basis. The PAT margin for 9M of FY25 is 14.3%.

Consolidated Quarterly Results:

Consolidated Revenue for the 3rd quarter of FY25 is Rs. 1,470 crores.

The consolidated EBITDA for the 3rd quarter of FY25 is Rs. 379 crores. The EBITDA margin for Q3 of FY25 is 25.8%.

The consolidated PAT for the 3rd quarter of FY25 is Rs. 81 crores. The PAT margin for Q3 of FY25 is 5.5%.

Consolidated 9 month's Results:

Consolidated revenue for 9M of FY25 is Rs. 5,065 crores.

The consolidated EBITDA for 9M of FY25 is Rs. 1,704 crores as compared to Rs. 1,268 crores in the 9M of FY24, a growth of 34%. The EBITDA margin for 9M of FY25 is 33.6%.

The consolidated PAT for 9M of FY25 is Rs. 740 crores as compared to Rs. 514 crores in 9M of FY24, a growth of 44%. The PAT margin for the 9M of FY25 is 14.6%.

ON THE STANDALONE BALANCE SHEET SIDE,

As on 31st December 2024, our net working capital cycle is 167 days.

Our net worth on a standalone basis is Rs. 5,353 crores as on 31st December 2024, whereas total standalone debt is Rs. 397 crore.

The total cash and bank balance as on 31st December 2024 is Rs. 743 crores. We have a net surplus of Rs. 345 crore. This translates to net debt to equity of 0.07 times.

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On Consolidated Basis, our net worth is Rs. 5,911 crores whereas total debt is Rs. 9,332 crores as on 31st December 2024. The total cash & bank balance including current investments is Rs. 1,701 crores. This translates to net debt to equity of 1.58 times.

With this, we now open the floor for question -answers. Thank you.

Moderator: Thank you. Before we start the Q&A session, I would like to read out that this conference call may contain forward -looking statements about the Company, which are based on the beliefs, opinions and expectation of the Company as of date of this call. The statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touch tone telephone. If you wish to remove yourself from the question queue, you may press '*' and '2'. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you, sir. A couple of questions. So, first in terms of the inflow and the revenue front? So, now the ban on NHAI and the MoRTH is ending and we'll be able to bid from the 18th February onwards. So, how now we are looking at in terms of the order inflow for by March end and maybe if you can help us for the next year also and there also from N

HAI and

MoRTH side, particularly how much are we looking at in terms of the order inflow by March end next year?

T. R. Rao : So, far this year we received new orders worth of Rs. 6,670 crores. We are expecting new order before end of current financial year may be next say 6 weeks to 7 weeks of another Rs. 6,000 crores to Rs. 9,000 crores. So, our order book of the new order at the end of the financial year for the current financial year around Rs. 13,000 crores to maximum Rs. 15,000 crores. So, we don't want to now delve into it, how much would be from MoRTH or from the other clients, but it will be around Rs. 13,000 to Rs. 15,000 crores. Our new orders for the financial year FY26 also will be in the same range, Rs. 13,000 crores to Rs. 15,000 crores.

Shravan Shah: Got it, sir. And, now in terms of the revenue, so already if I exclude the arbitration and everything, so nine months, we are already down by close to 32% odd. So, in the 4th Quarter, excluding the arbitration, which was there in the last year, 4th Quarter or Rs. 297 crores. So, how we look at the core revenue front are we looking at and given that now the order in flow will pick up. So, far next year because the base itself is low. So, how we are looking at the next year revenue?

T. R. Rao : So, in the current year overall, we are looking at a revenue which would be lesser by 25% to 30% in comparison to FY24 and subsequently in the next year we are expecting an increase in the revenue guidance would be plus 35% over FY25.

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Shravan Shah: Sir, when we're saying 25 % to 30% lower this year, so this excludes the arbitration and also this is a pure construction revenue we are talking about ?

T. R. Rao : This includes arbitration also because the last year also we have an arbitration of around Rs. 300 crores. So, this 25 % to 30% decline is inclusive of arbitration , what we have received during the first quarter of current financial s?

Shravan Shah: And margin , obviously we will be maintaining 12 % to 12 .5% next year 1 4%.?

T. R. Rao : Yes.

Shravan Shah: Now if you can share sir couple of and the project wise order book data point. So, inventory trade, receivable , payable, retention money, unbilled revenue mobilization advance ?

D. K. Maheshwari : Yes, retention money is Rs. 172 crores and mobilization advance is Rs. 671 crores.

Shravan Shah: Inventory data , stable ?

D. K. Maheshwari : Inventory is Rs. 746 crores and debtor is Rs. 1,668 crores.

Shravan Shah: Okay, and creditor payables.

D. K. Maheshwari : Rs. 760 crores.

Shravan Shah: Rs. 760 and in debtors, how much HAM and water debtors ?

D. K. Maheshwari : EPC is 64%, which is Rs. 1,070 crore s and 36% is HAM which is Rs. 5 98 crores .

Shravan Shah: Rs. 598 crore s and water project how much is outstanding?

D. K. Maheshwari : Rs. 792 crore s.

Shravan Shah: And a couple of project wise order book if you can share , that would be very grateful. So, starting with the irrigation project, so how much is outstanding value as on December?

D. K. Maheshwari : It is Rs. 924 crores , sir.

Shravan Shah: Okay, Kanpur package 1 and package 2, Kanpur -Lucknow ?

D. K. Maheshwari : Package 1 is Rs. 238 crores and package 2 is Rs. 292 crores .

Shravan Shah: Mathura Bypass - Gaju Village ?

D. K. Maheshwari : Mathura Bypass Rs. 193 crores .

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Shravan Shah: And Harid oi?

D. K. Maheshwari : Hard oi is almost completed.

Shravan Shah: Similar would be the Gaju Village -Devi Nagar should also be complete?

D. K. Maheshwari : Yes.

Shravan Shah: And this both one, Unnao -Lalganj and Meerut -Nazimabad should also been completed?

D. K. Maheshwari : Yes, completed.

Shravan Shah: Challakere -Hariyur also completed or something is left?

D. K. Maheshwari : Challakere is remaining. That is 54 crore.

Shravan Shah: And Ha

ryana rail orbit?

D. K. Maheshwari : Haryana Rail Orbit is Rs. 620 crore s.

Shravan Shah: And the last one is Prayagraj -Kaushambi .

D. K. Maheshwari : Prayagraj is Rs. 469 crores .

Shravan Shah: Thank you sir, I have more questions, we will come back in queue . Thank you.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: I wanted to ask from the net working capital days side of the business. So, on an average the 90 days to 100 days that we used to maintain for last few years, our net working capital days is on a higher side. I mean, how do you look this to be going ahead probably for F Y26 and further . Can we see the normalized 100 days coming back for net working capital days?

D. K. Maheshwari : Yes, we are expecting FY25 to be 105 to 110 days because there is a temporary increase in the net working capital because of the advances given to the supplier because there are 8 projects where we have not started the work. So, we have mobilized the contactors, and we are giving the advances. That is why it is increased. Secondly, because of the mutual fund, around Rs. 440 crore of 3 1st December, that as against Rs. 3 crore in March '24 . So, because of these two reasons, it has increased to 167 days. Otherwise, it is around 102 to 105 days.

Vignesh Iyer: Okay, got it.

D. K. Maheshwari : It is a temporary thing. As soon as the work will start in the project, the bills will adjust against that advance .

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Vignesh Iyer: Got it, sir. What is the kind of order inflow that we are seeing in quarter four? I mean, there is

expected to be a lot of announcements post all the elections, things are done with, I mean, after the Lok Sabha, Maharashtra election, etc. So is there any major inflow that we are seeing coming in Quarter 4?

D. K. Maheshwari: Till December we have received the order of Rs. 6,670 crores and we are expecting around Rs. 6,000 to Rs. 8,000 crores by March. So, total will be around Rs. 13,000 to Rs. 15,000 crores during the FY25.

Vignesh Iyer: Okay and what would be the order inflow expected going ahead in FY26?

D. K. Maheshwari: FY26 also, we are expecting around Rs. 15,000 crores contracts.

Vignesh Iyer: Okay, sir, Got it. I'll get back in a queue sir. Thank you.

Moderator: Thank you. The next question is from the line of Jainam Jain from ICICI Securities. Please go ahead.

Jainam Jain: Thank you for the opportunity. So, sir, my first question is how are we seeing the order pipeline for FY26?

T. R. Rao: As our Managing Director has mentioned, for NHA itself, for Rs. 1.8 lakh crore, the budget reallocation was made by the Government of India. Apart from their internal accruals and the other program they are doing, so we expect a very robust pipeline of projects, both from NHA and MoRTH, apart from the other clients because the railways and other sectors also, funds have been allocated for the infrastructure as a whole. So, we're looking forward to have a robust pipeline of projects next financial year. So, definitely we'll be able to leverage those opportunities to secure around Rs. 15,000 crores of new projects during the FY26.

Jainam Jain: Okay, sir are there any major infra projects for which you are expecting the tenders to be floated in the coming quarter or you can say in H1 FY26 and where we will be looking for the to participant?

T. R. Rao: Yes. We have 1.5 months left in the current financial year. And also then we will be expecting the pipeline over next financial year also.

Jainam Jain: Any major infra projects should be named sir?

T. R. Rao: Yes.

Jainam Jain: Alright, sure, that answers my questions. Thank you so much.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

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Sarvesh Gupta: Good afternoon, sir. What is the standalone net debt as of now, sir?

D. K. Maheshwari: Net of cash is surplus of Rs. 345 crore, sir.

Sarvesh Gupta: Okay. So, Rs. 345 crore net cash.

D. K. Maheshwari: Net cash.

Sarvesh Gupta: Okay. And sir, so what we are seeing is this 40 days, how much of order inflow has happened in this quarter, sir?

D. K. Maheshwari: In this quarter we are expecting Rs. 6,000 to Rs. 8,000 crores, sir. And already we have received till December 6,700 crores.

Sarvesh Gupta: No, so Rs. 6,700 crores is understood. That is for first 9 months. Now in these 40 days till now, in this quarter, how much have you received till now?

T. R. Rao: As of now, for this quarter, till date we haven't received any new orders. But going forward, during the next 40 days, we expect to receive Rs. 6,000 crores to Rs. 8,000 crores new orders.

Sarvesh Gupta: Rs. 6,000 to Rs. 8,000 crores you expect, sir. And what is the pipeline of bidding on this? I mean, what kind of win ratios are we looking at? Because this Rs. 6,000 to Rs. 8,000 crores looks very steep to happen in just 50 days only.

T. R. Rao: Yes, because see the non-MoRTH itself, there are projects worth of more than 20,000 -25,000 worth of projects are there which have already been floated. And both MoRTH and NHA have floated projects worth of Rs. 1,27,000 crores which are to be bid out in next 5 to 6 weeks' time, comprising both EPC, HAM as well as the BOT projects. So, the pipeline is very huge, the bidding pipeline. So, as you see the past history, during the month of February and March, large number of projects are bid out, bids received and awarded before end of March. So, out of Rs. 1,50,000 crores, what we are expecting around 4% only. So, that much projects we are confident of getting before 31st March.

Sarvesh Gupta: Understood. And this, now in terms of your revenues, so even if I adjust for Rs. 300 crores of FY24, I get to Rs. 7,400 crores last year and that has had a standalone EBITDA margin of around 13.2%. So, what would be the sort of EBITDA margin guidance for FY26 because what you are saying is FY26 revenue should be similar to FY24, right? So, are we looking for slightly lower EBITDA margin given the change in the mix. Is the NHA projects being only 30% of our book giving us lesser margins? So, can you explain that, like, how do you look at the margins?

T. R. Rao: For FY26, as you had mentioned, we are looking at an EBITDA margin of 13%, which will be

akin to the F Y24 margin. The NHA I projects are there and there are projects from other clients also. As we mentioned, the ratio is as of now, 30:70. So, overall, we are looking at a 13% EBITDA margin for F Y26.

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Sarvesh Gupta: Okay. And are the margins similar, sir, because you are getting a lot of projects from non - NHA I , MoRTH. So, how are the margins , same or different?

T. R. Rao : Margins are more or less same from M oRTH and non -MoRTH projects. So, margins are more or less same. So, overall margin, if you say that, would be around 30% in FY26. We don't foresee any decline in the EBITDA margin in FY26. So, 13% what we are reasonably expecting.

Sarvesh Gupta: And this Rs. 6,700 crore that you have received, this is all Maharashtra, I understand. So, I think there are some concerns on this MSRDC project and I think there has been some delays etc. So, when do we expect the execution to begin on these projects and what is the current status of this?

T. R. Rao : MSRDC, we received two projects, Nanded -Jalna project, which is the expressway project, and another project is the Pune Ring Road. In Nanded -Jalna , we have already commenced the project. We already commenced the construction. And in the Pune also, we are expected to commence the construction during the current quarter . Because the government

after the state

assembly elections, they expedited the process of land acquisition, possession and giving the land. So, we don't foresee any major issue there. So, therefore, definitely these projects will be executed as per the schedule. It will be able to complete within the schedule time.

Sarvesh Gupta: And the CIDCO project, sir?

T. R. Rao : CIDCO project also, all pre -construction activities, we have commenced and we mobilized the resources .

Yogesh Jain: And we have received advance also.

T. R. Rao : We received the mobilization advance also first tranche So, CIDCO project also we are going to commence the construction during the current quarter.

Sarvesh Gupta: So, out of this Rs. 19,000 crore of order book sir , how much are you currently working on and how much is like somewhat away from execution phase ?

T. R. Rao : The Maharashtra projects are having a Rs. 6,600 crores for NHA I projects , we yet to get appointed date for another Rs. 3,000 odd crores project. So, we are working around , let say Maharashtra on this thing Rs. 9,000-Rs. 10,000 crores worth of projects we are working on.

Sarvesh Gupta: So, with this Rs. 9,000 -Rs. 10,000 crores sir, do you feel confident that next year itself we can do Rs. 7,500 crore because all the newer projects may not start immediately and it will take up to second half of next year to start many of the newer projects which we will win. So, from this Rs. 9,000 crore order book which is under execution can we get Rs. 7,500 crores on next year?

T. R. Rao: The Rs. 9,000 crores orders which are actively we are constructing which are the ongoing projects will not give the Rs. 7,400 crores . Certainly , we will get the some revenues from these

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new projects which we talked about more than Rs. 10,000 crores projects. And also then we may be getting some projects before end of the current financial year again which will give again some revenue from the Q3 onwards, F Y26 Q3. So, overall, that Rs. 7,400 crores , what you are telling at par with the F Y24, or otherwise 35% over and above the current financial year, you should be able to achieve the revenue.

Moderator: Sorry to interrupt , Mr. Sarvesh. Please fall back in the question queue for further questions.

Thank you. The next question is from the line of Ashish Shah from HDFC AMC. Please go ahead.

Ashish Shah: Good afternoon , sir. Sir, a few questions. In the water segment, can you update the status of on ground execution, whether there has been any improvement in the recoveries of receivables in 4Q because you did mention that there's some Rs. 800 crore which was outstanding as of December. So, how is the Q4 looking and what is the outlook for this segment as you go ahead?

T. R. Rao : See, because there is a paucity of funds from the Government of India , but however now in the new budget, they allocated more than Rs. 60,000 crores for the Jal Jeevan Mission for the FY26. So, we expect the fund inflow from the Government of India and also matching funds from the state government from new financial year. Nevertheless, we are expecting some funds from the state government in the current financial year itself before 31st March, from which we should be able to realize our payments which have been outstanding for the quite few months. And from first quarter of FY26, there should not be any issue of reducing the money.

Ashish Shah: Okay. Also in terms of the projects where you are waiting appointed date, I think that's about Rs. 4,100 crore which you have mentioned. When do you expect the appointed dates for these projects?

T. R. Rao : We are expecting the declaration of appointed date before end of the current financial year, that is before 31st March 2025 .

Ashish Shah: Sir, what is the land acquisition status? If you can just spell out by projects where are you in terms of the current land ac

quisition in these projects?

T. R. Rao : No, land acquisition has been improved over the last three months. The exact figures are not readily available. We will share with you.

Ashish Shah: But sir, are we confident that we will get some execution cycle before monsoon in these projects or do you think this can all spill over to post -monsoon only?

T. R. Rao: We are expecting some kind of execution and contract revenues during the first quarter of the FY26 before onset of the monsoon .

Ashish Shah: Okay, Maharashtra projects you did say that there are some initial mobilization and construction activities have started, but if you can just dwell a little bit deeper on what's the

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kind of on ground status in terms of land available and what kind of execution you would expect from these projects within Q4 and how does next year look ? So, if you can just sort of spell out how Q4 looks for these projects and what kind of execution you will expect in next year, because these are very sizable projects. So, it's important to sort of monitor how these projects will shape up ?

T. R. Rao : As we have mentioned, out of three projects, one project we have already commenced the construction. We expect some subtle revenue in Q4 itself from this project, more particularly Jalna -Nanded . Other two projects also, the construction will be commenced during this quarter itself but the contract receipts may not be sizable during the current financial year. But nevertheless from Q1 of F Y26 onwards, all these projects will start giving sustainable revenues going forward and all these projects will be commenced in full swing.

Ashish Shah: But physical work for Pune and CIDCO will certainly happen within 4Q, start of construction will certainly happen is what you are saying?

T. R. Rao : What we are targeting to start the physical construction during the current financial year itself before 31st March . Because as we have already mobilized large part of our resources , so we are expecting commencement of work at on the ground of these two projects also before that 31st March.

Ashish Shah: Alright, and sir last question. You t alked about the increase in working capital , one you said because of the mobilization advances etc . that you have given . There is something else also that Maheshwari sir mentioned, but I miss ed that. So, if you can just repeat why this networking capital has increased ?

D. K. Maheshwari : It's mainly because of the advances to supplier and secondly we have invested in the mutual fund. Surplus money in the PNC, w e have invested in the mutual fund which was recovered in March '24 has increased to Rs. 440 crore s in December '24 .

Ashish Shah: So, sir, in the presentation, when you're giving the networking capital number of 167 days or something like that, you are also including this mutual fund investment of Rs. 400 crore.

D. K. Maheshwari : Yes.

Ashish Shah: And when you gave the cash number of Rs. 743 crores , that includes a mutual fund investment ?

D. K. Maheshwari : Right .

Ashish Shah: Alright, got it. Thank you.

Moderator: Thank you. The next question is from the line of the Dhananjay Mishra from Sunidhi Securities. Please go ahead.

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Dhananjay Mishra: So, I just wanted to ask about this divestment thing. So, what is the kind of approval from regulatory authorities required and when at best we will conclude this monetization?

D. K. Maheshwari : So, there are NOCs required from lenders as well as from the authority and out of the 12 assets, we have already received the NOCs of 11 projects from 34 lenders as of date. As regards the NOCs from authority, out of 11 projects, we have received the in-principle approval of 8 projects and we are expecting by end of this month, we will receive the NOC from 3 projects from the auth

orities. So, we are expecting that by end of this March '25, 11 assets will be monetized out of 12.

Dhananjay Mishra: By March '25 th.

D. K. Maheshwari : Yes

Dhananjay Mishra: And what is the equity IRR we will be making from this project?

D. K. Maheshwari : It will depend on the closing, because the equity we have invested in all 11 projects is Rs. 1,619 crore s, including unsecured loan. And what will be the realization, actually we will come to know only at the time of closing, because certain working capital adjustments are there. It will come to know only at the time of closing only, sir.

Dhananjay Mishra: This is with respect to order inflow guidance you had given for next 40 -45 days which is Rs. 6,000 to Rs. 8,000 crores . So, this is based on the bids already submitted or we are expecting bids to be submitted and then this tender will be awarded before 31st March and what is the size of bid we already submitted?

T. R. Rao : See, as we mentioned, so whatever bids we have submitted, that is very marginal amount. About Rs. 5,000 crores worth of bids are pending for opening up price bids. But other bids we are going to submit .

Dhananjay Mishra: So, you didn't participate in this after 18th February, which will open after 18th February, right? And then you are expecting these bids to be awarded before 31st March?

T. R. Rao : Yes. The awarding activity has been very expeditious as we experienced in the past also. So, whatever bids we will be submitting before 3rd week of March will be awarded before the end of March . So, the pipeline is very robust. More than one lakh crore worth of bids have already been floated with a different bid due dates spanning from 18 February till the end of March.

Dhananjay Mishra: And which are the states where we are seeing major pipeline where we will be participating?

T. R. Rao : No, these are the whatever bids they floated, these are across the many states from North to South and East to West. So, we have to see really for which state, how many bids have been this thing, but this is spread across the country.

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Dhananjay Mishra: Okay, sir. Thank you . All the best . That is all from my side.

T. R. Rao : Thank you.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: My first question is in the L1 order. So, what is the value of the L1 order?

Yogesh Jain: Which L1?

Parikshit Kandpal: This is Bh andara to Gadchiroli EPC project ?

Yogesh Jain: That is around Rs. 2,400 crores.

Parikshit Kandpal: But you have not included that in that Rs. 6,700 crores of inflows, right?

Yogesh Jain: That is not included in that.

Parikshit Kandpal: So, for the Q4, as of now, you have L1 of Rs. 2,400 crores, where the LOA is expected.

Yogesh Jain: Yes.

Parikshit Kandpal: Okay. Sir, second question is on JJM. Now we have close to Rs. 800 crores of debtors in water segment and first nine months, if I look at your revenues, so it's about Rs. 600 crores from the water segment, and maybe this year you will end up close to, if I take you three numbers of Rs. 192 crores somewhere around Rs. 800 odd crores you will end up. So, which means that you already have a year of receivables from this project, which is outstanding. So, just wanted to understand in this financial year, did you receive any money at all from the JJM projects? So, if you can help us understand from the start of the financial year till now what has been the collection in this project ?

T. R. Rao : Yes, this financial year we have received money till October we have been receiving money till October only from November onwards only we are expecting paucity of funds from the SWSM . Till October you have received . Whatever money now is spending, that is whatever work done towards this and certain money was due

in the last financial year that we have released.

Parikshit Kandpal: How much?

T. R. Rao : Rs. 750 crores we realized it this year till October.

D. K. Maheshwari : It was Rs. 925 crores on March. It is now Rs. 792 crores .

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T. R. Rao : Yes, plus which includes Rs. 600 crores.

Parikshit Kandpal : Okay, so Rs. 925 crores was outstanding as of March '24 end now it's less than Rs. 800 crores, so you have received.

T. R. Rao : Yes. We start receiving the money, latest from April onwards, if the state government provides a certain amount, what is the out of their 50% money, then we may be getting some amount during the March also.

Parikshit Kandpal: Okay. Just one question for Yogeshji. I mean, almost the entire industry has been talking for last three quarters on positivity on the NHAI ordering and pipeline being more than Rs. 1.2 trillion or Rs. 1.1 trillion, Rs. 1 lakh crore plus. And we always remain hopeful. Last year also, FY24, we were hoping that orders will come. And we only come to know when we are at Feb end or maybe March, that ordering will happen. But I just want your opinion on this. I mean, you're still holding on to that Rs. 1 lakh crores number. So, do you think versus last year, this time there's a high probability of this pipeline converting into order inflows or even for this year, we would end up maybe Rs. 40,000 crores or Rs. 50,000 crores of inflows. Thanks.

Yogesh Jain: There is no problem with land acquisition with NHAI . Because of elections in Bihar, elections in Maharashtra , due to which there were some problems internally. Now it seems that in Bharat mala, they couldn't get land, so Bharat mala stopped. The contracts awarded two years ago, after that, they couldn't do it again. Now they have started that contract again like our Bihar project, which is part of Bharat mala, Varanasi to Kolkata. From there, the bidding started coming in partly. And where land wasn't being done, their arbitration award was there. What was the land in Bihar? In the whole project, there was another problem that the actual value of land was high and their circle rate was low. They decided to solve this problem through arbitration now. The commissioner awarded them. The same problem with our three projects was that their land value was high and NH AI was giving them less money. Even the circle rate was low. The market rate was high. So, they not increased the circle rate and but they have given the additional payment through award to them . They were awarded and approved by the NHAI. So, all those people are ready to work there. And I think that's why we are talking about the three projects. We will get the date and in the next quarter, we will take the work done. In VR6 we are thinking of taking it in this quarter. So, I think that gradually, we will start coming to all the places.

Parikshit Kandpal: Okay. So, basically, this was more of a procedural delay from the land acquisition side. But intent wise, the pipeline is looking good and you think that there will still be continuity in awarding in this year or next year?

Yogesh Jain: Even the pipeline is very good. Even the small contracts that they had made earlier, they have increased all the sizes. They have combined 2-3 packages and made one of them worth Rs. 2000 crores -Rs. 2,500 crores . The package size has also improved. Competition will be reduced. And I think, if there are two or three bids, I think we will get a minimum Rs. 6,000 crores to Rs. 7,000 crores to PNC.

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Parikshit Kandpal: But I was hearing that something some deliberation has drawn in PMO that the quality of roads has gone down significantly. And that's the reason PMO has advised the Ministry to increase , the same point which you are telling, to increase size but also that the qualification criteria wh

ich got diluted post COVID and a lot of low quality contractors came in. So, now I think PMO is advised , what I'm hearing that PMO has advised MoRTH to increase the size so that good quality, capable, financially worthy contractors are able to execute the projects. Is there anything like that? Is it also one of the things?

Yogesh Jain: Actually, when large quantities of work are done in the country, the quality is going down as the tenders are being won at a 30% -40% discount . There are many reasons for the quality to go down. Now the government is understanding that the quality is not being controlled. Earlier, the qualification was for the building contractor to construct building and for the road construction contractor to construct road . The building contractor would first take the work worth Rs. 100 crores and then take the work worth Rs. 1000 crores for road constructions . Now, he comes and takes the work worth Rs. 1000 crores, so he doesn't know what to do. So, this problem has been created and now they are changing the qualification. I think that from 1st of April in this financial year, bid will come with new qualification. Rest all is procedures. After 3 -4 years quality will down, then government will tight it and then it will alright. Government also corrects itself. Contractor also corrects himself. Those who are doing bad job will go away. It is part of business.

Parikshit Kandpal: Last think that your ban has been removed, you are saying that from 18th February, you will be eligible to bid for all these projects, right?

Yogesh Jain: Yes.

Parikshit Kandpal: You have written something about this, subject to some conditions you have written in press release.

Yogesh Jain: Actually, they had asked for some documentation. I mean, it was normal documentation, they have submitted it.

Parikshit Kandpal: Okay, so now you have cleared signal from them that from 18th onwards, will be from 18th morning or midnight of 18th onwards, you will be able to bid for all the projects which will come from MoRTH , NHIDCL and NH AI?

Yogesh Jain: In entire India in every department.

T. R. Rao : So, we will be other side of the mountain from 18th February.

Parikshit Kandpal: Congratulations for that. Finally you could bid, much needed here. Thank you .

Yogesh Jain: Thank you.

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Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: What would be our guidance for revenue from the JJM projects for the entire year for FY25 and 26?

T. R. Rao : This year, already we achieved more than Rs. 600 crores. So, we are expecting total guidance for the current financial year would be between Rs. 800 crores to Rs. 850 crores. And the next financial year, we are expecting some expedited progress. And it would be around Rs. 1,200 crores in the next financial year. And the government also has increased the JJM tenure till end of FY28. So, we have time to complete these projects and put them into operation.

Vaibhav Shah: So, remainder should be done in F Y27, around Rs. 1700 crores ?

T. R. Rao : No, we'll be progressively putting these projects into O&M mode . We started the process. It's not like that entire thing. As we complete each unit, each scheme, so we'll be pushing them into the O&M mode in a progressive manner. So, gradually, we'll be able to put all the projects into O&M mode in F Y27.

Yogesh Jain: So, balance work will be finished in 27, I think. entire balance work.

T. R. Rao : Yes, entire balance work. And our projects will around Rs. 1,500 crores to Rs. 1,600 crores.

Vaibhav Shah: So, secondly, on the irrigation side, our order book is around Rs. 924 crores. So, we were expecting pick-up and execution in '25 and '26. So, what would be our revenue guidance for irrigation projects as well? Since you have received

money as well.

T. R. Rao : See now the water receded in the canal system , from the middle of February we are expecting the resumption of work in the irrigation project. And the next one and a half months we should be able to get around Rs. 50 crores to Rs. 60 crores project. And in the next financial year we are expecting around Rs. 400 crores to Rs. 450 crores revenue from the irrigation project.

Vaibhav Shah: This also should be completed in FY27 ?

T. R. Rao : Yes, that's 27. And they already extended, given the extension of time for this particular project.

Vaibhav Shah: Okay , so secondly on the monetization side, last time we had mentioned that we want to monetize 10 assets in this year. And the remainder will go into first half or by September or October of next year. So, do you maintain the same guidance?

T. R. Rao : Yes, we are maintaining. In fact, we are targeting 11 assets this year before end of financial year, monetization and the closure and the transfer of asset before 31st March, 11 assets out of 12. And the remaining asset may be in the Q1 of FY26 or latest by Q2 ?

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Vaibhav Shah: So, remainder would be only one HAM in next year?

T. R. Rao : Yes, one HAM in next year. This year, 10 HAM and one BOT toll.

Vaibhav Shah: Can you just give the numbers? What would be the equity investment in those 10 HAMs and one BOT and for the last one HAM ?

D. K. Maheshwari : In 11 projects, equity we have infused Rs. 1,620 crores.

Vaibhav Shah: Okay and for the one HAM that will be coming next year?

D. K. Maheshwari : Rs. 190 crore .

Vaibhav Shah: And what equity valuation we will be getting for the 11 assets?

D. K. Maheshwari : It depends at the time of closing because certain working capital adjustments are there and exactly we will come to note ...

Vaibhav Shah: What are the number we are expecting?

D. K. Maheshwari : Earlier we have given in our note, about 1.67 times of the equity invested at the time of signing of the share purchase agreement.

Vaibhav Shah: Okay, so it should be similar to that number?

Yogesh Jain: So, it is around the same number. Similar number.

Vaibhav Shah: Okay. And lastly, for the HAM projects that you are expecting appointed dates, we are confident to get them by March. Any execution we expect in Q4 or it should be largely next year only?

T. R. Rao : See, Q4, though we are expecting commencement in Q4, the contract receipts and the work done will not be as significant in the Q4, but we start expecting the revenues from Q1, F Y26 onwards. That would be the practical kind of a thing.

Vaibhav Shah: And sir lastly, there was some confusion regarding the revenue guidance for F Y25, given the bonus and claims that we received in last year and this year as well. So, for Q4 versus Rs.

1,200 crores of revenue in Q3, what could be the run rate for Q4? That will be much easier to understand the entire real guidance. It will be closer to Rs. 1,600 crores to Rs. 1,700 crores or it can be even more ?

T. R. Rao : No, it will be closer to, it will be around that number.

Vaibhav Shah: Okay. Thank you, sir. Those are my questions.

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T. R. Rao : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Thank you. Sir, my question is on your order inflow guidance for next year. You said around Rs. 15,000 crores of order inflow guidance. So, it could be helpful if you could bifurcate that into roads or waters in the segment size ?

T. R. Rao : See, as of now, we are primarily looking at road sector only. See, what our projects, we got the order, Rs. 6,670 crores . It's more than Rs. 4,000 crores from the roads of MSRDC. One project is the area development. Navi Mumbai Airport Influence Development Authority. So, that is the area develop

ment kind of a thing. And the remaining whatever we are expecting will be essentially from the roads and highways of the country .

Ketan Jain: So, In this also roads?

T. R. Rao : Yes, Rs. 1 trillion worth of projects are coming in in NHA I itself, more than one trillion. So, we are expecting primarily from the road sector.

Ketan Jain: Okay. Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Yogesh Jain: Thank you for your time and trust in the PNC Infra tech Limited. In case of further queries, you may get in touch with the strategy growth advisors, our investor relations advisors, or feel free to get in touch with us. Thank you very much.

Moderator: On behalf of PNC Infratech , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

PNC Infratech Limited
Ref No: PNC/SE/19125-26
To,
The Manager
Department of Corporate Services
BSE Limited
Floor 25,PJ. Towers,
Dalal Street, Mumbai-400 001
Scrip code:539150Date: 10.06.2025

To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai-400 051
NSE Symbol: PNCINFRA

Dear Sir,
Sub- Transcript of 04 FY2025 Earnings Conference Call on Financial Results for the quarter and year ended 31st March 2025.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we are enclosing herewith the transcript of an earnings conference call on Financial Results for the quarter and year ended 31st March 2025 held on Wednesday, 04th June, 2025.

You are requested to take this information on your record.

Thanking you,
For PNC Infratech Limited
Tapan Jain
Company Secretary & Compliance Officer
M. No.: 422603

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"PNC Infratech Limited Q4 and FY '25 Earnings
Conference Call "

June 04, 2025

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 4th June 2025 will prevail.

MANAGEMENT : MR. YOGESH JAIN – MANAGING DIRECTOR , PNC
INFRATECH LIMITED
MR. T. R. RAO – DIRECTOR , INFRA , PNC INFRATECH
LIMITED
MR. D. K. AGARWAL – CHIEF FINANCIAL OFFICER ,

PNC INFRATECH LIMITED
MR. PANKAJ AGARWAL – VICE PRESIDENT , FINANCE
AND ACCOUNTS , PNC INFRATECH LIMITED

MODERATOR : MR. SHRAVAN SHAH – DOLAT CAPITAL MARKETS
PRIVATE LIMITED

PNC Infratech Limited
June 04 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the PNC Infratech Q4 FY '25 Earnings Conference Call hosted by Dolat Capital Markets Private Limited.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the “*,” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shravan Shah. Thank you, and over to you, sir.

Shravan Shah: Thank you, Anushka. Good evening, ladies, and gentlemen. On behalf of Dolat Capital, I am pleased to welcome you all on the PNC Infratech Limited Fourth Quarter FY '25 Earnings Conference Call.

We have with us the Managing Director of the company – Mr. Yogesh Jain, along with Senior Management Team. We will begin with the opening remarks from the management, followed by an interactive Q&A session.

Thank you and over to you, sir.

Yogesh Jain: Good afternoon, everyone. On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call. I have with me Mr. T. R. Rao – Director (Infra); and Mr. D. K. Agarwal – CFO; Mr. Pankaj Agarwal – VP (Finance & Accounts); and Strategic Growth Advisors, our Investor Relations advisors.

We have uploaded the Financial Results and Investor Presentation on the Stock Exchanges and Company website for your references.

Initially, I would like to mention key updates of the industry, followed by the operational developments of the Company and highlights of financial performance during the quarter and full year ended FY25, post which we will be happy to answer your questions.

✓ Fiscal Years 2024 and 2025 posed significant challenges for the infrastructure sector particularly in roads and highway sub -sector regarding both awarding and construction activities .

✓ Awarding of new projects for implementation saw significant delays due to the general election cycle across nation in 2024, longer processing and approvals timelines in getting

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clearances for bidding new projects and persistent delays in acquisition and possession of land required, before project bidding and awarding processes.

✓ Year 2025 -26, the central government allocated Rs 74,226 crore to the Department of Drinking Water & Sanitation, and a significant portion of this budgetary provision, Rs 67,000 crore, allocated to the Jal Jeevan Mission.

✓ The government also announced extension of Jal Jeevan Mission until 2028, with enhanced outlay and focus on completing the remaining works by prioritizing the Operations and Maintenance of rural piped water supply schemes through “Jan Bhagidhari” to ensure citizen -centric water service delivery.

✓ A significant number of new projects are being launched in other core infrastructure areas including railways, mass rapid transport, airports, ropeways, renewable energy, energy storage systems, logistic parks, urban and industrial areas development and tourism sectors, which are expected to generate new business opportunities for the industry players in both fund -based and non -fund-based segments.

✓ Recently, hon'ble Prime Minister of India expressed his confidence that given the speed

and scale of renewable energy projects development in India, especially in solar energy space, India should be able to achieve its target of 500 GW of r

enewable energy by 2030.

This outlook is not only very encouraging but also will create opportunities for development of a huge number of large projects in this sector, going forward.

✓ Another emerging opportunity is development for energy storage systems that will enable a continuous supply of energy when needed, particularly during periods of peak demand. As for sustainable renewable energy growth, a concurrent growth of energy storage capacity is becoming imperative, government expected to mandate 10% battery storage for all new renewable energy projects, which is expected to further accelerate growth in the energy storage system sector.

✓ As in the Union Budget for Financial Year 2025 -26, the central government made Rs. 1.5 lakh crore provision for long -term interest free loans to support infrastructure investment by state governments, a sizeable number of new infrastructure projects are expected to be initiated by state governments going forward on both EPC and PPP modes.

Now coming to the recent updates on the company:

✓ On the project development side, Company's subsidiary Hardoi Highways Private Limited received Provisional Completion Certificate on 18th January 2025, 167 days ahead of the scheduled completion date and became eligible for early completion bonus in terms of the concession agreement.

✓ During the quarter, the company was declared as L1 bidder for an EPC Project of PWD - Rajasthan for a quoted price of is 240 crores.

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✓ CARE has reaffirmed its credit rating on long -term bank facilities to CARE AA+; Stable and short -term bank facilities to CARE, A1+

✓ On asset monetisation side, Company & its subsidiary PNC Infra Holdings Ltd successfully completed the sale of 10 road projects/SPVs to KKR backed Highways Infrastructure Trust/ HIT as on 22nd May 2025.

✓ Earlier, in January 2024, the Company had signed definitive agreements with HIT to divest a total of 12 road assets, comprising 11 National Highway HAM projects and 1 State Highway BOT – Toll project spanning approximately 3,800 lane -km, to be transacted in two tranches.

✓ Tranche 1 comprised of 10 HAM assets concluded for an equity consideration of Rs. 1,827.6 Crore, after adjustments on account of certain items of works descoped in these 10 projects.

✓ Apart from the above consideration, there are other receivables to a tune of Rs. 200 Crore to be received by the Company upon realization of the same by the SPVs, as per the terms of the definitive agreements.

✓ The total equity invested in these 10 projects was Rs. 1,371 crores.

✓ The Company, through the above -mentioned SPVs, executed several additional items of total value of Rs. 624 Crore under the Change of Scope (COS) provisions of respective concession agreements. Out of this amount, the company has already received Rs. 546 Crore.

✓ As the tranche 1 transaction concluded, all 10 Projects and SPVs have been duly handed over to Highways Infrastructure Trust.

✓ The sale of equity in the remaining two assets, PNC Bareilly Nainital Highways Pvt. Ltd. Which is a BOT -Toll project and PNC Challakere Karnataka Highways Pvt. Ltd. which is a HAM project is expected to conclude in H1 FY26.

✓ For Bareilly project, approval for transferring 100% of the paid -up share capital of the Concessionaire SPV has been received from UPSHA, the Authority on 31.5.2025 and

accordingly closing actions have commenced.

✓ An arbitration award for an amount of Rs. 485.27 Crores was made and published in favour of the Company on 17.5.2025 by the Arbitral Tribunal, in connection with an EPC project executed by the Company namely Agra Bypass of NHAI, along with a future interest of 12.0% per annum from the date of award till the date of payment.

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Moving on to the operational and financial performance of

the company

✓ Out of the company's 18 fund -based projects, 3 are BOT -Toll projects including Kanpur Kabrai Project, 2 are BOT Annuity Projects and 13 are HAM projects.

✓ Aggregate Bid Project Cost of 13 HAM projects is over Rs. 16,500 Crore.

✓ Out of a total 13 HAM projects,

- o 3 projects achieved PCOD

- o 6 projects are under construction

- o 3 projects achieved financial closures, and appointed dates are to be declared

- o For remaining 1 project, concession agreement executed, and financial closure documents submitted to MPRDC.

- o Balance equity to be infused in the 13 HAM projects as on 31.3.2025 is Rs. 759.0 crores.

✓ Till 31st March 2025, Company invested Rs. 984.0 crores in the 13 HAM Projects and the remaining equity of Rs. 759.0 crores to be invested over the next 2 to 3 years.

✓ The internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirements.

Now moving on to our order book

✓ As of 31st March 2025, the company's unexecuted order book stands over Rs. 17,700 crores, which includes 3 EPC contracts secured by the Company during the Financial Year 2025 for an aggregate contract value of Rs. 6,670.0 Crore.

✓ Out of the unexecuted order book, highway/expressway contracts contribute around 63%, while water, canal, area development and railways projects contribute around 37%.

✓ During the financial year 25, Company has booked a total revenue of Rs. 822.0 crores in the rural drinking water segment.

Diversification into other sectors

✓ As part of diversification endeavours , the Company, during past few months actively pursued opportunities in the areas of Railway, Metro Rail, Renewable Energy, Installation of Smart Meters, Industrial Area Development, Coal Mining, Airports and Building Construction and already submitted bids for some of the projects in these sectors, under both fund based and non -fund based modes.

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Now I would present the results for the quarter and full year ended March 31, 2025.

Standalone Quarterly Results:

Revenue for the 4th quarter of FY25 is Rs. 1,415 crores.

The EBITDA for the 4th quarter of FY25 is Rs. 176 crores. The EBITDA margin for the 4th quarter of FY25 is 12.4%.

The profit for the 4th quarter of FY25 is Rs. 121 crores. The PAT margin for the 4th quarter of FY25 is 8.6%.

Standalone Full Year Results:

Revenue for FY25 is Rs. 5,513 crores.

The EBITDA for FY25 is Rs. 1,049 crores. The EBITDA margin for FY25 is 19.0%.

The profit for FY25 is Rs. 706 crores. The PAT margin for FY25 is 12.8%.

Consolidated Quarterly Results:

Consolidated revenue for the 4th Quarter of FY25 is Rs. 1,704 crores.

The consolidated EBITDA for the 4th quarter of FY25 is Rs. 362 crores. The EBITDA margin for Q4FY25 is 21.3%.

The consolidated PAT for the 4th quarter of FY25 is Rs. 75 crores. The PAT margin for Q4FY25 is 4.4%.

Consolidated Full Year Results:

Consolidated revenue for FY25 is Rs. 6,769 crores.

The consolidated EBITDA for FY25 is Rs. 2,066 crores. The EBITDA margin for FY25 is 30.5%.

The consolidated PAT for FY25 is Rs. 815 crores. The PAT margin for FY25 is 12.0%.

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On The Standalone Balance Sheet Side ,

As on 31st March 2025, our net working capital cycle is 113 days as compared to 102 days as on 31st March 2024.

Our net worth on a standalone basis is Rs. 5,475.0 crores as on 31st March 2025, whereas standalone debt from Banks / Financial Institutions is Rs. 16.0 crore. This translates to net debt to equity of 0.07 times.

We also have a net surplus of Rs. 437 crores.

On Consolidated Basis, our net worth is Rs. 5,989 crores whereas total debt is Rs. 9,345 crores as on 31st March 2025. The total cash & bank balance including current investments is Rs. 2,433 crores. This translates to net d

ebt to equity of 1.56 times.

After completion of monetization of the 10 assets, as on date the debt got reduced to Rs. 4300.00 crores, which translates net debt to equity of 0.72 times as against 1.56 times.

With this, we now open the floor for question -answers. Thank you

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Jainam Jain from ICICI Securities. Please proceed.

Jainam Jain: Thank you for the opportunity. Sir, my first question is, out of the total deal amount, we are yet to receive Rs. 1,070 crores. Is my understanding correct in that sense?

T. R. Rao : Demonetization amount you are telling?

Jainam Jain: Rs. 1,070 crores.

T. R. Rao : Including equity valuation and debt you are telling ?

Jainam Jain: No, no, no, only equity.

Yogesh Jain: Rs. 649 crores is balance .

Jainam Jain: Rs. 649 crores.

Yogesh Jain: For Bareilly and Challakere project, only Rs. 629.5 crores is balanced.

Jainam Jain: Okay. So, you mean only for Bareilly , and what about the HAM asset?

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Yogesh Jain: Bareilly and Challakere Karnataka.

Jainam Jain: Okay, s o including those two. And sir, we will be having a surplus cash balance this year , so what are you planning to do with that?

T. R. Rao: Yes, we are pursuing quite a few fund-based projects on a PPP mode I, both in the sectors where we are very much active in roads, highway sector, like HAM projects and very judiciously we will do look at the BOT toll projects also. Then followed by other project opportunities initiated by Central Government agencies, there also their investment opportunities are coming up projects. So, those opportunities also, as our MD said, we are pursuing those opportunities also. So , we certainly will judiciously deploy our funds in a productive manner in the best interest of the company.

Jainam Jain: Okay, sir. And sir, as far as we understand, the CIDCO order has been canceled by Bombay High Court, and we have not removed it from the current order book. Is there any reason for that?

T. R. Rao : Yes. The matter is sub judice. As we had informed to the exchanges , so we challenge d the Bombay High Court order. The matter is sub judice . CIDCO has not formally withdrawn the work order issue d to us. But we commenced the preconstruction activities, but we halted as of now. Since the matter is sub judice, we do not want to dwell into it and we do not want to

further discuss on this. And as soon as we get some updates on some development in this, we will share with you.

Jainam Jain: Okay, sir. And sir, one question, can you give us some guidance for FY '26 in terms of revenue, margins, and order inflow?

T. R. Rao : FY '26, we are working at a guidance of 20% growth in the gross revenue top line and EBITDA margin of around 13%. And with regard to order inflow, we are looking at as we are aggressively pursuing the opportunities in the other sectors. So, we are expecting Rs. 15,000 crores new orders before end of the current financial year.

Jainam Jain: Okay. Sir, my last question is on the working capital side. Can you just give us a number on mobilization advance, retention money and unbilled revenue?

Pankaj Agarwal: Just note down the amount of mobilization advance. The total mobilization advance as on 31st March is Rs. 437 crores. And the retention money as on 31st March is Rs. 196 crores. Any other amounts, sir?

Jainam Jain: And unbilled revenue?

Pankaj Agarwal: Unbilled revenue around Rs. 300 crores.

Jainam Jain: Okay, sir. That answers my question. Thank you so much. And all the best.

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Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please proceed.

Vaibhav Shah: Yes, thanks for the opportunity. Sir, firstly, on the deal side. So, for the 10

HAM assets, what

amount have you received and what is spending for those 10 assets?

Pankaj Agarwal : We have received a consideration of Rs. 1,827 crores for 10 assets. Out of that, 162 crores is the holdback amount, which is to be received after completion, there's some conditions as per the definitive agreement for 10 assets.

Vaibhav Shah: And the remaining Rs. 629 crores and Rs. 200 crores?

T. R. Rao : Remaining Rs. 629 crores is for the two assets.

Pankaj Agarwal : Yes, remaining Rs. 629 crores is for remaining two assets, namely Bareilly -Nainital and the Challakere project.

Vaibhav Shah: No, no, sir, in the press you have mentioned that for change in scope you have Rs. 624 crores and Rs. 200 crores also receivables are pending, so that I am asking, pertaining to those 10 assets?

T. R. Rao : Yes, Rs. 200 crores receivables are pending apart from what 1,800 -odd consideration we had just mentioned, we will get the Rs. 200 crores receivables. This is towards changing for a GST amount and other payments, which are to be received by the company through respective SPVs as and when they are realized.

Vaibhav Shah: And the Rs. 624 crores towards certain additional claims of change in scope, that has been received?

T. R. Rao : No, no, Rs. 624 crores is not additional. Rs. 624 crores is towards the additional works, extra items we executed.

Yogesh Jain: That we have received from NHAI. Out of Rs. 624 crores, Rs. 584 crores we have already received.

Vaibhav Shah: So, total we have received out of Rs. 1,827 crores, we have Rs. 167 crores is pending, so Rs. 1,660 received and Rs. 580 crores for additional received. So, total Rs. 2,200 crores is received, broadly?

T. R. Rao : Actually, Rs. 584 crores we received through COS. This may not be included into the consideration, but Rs. 1,800 crores, plus Rs. 200 more crores we will be receiving for CAL and other things.

Vaibhav Shah: Actual cash has been receivable book of Rs. 584 crores as well?

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Pankaj Agarwal: Actual consideration for 10 assets is Rs. 1,827 crores, plus Rs. 200 crores other receivables which is to be received as and when the same receive from NHAI on a back-to-back basis.

Hence, the total consideration for 10 assets is around Rs. 2,027 crores. In addition to that, Rs. 624 crores was this COS amount, which is duly executed during the transition period and which is received from NHAI and passed on to the EPC contractor during the transactions.

That is not included in the sale consideration.

Vaibhav Shah: But the cash has been received in the books, Rs. 584 crores.

Pankaj Agarwal: Yes, Rs. 580 crores is received in the books of account.

Vaibhav Shah: Okay, okay. Sir, secondly, what would be our investment in the remaining two assets, the Challakere and BOT project?

Pankaj Agarwal: The total equity invested in balance two projects is Rs. 407 crores, including unsecured loan.

Vaibhav Shah: Okay. Against which you are expecting Rs. 629 crores.

Pankaj Agarwal: Yes. Against that, we are expecting Rs. 629 crores.

Vaibhav Shah: Okay. Sir, another thing, off the total debtors, what would be JJM debtors and HAM debtors?

Pankaj Agarwal: The HAM debtor is Rs. 700 crores, approx; and the JJM debtor Rs. 717 crores.

Vaibhav Shah: So, have you seen any movement in terms of better payments for the JJM projects during the quarter? Because the number has not reduced by much, it was Rs. 790 crores in last quarter.

So, how would you see moving in the first quarter this year?

T. R. Rao: See, Rs. 790 crores last quarter was there, and subsequently we received certain payments and also we build a certain amount because during the last quarter, so that's the amount is recent.

But now since the budget has already been approved, Rs. 60,000 crores allocated for the Jal Jeevan Mission, so the Government of India is in the

process of allocating these funds to state

governments. So, we expect some sizable amount before the end of the current quarter and remaining amount in the first half of the current financial year.

Vaibhav Shah: What execution are we targeting from JJM for FY '26?

T. R. Rao: Rs. 900 crores to Rs. 1,000 crores we are targeting.

Vaibhav Shah: Okay. Sir, lastly on the order book, we have not included Gadchiroli MSRDC project.

T. R. Rao: Yes, that project, since we have not received the LOI, so we have not included in the order book. And also, once the process of issuing LOIs is this thing, then we will let you know.

Vaibhav Shah: So, when do we expect to receive the AD for the remaining HAM projects?

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T. R. Rao: See, for the remaining HAM projects, one HAM project we expect to get the appointed date before 30th of June. And for the remaining three HAM projects, we expect appointed dates before the end of the first half, that is before end of the next quarter.

Vaibhav Shah: Okay. Sir, I have more questions, I will fall back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Parikshit from HDFC Securities. Please proceed.

Parikshit Kandpal: Yes, sir. Hi. Sir, my question is on the consideration. So, initial consideration which we have and we have announced that it was Rs. 2,900 crores and now it has come down to Rs. 2,400 crores, so why is there a difference of Rs. 500 crores?

Pankaj Agarwal: Sir, we have reported the total consideration will be Rs. 2,900 crores odd numbers. Out of that, we have received Rs. 1,827 crores for 10 assets. Initially, Rs. 2,900 crores was for 12 assets.

Out of Rs. 2,900 crores, Rs. 629 crores is related to the two projects, and around Rs. 380 crores is regarding the descope. And there are some liabilities of GST, which is treated as leakages is around Rs. 30 crores. And the other difference is net working capital.

Parikshit Kandpal: But that would not be the part of consideration right consideration, that will be your revenues, but that would not be part of the consideration, right?

Pankaj Agarwal: For which sir?

Parikshit Kandpal: No, I am saying the receivables would not be the part of consideration, right? So, you are saying there's some descope which has happened, but descope will not be the part of consideration, right?

T. R. Rao: No, no. Actually, what has happened the consideration what --

Yogesh Jain: Parikshit, see, what happens in HAM projects is that some descope, some became positive, some became negative. So, netting all of it comes to positive. But in HAM there is a condition that if COS is positive then you can take the payment immediately. So, against that positive COS we took a payment of Rs. 624 crores against that, so that's why some part of it became negative. Now since it became negative, they posted negative numbers. So, negative consideration of Rs. 378 crores, it becomes negative. But as a company we received immediately from NHAI.

T. R. Rao: There is a negative change of scope from Rs. 378 crores, that reduced from the bid project price and the future annuities. So, it will affect the realization. So, that's why they went to that extent. Got it?

Parikshit Kandpal: Okay. Sir, what was the descope as a percentage of the total project cost? So, you are saying that you took MPV out of the total project cost and reduced it after descope?

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Yogesh Jain: See, what NHAI says is that when it becomes negative, the descope will reduce from your Annuity, so they revised BPC. but when it becomes positive they gave us the cash payment.

So, net-net there was no loss for us.

Parikshit Kandpal: I understand that. But what was the total absolute value of annuity loss because of the

descopeing ? So, basically

what you are saying is, whatever gross annuity we lost, it is same was reduction in NPV ?

T. R. Rao : Yes, NPV is annuity lost of around Rs. 378 crores.

Parikshit Kandpal : If there is no change in the valuation of that, and there is no reduction as the reduction is on account of the descopeing and the related --

Yogesh Jain: That is book adjustment.

Parikshit Kandpal : Okay , book adjustment. Sir, the second question is on the ordering now. So, how is the big pipeline what is the view on NHAI ordering this year because last year, I think it happened and you also highlighted earlier in the call that the Bharatmala program and has gone on a pause. So, what is your view on the bid pipeline? What are the bids opened as of now ? What is outstanding bid? And how do you look at the ordering this year? And what kind of inflows you are looking from NHAI at this time?

T. R. Rao : See, as of now, we submitted around 15 bids we submitted which are under evolution , with a total revenue stream of around Rs. 50,000 crores. These bids we submitted both to NHAI and the other clients also , essentially central government. And Rs. 50,000 crores we submitted , and over the next two years , before end of July we proposed to submit a bid of around 42 projects for a valuation of around Rs. 60,000 crores. So , the total pipeline for the next two months is around more than Rs. 1 lakh crores bids. So , we are expecting some projects from this pipeline. And going forward, again, some more projects are expected from NHAI. So, these projects are larger size when we compare to the average size of projects what NHAI is currently bidding out. So , as the size of project decreases , we expect some lesser competition. So, we expect some order inflow from NHAI as well as from other clients also.

Parikshit Kandpal : (Inaudible) submitting you have approximately almost Rs. 90,000 crores.

T. R. Rao : Yes, approximately Rs. 1 lakh crores .

Parikshit Kandpal : And out of that, how much will be the NHAI bids?

T. R. Rao : NHAI and MoRTH put together, Rs. 60,000 crores in NHAI and the remaining Rs. 40,000 crores is the other clients.

Parikshit Kandpal : What is the breakup, out of Rs. 40,000 crores, which segment these are, if you can help us understand the breakup of this Rs. 40,000 bids from which segments they are?

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T. R. Rao : See, precise breakup will readily be not available. Otherwise, from railway under DMRC and some projects of NPCL , Nuclear Power Corporation , then we have some Airport Authority of India, NHPC, the Southeastern Coal Fields and other Eastern Rajasthan canal project and other projects.

Parikshit Kandpal : And you expect these Rs. 1 lakh crores bids to be opened , at least opened L1 state should be known at least in July and August?

T. R. Rao : Yes, yes.

Parikshit Kandpal : And out of that, it should be significant. And how much is the expectation of this win within the second quarter by September out of this Rs. 1 lakh crores ?

T. R. Rao : See, it will be a bit I think speculative, it depends upon the level of competition. But at least minimum we should get 5% to 10%.

Parikshit Kandpal : So, because I think this is the highest ever bidding in this financial year , almost Rs. 1 lakh crores worth of projects. So , is it right to assume that this will be the highest ever pipeline we would have bid? And this is all bunching of orders?

T. R. Rao : Of course, it's there . But earlier also we bid such kind of level. But given the competition and all, we need to see how things will unfold. But we anyhow we expect 5% to 10%. So, by end of August or by first this thing we should get 5% to 10% will translate to Rs. 5,000 crores to Rs. 10,000 crores.

Parikshit Kandpal : Okay. And year as a whole we are targeting the upwards of Rs. 15,000 crores of order inflows, right?

Yogesh Jain: Yes. Yes , Rs. 15,000 crores.

Parikshit Kandpal : Okay, sir. Those were my questions. I will join in the queue for more questions. Thank you.

Moderator: Thank you. The next question is from the line Parvez Qazi from Nuvama Group. Please proceed.

Parvez Akhtar Qazi: Hi, good afternoon. Thanks for taking my question. Sir my first question is , from this Rs. 1,827 -odd crores , have we already received the cash consideration? Or is it still to be received?

Pankaj Agarwal : Sir, except holdback amount of Rs. 160 crores, all amount is received.

Parvez Akhtar Qazi: And what would be the, let's say, tax consideration on this Rs. 18,27 -odd crores?

Pankaj Agarwal : I think it will be around Rs. 60 crores to Rs. 70 crores tax amount.

Parvez Akhtar Qazi: That's it . And second, for FY '26, what is the kind of CapEx that we are looking for?

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Pankaj Agarwal: For CapEx side, since we are able to execute the contract up to Rs. 8,000 crores with the existing equipment and machinery, hence we are not seeing any major CapEx guidance. For critical equipment, if any required, it will be up to Rs. 40 crores.

Parvez Akhtar Qazi: Sure. And lastly, for the pending equity that we need to improve, how much do we need to improve in, let's say, FY '26 and how much in FY '27?

Pankaj Agarwal: Around Rs. 400 crores is required for current Financial Year '26, and the balance will be required in '27 and '28.

Parvez Akhtar Qazi: Sure. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stockbroking.

Vishal Periwal: Sir, thanks for the opportunity. Sir, in terms of our equity investment in our portfolio of HAM and other assets, ex of these 12 assets, what is the amount now?

Pankaj Agarwal: Except these 12 assets, our total equity for balance for 13 project is Rs. 1,700 crores.

Vishal Periwal: No. So, you are saying Rs. 1,700 crores is the balance equity, I mean, removing these 12 assets, correct, sir?

Pankaj Agarwal: Yes, yes, yes.

Vishal Periwal: Okay. Got it. And second, in terms of the arbitration award that we received in May, so anything that we have already booked or that full Rs. 480 crores will be moving to the P&L?

T. R. Rao: We have not booked anything. See, only upon realization of this award only we will be able to book the income, and accordingly it will translate into P&L.

Vishal Periwal: Okay. So, okay, you will wait for actual cash receipt, then only you will be routing it through P&L, that's what you are saying?

T. R. Rao: Yes,.

Vishal Periwal: Okay. And when is this amount expected, sir?

T. R. Rao: See, we do not know what will be the reaction of NHAI. In case the award is challenged, it may take time. It would be a legal process that has to be done.

Vishal Periwal: Okay, got it. Sure sir. That's all from my side, sir. Thank you.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please proceed.

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Vaibhav Shah: Sir, we have given guidance of 20% growth for FY '26. Earlier, we were targeting around 30%, 30% plus growth. So, isn't this growth conservative given the strong order backlog?

Yogesh Jain: Yes, it is conservative. We will revise in next quarter after.

T. R. Rao: After declaration of appointed date for these four HAM projects, once the actual dates of appointed dates will come, so then we relook into this guidance and then we will come back to you.

Vaibhav Shah: Potentially, could it be around 25%, 30 % odd?

T. R. Rao: No. As of now, we do not want to mention any number, but we stick to 20% till the end of this quarter. So, we will come back to you as we progress.

Vaibhav Shah: Sure. And secondly, sir, I wanted some data points on the order backlog of a few projects. So, what would be the order book for new Patli station

to Sultanpur station?

T. R. Rao: That is you are talking about HORC project, Haryana?

Vaibhav Shah: Yes, yes.

Pankaj Agarwal: HORC, it is Rs. 470 crores.

Vaibhav Shah: And for Kanpur Lucknow Package -I and Package -II?

Pankaj Agarwal: Package -I is Rs. 115 crores. And for Package -II is Rs. 130 crores.

Vaibhav Shah: And for Mathura bypass?

Pankaj Agarwal: Mathura bypass package 1B, it is Rs. 78 crores.

Vaibhav Shah: And for Prayagraj Kaushambi to Baranpur?

Pankaj Agarwal: Rs. 360 crores.

Vaibhav Shah: And for the irrigation project?

Pankaj Agarwal: Irrigation project, it is around Rs. 850 crores.

Vaibhav Shah: So, we have seen good execution in irrigation for the quarter, it comes to around Rs. 74-odd crores?

Pankaj Agarwal: Yes, we have executed Rs. 77 crores in Q4. And in this current financial year, we are expecting to execute Rs. 150 crores.

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Vaibhav Shah: For FY '26?

Pankaj Agarwal : For FY '26, yes.

Vaibhav Shah: Sir, in what time line would we be completing the project because it has been quite a long time since you won the project. And if it will be Rs. 150 crores for FY '26 , so when are we targeting to complete?

T. R. Rao : So, the government has granted us extension up to 2026. So, we should be able to complete by 2026 because we will get only six months working day in this project. Remaining six months, water is flown into the canal for the irrigation purpose.

Moderator: It seems like the management's line has been disconnected. Please stay connected till I reconnect the management. We have connected the management's line. Mr. Vaibhav, please continue with your question.

Vaibhav Shah: Yes. Sir, so if we do Rs. 150 crores of execution for FY '26, then pending order book would be around Rs. 700 crores for FY '27. So , would we be able to execute the entire project 2026?

T. R. Rao : Yes, yes. We will be able to execute. Now we are starting in other fronts also. So, we have a main canal as well as the branch canal. So, next working season, we will be starting work on all other fronts also. So, we should be able to complete it by 2026.

Vaibhav Shah: Okay. And sir, what are the pending receivables from the irrigation project as of March?

Pankaj Agarwal : It is Rs. 114 crores for irrigation.

Vaibhav Shah: What did you receive in the quarter?

Pankaj Agarwal : During the quarter, we received around Rs. 40-odd crores.

Vaibhav Shah: Okay. Thank you, sir. Those were my questions.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital Markets Private Limited.

Shravan Shah: Hi, sir . Sir, just one clarification for this monetization that we have already done. So, how much we will be booking exceptional gain in standalone in 1Q and also in terms of the post tax. So, how much would be the PAT on that front in the standalone P&L?

Pankaj Agarwal : On a standalone basis, there is no gain for the monetization. It will come in the PNC Infra Holding subsidiary company. It will be around Rs. 460 crores capital gain pre -tax. And post - tax, it will be around Rs. 400 crores. And that will reflect in the consolidation balance sheet.

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Shravan Shah: Okay. Got it. And sir, as you said that the one appointed date you will be getting for HAM by 30th June and raised by three projects by September. So, this one project is which one, Package -II?

Yogesh Jain: Package -VI.

T. R. Rao : Varanasi, Calcutta Package -VI.

Shravan Shah: Okay. I got it. And sir, what we are saying that , so two parts on the revenue front and on the order inflow. So, as you mentioned that around Rs. 60,000 -odd crores NHAI MoRTH bids and the Rs. 40,000 crores among all other sectors and we are looking at Rs. 5,000 crores to Rs. 10,000 crores to be win.

So, even if let's assume if we

win the Rs. 10,000 -odd crores, do we think that the balance, even the Rs. 5,000 crores that we need to get, do we see that kind of a further bid pipeline will be there? Sir, just wanted a kind of a risk that we were even last year also, we did not receive what we were expecting. So, not only we, most of the players others. So, just trying to see whether this Rs. 15,000 crores, is there a further risk that it will be on the lower side?

T. R. Rao : See, now whatever this Rs. 5,000 crores to Rs. 10,000 crores what we expect to get it during the H1. So, remaining Rs. 5,000 crores, we should be able to get it during the H2, because the pipeline is there. NHAI announced a lot of projects, as mentioned by our MD, economic corridors, and also tribal area roads and also many of the HAM projects also and also quite a few BOT toll projects. So, certainly, we are looking forward to have another Rs. 5,000 crores in H2. So, we should be able to secure new business of Rs. 15,000 crores, what we are expecting.

Shravan Shah: Okay. And sir, this Rs. 60,000 -odd crores that we are looking to bid in NHAI and MoRTH , is it mostly the HAM and toll or are there EPC projects also? And if for toll, any ballpark idea, are we open to take the toll project where we can invest this Rs. 2,000 -odd crores kind of equity or we are just restricting for a Rs. 1,000 crores kind of equity only that kind of a project only in the toll we are looking at?

T. R. Rao : Our priority will be HAM projects. Toll assets also toll opportunities also, we will definitely pursue toll opportunities based on with the due diligence and the traffic forecast and traffic demand forecast and also financial viability, we will pursue the toll opportunities also. But our prime focus will be on HAM projects.

Shravan Shah: But this Rs. 60,000 crores does not include any toll bid pipeline?

T. R. Rao : It includes some toll projects also.

Shravan Shah: Okay. But this also includes the EPC projects also because still, I think there is a decent competition is there despite the change in whatever the NHAI is doing on the bidding part?

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T. R. Rao : Yes, it is there, but it includes EPC projects also. We will continue to bid for EPC projects also.

Shravan Shah: Okay. Got it. So, now, sir, when we are saying that -- or rather we have reduced our revenue, so kind of Rs. 6,000 crores, Rs. 6,100 crores that we are looking at decently lower what previously what we are looking at. So, let's say, if we get all the appointed dates and maybe Rs. 10,000 -odd crores by this July, so for FY '27, how one can look at ? Because previously, we are looking at FY '26 to be similar to FY '24, which is close to Rs. 7,300 -odd crores, Rs. 7,400 crores. So, already, we are doing right now looking at Rs. 1,400 crores, Rs. 1,500 crores less. So, for FY '27, if somebody has to look at, is it fair to say that we can easily do Rs. 8,000 crores plus kind of a revenue in FY '27?

Yogesh Jain: Sure, definitely.

T. R. Rao : Definitely, depending upon the new projects secured this one. What will happen if you get an EPC kind of projects, we will be able to start execution immediately. In case of fund -based projects are HAM or BOT toll, certain time will be taken for financial closure and all. So, the commencement of the project may take a few months. We are looking at that 20% over and above FY '26 and more also we get more number of projects.

Shravan Shah: Okay. And sir, this bonus part that you mentioned, Hardoi, 167 days early. So, what would be the bonus amount and when we will be booking in the standalone ?

Yogesh Jain: It is around Rs. 15 crores.

Shravan Shah: Okay. So, we will be booking in the first quarter itself or it will be in the second quarter?

T. R. Rao : It will be second quarter because, see, the bonus is paid along with the first annuity. So, first annuity becomes due only i

n the month of July. 18th of July, first annuity becomes due, then they will release the bonus along with the first annuity. So, partly will be reflected in consolidated and partly in the standalone .

Shravan Shah: Okay. And lastly, sir, this MSRDC, two projects, Pune Ring Road and Jalna, when can we start doing the execution? And for this year in this Rs. 6,000 -odd crores, how much are we looking to book a revenue in these two projects?

T. R. Rao : See, in both projects, execution has already started, both Jalna -Nanded as well as the Pune Ring Road, we started the execution, both the projects.

Shravan Shah: Okay. Because in terms of the outstanding is Rs. 4,630 -odd crores order book. So, how one can look at in terms of the revenue for this year?

T. R. Rao : This year, see, we can say around 25% to 30% of what revenue we are expecting in FY '26 would be from these projects, you say around Rs. 1,800 crores to Rs. 2,000 crores from these two projects.

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Shravan Shah: Okay. Great, sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Lakshya a, an analyst.

Lakshya: Yes, thank you for taking my questions. My first question would be, although there has been a significant decrease in revenue from FY '24 to FY '25, the PAT was similar to FY '24. So, I wanted to know what contributed towards the increased margin of the company.

Pankaj Agarwal : During the Financial Year ' 25, we have received an arbitration award in two projects and a bonus in one MSRDC project. That contributed more in the EBITDA as well as the PAT.

Lakshya: Okay. And going ahead, does PNC Infratech plan to consider private projects? Or is it solely going to be the government projects?

T. R. Rao : See, we continue to pursue the government projects only as of now because a lot of projects opportunities are coming up in the government. And the government is the largest spending entity in the infrastructure. So, we will continue to pursue the government. As of now, we are not looking at the opportunity in the private sector.

Lakshya: Okay, sir. That's all for my questions. Congratulations on a good financial year. Thank you.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please proceed.

Vaibhav Shah: Just one clarification on the monetization. So, you mentioned that in the standalone entity, there will be no gain booked for the entire monetization deal. Is that correct?

Pankaj Agarwal : Yes, yes.

Vaibhav Shah: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please

proceed.

Sarvesh Gupta: Good afternoon, sir. And thanks a lot for giving the opportunity. Sir, on the revenue guidance, so you are saying around 20% for this year and maybe around 15% odd for FY '27. Is that the right understanding, sir?

T. R. Rao : Yes, yes. See, 20% for FY '26 and similar kind of things, you can say 15% to 20% for FY '27. See, it will be too early to say about FY '27 because how the order inflow will be there and what kind of order inflow will be in the FY '26. We will be able to tell in the coming quarters some certain guideline with certainty guideline for the FY '27. Otherwise, as of now, we are sharing with you at 15% to 20% for FY '27 over and above FY '26.

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Sarvesh Gupta: And so one more slide that you have given on employees. So, your employee count has decreased by almost like 30% from 10,000 to 7,000. So, you will be ramping up the workforce to reach this number? Or how do you see that?

T. R. Rao : No, no, no. Certainly, we will be ramping up the workforce because there is a consistent delay in the declaration of appointed dates for four major HAM projects during the FY '25 and. So, normally, the decline in the sta

ff is only like mechanical staff and drivers and all, who are the core operating staff. As we receive the appointed dates for these four projects and also progress picks up in the MSRDC project, we will keep recruiting back these mechanical and operating staff, and it will reach to the previous levels.

Sarvesh Gupta: Okay. And this year, out of this 20% growth, so around Rs. 6,500 crores that you are projecting, did I hear it right that out of this around Rs. 2,000 crores will come from Jalna - Nanded and Pune Ring Road project?

T. R. Rao : Yes.

Sarvesh Gupta: Okay. Okay. And margins of around 13%, right?

T. R. Rao : Yes. EBITDA margin will be around 13%.

Sarvesh Gupta: And sir, on the balance sheet for the standalone level, so we have around Rs. 450 crores net cash as of now, right? And we are expecting around Rs. 150-odd crores out of the Rs. 1,800 - odd crores to be received?

T. R. Rao : Yes, yes.

Sarvesh Gupta: So, that will make it Rs. 1,600 crores. And then Rs. 200 crores more is pending. So, that will make it Rs. 2,000 crores, right? Sorry, Rs. 450 crores we have and then Rs. 150 crores more is coming to Rs. 600 crores, then Rs. 200 crores more is pending. So, Rs. 800 crores and Rs. 50 crores more is pending from the additional work that you have. So, it's around Rs. 850 crores we will reach plus what you have received around Rs. 1,400 crores to Rs. 1,500 crores you have received. So, you will get almost around Rs. 2,500 crores, sir, net cash?

T. R. Rao : Yes, around Rs. 2,000 crores.

Sarvesh Gupta: Rs. 2,000 crores, yes. So, how do we plan to utilize this, sir, in this year? Because I think almost around Rs. 1,700 crores has to be invested in the HAM assets, but how much of that will come in this year and the remaining amount, what are we planning?

T. R. Rao : See, the HAM projects, whatever is to be invested once these appointed dates are declared for both ongoing HAM projects as well as new HAM projects would be requiring investment. And also as we are pursuing other projects, fund -based projects, we submitted a solar energy project and also battery storage projects.

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These are all fund -based projects, metering, smart metering projects also we have submitted one bid in the state of Himachal Pradesh. So, like that, we will be again submitting bids for the HAM projects. We have already submitted some bids and further we will be submitting. So, going forward all fund -based projects would need equity sizable amount. So, we should be able to deploy our equity gainfully. But we judiciously this thing. Since we have cash, will not go for this thing, we do the required due diligence and accordingly, we will deploy the capital.

Sarvesh Gupta: And sir, on the margin side, because earlier, we were mostly into road where the margins are a little bit better. Now if you look at other companies in the EPC space, which are operating into multiple assets, multiple type of things, their margins are usually much lower at around 8% to 10%. So, do we see our margins also coming down as we diversify our book? Or how do we look at in the medium term?

T. R. Rao : We do not see any decline in the margin significantly even with the expanding into other areas. See, as you know, when we entered into drinking water supply, so we could be able to maintain the same margin in the rural drinking water supply projects, what we already executed more than 60%, and we will be executing balance amount. So, we maintain the

margin same. And similarly, even if you execute in other projects in other areas, we do not see there will be any significant reduction in the margins.

Sarvesh Gupta: Okay. And on the working capital side, sir, last two, three years, we have seen some increase. So, how do we see that going forward, the working capital days?

Pankaj Agarwal : Net working capital days will come down. We are hopeful

that it will be around 70 to 80 days.

Sarvesh Gupta: Okay. So, we are planning for a major reduction from the 110 -odd days that we are at . Okay, sir. That's all from my side . All the best.

T. R. Rao : Thank you.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please proceed.

Parvez Akhtar Qazi: Hi, good afternoon sir. Thank you for taking my follow -up question. It would be great if you could get the toll collection on our existing older projects.

Pankaj Agarwal : For MP highways, it is Rs. 11.69 crores. And for Bareilly Nainital, it is Rs. 17.5 crores and for Narela is Rs. 10.76 crores and Rae bareilly Jaunpur is Rs. 32 crores. And Kanpur is Rs. 5 crores.

Parvez Akhtar Qazi: Thanks a lot.

Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities. Please proceed .

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Anupam Gupta: Sir, just one question. So, you said that there will be no gains booked in the standalone entity. So, are the gains being booked in PNC Infra Holdings for the monetization?

Pankaj Agarwal : Yes, yes.

Anupam Gupta: Okay. That's all from me. Thank you.

Moderator: Thank you. The next question is from the line of Anand Mundra from Mytemple Capital. Please proceed.

Anand Mundra: Hello. Thank you for the opportunity. Sir, I just had one question. The Rs. 200 crores that is receivable on account of change in law, this is something that we have already recognized as receivable on balance sheet? Or when this amount comes, it will directly hit the bottom line?

Pankaj Agarwal : That will hit directly on the bottom line. On a consolidated basis.

Anand Mundra: So, that will also come in PNC Infra Holdings, is it?

Pankaj Agarwal : Yes.

Anand Mundra: Okay. And the change in scope that I think some Rs. 624 crores, out of that, I think Rs. 580 crores since we have already received something like that. And the balance Rs. 40 crores is yet to be received, correct?

Pankaj Agarwal : Yes.

Anand Mundra: When it comes, will directly hit the bottom line. Is that correct?

T. R. Rao : No, that will hit the top line of the standalone basis.

Anand Mundra: That will hit the top line. But corresponding to that, do we have some assets? Like is there something sitting on inventory that will get net off and that's why the impact on the bottom line might be lower

T. R. Rao : Yes, yes. Corresponding that, see, whatever expenses we incurred from EPC side towards the execution of these additional works. So, that will be adjusted and accordingly, bottom line will be reflected.

Anand Mundra: Got it. So, the net gain that is yet to be recognized will be about Rs. 460 crores plus the Rs. 200 crores that will come in in the consol level at PBT level. Is that understanding correct?

Pankaj Agarwal : Rs. 400 crores is the net cash for 10 asset and the Rs. 200 crores will be accounted for as and when received from the NHAI.

Anand Mundra: Got it, sir. Sir, is there a time line of when we expect that?

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Pankaj Agarwal : We are expecting in the current financial year itself.

Anand Mundra: Okay. That's it from my end. Thank you, sir.

Moderator: Thank you. The next question is from the line of Pankaj Motwani from Equirus Securities. Please proceed.

Pankaj Motwani: Yes, thank you for the opportunity. So, like my question was on the guidance part, like you were guiding for 20% revenue in FY '26. I wanted to check like if this guidance includes execution from the order book like in which the appointed date is pending. So, like how much of the order value like you have been considered in this guidance from this appointed date , appointed date is pending?

T. R. Rao : Yes. See, we have considered guidance of 20%. We have taken into account the appointed dates which are to be declared one before the end

d of current quarter and three before the end of

H1, that is the second quarter. So, we consider the income from these projects also in the guidance what we have projected.

Pankaj Motwani: Okay. So, you are considering all the four projects in the FY '26 in the guidance?

T. R. Rao : In the guidance, 20%.

Pankaj Motwani: Okay. And there was one question. So, like there was an arbitration award of Rs. 370 crores in FY '25. So, I just want to know this 20% guidance is on the reported revenues, like which you are reporting in the P&L or it is excluding of the arbitration award?

T. R. Rao : See, FY '26, we are not expecting any arbitration award to be realized. See, whatever arbitration award published in our favor, so the realization of the amount will take time. So, we are not taking any income either at a top level, top line, or a bottom -line ex this arbitration award in FY '26.

Pankaj Motwani: No, so I was asking for the base of this 25% revenue growth. So, like the base of FY '25 revenue should be excluding of arbitration award or it should be inclusive of an arbitration award?

T. R. Rao : No, it's inclusive of arbitration. So, whatever Rs. 5,500 crores revenue you have booked, so we are expecting 20% over and above the Rs. 5,500 crores, including the arbitration award we received during FY '24.

Pankaj Motwani: Thank you. Got it. That was my question. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Shravan Shah for closing comments. Over to you, sir.

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Shravan Shah: The Rs. 240 crores project where we are L1, when we are likely to get the LOA and the appointed date?

Yogesh Jain: Within this month.

T. R. Rao : LOA will get this month and appointed date maybe in the next month.

Shravan Shah: Okay. So, at least we should have some execution from there also.

T. R. Rao : Yes.

Shravan Shah: Yes. Thank you , management , for giving us the opportunity . And thank you all the participants for joining in. Sir, do you have any closing comments?

Yogesh Jain: Yes. Thank you, everyone, for your participation in our Earnings Call. In case of further queries, you may get in touch with the Strategic Growth Advisors, our Investor Relations advisors, or feel free to get in touch with us. Thank you very much.

Moderator: On behalf of Dolat Capital Markets Private Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Aug 2025

PNC PNC Infratech Limited
Ref No: PNC/SE/4 0 125-26

To,
The Manager
Department of Corporate Services
BSE Limited
Floor 25,P.1. Towers,
Dalal Street, Mumbai-400 001
Scrip code:539150Date:21.08.2025

To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai-400 051
NSE Symbol: PNCINFRA

Dear Sir,
Sub- TranscriDt of O1=FY2026 Earnines Conference Call on Financial Results for the quarter ended 30th June 2025.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we are enclosing herewith the transcript of an earnings conference call on Financial Results for the quarter ended 30th June 2025 held on Thursday, 14th August, 2025 .
You are requested to take this information on your record.

Thanking you,
For PNC Infratech Limited
Tapan Jain
Company Secretary & Compliance Officer
M. No.: A22603

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"PNC Infratech Limited Q1 FY'26 Earnings Conference
Call"

August 14, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 14th August 2025 will prevail.

MANAGEMENT : MR. YOGESH JAIN – MANAGING DIRECTOR ,
MR. T. R. RAO - DIRECTOR (INFRA), PNC INFRATECH
LTD.
MR. D. K. AGARWAL - CFO, PNC INFRATECH LTD.

MR. PANKAJ AGARWAL - VP (FINANCE AND ACCOUNTS), PNC INFRATECH LTD.
MODERATOR : MR. VAIBHAV SHAH – JM FINANCIAL

PNC Infratech Ltd.
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Moderator : Good afternoon , ladies and gentlemen. On behalf of JM Financial, I am pleased to welcome you on the call of PNC Infratech Limited Q1 FY '26 Earnings Conference Call.

This conference call may contain forward looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a conference operator by pressing '*' then '0' on your touchtone phone. Please note this conference has been recorded.

I now hand the conference over to Mr. Vaibhav Shah from JM Financial. Thank you and over to you , sir.

Vaibhav Shah: Yes, thank you. On behalf of JM Financial, I am pleased to welcome you all to the PNC Infratech Q1 FY '26 Earnings Conference Call . We have with us the Managing Director of the Company – Mr. Yogesh Jain along with the Senior Management Team .

We will begin with the opening remarks from the Management followed by interactive Q&A sessions. Thank you and over to you , sir.

Yogesh Jain: Good afternoon everyone. On behalf of PNC Infratech Limited, I extend a warm welcome to all of you for joining us today on this call. Today I have with me , Mr. T. R. Rao - Director (Infra), Mr. D . K. Agarwal, CFO ; Mr. Pankaj Agarwal, VP (Finance and Accounts) and Strategic Growth Advisors, our investor relations advisors.

The Financial Results and Investor Presentation have been uploaded on the Stock Exchanges and the Company website for your reference.

Initially, I would like to mention key updates of the industry, followed by the operational developments of the Company and highlights of financial performance during the quarter ending 30th June 2025, post which we will be happy to answer your questions.

✓ The Indian roads and highways sector has faced notable headwinds in the recent years, with a slowdown in both project awarding and construction activities.

✓ Between April and July 2025, NHAI awarded only 180 kilometers of highways.

✓ However, long time outlook looks robust as MORTH including NHAI and NHIDCL aim to award new highway and expressway projects of Rs. 7 lakh crore before end of the current financial year.

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✓ In line with these targets, NHAI intends to bid out more than 120 highway and expressway projects worth over Rs. 3 lakh crore before the end of the current financial year.

✓ The proposed NHAI projects cover a diverse network comprising economic corridors, national corridors, expressways, inter -corridor and feeder routes and port connectivity highways.

✓ Turning to water infrastructure, Jal Jeevan Mission has shifted focus from infrastructure creation to ensuring long -term sustainability.

✓ With over 14 crore rural households now having access to tap water connections covering nearly 75% of rural India.

✓ As part of expansion and upgradation of the rail network in the country, Indian Railways launches a series of new projects across all its railway zones generating new business opportunities to the infra developers .

✓ A sizable number of new projects are also coming up in renewable energy, power transmission, coal mining & development, water resources management, industrial area development and other infra sectors at both central and state levels offering

diversified business opportunities for the established infrastructure players.

Now coming to the recent updates in the company:

✓ On the project front, the company has strategically expanded into two new business segments: r

enewable energy and coal mining.

✓ In the month of July , the company forayed into renewable energy space by securing L1 bidder position for 300 MW Solar Power Project with 600MWh Battery Energy Storage System project floated by NHPC. The project is to be implemented in 24 months and operated for 25 years, post commissioning.

✓ In August 2025, the company being declared as L1 bidder, received Letter of Acceptance from South Eastern Coalfields Limited for Over Burden Removal and Coal Extraction at Gevra OCP Expansion Project in the state of Chhattisgarh for a contract value of Rs. 3,489 Crores including GST, to be executed in 5 years.

✓ On asset monetisation side, Company and its 100% subsidiary PNC Infra Holdings Ltd successfully completed sale of 100% equity stake in PNC Bareilly Nainital Highways Private Limited, a BOT -Toll Sate Highway Project, to Highway Infrastructure Trust promoted KKR by and its affiliates.

✓ The above transaction was concluded on 31st July 2025 at an Enterprise Value of Rs . 716.2 Crores, out of which Rs 153.48 crores received towards equity, and Rs . 239.35 crores received against the unsecured loan.
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August 14, 2025

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✓ In addition to the consideration received as above by the Company, there are certain other receivables amounting to Rs. 80 crore for the same project, which would be received by the Company from VIT, as stipulated in the definitive agreement, going forward.

✓ With the successful transfer of PNC Bareilly Nainital Highways Private Limited, the Company has now completed the 100% equity divestment in 11 out of the 12 assets under the definitive agreement executed for the equity sale last year.

✓ The 12th and final asset PNC Challakere Karnataka Highways Private Limited is expected to be divested in Q2 FY26, upon fulfilment of the remaining Conditions Precedent.

Now moving on to the operational and financial performance of the company

✓ The Company is presently having a fund -based portfolio of 16 projects. Out of which, 1 is BOT -Toll project, 2 are BOT Annuity Projects, and 13 are HAM projects.

✓ Aggregate Bid Project Cost of 13 HAM projects is over Rs. 14,800 Crore.

✓ Out of 13 HAM projects,
o 3 projects achieved PCOD
o 6 projects under construction
o 3 projects achieved financial closure, and appointed dates are expected to be declared in Q2 and Q3 of FY 26.
o Remaining HAM project of MPRDC, documents for financial closure have already been submitted and appointed date is expected to be declared in Q2 of FY 26.

✓ Total equity requirement for the 13 HAM projects stands at Rs. 1,744 crores. Out which, the Company has already infused equity of Rs. 1,019 crores till June 2025, and the remaining equity of Rs. 725 crores to be infused over the next 2 to 3 years.

✓ The internal accruals that would be generated over the next two to three years should be adequate to meet the further equity investment.

Now moving on to our order book

✓ As of 30th June 2025, the Company's unexecuted order book stands at over Rs. 17,000 crores, which includes EPC values of Varanasi Kolkata Packages 2, 3 & 6,

Bhopal Bypass HAM Project of MPRDC and a flyover project of Rajasthan PWD in Bharatpur.
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✓ The above unexecuted order book doesn't include the recently secured renewable energy project of NHPC and mining project of South Eastern Coalfields Limited having an aggregate value of over Rs. 5,000 Crores. Considering these two projects, the total order book comes to over Rs. 22,000 crores.

✓ Out of the unexecuted order book of over Rs. 17,000 crores as on 30.6.2025, highway & expressway contracts contribute 67%, while water, canal and area development contracts contribute 33%.

Now I would present the results for the quarter ended June 30, 2025.

Standalone Quarterly Results:

Revenue for the 1st quarter

of FY26 is Rs. 1,136 crores.

EBITDA for the 1st quarter of FY26 is Rs. 141 crores. EBITDA margin for the 1st quarter of FY26 is 12.4%.

Profit for the 1st quarter of FY26 is Rs. 81 crores. PAT margin for the 1st quarter of FY26 is 7.1%.

Consolidated Quarterly Results:

Consolidated revenue for the 1st quarter of FY26 is Rs. 1,423 crores.

Consolidated EBITDA for the 1st quarter of FY26 is Rs. 367 crores. The EBITDA margin for Q1FY26 is 25.8%.

Consolidated PAT for the 1st quarter of FY26 is Rs. 431 crores. The PAT margin for Q1FY26 is 30.3%.

On Standalone basis,

Our net worth as on 30th June 2025 is Rs. 5,557 crores, whereas standalone debt from Banks/Financial Institutions is Rs. 20.0 crores. This translates to net debt to equity of 0.07 times.

We also have a net surplus of Rs. 483 crores as on 30 June 2025.

On Consolidated basis,

Our net worth as on 30th June 2025 is Rs. 6,421 crores whereas total debt is Rs. 4,712 crores.

This translates to net debt to equity of 0.73 times. The total cash & bank balance including current investments is Rs. 2,672 crores.

With this we now open the floor for questions. Thank you.

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Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah with Dolat Capital. Please go ahead.

Shravan Shah: Hi, thank you sir. A couple of questions. So first on the guidance front, so last time we said Rs. 6,600 crore revenue which is a 20% growth for this year and this quarter we have seen a decline of 13%. So for in balance 9 months, we need a kind of a 45% kind of a growth. So just wanted a revised guidance number on the revenue for this year and also for next year FY '27, we have talked about 15 %-20% kind of a growth. So if you can let us know?

T. R. Rao: As of now, we still maintain a 15 %-20% growth for FY'26 because the 1st Quarter if you compare to last year 1st Quarter corresponding quarter, we received arbitration award amount as well as the bonus amount. Let's say it's not an objective comparison. So nevertheless we expect an improved turnover during the Q3 and Q4 with the new projects flowing and also once this rainy season gets over. So still we maintain 15 %-20% growth over the previous year as a guidance for FY '26.

Shravan Shah: On the lower side versus at 20%. So is it fair, so let's put up a number would be a better. So at least Rs.6,300 crore plus kind of a number should be there on the topline front.

T. R. Rao: Yes, if it comes to that, 15% so Rs. 6,300 crores.

Shravan Shah: And on the margin front so this quarter was also on the lower side 12.4% but we are looking at a 13% margin, so that still remains intact?

T. R. Rao: Yes, sir that will remain intact. Because this year, the turnover is slightly less, so fixed overheads are same being the same. So there is a pressure on the margin but 13% EBITDA margin we should be able to maintain for the FY '26.

Shravan Shah: For next year now once we have this coal mining and the BESS so both put together Rs.5,100 odd crore, so for next year how one can look at will the growth rate on the revenue front should be a much higher 20% plus should be there?

T. R. Rao: 20% we are expecting. This will again 15%-20% we are expecting next year for FY '27 but see

we are expecting some appointed dates to be declared for the projects which have already been awarded last to last year. So once these appointed dates are declared for the four HAM projects and also the execution begin at these things so we will be able to assess in a better way next quarter , but as of now 15 %-20% for FY '27 over FY'26.

Shravan Shah: Yes and in terms of the order inflow now , so if we consider this Rs. 5,200 odd crore for the BESS and coal mining , so now how much more are we looking to bag in this year and also at the same time if you can also specify in t

terms of the bid pipeline from which segments we are looking at ?

T. R. Rao: See, order book last time we had mentioned Rs. 12,000 - 15,000 crore for FY '26 since we have already secured over Rs. 5,000 crores so we are expecting another Rs. 7,000 crores to PNC Infratech Ltd.

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Rs.10,000 crores new order in the ne xt three quarters from Q2 to Q4. S o Rs. 7,000 crores to Rs. 10,000 crores and we are expecting orders from the primarily from highway sector as our Managing Director has mentioned , NHAI is coming out with 120 major projects having a value of more than 3 lakh crores . So definitely our focus will be on highway sector only , but roughly you can say the majority of this remaining Rs. 7,000 crore from the highway sector , remaining from the other sectors.

Shravan Shah: Got it. A nd just how much revenue one can look at from the coal mining this year and from next year onwards once it will be a kind of a stabilizer on a yearly basis how much revenue one can look at and same way for BESS that the RE project that we have received . So this year on the EPC front how much one can look at revenue and next year how much one can look at?

T. R. Rao : Coal mining if you see this Rs. 3,000 crore worth of project has to be executed in five years with an average revenue of Rs. 600 crores per year . So this year anyhow now post this rainy season and all we will be beginning . So 300 crores to 400 crores we expect in current year and the next year onwards it should be Rs. 600 crores slightly more than Rs. 600 crores per annum . So should be able to complete this entire scope within the 5 years what was the stipulated in the contract. Effectively uniformly Rs. 150 crores for each quarter.

Shravan Shah: Got it and for BESS , how much we are look ing at this year and next year?

T. R. Rao : See BESS , still we had to receive the letter of award post that there is a process involved . The NHPC has to sign a power sale agreement with the state government and then subsequently purchase agreement signed and then post that we have to implement . So this year , we are not looking at a significant amount of implementation but 24 months we have to implement this project of over Rs. 2,000 crores EPC value . So we say one quarter , in Q4 we will be executing some work this year and major work will be executed next year. The exact number we will be able to share in next quarter.

Shravan Shah: Yes, lastly sir, balance sheet and project wise order book data if you can share , so inventory, debtors , trade payable, mobilization, retention value as on June.

T. R. Rao : Mr. Shravan Shah, we will come back on these details. So let other people also listen. We will share with you all the details going forward.

Shravan Shah: And project wise order book or whatever is left if I can name the project , if you can share the outstanding order book ?

T. R. Rao : Okay.

Shravan Shah: Irrigation outstanding order value is how much?

Pankaj Agarwal : Rs. 866 crores.

Shravan Shah: It seems some scope of increase has happened . Kanpur -Lucknow package 1 and package 2 ?

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Pankaj Agarwal : Kanpur -Lucknow package 1 is Rs. 67 crores and package 2 around Rs. 40 crores.

Shravan Shah: And Mathura bypass Gaju village?

Pankaj Agarwal : Completed.

Shravan Shah: And Haryana Orbital rail?

Pankaj Agarwal : Rs. 528 crores.

Shravan Shah: Ganga bridge ?

Pankaj Agarwal : Ganga bridge is around Rs. 230 crores .

Shravan Shah: Got it , sir. Thank you and all the best .

Moderator: Thank you . The next question comes from the line of Mohit Kumar with ICICI Securities Please go ahead .

Mohit Kumar: Good afternoon , sir and thanks for the opportunity . My first question is on the RE ESS portfolio . You have won 300 MW-600 MW odd bid. The question is what is the aspiration of medium term ambition in building of this busin

ess and are you willing to and any capital allocation plan if you have for this particular business?

T. R. Rao : This is the first project in the renewable energy space for our Company . We are looking forward to , see this is the first project as we go forward , while implementing this project so we will also know that what is a more deeper insight about this renewable energy space . So definitely , we look forward to more opportunities in this space going forward , but our focus will be first will be implement this for this project .

Mohit Kumar: And so you expect a limited capital , right ? What is the equity requirement for this particular project?

T. R. Rao: This depends upon the debt equity ratio that we are they will be discussing with the banks based on that we are having an equity requirement of say around Rs. 400 crores of equity requirement would be there assuming a debt equity of 80 -20 as of now , but only final figures will know once we are in the process of financial closure for the project.

Mohit Kumar: My second question is that how should we think about the margin profile in coal mining project and I believe this is our first project in the coal mining right and the related question is do you understand what kind of CAPEX you require to execute this project?

T. R. Rao: We are expecting a CAPEX of around Rs. 400 crores for this project for this coal mining project because it's a machinery intensive project . So we are expecting Rs. 400 crores to Rs. 500 crores CAPEX for this project.

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Mohit Kumar: And what about margin profile sir? Do you believe it is similar to the existing one or do you think it will be ...?

T. R. Rao: It will be similar. It will be around 13% EBITDA we are expecting from this project. Similar to our other portfolio.

Mohit Kumar: Understood sir. Thank you. Best of luck.

Moderator: Thank you. The next question comes from the line of Vasudev from Nu vama. Please go ahead.

Vasudev: Thank you for the opportunity. So sir what is our current status of the irrigation Jal Jeevan Mission and the CIDCO project?

T. R. Rao: The irrigation project we have executed certain work during the previous quarter. As of now only peripheral works are executing because the water is flown into the canal system. Again we will resume the project in the month of January. Overall this year we are expecting Rs. 150 crores work. Then next year this will be further increased. So project is going on they extended the time up to 2026 September and we are expecting further extension of this project. So project is going on because hardly we will get six months less than six months ' time in a year to execute the project because remaining year for the irrigation purposes water is left into the canal. And in Jal Jeevan mission, Phase -II we have completed two -thirds of the projects more than 67% physical progress and nearly 55 % to 58% were completed in Phase -III. So overall progress is around 60 %. So project is going on. We expect to complete in FY '27 and maybe some residual works in later.

Vasudev: And sir on the CIDCO project , in presentation we have written that the project is sub judice . So what's the status here?

T. R. Rao : The matter is still under sub judice . We halted the project. Implementation of the project we halted. Nevertheless we have mobilized our resources. We set up our camp and other things.

But as of now physical execution of the project we halted it. The matter is before the court.

Matter is sub judice . We don't want to share further on this project , matter being sub judice .

Vasudev: Okay. And sir what is the CAPEX that we are planning for the full year and out of that how much have we done in Q1? And lastly can you also give the toll collection numbers for the quarter?

Pankaj Agarwal : Our target for CAPEX in this financial year is around Rs. 450 crore including the CAPEX of

g the CAPEX of

coal mining for the financial year. And the toll number are , please note down. For MP highways , it is Rs. 12.34 crore ; for Bareilly Nainital it is Rs. 19.65 crore , Narela the collection is Rs. 22.64 crore. And for Rae Bareilly annuity is Rs. 32.16 crore.

Vasudev: Okay. And sir what is the CAPEX that we have already incurred in Q1?

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Pankaj Agarwal : We have not incurred any CAPEX in this quarter. We will do the CAPEX in the next three quarters.

Vasudev: Okay. Sure sir. That's it from my side.

Moderator: Thank you. The next question comes from the line of Ketan Jain with Avendua Spark. Please go ahead.

Ketan Jain: Thank you. Sir I just wanted to understand on the Renewable project. If I understand the

CAPEX involved is around Rs. 2,000 crores. Do we have the execution capability in-house to execute this project? Or how is the execution of this project going to be?

T. R. Rao: This Renewable Energy Project?

Ketan Jain: Yes sir. Renewable Energy.

T. R. Rao : Renewable Energy Project see we will engage the specialized agencies and also we already engaged the consultants who have adequate expertise in these projects and holding expertise in this project. So we certainly we are in the process of recruiting people and certain team is also there already with us. So we should be able to execute the in-house only, this project, by having some partnership with the technology providers and the specialized vendors with the support.

Ketan Jain: Understood. Okay, that was my question. And the CAPEX is Rs. 2,000 crores, right, sir?

T. R. Rao: For this particular project whatever the equipment of solar panels as well as the battery lines will be but since that is a part of project cost only and it will be capitalized. There will not be any separate CAPEX on the PNC books.

Ketan Jain: Understood. So I was thinking that the project cost is around Rs. 2,000 crores, sir?

T. R. Rao: Yes. Over Rs. 2,000 crores.

Moderator : Thank you. The next question is from the line of Sarvesh Gupta with Maximal Capital. Please go ahead.

Sarvesh Gupta: So first question is on this Rs. 4,500 crore worth of MSRDC project. So if you can update us with progress on these two, what is going on in these two?

T. R. Rao: See MSRDC projects of 4,500 crores comprising Jalna-Nanded Expressway as well as Pune Ring Road. So both projects are going on. We started in the commencement of execution during the fourth quarter of last year and 1st Quarter of this year also we have executed certain work and projects are going on as of now. Only because of the current quarter, ongoing quarter because of the monsoon and intense rains, progress is slightly affected. Otherwise progress, projects are progressing as per the schedule.

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Sarvesh Gupta: Okay. And sir secondly on the orders which the industry is hoping to get. So now I think in the past 2-3 quarters, we have been always been expecting that orders will come eventually, but I think that is getting delayed or not getting received every quarter. So I think 2-3 quarters back, we had a revenue growth guidance of 30% for FY '26, which got revised down to 20% and now 15% to 20%. So two times already we have taken downward revision because obviously there is nothing which just you, but other players are also not getting. So what gives us the hope that, we will be able to get these orders? I mean, are there some tangible changes that has coming from NHAI side that you feel confident that they will be giving out these orders or if you can update on that because otherwise we don't have enough of road orders to be able to sort of meet the guidance, even the revised one?

T. R. Rao: So see, last two years, everybody knows the awarding activity by NHA I is subdued. So it is reflecting into the low constructi

on activities in the last year as well as the current year. But as announced by NHA I, from Q2 onwards, they're going to award major projects of large number of major projects of Rs. 3 lakh crores. So we are positively thinking that, okay, we will get a certain amount of projects from these things. And the second thing, the reason for the downward in the last year turnover, as we had already mentioned, because of the four projects which for the construction agreement you have signed in FY '24, those projects could not start because of the delay in declaration of appointed date due to non-sufficient land is available. There is a prolonged delay in acquisition of land in the state of Bihar. So that is the reason, but now the land acquisition process has improved. So we are expecting appointed dates during the Q2 and Q3. Certainly, these projects will generate income in the current financial year as well as the next financial year substantially. So we should be able to maintain the revenue guidance what I have given. But we don't remember that we have ever given any 30% guidance for FY'26. Last time we mentioned up to 20%, now we say about 15% to 20%. So which we should be able to maintain, we should be able to achieve. Given the fact that we received around Rs. 5,000 crores in new projects and also the four projects which have been awarded last to last year are going to be commenced once the appointed dates are declared.

Sarvesh Gupta: Sir, even if the orders were to come, so from an industry perspective now what has happened is all the players are having a balance sheet which is probably the best that has been in the history. So everyone is sitting with a lot of cash and everyone is sort of starved of any orders in the last 18 months to 24 months. So given that sort of a scenario, how do we feel about the margins that can be expected on these future orders if at all they come? Because everybody is hungry for orders and everybody is sitting on a lot of cash.

T. R. Rao: No, that is there. See the particularly infrastructure cycle if you see over the last decade, it is a cyclical. See there are downs and there are ups in the infrastructure at the how the government

and the order inflow is happening. So yes, people are there, everybody is very eager to garner the new business. But what we feel there is enough cake for everybody. Because railways are also coming with a large number of projects and also metro rail projects are coming and also then apart from NHA I and the renewable energy, transmission line, a lot of projects are coming up. So, we feel that okay, there are several players who are very much hungry to PNC Infratech Ltd.

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secure more projects, but sufficient business is available at the government thrust on infrastructure development for overall socio-economic development.

Moderator: Thank you. The next question comes from the line of Vaibhav Shah with JM Financial. Please go ahead.

Vaibhav Shah: Sir, what execution do we expect from the existing MSRDC orders, Pune Ring Road and Jalna in FY '26?

T. R. Rao: This figure is not readily available. We will share with you, but we will have a substantial amount to be executing in Q2, Q3 and Q4 may be slightly less, but Q3 and Q4 will be expedited. So we share with you offline. The figure is not readily available.

Vaibhav Shah: And sir, we were L1 in Bhandara-Gadchiroli as well. Any status, any update on that?

T. R. Rao: For practical reasons, that project is non-est. See, there is no guarantee and also this we are not considering as a thing. And so if anything is there, any development in that project, we will share with you through the stock exchanges.

Vaibhav Shah: Okay. Secondly, on the JJM side, what would be our receivables outstanding right now?

T. R. Rao: The receivables are as of 30th June, it's more than Rs. 700 crores receivables are there because

there is a paucity of funds. The government of India just halted the funds. They're reviewing the whole program. We are expecting funds will come in the current quarter. Then these backlogs will be cleared.

Vaibhav Shah: Sir, I missed the number you mentioned. What was the number?

T. R. Rao: Rs. 700 crores.

Vaibhav Shah: And the same for irrigation project?

T. R. Rao: Irrigation project, actually, since last year, we received more than Rs. 200 crores amount. Now, the outstanding amount is around Rs. 90 crores. Because the government of Andhra Pradesh has paid during the one year, progressively they paid more than Rs. 200 crores out of the total outstanding amount. Now, the outstanding amount is less than Rs. 100 crores.

Vaibhav Shah: And sir, what execution are we targeting from JJM segment in FY '26?

T. R. Rao: We are targeting Rs. 900 crores in FY '26. We're focusing on making this project into O&M stage. We are also consolidating. There are 80%-90% completed. We are trying to take them to O&M stage and commissioning the project. But still, we are targeting as of now Rs. 900 crores. But we should be able to tell a more tangible figure, a more precise figure during the next quarter.

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Vaibhav Shah: Sir, in the entire backlog of almost Rs. 2,900 crores, that should be completed by FY '28?

T. R. Rao: Yes, FY '28. As per the budget speech, they extended the JJM up to FY '28.

Vaibhav Shah: Sir, guidance on the ADs for the three packages of VRK and Western Bhopal bypass?

T. R. Rao: We are expecting these appointed dates for these three projects of NHA I, VRK and one project of MPRDC, Bhopal bypass during the current financial year, maybe one project in Q2 and the remaining 3 projects in Q3. So, because since the initial works will not be high-value works, so we are not expecting very high value of this project. But these projects will give some sizable amount. All four projects should give more than Rs. 1,000 crores turnover during the current financial year.

Vaibhav Shah: All the four together?

T. R. Rao: Yes.

Vaibhav Shah: Okay. And sir, lastly on the monetization front, so just a question on the accounting. So, how are we accounting for the money inflow? So, in the standalone books, we don't see any cash coming, right?

Pankaj Agarwal: Actually, the money is flowing to the main Company PNC Infratech Limited and Infra Holding. The 100% substantial PNC Infratech Limited. The money has come in PNC and PNC Infra Holding both.

Vaibhav Shah: Okay. Sir, so last time we had mentioned that the total amount of cash that we have received in the deal, so around Rs. 2,200 crores had come, Rs. 1,660 crores from the Phase -I and Rs. 584 crores from the change in scope.

Pankaj Agarwal: Yes.

Vaibhav Shah: So, of this Rs. 2,250 crores, how much has come in the standalone books and how much is in the consol books in the SPV?

Pankaj Agarwal : Actually, in standalone basis, the money will come around Rs. 1,100 crore and the balance will receive in the PNC Infra Holding s.

Vaibhav Shah: Okay. Thank you, sir. Those were my questions. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Aniket Madhwani with Step trade Capital. Please go ahead.

Aniket Madhwani: Here we can see from FY '24, there is a dip of 22% in the topline in FY '25. Can you specify the reason for it?

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T. R. Rao: See, you are telling FY '25 vis-à-vis FY'24?

Aniket Madhwani: Yes.

T. R. Rao: We had already shared last year, many rounds of discussions had, but still, as we said, the main reason in the delay in declaration of appointed date for the four HAM projects, which were awarded in FY '24. In July 2023, we signed the concession agreements for these HAM projects and we timely within six months, we achieved the financ ia

I projects within six months. These

4 project were awarded in July 2023. We signed the agreements and though two years passed, appointed dates were not declared because of the non -availability of land. There were certain issues in the land pricing and acquisition process and all. Prolonged delay happened in the land acquisition. So, these projects are worth of nearly Rs. 5,000 crores. We could not execute anything during the FY '25.

Aniket Madhwani: Sir, our main question is with regard to dip in June 2025 revenue, right? If you look at the year-on-year, there has been d ip of 35%, right? And simultaneously, there has been dip in the profit.

T. R. Rao: I'll tell you. In June quarter, the Q1 of FY '26 versus Q1 of FY '25. In Q1 of FY '25, we received more than Rs. 400 crores towards the arbitration awarded in our favor and also around Rs. 56 crores bonus we received from one of the EPC projects executed. So, it's not exactly Rs. 1,700 crores that is my dip . The amount if you compare it objectively, FY'25 figure, corresponding figure will be around Rs. 1,300 crores vis-à-vis the Rs. 1,136 crores we achieved with a dip of around 13%.

Aniket Madhwani: Sir, what I am trying to ask you, we have an order book of Rs. 17,000 Cr. as on the date, but still the Company is not able to perform well. So, what are the critical reason and if you look at the history, so it shows the downtrend, right? So, what are the critical limitation factor for us?

What are the bottlenecks? Do we have insufficient working capital or do you have insufficient CAPEX ? What are the critical problem that you are facing, right? Because when we look at order book, so it is tremendous, right? Obviously, you have 3 to 4 year of the runway , so far as the order book is concerned, right? So far as the ban, so ban is also lifted. So, why the Company is not able to perform? That is what we w ant to understand from your end?

T. R. Rao: See, out of Rs. 17,000 crore order book, nearly Rs. 7,000 crores new orders we received last year only, that too towards the end of the last year. This MSRDC project and CIDCO project, we received towards the end of the last year and we started executing those projects but those projects didn't give much work. And the CI DCO project of Rs. 2,000 crores halted because of the judicial intervention. So, that project was halted. And see, we are having a sufficient working capital. In fact, our working capital limits and CC limits, we hardly use them. We have sufficient cash and there is no dearth of any equipment or anything because we are having a gross block of more than 1,200 crores which can execute 6 to 7 times. This has happened because the Rs. 17,000 crores order book, Rs. 7,000 new orders we received last year only and Rs. 5,000 crores order book which was received in FY '23. So, appointed dates are not declared

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so that we could not commence the physical execution. So, all these regions are beyond our jurisdiction and beyond our control. And also, this Rs. 5,000 crores order book could not execute because of the land acquisition issues. It's completely out of our control. So, see, we are not sparing any effort but the factors beyond our control, the main reason...

Aniket Madhwani: And sir, you mentioned one of your projects got on hold, right? So, what is the value of that project?

T. R. Rao: That project is Rs. 2,040 crores.

Aniket Madhwani: Okay. So, 5,000 C r, land acquisition issue, Rs. 2,400 crores is due to on hold, correct? So, we should remove...

T. R. Rao: Rs. 7,000 crores.

Aniket Madhwani: Okay. So, we should eliminate this contract for the time being, right? Temporarily, we should not consider out of this temporarily ?

T. R. Rao: This project except Rs. 2,040 crores which is sub judice , we can't say but with Rs. 5,000 crores project which are on hold because of the land acquisition issue

s, we are expecting appointed

dates during the current financial year and we expect to commence the physical execution during the current financial year. So, going forward, these projects will give the revenue to us.

Moderator: Thank you . The next question is from the line of Parth Thakkar with JM Financial. Please go ahead.

Parth Thakkar: Hello, sir. Thank you for the opportunity. My first question is what would be our current bid pipeline and from that have we put out any bids, where results are awaited?

T. R. Rao: Yes, we have put out our bids. We put out around 13 bids comprising both HAM, EPC and one TOT project. If you see the total value of the bids, what we have put, it comes to around Rs. 48,000 crores including the TOT project . So, these bids are under evaluation. So, we expect these bids will be opened during the next 2 to 6 weeks. These bids will be opened, price bids will be opened.

Parth Thakkar: And what would be the value of the TOT project?

T. R. Rao: TOT project, is for a period of 20 years, it is expected to generate a total revenue of over Rs. 30,000 crores over a period of 20 years.

Parth Thakkar: Okay. And also if you have the numbers in handy, what would be our mobilization advance and working capital debt as of June?

Pankaj Agarwal : As of June, the net mobilization advance is over Rs. 500 crore.

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Parth Thakkar: And working capital debt, sir?

Pankaj Agarwal : Working capital debt in standalone is nil, zero. But there is standalone debt of Rs. 20 crores in the standalone balance sheet.

Parth Thakkar: Okay. Thank you, sir. Those were my questions.

Moderator: Thank you. Thank you. The next question comes from the line of Lokesh Kashykar with SMIFS Institutional Equities . Please go ahead.

Lokesh Kashykar: Thank you for the opportunity. My question is basically on the mining project which we have bagged recently. So, my analysis is that we have bagged this project on a 20% discount to the authority's cost. So, just wanted to understand the reason behind it. And have we bid on the aggressive basis? And what is the margin we are targeting on this project?

T. R. Rao: We have done a thorough market analysis and also we have done the surveys and other things, taking all the factors into consideration. Of course, the competition also. So, we bid this project very judiciously . Of course, incidentally it is 18% below what the project proponent has estimated. But we don't think that we bid this project very aggressively. We bid it judiciously and we expect a margin of around 12 %-13% EBITDA margin from this project.

Lokesh Kashykar: Okay. And, sir, on the bidding pipeline, do you see that there would be chances that we will get more mining projects and more B ESS kind of projects during FY'26 ?

T. R. Rao: See, we submitted our bids for the two more mining projects nearby. It is having a project value of around Rs.6000 crores – Rs. 8,000 crore we can't share exact kind of a quote. But we may get some projects depending upon the competition and other things. The rest of the projects, we continue to focus on road projects. We submitted a HAM project of the road sector and also submitted projects to NHA I on EPC. And we submitted a few projects to Railways also.

Lokesh Kashykar: Okay. But don't you think that given that we have bagged around Rs. 5,000 crores of projects during Q1 only, and given that we have a strong bidding pipeline, so we can easily cross Rs. 15,000 crores of order inflows for F Y'26 ?

T. R. Rao: Yes. Hopefully. So, we have given a guidance up to Rs. 15,000 crore . We are hoping that we will achieve Rs. 15,000 crores or otherwise an optimistic side, we may even cross Rs. 15,000 crores in the current financial year.

Lokesh Kashykar: Okay. And this last question, sir, we have announced one arbitration award of Rs. 485 crores during the period

of May for Agra b ypass project. But we have not reported that during Q1.

So, what was the reason? And have you received that claim amount?

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T. R. Rao: No. Actually, the award has been published in our favor. But the NHA I has got time up to three months if they want to accept it or if they want to challenge it. So, ball is in the court of

NHA I. So, once the NHA I decides, then the further course of action will be there.

Lokesh Kashykar: Sure. Okay. That's it from my side.

Moderator: Thank you. The next question comes from the line of Vishal Periwal with Anti que Stock Broking. Please go ahead.

Vishal Periwal: Yes, sir. Thanks for the opportunity. Sir, I missed on the cash number which you mentioned at a consol level. If you can just highlight again ?

Pankaj Agarwal : The total cash number as on consol basis is Rs. 2,600 crore.

Vishal Periwal: Okay, got it. And then in terms of the mining that we will be doing for the next five years, so is it part of the SPV or subsidiary or standalone we will be booking this revenue?

T. R. Rao: It will be standalone. So, we will be executing on a PNC Infratech the main Company . So, this turnover will come directly on a standalone thing.

Vishal Periwal: Okay, got it. And maybe one last thing. I think though you did clarify on this pending AD that is there and you have given like based on the current timeline, one AD will be receiving this quarter and then remaining three in the next. So, what exactly is the issue? Like, are you seeing things getting sorted now? Any color that can be provided? Or probably, things are still highly balanced between like, we may get, we may not get. So, if you can just clarify that, sir?

T. R. Rao: No. Situation has materially improved because our team is at the project sites. So, we know the ground reality. Out of four projects, one project, the adequate length ROW has been acquired.

So, just we are waiting because currently monsoon is very active in that area. Just we are waiting the monsoon to recede . So, one project that is VRK -6 will get the appointed date before end of the current quarter. Next quarter, we will receive the three. So, there is a mark on the ground. It's in real position. The land acquisition process has been expedited and improved. So we don't see uncertainties in this project.

Vishal Periwal: But I think we have 15 %-20% revenue growth, Rs. 1,000 crore is expected from these couple of projects where AD is expected. But that will be a little steep ask, right? I mean, given the project we will be acquiring, we will be starting and mobilization advance we will receive and six months generally take time for a pickup. So, I mean, probably...

T. R. Rao: For these three projects, since all these four projects, we received the letter of award and also signed the concession agreement long back , our site establishments already we put it there. We stacked our material and also we positioned our plant and machinery. Everything is ready. So, with the current position, so once the appointed date is declared, so we will be able to start in full swing. If it's not like that, then further we will require some lead time or anything. So, in full swing, we started all these four projects. So, on an optimistic side, we are expecting around PNC Infratech Ltd.

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an aggregate level of Rs. 1,000 crores from these four projects. See, that also will depend upon the date of declaration of appointed date, whether we will get it beginning of the quarter or at the end of the quarter. But we are fully ready because we got sufficient time for mobilization. So, we adequately mobilized and we positioned the man, material and machinery over there. So, we should be able to start these projects in full swing and achieve the progress.

Vishal Periwal: Okay, sure. So, I think that's pretty helpful, s

ir, explaining all the questions. Thank you very much, sir.

Moderator: Thank you. The next question comes from the line of Shravan Shah with Dol at Capital. Please go ahead.

Shravan Shah: Hi, sir. Can you give now the balance sheet numbers, inventory, trade receivable, trade payable?

Pankaj Agarwal : Just note down. Inventory is around Rs. 900 crores. Trade payable is Rs. 750 crores and trade receivable is around Rs. 1,900 crores.

Shravan Shah: And out of that, HAM debtor is how much?

Pankaj Agarwal : HAM debtor is Rs. 730 crores.

Shravan Shah: Okay, and retention money is how much?

Pankaj Agarwal : Retention money is around Rs. 180 crores.

Shravan Shah: Unbilled revenue will be how much?

Pankaj Agarwal : Unbilled revenue around is Rs. 340 crores.

Shravan Shah: Okay, go t it. Sir, just a clarification. When we say this Rs. 2,957 crore coal mining order, where we will be doing a Rs. 500 crore kind of a CAPEX and this will be kind of a depreciated over five years. Am I right?

Pankaj Agarwal : Technically, yes.

Shravan Shah: So, then if I look at, if I do the math, this Rs. 3000 crore into a 12% kind of a number would be a Rs. 330 crores -Rs. 340 crore kind of EBITDA and then a 25% tax is Rs. 280 odd crores to Rs. 290 odd crore and versus we are spending a Rs. 500 odd crore CAPEX . Actually, we are doing a loss on that project.

T. R. Rao: No. Actually, see, for this project, considering on a standalone basis, whatever equipment we

purchase, so we are considering it five years, but otherwise, as per SLM, it will not be completed in five years going forward. If you get some other projects, because once we open this particular sector, so the machinery can be redeployed from other projects also. And it's not PNC Infratech Ltd.
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like that we will be writing off this entire equipment in five years. So, the reality is this equipment will be used for projects of a similar kind.

Shravan Shah: Okay, but still, it seems it doesn't make sense. The kind of a CAPEX we are doing, maybe a max-to-max it seems kind of a 1% kind of a net profit margin that maybe we will be doing, because ultimately this equipment has to be max -to-max seven -eight years, it should be a kind of written off, if not in five years?

T. R. Rao: That is there practically, but let us see that, as we said that we already did that more projects.

Shravan Shah: Yes, no issues. Yes, please go ahead, sir.

T. R. Rao: No, see, this is not seen as a single project kind of a thing. Once we invested into this thing and enter, so we see, we are looking at a long term kind of a perspective in this particular mining sector.

Shravan Shah: Okay, and sir you mentioned that we bidded for two mining projects, which would be around Rs. 7,000 odd crore, am I right?

T. R. Rao: Yes, it's around.

Shravan Shah: Okay. And this bonus on Hardoi of Rs. 15 odd crore that we will be receiving in this quarter?

T. R. Rao: Yes, we are expecting this to be bigger. This Rs. 14 point odd crore has been recommended by the field unit and sent to NHAI headquarters. So, we are expecting that this quarter.

Shravan Shah: Okay, and sir, this total, if you can now summarize this monetization of 12 odd projects. So, what is now left is Challakere -Hariyur, where Rs. 114 crore equity is invested. So, from that, how much we will be expecting in terms of the equity value? And if you can also now tally the total, how much we will be receiving? And against what, how much we have invested and how much already we have cash received?

T. R. Rao: Yes, this will update once the Challakere Hariyur, let us close the Challekere Hariyur. We are expecting we will be closing in Q2. So, once then we consolidate the total thing and we will be able to tell you how much we have invested and how much we have received. I think Challekere Hariyur, our valuation would be around, equity valuation

would be around Rs. 200 odd crore.

Shravan Shah: Okay, So, put together, if I assume the Rs. 200 crore that are receivable for the previous 10 as such?

T. R. Rao: We will share with you. We will consolidate all the figures, including Challekere Hariyur.

Shravan Shah: It would be good. And lastly, some standalone cash and bank balances versus March Rs. 682 crore, how much value has on June?

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T. R. Rao: March, standalone cash balance, March versus 30th June?

Shravan Shah: Yes, so cash and bank which was Rs. 682 crore as on March. Standalone cash and bank balance as per reported balance as on March was Rs. 682 odd crores so, so as on June how much is the value?

Pankaj Agarwal : Rs. 483 crore.

Shravan Shah: Thank you, sir. All the best.

Moderator: Thank you. The next question comes from the line of Krish with Anand Rat hi. Please go ahead.

Krish: Thank you for taking my question, sir. Could you please tell me how much did you receive in the 11 assets monetized?

Pankaj Agarwal : We have received around Rs. 2,050 crore. We have realized against the 11 assets.

Krish: Okay. And how much was received in the subsidiary of PNC Infra Holdings?

Pankaj Agarwal : We have received in PNC Infra Holdings is around Rs. 1,100 crore rupees.

Krish: Okay. And how much of the money has been utilized and what is the cash standing at PNC Infra Holdings?

Pankaj Agarwal : The outstanding cash in PNC Infra Holdings is Rs. 2,600 crore.

Krish: And how much was it utilized?

Pankaj Agarwal : We did not utilize the money as yet. The money has invested in the investment portfolio.

Krish: Okay. Thank you. That's all from me.

Moderator: Thank you. The next question comes from the line of Vasudev with Nu vama. Please go ahead.

Vasudev: Thank you for the follow -up. So, sir, for the solar project and the mining project, how is our working capital cycle different compared to the road projects?

T. R. Rao: See, as far as solar project is concerned, we will be floating an SPV for this implementation of this project, project SPV, which will be subsidiary of our parent Company . So, the working capital cycle may not be lengthier. And in case of coal project also, they digitized and a lot of digitization has happened. And what we understand that the measurement, certification and billing and their ease of payment is quite expedited, there also don't expect a longer working capital cycle. But anyhow, payments are made on a fortnightly basis because the quantum of work is large and a lot of digitization and a lot of technology interventions have happened. So, PNC Infratech Ltd.

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they will be getting payment. So, there won't be any longer working capital cycle for these two projects.

Vasudev: Okay. And can you give the toll collection for the Kanpur highway project?

T. R. Rao: See, Kanpur highway project ended, concession period ended on 20th January 2025. So, therefore, we don't have any toll figures for Q1 of FY26.

Vasudev: Okay. Thank you. That is it from my side.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Yogesh Jain : Thank you everyone for your active participation in our earnings call. In case of further queries, you may get in touch with the Strategic Growth Advisors, our investor relations advisors or feel free to get in touch with us. Thank you very much.

Moderator: Thank you. On behalf of JM Financial that concludes this PNC Infra tech Limited conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

PNC PNC Infratech Limited
Ref No: PNC/SE/71 125-26

To,
The Manager
Department of Corporate Services
BSE Limited
Floor 25,P.J. Towers,
Dalal Street, Mumbai-400 001
Scrip code:539150Date: 19.11.2025

To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, BandraKurla Complex,
Bandra (East), Mumbai-400 051
NSE Symbol: PNCINFRA

Dear Sir,
Sub- Transcript of Earnings Conference Call on Financial Results for the quarter and half year ended September 30. 2025.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we are enclosing herewith the transcript of an earnings conference call on Financial Results for the quarter and half year ended September 30,2025 held on Thursday, 13th November,2025.

You are requested to take this information on your record.

Thanking you,
For PNC Infratech Limited
Tapan Jain

Company Secretary & Compliance Officer
M. No.: 422603

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"PNC Infratech Limited Q2 FY '26 Earnings
Conference Call"

November 13, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 13th November 2025 will prevail.

MANAGEMENT : MR. YOGESH JAIN – MANAGING DIRECTOR , PNC
INFRATECH LIMITED

MR. T. R. RAO - DIRECTOR (INFRA), PNC INFRATECH LIMITED
MR. D. K. AGARWAL – CHIEF FINANCIAL OFFICER , PNC INFRATECH LIMITED
MR. PANKAJ AGARWAL – VICE PRESIDENT (FINANCE AND ACCOUNTS), PNC INFRATECH LIMITED
MODERATOR S: MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED
MR. HARSHIL SHAH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator : Ladies and gentlemen , good day, and welcome to the PNC Infratech Limited Q2 FY '26 Earnings Conference Call hosted by PhillipCapital (India) Private Limited .

This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a n operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikram Suryavanshi . Thank you , and over to you, sir.
Vikram Suryavanshi: Thank you, Anushka. Good afternoon and a very warm welcome to everyone. On behalf of PhillipCapital, I am pleased to welcome you all on the PNC Infratech Limited 2nd Quarter FY '26 Earnings Call .

We have with us , Managing Director of the company, Mr. Yogesh Jain, along with Mr. D. K. Agarwal – Chief Financial Officer, and Mr. Pankaj Agarwal – Vice President.

We will begin with the opening remarks from the Management , followed by interactive question -and-answer session. Over to you, sir.

Yogesh Jain: Good afternoon, everyone.

On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

Today, I have with me Mr. T. R. Rao, Director (Infra), Mr. D. K. Agarwal, Chief Financial Officer, Mr. Pankaj Agarwal, Vice President, Finance and Accounts and Strategic Growth Advisors - our Investor Relations Advisors.

The financial results and investor presentation have been uploaded on the Stock Exchanges and the Company's website for your reference.

Initially, I would like to mention key updates of the industry, followed by the operational developments of the Company and highlights of financial performance during the quarter and half year ending 30th September 2025, post which we will be happy to answer your questions.

✓ In Q2 FY26, the road infrastructure sector reported modest performance, with projects execution remaining subdued as construction activity declined to 644 km, down from 802 km in the corresponding period last year, mainly due to very subdued

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project awarding activity by the authorities over the past two & half years and widespread intense and prolonged monsoon across nation this year.

✓ NHAI has set an ambitious target of 6,300 km length of new projects award for FY26, which is expected to generate substantial new business for the industry players going forward.

✓ As NHAI launched a huge new projects pipeline comprising over 120 projects to be implemented on EPC, HAM, DBFOT formats with an estimated capital cost of over Rs. 3.00 lakh crore, the whole industry is looking for speedy conversion of this pipeline into awarding, for turnaround of the sector and to create a strong execution visibility from FY27 onwards.

✓ The tightening of RFP norms to improve the quality and speed of project execution, including stricter qualification criteria, and more accountability on performance, are expected to ensure projects are awarded to only credible construction firms with proven technical and financial competence.

✓ In water sector, Jal Jeevan Mission moved significantly closer to realizing the Government's 'Har Ghar Jal' vision driven by rapid network expansion, use of digital monitoring systems, and active participation from local communities. This development will generate robust O&M revenue streams to the firms executed the capital works over the next

10 years.

✓ Various zones of Indian Railways, different subsidiaries of Coal India, various undertakings of Union Power Ministry are coming out with a large number of new projects in track -construction, coal mining, power transmission and renewable energy for bidding, which provide promising business opportunities for infra players.

Now coming to the recent updates on the company:

✓ Our subsidiary, Yamuna Highways Private Limited, has received the Provisional Completion Certificate for the Mathura 1 B HAM project in Uttar Pradesh on 15 September 2025, declaring it fit for entry into commercial operations with effect from 30th August 2025.

✓ In Q2 FY 26 Company received Early Completion Bonus of Rs. 5.3 crores for Mathura 1C project received during Q2.

✓ During Q2 FY26, Company received three Letters of Award

o from Bihar State Road Development Corporation for High -level bridge construction on High Level Bridge along with approach road on Hathouri - Aurai, in Bihar

o From Airports Authority of India (AAI) for the development of Varanasi International Airport.

o from NHPC for the Solar Power -Cum -BESS project

✓ Company has received appointed dates for 3 HAM projects: Varanasi Kolkata Highway Packages 2, 3 & 6.

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✓ During the quarter, Company also received appointed date for an EPC project in Rajasthan for Construction of Flyover in Bharatpur City.

✓ I am happy to share, during the quarter, credit ratings of four of Company's subsidiaries have been upgraded significantly :

1. Hathras Highways (Mathura Package 1C): Upgraded from CARE Single A to CARE AA Plus

2. Hardoi Highways (Hardoi Bypass): Upgraded From CARE Single A to CARE AA Plus

3. Yamuna Highways (Mathura Package 1B): Upgraded from CARE Single A to CARE AA

4. Awadh Expressway (Kanpur Lucknow Expressway Package 2): Upgraded from CARE Single A to CARE A Plus

Moving on to the operational and financial performance of the company

✓ Company's 16 fund -based projects, comprise 1 BOT -Toll Project, 2 BOT Annuity Projects and 13 HAM projects.

✓ Aggregate Bid Project Cost of 13 HAM projects is over Rs. 14,800 Crore.

✓ Out of 13 HAM projects,

➤ 4 projects achieved PCOD/COD,

➤ 8 projects are under construction
➤ Remaining 1 HAM project of MPRDC, documents for financial closure have already been submitted; however, declaration of appointed date is delayed due to land and alignment issues.

✓ Total equity investment requirement for the HAM projects is Rs. 1,744 crores.

✓ Till September 2025, Company already invested Rs. 1,081 crores and the remaining equity of Rs. 663 crores is to be invested over the next 2 to 3 years.

✓ Internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirements.

Now moving on to our order book

✓ As of 30th September 2025, the company's unexecuted order book stands over Rs. 20,000 crores, which includes EPC value of Bhopal Bypass HAM Project of MPRDC and newly secured high level bridge project of BSRDC, in Bihar.

✓ Highway contracts contribute around 55% of total unexecuted order book, while water, canal, area development and railways projects contribute around 30%, and coal mining project contributes 15%.

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Now I would present the results for the quarter, and half year ended September 30, 2025.

Standalone revenue for the 2nd quarter of FY26 is Rs. 983 crore.

Standalone EBITDA for the 2nd quarter of FY26 is Rs. 136 crore. Standalone EBITDA margin for the quarter is 13.9%.

Standalone PAT for the 2nd quarter of FY26 is Rs. 86 crores. Standalone PAT margin for the quarter is 8.8%.

Standalone Revenue for H1 of FY26 is Rs. 2119 crore.

Standalone EBITDA for H1 of FY25 is Rs. 277 crores. Standalone EBITDA margin for H1FY25 is 13.1%.

Standalone profit for H1 of FY25 is Rs. 167 crores. Standalone PAT margin for H1FY25 is 7.9%.

Consolidated revenue for the 2nd quarter of FY26 is Rs. 1128 crores.

Consolidated EBITDA for the 2nd quarter of FY26 is Rs.253 crores. Consolidated EBITDA margin for Q2FY26 is 22.4%.

Consolidated PAT for the 2nd quarter of FY26 is Rs. 216 crores. Consolidated PAT margin for Q2FY26 is 19.1%.

Consolidated revenue for H1 of FY26 is Rs. 2550 crores

The consolidated EBITDA for H1 FY26 is Rs. 620 crores. Consolidated EBITDA margin for H1 FY26 is 24.3%.

The consolidated PAT for H1 FY26 is Rs. 647 crores. Consolidated PAT margin for the H1 FY26 is 25.4%.

On Standalone Basis,

Our net worth as on 30th September 2025 is Rs. 5,628 crores, whereas standalone debt from

Banks/Financial Institutions is Rs. 796 crores. This translates to net debt to equity of 0.14 times. The total cash & bank balance including current investments is Rs. 1,203 crores.

On Consolidated Basis ,

Our net worth as on 30th September 2025 is Rs. 6,623 crores whereas total debt is Rs. 5,049 crores. This translates to net debt to equity of 0.76 times. The total cash & bank balance including current investments is Rs. 2,736 crores.

With this, we now open the floor for question -answers. Thank you .

Moderator: Thank you very much. We will now begin the question -and-answer session. We take the first question from the line of Shravan Shah from Dolat Capital. Please proceed.

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Shravan Shah: Thank you, sir. Sir, a couple of things to understand . So, first, on the revenue front , so i n the first half, the revenue at the standalone is 26% down, Rs. 2,100 crore. So, to achieve, we were looking at 15% to 20% kind of a growth. So, the ask rate in the second half is significant, kind of doubling the revenue in the second half. So, just wanted to know now how we can look at the revenue for this year and also at the same time for next year also , how one can look at the revenue for FY '27?

T. R. Rao : Good afternoon, Mr. Shravan Shah. Yes, there has been a decline in the revenue during the first half when you compare to last year's revenue. But a s you know, that even earlier also we shared with you, 4 HAM projects which were awarded way back in 2023, appointed dates have not been declared till now. Of course, they have been declared for 1 project, appointed date was declared in September, and another 2 projects appointed date declared in the first week of October.

So, otherwise , had these projects been declared appointed date, we would have achieved substantial work done during the current year as well as the previous year's second half. But unfortunately , appointed dates got declared, and the value of these projects of EPC value itself is RS. 4,000 crore s. This is the main reason in the decline of the appointed date, and we never expected the appointed dates would be declared so delayed, declaration would be so delayed more than 2 years. That is the reason for the decline. And s ince now, appointed date for 3 out of 4 projects already been declared having a value of over Rs. 3,000 crore s. So, t hese projects will generate income going forward.

And w ith regard to the guidance, what we had given, 15% -20% with the delayed declaration of awarding date, and also slow awarding activity by the NHA for the past 2.5 years, what our MD has mentioned now , so s low awarding, delay in declaration, and also, of course, though rains are a repetitive phenomenon every year, this year the monsoon also has been very active and prolonged. With all these reasons, now we are revising our guidance from 15% to 20% to 5% over the previous year. That is the guidance kind of a thing.

Now currently we are executing more than 20 projects, precisely 24 EPC projects, having a value of more than Rs. 17,000 crore

s, including coal mining and solar projects. So, with that kind of a revenue visibility is there , the unexecuted order book is there , so t his 5% over the previous year, remaining work comes to around Rs. 3,000 -odd crore s that we should be able to achieve during the H2 of the current financial year.

Shravan Shah: Now, sir, given that the growth will be lower, as you said, 5% in this year, so next year also, because on that high base, also we were looking at 15% -20% growth. So, FY '27, can we see a 30% kind of a growth once all the appointed date now kind of are received and the execution will start, and maybe the kind of order inflow that we are looking at?

T. R. Rao : No. Certainly, we will be aspiring to achieve that kind of growth during FY '27. But a s of now, since FY '26 has not been completed and the base needs to be established, so still we maintain 20% growth for FY '27 as of now. So, once some clarity emerges at what value we will be

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closing FY '2 6, then we will revise this one. We will relook into this growth. But as of now, we would like to maintain 20% growth in FY '2 7. But c ertainly, we will be aspiring for 30% growth.

Shravan Shah: And t he current 13% margin is doable?

T. R. Rao : It should be. 12.5% to 13% margin should be doable in the current financial year. And n ext year also, it will be around 13% margin should be there.

Shravan Shah: And i n terms of now, the order inflow, that is the main pain point for the entire sector. So, just

wanted to understand, though in the opening remarks, sir has talked about the significant value, 6,300 Kilometers of NHAI, Rs. 3 lakh crore, all this. But actually, how do you see in terms of because so many kind of a Cabinet approval, land acquisition and all this, so what we understand is 2,500 Kilometer to maybe 3,000 Kilometer .

So, just wanted to understand how much value of work from NHAI can be awarded and how much order inflow now we are looking at. And that too, if you can also specify in terms of the HAM specifically , and what are other state level or other segments where we are looking at and broadly how much the total order inflow now we are looking at ?

T. R. Rao : See, we had mentioned in the beginning of the year and the last quarter of the last year, our order book for FY '26 would be between Rs. 12,000 crores to Rs. 15,000 crores. We still maintain the same kind of guidance for FY '26. So, that means around another Rs. 6,000 crores plus order book we need to secure, new business we need to secure.

Given the project pipeline of NHAI and other departments, we have identified around 70 projects we have identified for bidding during the next 1.5 to 2 months, comprising an aggregate value of Rs. 1,00,000 crores . So, with this kind of a bidding pipeline available, we expect that we should be able to achieve another Rs. 6,000 crore plus new orders during the remaining 4.5 months of the current financial year.

Shravan Shah: And then there also mostly it would be a HAM.

T. R. Rao : No. In case of NHAI, it would be HAM. In case of other clients, it would be mostly EPC. EPC and as well as TBCB .

Shravan Shah: And just on the JJM front, so now how do we see the particular JJM and the irrigation one, so how much revenue can we look at in this year and when can we see both the projects to be fully completed?

T. R. Rao : See, under JJM, in the H1, we achieved Rs. 235 crores apart from certain revenue from the irrigation project and we still maintain Rs. 900 crores from the JJM and irrigation for FY '26.

Same kind of revenue , we are still maintaining our guidance of Rs. 900 crores . And going forward, we are pursuing opportunities in both sectors also. So, JJM, we do not see further new

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projects will be coming in a major way. But in the water resource sector, many

projects are

coming by different state governments. We are pursuing those opportunities.

Moderator: We take the next question from the line of Ketan Jain from Avendus Spark . Please proceed.

Ketan Jain: What is the order inflow so far till date in FY '26?

T. R. Rao : Rs. 6,000 crores.

Ketan Jain: And this includes the flyover projects, but not the mining and the BESS projects.

Yogesh Jain : This includes coal mining. This includes flyover Bharatpur. This includes high-level bridge in Bihar. This includes Varanasi Airport project and solar power also.

Ketan Jain: And we do not have any L1 orders right now, right?

T. R. Rao : No. As of now, we do not have any L1 orders. Wherever we stood L1, we received the letters of award.

Ketan Jain: I will get back to the queue .

Moderator: We take the next question from the line of Aditya Sahu from HDFC Securities. Please proceed.

Aditya Sahu: I wanted to understand , so, in the asset monetization space, I think we have monetized 11 assets, 11 HAM assets, and we have one state asset that is pending. Do correct me if I am wrong.

T. R. Rao : No, no. The current position is that out of 12 assets, 11 assets we monetized, including the state asset. The state asset, state highway asset, we monetized in the Q2. Now only one HAM asset of NHAI is pending for which we have received the final approval for the change of control. We received it. In fact, we received today.

Aditya Sahu: And this also, we are selling it to Highway Infrastructure Trust?

T. R. Rao : Yes. Because it is a part of the master security purchase agreement we executed last year.

Aditya Sahu: So, this one asset that is pending, what would be the equity invested? Because I think you have mentioned equity invested and the consideration for 11 assets. This one particular asset which is pending, what would be the equity invested and the consideration that you are expecting from this asset?

Yogesh Jain: Equity invested is Rs. 114 crore.

Aditya Sahu: And the consideration would be, do we have that or?

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Yogesh Jain: Enterprise value consideration is around Rs. 630 crore.

Aditya Sahu: And on the CAPEX part, what is the CAPEX that we have done in H1 and what are we

expecting for the balance H2 and '27 for that matter?

Pankaj Agarwal : As a total CAPEX , up to September 30 is Rs. 121 crore, and we are expecting that around Rs. 200 crore CAPEX will be done in the total Financial Year '26.

Aditya Sahu: So, Rs. 200 crores is overall.

Pankaj Agarwal : Yes.

Aditya Sahu: And sir, I may be repeating th is. I think you have mentioned. The total equity investment for the 13 projects, if you could repeat that, and how much have we infused till date?

Pankaj Agarwal : Total equity was Rs. 1,744 crore. Out of that, the balance equity is Rs. 663 crore, which is yet to be infused.

Aditya Sahu: Thanks a lot for entertaining the question.

Moderator: We take the next question from the line of Divyansh Agarwal from Iconic Asset Manager.

Please proceed.

Divyansh Agarwal: Sir, so wanted to understand, once again, a couple of reasons. Firstly, why have we cut the guidance? And s econdly, what has been main core reasons why we have not seen revenue grow? And w hat are the few things we are looking which will help to grow in , say, Q3, Q4?

T. R. Rao: See, as you had mentioned in response to another question by another person, the primary reason for the decline in the turnover as well as revising on a downside, the guidance, is because the delayed appointed dates for 4 major HAM projects having a revenue potential of more than Rs. 4,000 crore s. These HAM projects were awarded way back in 2023, middle of 2023. But a ppointed dates got delayed by more than 2 years. So, had these appointed date been declared earlier, we would have achieved certain revenue in the current year as well as last H2 of the p

revious year, but we could not do it. That is the main reason for the decline in turnover.

Second thing, for the last 2.5 years, the awarding activity of NHAI is very subdued. It was very subdued. The new projects are not forthcoming from NHAI, and our projects which are coming are very, very smaller -sized projects are coming, which is kind of a very unhealthy competition. So, t hat is another reason that we could not secure any major projects during the last two years, particularly from NHAI. So, we revised the guidance . We have to be more realistic this year.

But g oing forward, out of 4 HAM projects, for 3 HAM projects, appointed dates have been declared during the month of September and October. Now we are having an unexecuted order

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book for the ongoing project itself of over Rs. 17,000 crore. So, g oing forward, the growth will be increased, and we will have significant growth in FY '27 over FY '26.

Divyansh Agarwal: And s ir, just one last question from my end. Sir, with respect to order book, what are we targeting for these next two quarters and for FY '27? And how much orders have we bid for, and approximately what might be the success ratio in that?

T. R. Rao: See, as of now, we have submitted 17 bids for an aggregate estimated cost of Rs. 17,000 crore s till yesterday. So, 19 bids we have submitted for Rs. 17,000 crore of this thing. Out of these 19 bids, 16 bids are EPC, and 3 bids are HAM. In fact, we have submitted 2 more bids today, but that w e have not include d. And t hese bids, we are hopeful getting at least if we get even 20% of this one, then we will be getting around Rs. 3,000 crore s worth of projects.

And f urther, we identified opportunities of bidding for 76 projects precisely, which are to be bid in the next 1.5 to 2 months with an aggregate value of over Rs. 1,00,000 crore s. There also, even if you consider modestly of 3% to 5%, then still we will have a Rs. 3,000 to 5,000 crore plus Rs. 3,000 crore . So, we are expecting another Rs. 6,000 + crores new orders, Rs. 6,000+ crore s new orders before end of the current financial year.

Moderator: We take the next question from the line of Aniket Madhwani from Steptrade Capital. Please proceed.

Aniket Madhwani: So, my first question is, in Q1, here I can see J JM receivables were around Rs. 700 crore due to the central funding hold, right? So, have those payments been released in Q2? And what is the current receivable position?

Pankaj Agarwal : The total receivables for J JM project as of Q2 is around Rs. 800 crore. . What is the next question is?

Aniket Madhwani: So, my question was with regards to the order book. So, is it Rs. 17,000 crores order book current or Rs. 20,000 crores unexecuted?

T. R. Rao: Unexecuted order book is Rs. 20,000. Out of that, Rs. 17,000 crore projects for which appointed dates have been declared or which are active. Because o ne project of MPRDC, that is still because of land issues, what you had mentioned, one HAM project of MPRDC, that is the Western Bhopal bypass. There are certain land issues, so appointed date has not been declared. For another project, we are not executing the work due to legal issues.

Aniket Madhwani: So, as you mentioned, you will be closing around Rs. 5,000 crores top line in FY '26, right?

T. R. Rao: Yes. Rs. 5,000 crores plus top line in FY '2026.

Aniket Madhwani: So, could you please throw some colors on the revenue bifurcation you are expecting by FY '26 from this Rs. 5,000 crore? How much it will be from highways? How much it will be from water?

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T. R. Rao: See, for FY '26?

Aniket Madhwani: Yes, FY '26.

T. R. Rao: See, FY '26, we are expecting from water and irrigation sector, FY '26. Remaining amount would be from the highways and other projects.

Aniket Madhwani: Sorry, you can repeat

at what you just said?

T. R. Rao: See, in FY '26, we are expecting total Rs. 900 crore turnover from water, drinking water supply, and irrigation projects.

Aniket Madhwani: And remaining from the highway.

T. R. Rao: And the remaining Rs. 4,000 plus crore s from highways and other projects, including coal mining.

Aniket Madhwani: Including coal mining.

Moderator: We take the next question from the line of Vaibhav Shah from JM Financial. Please proceed.

Vaibhav Shah: Sir, on the guidance front, our revenue for FY '25 was Rs. 5,500 crore s. You mentioned a 5% growth. So, is it a Rs. 5,500 crores base or a Rs. 5,100 crores base? So, can you provide actual number for '26?

T. R. Rao: As of now, we have taken Rs. 5,500 crores as the base.

Vaibhav Shah: So, it should be somewhere around Rs. 5,700 crore s, Rs. 5,800 crore s.

T. R. Rao: Yes.

Vaibhav Shah: Sir, secondly, when do we expect to receive the AD for MPRDC HAM?

T. R. Rao: There are issues. The land and alignment issues are still persisting. There is a bit of uncertainty for the term. So, we would not be able to share what would be the likely appointed date. Going forward, we should be able to share in Q3 when we meet after Q3.

Vaibhav Shah: Should it likely come at least by March '26?

T. R. Rao: We are hoping so.

Vaibhav Shah: Sir, secondly, on the CAPEX front, we had earlier guidance of Rs. 400 crore. Now we reduced it to Rs. 200 crore. So, can '27 be a bump up in terms of CAPEX ?

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Pankaj Agarwal : Actually, we have given the guidance of Rs. 400 crore for the coal project. Out of that, we are planning to meet the CAPEX in this financial year, which is around Rs. 200 crore. And the rest will be done in the next financial year.

Vaibhav Shah: Total CAPEX for '26 will be Rs. 200 crore?

Pankaj Agarwal : Will be Rs. 200 crore.

Vaibhav Shah: And for '27?

Pankaj Agarwal : '27, around Rs. 250 crore .

Vaibhav Shah: And sir, lastly, when do we expect to start the execution for mining and BESS order?

T. R. Rao : Mining, we have already started the execution. Physical execution is underway.

Vaibhav Shah: Sir, just one clarification. On BESS order?

T. R. Rao : BESS order, we are doing the preliminary work. The process of procurement will start in Q4.

Vaibhav Shah: Sir, any equity requirement for the T&D order? So, what would be the value?

T. R. Rao : For the solar cum BESS project you are talking about?

Vaibhav Shah: For BESS project, yes.

Yogesh Jain: Around Rs. 400 crore.

T. R. Rao : It would be around Rs. 400 crore, subject to finalization of the financial package and discussions with the banks.

Vaibhav Shah: So, incrementally, the infusion in these HAM assets and the BESS assets, since the entire, largely the gain has been booked in the subsidiary of the monetization, so a large part of money is in the subsidiary. So, incrementally, how do we plan to invest the money in these assets? So, it will be partly from the subsidiary and partly from the standalone entity.

Moderator: I will take the next question. We take the next question from the line of Shravan Shah from Dolat Capital. Please proceed.

Shravan Shah: Sir, still just wanted a clarification. Sir, when we are saying a 5% growth over Rs. 5,500 crore of FY '25 revenue, that comes Rs. 5,800 crore. That means in the second half, we need to do Rs. 3,700 crore kind of a revenue. So, kind of a Rs. 1,800 crore kind of a run rate quarterly. So, do we think, and if the third quarter is on the lower side, then the fourth quarter needs to be a kind of a significantly higher? So, just trying to understand, is this the number that we are

looking at? Or there is a possibility that this number can go down?
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T. R. Rao: See, as of now, we are looking at the similar kind of thing. As the now appointed dates hav

e

declared, the progress is ramping up. See, third quarter number would be lesser than the fourth quarter number. But overall, we are looking at 5% of the thing. So, given all the appointed dates have been declared, until unless there is any adverse kind of a thing, development and unexpected thing, we should be able to meet this 5% target.

Shravan Shah: Second, sir, we were supposed to get a Rs. 14 crore bonus on Hardoi project. When will we be receiving and booking in P&L?

T. R. Rao: We will be booking in P&L in Q3. The approval process is underway. So, once it is approved by NHA Apex body, we will be receiving during the Q3 Rs. 14.18 crore s. And as our MD has mentioned, we already received Rs. 5-odd crore s for the Hathras Highways .

Shravan Shah: Sir, can you provide the breakup of this Rs. 663 crore equity that is to be invested? In second half, how much in '27 and '28?

Pankaj Agarwal : Just a minute. The total equity which is required to be invested is Rs. 663 crore. Out of that, around Rs. 100 crore should be invested in this current financial year. And the balance will be in '27 and '28.

Shravan Shah: That would be, so Rs. 553 crore is left by end of FY '26. So, roughly Rs. 250-odd crore would be in FY '27?

Pankaj Agarwal : You can say just like this.

Shravan Shah: And in BESS, out of Rs. 400 crore, till now, how much have we invested in FY '26 balance second half how much, and in FY '27 how much?

Pankaj Agarwal : No, out of Rs. 400 crore, we have not invested any amount out of that Rs. 400 crore. And that hopefully, it will be invested in Financial Year '27 and '28.

Shravan Shah: No, nothing, no equity in the second half of FY '26?

Pankaj Agarwal : Yes.

Shravan Shah: Just another clarification. This is the entire monetization of 12 assets. So, you said the left one is the Rs. 114 crore equity we have invested. Against that, how much equity we will be getting?

Pankaj Agarwal : The enterprise value of that project is Rs. 630 crore. Out of that, the outstanding loan will be paid and the balance will be contributed to the equity.

Shravan Shah: So, debt is how much?

Pankaj Agarwal : Original debt was Rs. 394 crore.

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Shravan Shah: Rs. 394 crore. Okay. So, around Rs. 230 crore kind of equity that we will be getting against the Rs. 114 crore of the original invested?

Pankaj Agarwal : Yes.

Shravan Shah: And the total till now, how much we have received of whatever the 11 projects and what is still because there were some Rs. 200-odd crore that was supposed to be received?

Pankaj Agarwal : For the 11 asset, the net receivable net of debt was Rs. 2,200 crore, which we have received.

Shravan Shah: The entire money has been received?

Pankaj Agarwal : Yes. The entire money has been received. And out of Rs. 200 crore, some money has received in this quarter, which is around Rs. 38 crore and the balance will be received as and when received from NHA on back-to-back basis.

Shravan Shah: And roughly in terms of if we look at this JJM project, how can one look at it in terms of because the payment issues are there, in terms of the completion, when it will be? So, around Rs. 2,750 -odd crore which is left, how one can look at it? Will it be even FY '29 is also possible that we will be completion, or it depends on as and when the payment will come, so accordingly, we will keep on doing the execution?

T. R. Rao : No, no. See, we are targeting around Rs. 900 crore s work to be completed. Out of that, Rs. 235 crore s already completed. And going forward, in the next two years, this work would be completed. It will not go beyond FY '28.

Shravan Shah: But there in terms of payment, have we got anything payment? Or obviously, the Rs. 800 crore which is left as a debtor, so just trying to understand.

T. R. Rao : See, we interacted with the highest level in the st

ate government for the payments. Though

there is a paucity of funds from the government of India, but state government has agreed to provide the funds from their part of 50% and also something extra also. So, we are expecting

some funds before end of November. So, we will receive certain amount out of the total outstanding. Going forward also, state government is expected to provide the funding in case of any gap in the central government funding.

Shravan Shah: And this MP project where we are saying that there is an uncertainty in terms of the appointed date, so is that also a possibility that this project can also go for a kind of a rebidding or we may be removing from our order book?

T. R. Rao : See, as of now, we can't say anything what state government final decision would be. But still now, we are hoping that once this land issue and alignment issues are sorted out, the project will be revived. As of now, we are hoping for that.

Moderator: We take the next question from the line of Vasudev from Nuvama. Please proceed.

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Vasudev: Sir, can you give us the toll collection numbers for Q2?

Pankaj Agarwal : Just note down. The toll collection for MP Highways in Q2 Financial Year '26 is Rs. 10.8 crore. And the annuity for Raibareli project is Rs. 32 crore. And for Narela, it is around Rs. 4 crore.

Vasudev: And for Raibareli?

Pankaj Agarwal : Raibareli Rs. 32 crore.

Vasudev: And the Bareilly -Almora ?

Pankaj Agarwal : Bareilly -Almora, actually it got disposed off , sold to KKR. So, we don't have the toll number for this. Now project is transferred.

Vasudev: And sir, out of this Rs. 900 crore of water revenues that we are targeting, irrigation would be somewhere around Rs. 150 crore , Rs. 200 crore out of this?

T. R. Rao: Yes, yes. Rs. 150 crore.

Vasudev: And are we currently L1 in any of the projects?

T. R. Rao : No. We have received LOI.

For all L1 projects we received a letter of award ...

For all five projects.

Vasudev: That's it from my side.

Moderator: We take the next question from the line of Vaibhav Shah from JM Financial. Please proceed.

Vaibhav Shah: Sir, what would be the cash and current investments in PNC Infra Holding as of September?

Pankaj Agarwal : It is around , PNC Infra Rs. 1,200 crore.

Vaibhav Shah: So, sir, since we have received sizable amount of money in the SPV, so incrementally the equity investment in the HAM projects and the BESS projects, would it be partially from SPV and partially from the standalone entity?

T. R. Rao : It will be from the holding company as well as PNC. Same thing, what practice you have been doing , same thing would be there.

Vaibhav Shah: This Rs. 200 crore would be used completely towards the equity commitments , which is sitting in SPV.

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T. R. Rao : Yes.

Vaibhav Shah: Sir, lastly, any update on the CIDCO order?

T. R. Rao : See, matter is still sub judice. So, we can't say anything now. We are not in a position to share the further details. Matter is still sub judice.

Vaibhav Shah: And have you started the flyover project in Bharatpur City from PWD Rajasthan?

T. R. Rao: We have started.

Vaibhav Shah: Those are my questions.

Moderator: We take the next question from the line of Aditya Sahu from HDFC Securities. Please proceed.

Aditya Sahu: Just one question over here. On the equity requirement for BESS, this would be Rs. 400 crore, right, sir? And this would be excluding Rs. 663 crore that we are investing in the HAM assets, right, sir?

Pankaj Agarwal : Yes.

Aditya Sahu: And this Rs. 400 crore, of which, as you mentioned, the investment would be done in '27 and '28, FY '27 and ' 28. And so, how are we planning to fund this equity requirement? If you can throw some light on that.

T. R. Rao : See, this Rs. 663 crore s to be invested in HAM proje

cts and this Rs. 400 crore s, total it is

coming to Rs. 1,000 -odd crore s, which is to be invested in the next two years. One source is the funds that are available with our PNC Infra Holding, the key investment company. And also then there will be internal accruals in FY '26. And for FY '28 investment, again, there will be internal accruals in FY '27. So, both, it is a combination of the amount we are having, what

we realize from sale of our assets, and also from internal accruals. That would be accrued over the next two years .

Aditya Sahu: So, no debt funding for the BESS?

T. R. Rao : Yes, no debt funding for the equity funding.

Aditya Sahu: That answers my question.

Moderator: We take the next question from the line of Anant Mundra from Mytemple Capital . Please proceed.

Anant Mundra: Sir, you mentioned that we received some Rs. 37 crore s this quarter out of the Rs. 200 crore s that were receivable from the SPV that we sold off to KKR. So, if I net off that, I think our

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EBITDA is about Rs. 100 crore s, and t he EBITDA margin would come out to just about 10%.

Is that understanding correct?

Pankaj Agarwal : No, no. Out of whatever amount we have received from KKR, that is subject to the taxation, which is GST , and t he net amount is around Rs. 32 crore, which is reflected in our books of account and included in the EBITDA.

Anant Mundra: So, out of the standalone EBITDA, Rs. 136 crore, Rs. 32 crore is coming on account of this receivable.

Pankaj Agarwal : This receivable.

Anant Mundra: So, if I net that off, our core EBITDA would be about Rs. 104 crore s. Is that correct?

Pankaj Agarwal : Yes.

Anant Mundra: So, there has been a sharp fall in the margin this quarter. What would be the reason for that, sir?

T. R. Rao : See, t he fixed cost being the same, there is a decline in the turnover. So, t he fixed cost will be largely same, similar to this one because of the overheads and other things which we cannot suddenly reduce it. That reflected in the marginal reduction in the EBITDA.

Anant Mundra: And s ir, I think Agra Bypass also, there was some arbitration of Rs. 485 crore that you had announced , but w hen do we plan to recognize that?

T. R. Rao : See, this arbitration award is a contingent kind of a thing. Now, see, the award, what we understand is that NHAI is contemplating challenging the award.

Anant Mundra: So, that will take its own time because it is challenge d.

T. R. Rao : Yes, it will take its own time. When they challenge the award before the court of law, it will take its own time.

Anant Mundra: So, sir, the total cash that we were supposed to receive from the transaction was Rs. 2,500 crore s, partially in PNC Infra Holdings and in the standalone entity. So, what would be the cash if I combine both? How much cash do we have on the balance sheet?

Pankaj Agarwal : On consol basis, the total cash is around Rs. 2,700 crore as o n 30th September.

Anant Mundra: And m ost of the debt that we have on the consol balance sheet is project debt.

Pankaj Agarwal : Yes.

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Anant Mundra: So, there is hardly any debt that we can settle from this except maybe some Rs. 400 crores, Rs. 500 crore s that we have as working capital.

Pankaj Agarwal : Yes.

Anant Mundra: So, mainly , how do we plan to use this capital? Would that be for funding new projects that we get, or are we planning some kind of a buyback or capital return to shareholders?

T. R. Rao: No. As of now, we are not considering the buyback of this thing. But t hat could be, see, as we are actively bidding the HAM projects in the next two -three months, the high -value HAM projects would be requiring equity infusion in these HAM projects.

In other a Iso, we are also pursuing some TBCB projects where competitive bidding for the transmission lines as well

as the solar and BESS projects , there also would be required a sizable amount of equity. We will be basically, for the fund -based projects, we have earmark ed this money. So, we will see going forward how the things will unfold.

Anant Mundra: And s ir, out of that target that MoRTH and NHAI has for this year in terms of contract awarding, how much has been awarded till Q2?

T. R. Rao : Q2 awarding activity was very low. See, readily we don 't have numbers to share with you. We have the figures, but it is not readily available. But i ts awarding activity is not great in Q2 also.

Anant Mundra: Sir, just one final question. So, on the BESS project, what kind of EPC margin do we expect to make and then the overall IRR for the project?

T. R. Rao : See, BESS market, now we are actively doing the market soundings. The situation is so dynamic, particularly in the solar panel industry as well as the BESS industry. So, the situation

being very dynamic, we are assessing what would be the market prices and all. Once we have some firm quotations and we finalize, then we would be knowing what would be the equity IRR and the whole investment. But it would be around 15% approximately, but it is a very preliminary assessment.

Anant Mundra: That's it from my end.

Moderator: We take the next question from the line of Vaibhav Shah from JM Financial. Please proceed.

Vaibhav Shah: Sir, I just missed this part. From where did you receive this Rs. 37 crore?

T. R. Rao : Rs. 37 crore, the receivables to be received by the SPVs through the buyer, VAT. So, we received, basically this amount received by respective SPVs and passed on to PNC.

Vaibhav Shah: So, our EBITDA includes the Rs. 32 crore s post-tax?

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T. R. Rao : Yes, post-tax. Not post -tax, pre -tax.

Post GST.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Harshil Shah from PhillipCapital (India) Private Limited. Thank you, and over to you, sir.

Harshil Shah : We thank the management of PNC Infratech Limited for giving us an opportunity to host the call and taking time out for interaction with the stakeholders. Thank you all for being on the call. Now, I hand over the call to the management for their closing remarks.

Yogesh Jain: Thank you, everyone, for your active participation in our earning call. In case of further queries, you may get in touch with the Strategic Growth Advisors, our Investor Relations Advisors, or feel free to get in touch with us. Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

FNell"-^IPNC Infratech Limited

Ref No: PNC/SE/95125-26

To,

The Manager

Department of Corporate Services

BSE Limited

Floor 25, P .J . Towers,

Dalal Street, Mumbai-400 001

Scrip code:539150Date: 16.2.2026

To,

The Manager

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East), Mumbai-400 051

NSE Symbol: PNCINFRA

Dear Sir,

Sub- Transcript of Q3 FY2026 Earnings Conference Call on Financial Results for the quarter and nine month ended 31st December 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 we are enclosing herewith the transcript of an earnings conference call on Financial Results for the quarter and nine months ended 31st December 2025 held on Tuesday, 10th February, 2026.

You are requested to take this information on your record.

Thanking you,

For PNC Infratech Limited

Tapan Jain

Company Secretary & Compliance Officer

M. No.: 422603

Encl; ala

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"PNC Infratech Limited Q3 FY '26 Earnings
Conference Call"

February 10, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 10th February 2026 will prevail.

MANAGEMENT : MR. YOGESH JAIN – MANAGING DIRECTOR , PNC
INFRATECH LIMITED

MR. T. R. RAO – DIRECTOR INFRA , PNC INFRATECH
LIMITED

MR. D. K. AGARWAL – CHIEF FINANCIAL OFFICER ,
PNC INFRATECH LIMITED

MR. PANKAJ AGARWAL – VICE PRESIDENT , FINANCE
AND ACCOUNTS , PNC INFRATECH LIMITED

MODERATOR : MR. BHAVIN MODI – ANAND RATHI SHARE AND
STOCK BROKERS LIMITED

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February 10, 2026

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Moderator : Ladies and gentlemen, good day and welcome to the PNC Infratech Limited Q3 FY ' 26
Earnings Conference Call, hosted by Anand Rat hi Share and Stock Brokers Limited.

This conference call may contain forward -looking statements about the Company which are
based on beliefs, opinions, and expectations of the Company as on date of this call. These
statements are not the guarantees of future performance and involve risks and uncertainties that
are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during this conference call, please signal an operator by pressing '*', then '0' on
your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavin Modi from Anand Rat hi. Thank you and over to
you, sir.

Bhavin Modi : Good afternoon, ladies and gentlemen. On behalf of Anand Rat hi Institutional Equities, I am
pleased to welcome you all on the PNC Inf ratech Limited Q3 FY '26 Earnings Conference
Call.

We have with us the Managing Director of the Company , Mr. Yogesh Jain, along with the
senior management team. We will begin with the opening remarks from the management,
followed by the interactive Q&A session. Thank you and over to you, sir.

Yogesh Jain : Good afternoon, everyone.

On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us
today on this call.

Today, I have with me Mr. T. R. Rao, Director (Infra), Mr. D. K. Agarwal, Chief Financial
Officer, Mr. Pankaj Agarwal, Vice President, Finance and Accounts and Strategic Growth
Advisors - our Investor Relations Advisors.

The financial results and investor presentation have been uploaded on the Stock Exchanges
and the Company's website for your reference.

Initially, I would like to share key updates on the industry, followed by operational
developments of the Company and highlights of financial performance during the quarter
ending 31st December 2025, post which we will be happy to answer your questions.

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- Over the past two years, project awarding by MoRTH including NHAI remained muted, with NHAI awarding only 377 km of new road projects in Q3 FY26, compared to around 504 km in Q3 FY25.
- Even during the first 9 months of FY26, new project awarding activity by both MoRTH and NHAI remained subdued.
- Consequent to very low awarding activity that persisted over the past two years, around 5800 and 5000 km roads constructed during FY 25 and FY 26 respectively, which are much lesser in comparison to the earlier years.
- Though several new projects announced by NHAI under EPC, HAM and BOT formats with a strong bid pipeline of over Rs. 1.5 lakh crore, the same is not getting translate to awarding activity due to recurrent extension of bid due dates, owing to either delay in securing necessary approvals or delay in acquisition of required land.
- However, in the union budget for FY27, capital expenditure for core infrastructure development has gone up by nearly 9% to Rs. 12.2 lakh crore, underlining the government's continued commitment and focus on infrastructure -led economic growth.
- Being one of the key infrastr ucture sectors, the Ministry of Road Transport &

Highways received a record allocation of Rs. 3.09 lakh crore in the union budget for FY27, which represents a year -on-year increase of 8%.

- On the similar lines, NHAI has been allocated Rs. 1.87 lakh crore, a 10% increase over the previous year in the FY 27 budget. This funding is primarily aimed at supporting new highway development.
- The increased allocation to the roads and highways sector looks not only encouraging but also would help all the stakeholders to achieve higher growth going forward.

- Taking a broader view, India's core infrastructure opportunity for private capital is expanding well beyond roads and highways sector to ports, logistics, power transmission, renewable energy, ropeways, and water resources sectors rapidly.
- In support of the momentum, proposed Infrastructure Risk Guarantee Fund as announced in the union budget, is expected to reduce financing risks during the construction phase and encourage active funding from lenders.
- For Jal Jeevan Mission, the budget has provided an allocation of Rs. 67,670 crore for FY27. In case the allocated funds are disbursed in timely manner to the states, it would be of a great help to clear the long outstanding dues to contractors by respective states and expedite the progress for faster commissioning .
- With increased and sustained allocation, healthy project pipeline, and diversified funding mechanism, the roads and highways sector is well positioned to move into its next phase of sustainable growth.
- In line of the government policies and allocations, it is expected that new projects are awarded quickly, vacant ROW for execution of awarded project is provided timely for expeditious execution and delivery of projects.

Now I will share the recent updates on the company:

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- In Q3 FY'26, PNC Infratech Limited incorporated a new wholly owned subsidiary, PNC Renewable Energy Private Limited, to undertake and manage its renewable energy –related operations.

- NHPC Solar plus BESS project, which was awarded to the Company, will be executed through a step -down subsidiary.

Now, moving on to the operational and financial performance of the company

- Out of the company's 16 fund -based projects, 1 is BOT -Toll project, 2 are BOT Annuity Projects and 13 are HAM projects.

- Aggregate Bid Project Cost of 13 HAM projects is over Rs. 14,800 Crore.

- Out of a total 13 HAM projects,
 - o 5 projects achieved PCOD/COD,
 - o 7 projects are under construction,
 - o 1 project of MPRDC achieved financial closure

- Total equity investment requirement for the HAM projects is Rs. 1,744 crore.

- Till December 2025, Company already infused Rs. 1,110 crores equity and the remaining equity of Rs. 634 crore is to be invested over the next 2 years .

- The internal accruals that would be generated over the next one to two years should be adequate to meet the above equity investment requirement .

- In addition, the Company is currently executing 16 standalone EPC projects for an aggregate contract value of over 18,000 crore.

Now moving on to our order book

As of 31st December 2025, the company's unexecuted order book stands over Rs. 19,000 crores.

- Highway contracts contribute 53% of total unexecuted order book, while water, canal, area development, railways and Airport projects contribute around 32%, and coal mining project contributes 15% .

- I am pleased to share with you that the Company submitted to 2 bids to the Ministry of Transport, Uzbekistan as part of our overseas business development endeavors in roads sector during this quarter

Now I would present standalone quarterly and Nine Months ended December 31, 2025.

Standalone Revenue for the 3rd quarter of FY26 is Rs. 1,056 crores.

Standalone EBITDA for the 3rd quarter of FY26 is Rs. 131 crores. Standalone EBITDA margin for the quarter is 12.40% .

Standalone profit for the 3rd quarter of FY26 is Rs. 77 crores. Standalone PAT margin for the quarter is 7.26% .

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Standalone Revenue for 9 Months of FY26 is Rs. 3,176 crores.

Standalone EBITDA for 9 Months of FY26 is Rs. 408 crores. Standalone EBITDA margin for 9 Months of FY26 is 12.84%.

Standalone profit for 9 Months of FY26 is Rs. 244 crores. Standalone PAT margin for 9 Months of FY26 is 7.67%.

Now moving on to the Consolidated Results:

Consolidated re

venue for the 3rd quarter of FY26 is Rs. 1,201 crores.

The consolidated EBITDA for the 3rd quarter of FY26 stood at Rs. 239 crores. The EBITDA margin for Q3FY26 is 19.91%.

The consolidated PAT for the 3rd quarter of FY26 is Rs. 77 crores. The PAT margin for Q3FY26 is 6.39%.

Consolidated revenue for 9 Month of FY26 is Rs. 3,751 crores.

The consolidated EBITDA for 9 Month of FY26 is Rs. 860 crores. The EBITDA margin for 9M FY26 is 22.91%.

The consolidated PAT for 9 Month FY26 is Rs. 724 crores. The PAT margin for 9M FY26 is 19.29%.

On Standalone Basis,

Our net worth as on 31st December 2025 is Rs. 5,710 crores, whereas standalone debt from Banks/Financial Institutions and Inter Corporate Deposits is Rs. 1,106 crores. This translates to net debt to equity of 0.19 times. The total cash & bank balance including current investments is Rs. 1,299 crores.

On Consolidated Basis,

Our net worth as on 31st December 2025 is Rs. 6,704 crores whereas total debt is Rs. 5,478 crores. This translates to net debt to equity of 0.82 times. The total cash & bank balance including current investments is Rs. 2,745 crores.

With this, we now open the floor for question and answer. Thank you.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question comes from the line of Shravan Shah from D olat Capital. Please go ahead.

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Shravan Shah : Thank you, sir. A couple of questions from my side. Also, we will need order book breakup and balance sheet numbers , but that will be at the last. First, on the order inflow and on the pipeline front, you mentioned that you have submitted 2 bids overseas. If you can specify where and how much is the value and why are now looking at overseas business?

T. R. Rao : We submitted 2 bids in Uzbekistan. These are the road bids akin to the road projects what we undertake , two lane road projects in Uzbekistan. We submitted because we find that there is a synergy with the activities that we are doing in the country, particularly in the road sector. We have adequate inventory of the equipment which are meant for the road sector. This is part of our overseas business opportunity endeavors we submitted. This should be around international kind of, e quivalent Indian would be around Rs. 1,500 cores both put together. These are the funded projects , funded by the Government of Uzbekistan. So there is no investment risk. It is multilateral funding by ADB.

Shravan Shah : Do we now have kind of a strategy that we will keep on looking at other countries also?

T. R. Rao : Yes, we are looking at other countries if the right opportunities are coming into our way.

Shravan Shah : Now in India, how much value of bids that we have submitted which are yet to be opened? And how much more now are planning in terms of the pipeline to be bided before March and maybe beyo nd that also if you can specify, sector wise also?

T. R. Rao : As of now, in India, including those two Uzbekistan projects, we have submitted 33 bids for an aggregate value of around Rs. 28,700 estimated costs. These bids we submitted during the last 1-1/2 quarter. And these 33 bids comprising 22 EPC bids, 7 HAM bids and 4 TBCB bids for renewable energy projects. So this value of around Rs. 28,700. Apart from, we identified over 80 bidding opportunities across the sector for a value of over Rs. 1,20,000 crores. If these bids are currently scheduled for the receipt of bids latest by 31st March, but may extend into the first quarter of FY '27. So these are the 1.2 lakhs worth of bids that we are pursuing.

Shravan Shah : And out of these, how much would be 1.2 lakhs, how much would be the NH AI? And similarly for India, how much would be the NH AI we have --

T. R. Rao : See, department wise we are not bifurcated readily. Otherwise, these bids are 12 EPC bids for NHAI, MoRTH and other road proj

ects and 6 EPC bids for railway projects, 7 EPC bids for airport projects, 6 HAM bids primarily for NH AI.

T. R. Rao : More than Rs. 70,000 crores for NH AI. And 4 DBFOT toll projects. That is also for NH AI and other projects.

Shravan Shah : Got it. So sir, now how we look at the revenue? Because in 9 months, we are already kind of a 22%-23% decline. Last time, we said that we are looking at kind of a 5% for the full year. So just wanted to understand in the 4th Quarter, how much can we look at? Rs. 1,300-Rs. 1,400

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crore kind of a revenue is possible at standalone level. And then on that low base, how one can look at FY '27 and '28. And also, at the same time, you can specify now how much more in terms of the order inflow that we are looking to by March?

T. R. Rao : Actually, I am coming from the last question. In case of order inflow, since we had already submitted bids for more than Rs. 28,000 crores, and also we are going to submit bids for few thousands before the end of the current financial year, we expect further order inflow of around Rs. 6,000 crores this year, so totaling to Rs. 12,000 crores in the current financial year. That is the order book side. Yes, there is a decline of around 22.5% in comparison to 9 months of FY '25, in comparison to the current 9 months of this year. But we expect robust execution during the 4th Quarter. Because three of our projects appointed dates have been declared and going in full swing. That is the Varanasi-Kolkata packages, EPC. And also, after a long spell of monsoon and flooding and other things, the projects of Maharashtra also now geared-up. And Coal project also we have commissioned. And almost 6 new projects, EPC projects execution we commenced during the quarter 3. That includes Airport project of Varanasi, then Bharatpur flyover, Coal project, and 3 HAM projects of NHA I. So with this kind of thing, we are expecting revenue, say, up to 5,000, which will translate into 10% decline when compared to FY '25.

Shravan Shah : So we are kind of looking at Rs. 1,700-Rs. 1,800 crores kind of revenue in the 4th Quarter?

T. R. Rao : Yes, Rs. 1,700-Rs. 1,800 crores revenue and Rs. 5,000 crores. And with a base of Rs. 5,000 crores, we are expecting an increase of 25% in FY '27. And FY '28, going forward in the next quarter, we will have more clarity. Then FY '28, we will share later.

Shravan Shah : Yes, and now, sir, a couple of balance sheet data points, if you can share. So first, on the inventory debtors, trade payable, and then retention, unbilled, mobilization, and water debtors?

T. R. Rao : Mr. Shravan sir, can you come back again? We will let other people think. And in the meantime, we will compile the things and we will keep it ready.

Shravan Shah : Yes. And on the margin front, it would be similar to what we are guiding, kind of 12.5 %-13% that will be doable?

Yogesh Jain : Yes, 12%-12.5%.

Moderator : Thank you. The next question comes from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah : Earlier, we were targeting closer to 13% margins, we had guided for 12.5 %-13%. So we are lowering the guidance now, going forward?

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T. R. Rao : See, because this year, current year, as the turnover is 10% decline in the turnover, and the fixed overheads being the same. So this year, we are targeting EBITDA of 12 %-12.5%.

Vaibhav Shah : For 27?

T. R. Rao : 27 also would be in the same, around 12.5% only as of now. So maybe during the first quarter, we will relook at and we will share with you.

Vaibhav Shah : And secondly, what would be our water receivables as of now and are there any improvements in payments? So when do you see this order book of almost Rs. 2,600 crores getting completed?

T. R. Rao : See, as of 31st December 2025, we have a bill ed

outstanding of Rs. 822 crores. Out of that, we received Rs. 87 crores during the month of December and January. They started paying. So as of now, as on date, it is Rs. 735 crores, the bill ed amount, which is outstanding. And we are expecting another Rs. 35 crores remittance in the current month. And then, by 1st of March, it would be around Rs. 700 crores would be outstanding, which we are expecting substantial amount before the end of March. See, the government continuing the program and already allocated Rs. 67,000 odd crores for the FY '27. And during our interaction with the Finance Minister as well as the State Chief Minister, we requested for the release of funds, so that the projects which are in advanced stage of completion can be commissioned and put into O&M

stage. So we are expecting that these outstanding also will be cleared during the first half of next financial year and then we will move ahead. With regard to, as of now, around Rs. 2,000 crores worth of project to be completed. So we are expecting FY '27, we will complete around 60% of that and remaining in FY '28.

Vaibhav Shah : Sir, in terms of Q4, we see some improvement in the water execution as well. It will be similar to the quarterly run rate of this first 9 months ?

T. R. Rao : Q4 also will be the similar what is there in the first 3 months. Because now funds are slowly coming, so we are remobilizing the people and all. So it will be in the same kind or otherwise there will be some marginal increase.

Vaibhav Shah : Sir, beyond this Rs. 822 crores, what is the billed part, what will be the unbilled part in the water vertical ?

T. R. Rao : WIP, apart from Rs. 822 crores, around Rs. 100-Rs. 150 crores will be WIP, which we have not billed.

Vaibhav Shah : Sir, lastly on CAPEX, what you have done in 9 months and target for FY '26 and FY '27?

Pankaj Agarwal : The total CAPEX which were earlier reported that total required CAPEX is Rs. 400 crores on Company basis. Out of that, up to December, we have capitalized Rs. 125 crores and the balance will be in this quarter.

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Vaibhav Shah : So you maintain Rs. 400 crore number for FY '26?

Pankaj Agarwal : Yes.

Vaibhav Shah : And for FY '27?

Pankaj Agarwal : For FY '27, around Rs. 150 crores.

Vaibhav Shah : Sir, lastly AD on the HAM project, when do we expect?

T. R. Rao : HAM project? Only Bhopal bypass we are expecting in the first quarter.

Vaibhav Shah : Thank you, sir. Those were my questions

Moderator : Thank you. The next question comes from the line of Abhinav from ICICI Securities. Please go ahead.

Abhinav : Sir, thanks for the opportunity. My first question is with the appointed date received for the three packages of VRK , is it fair to assume that the execution worth around 15 billion will be done in the next 12 months from these 3 projects?

T. R. Rao : 15 billion will be slightly on this thing. But already we executed Rs. 100 crores of work in the 3 projects combined in Q3. And we are expecting another Rs. 300 crores, Rs. 3 billions of work in the Q4. And next year , it would be around Rs. 1,200-Rs. 1,500 crores.

Abhinav : Understood. So that will be around Rs. 12 billion in the next 12 months, right?

T. R. Rao : You can say Rs. 12 billion in the next 12 months. Because these projects are having a completion period of 2 years . Rs. 3,006 crores is the total EPC value and which is to be completed in 24 months. So that kind of things is there. But what happens, initially there will be low value work. As we move ahead, when we reach the top of the crust and other items, there will be higher value works like bituminous works.

Abhinav : Understood. Sir, second question is for the operational HAM assets. Are we in talk to monetize those in the near term?

T. R. Rao : Regarding the divestment of HAM assets which are under implementation , so we are evaluating all the option

s. Investors are approaching us and we are looking at other options

also. But as I said, our primary focus as of now is to achieve the PCOD for the 4 projects which are we expect to receive the PCOD in the Q4 and the Q1 of this financial year. So going forward we will share the details because we are evaluating all the opportunities, all the options that are available.

Abhinav : Thank you, sir. Those were my questions.

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Moderator : Thank you. The next question comes from the line of Bhavin Modi from Anand Rathi. Please go ahead.

Bhavin Modi : Yes. Thank you, sir for providing the opportunity. Sir , my first question is, the last quarter the order book was something around Rs. 20,000 crores and now , it has gone down to Rs. 19,346 crores. So overall the change in the order book is Rs. 750 crores or something whereas our revenue is around Rs. 1,100 crores. So there is a gap of something around Rs. 300 crores. So does our revenue include any onetime arbitration income or any proceeds from the hold back amount from the monetization?

Pankaj Agarwal : Actually, the revenue includes some maintenance project revenue as well as the price escalation and COS work also. That is why you find the difference between the two order

books of Rs. 750 crores. But in addition to that the work is received, the revenue is received on this field also.

Bhavin Modi : So this quarter, have we not received any arbitration income or nothing like that, right sir?

Pankaj Agarwal : No arbitration claim is received in this quarter.

Bhavin Modi : And what about the hold back amount? There was some Rs. 200 crores hold back amount for the 10 HAM assets that we sold?

Pankaj Agarwal : In the monetization process, around Rs. 200 crore was hold back. Out of that we have received around Rs. 42 crores on this account.

Bhavin Modi : Did we receive this quarter Rs. 42 crores or it was last quarter?

Pankaj Agarwal : Last quarter, quarter 2.

Bhavin Modi : Quarter 2. Sir, second is what is the status of the CIDCO order?

Yogesh Jain : Matter is under sub judice, so we cannot discuss.

Bhavin Modi : Sir, third thing we have been lately seeing even in the NHAI or MoRTH tenders are getting opened. There is still aggressiveness in terms of the number of bidders which are there. There are almost like 20-25 bidders even after the NHAI made the stringent network criteria. So how do you see the competition intensity going forward?

T. R. Rao : See, now NHAI has introduced that depletion network criteria for the bid. It is a stringent criteria, we agree. But now the project, since no major project is awarded in terms of number as well as quantum, so that depletion will start once the awarding activities are picked up. So as awarding activities increase, this number of bidders whose network is limited, they will get depleted and they may not be able to bid for the new project. Going forward, competition is expected to be reduced. There is a robust pipeline, but as our Managing Director mentioned, though there is a robust pipeline of projects, the awarding activity is very slow. As you see,

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recurrently they are shifting the bid due dates, and even for the land, either for the internal approvals from the central government or due to the non-availability of the minimum required land.

Bhavin Modi : Understood, sir.

Yogesh Jain : Now, you can say competition in HAM in the moderate condition, and EPC is very high.

Bhavin Modi : Understood. Sir, next question is, when I see your order book, in case of the coal order book, there hasn't been any change in terms of the un-executed value. So did we execute anything last quarter?

T. R. Rao : See, last quarter, though we have executed some removal of overburden quantities, but the billing is possible only once we extract the

coal. So during the Q3, we have not billed anything, but in Q4, in January, we already executed Rs. 100 crores worth of work.

Bhavin Modi : And that will bill it to the client, right? The Rs. 100 crores?

T. R. Rao : Yes, we will bill it to the client.

Bhavin Modi : And sir, how much amount did we execute in case of a renewable, the B ESS project?

T. R. Rao : See, B ESS project, we are in the final stage of identifying the land and executing the land lease and other kinds of agreements. We shortlisted 2 locations across 2 states. We are going to finalize one of them, and then accordingly we will finalize the land lease and other kinds of agreement connectivity things. Then we will start physical execution of the project, maybe from the second quarter of FY '27.

Bhavin Modi : Understood. Thank you, sir.

Moderator : Thank you. The next question comes from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain : Good afternoon, sir. Sir, as you mentioned, the awarding activity has slowed down. You have mentioned a number, 377 kilometers versus 500 kilometers year-on-year. What would be this number for 9 months? And how much do you expect to get awarded in the next few months?

T. R. Rao : See, exactly in 9 months figure precisely not available in publicly available data, but previous year I am talking about FY '24, they awarded around 12,000 kilometers of new projects. See, now when their award itself is reduced, consequently construction is also reduced.

Ketan Jain : Correct.

T. R. Rao : So exact figures, whatever is available to everybody in the public domain, only we are finding out. Exact figures we will share, offline, we will share it.

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Ketan Jain : Do you expect these land acquisition hurdles, delays to get done for this next 2 months, February and March?

T. R. Rao : We hope so, because land being a state subject, the NHAI is also struggling to get the

minimum land and remove all obstructions and all. But now they are streamlining the process, compensation, distribution, everything now they made it digital. So we expect land acquisition that will speed up.

Ketan Jain : But it still remains uncertain?

T. R. Rao : Yes.

Ketan Jain : Understood. That is it. My other questions are answered. Thank you.

Moderator : Thank you. The next question comes from the line of Deepashri Joshi from Ambit Capital. Please go ahead.

Deepashri Joshi : Hello, sir. I wanted to understand on the Pune Ring Road and the Jalna-Nanded project, how much do you expect to execute in Q4 for those two?

T. R. Rao : In the Pune Ring Road project, we are expecting Rs. 240 crores in Q4. And in Jalna Nanded project, we are expecting Rs. 300 crores in Q4.

Deepashri Joshi : Got it. And for the canal project, Srisailem Canal project, how much did you execute in 3Q and how much do you expect to execute in 4Q?

T. R. Rao : Q3 practically, you could not execute because the water is standing in the canal system for the irrigation purpose and because of the high rainfall in the catchment area. However, in Q4, we expect to execute around Rs. 25 crores worth of work.

Deepashri Joshi : Got it. And on the equity investment front, you mentioned that Rs. 634 crores is yet to be invested. Now, that is in totality or can you give the breakup between what you would invest in road and what you would invest for the BESS project?

T. R. Rao : We are coming back to, on canal project in Andhra Pradesh, in Q3, we executed Rs. 14 crores of work, which is basically peripheral works and supporting works, not the main canal works. In Q4, we expect Rs. 25 crores worth of work will be executed.

Deepashri Joshi : Got it. And the equity balance that you mentioned, does that include the BESS equity?

T. R. Rao : No, that does not include BESS equity.

Deepashri Joshi : What would be that?

T. R. Rao : That would be around

Rs. 400 crores.

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Deepashri Joshi : And one last thing, what is the unbilled revenue for the road segment as on date?

Pankaj Agarwal : Unbilled revenue. Just note down, the unbilled revenue for the road project is Rs. 140 crores. And EPC amount is around Rs. 200 crores.

Deepashri Joshi : Got it. Thank you, sir. That is all.

Moderator : Thank you. The next question comes from the line of Vasudev from Nuvama. Please go ahead.

Vasudev : Yes, thank you for the opportunity. Sir, I just wanted to know how is the execution likely to ramp up in the mining and the solar projects, like what kind of revenues are we targeting in FY '27 and FY '28 over here?

T. R. Rao : As I mentioned, in case of mining project, we expect around Rs. 100 crores in FY '26 and Rs. 500 crores in FY '27 and Rs. 600 crores in FY '28.

Vasudev : And sir, for the solar project?

T. R. Rao : See, solar project, we are able to tell precisely once we start commission, we start execution. But tentatively, we expect Rs. 1,000 crore s revenue in FY '27, which is nearly 50% of the total EPC value of the solar project.

Vasudev : Sure, sir. And on the irrigation front, when do we expect to complete this project altogether?

T. R. Rao : See, irrigation will take time because we are getting only 5 months working period in a year. So 7 months, we are not able to do any work over there because of the water is left into the canal system. So the execution will go up to FY '28.

Vasudev : Sure, sir. And can you just help me with the toll collection numbers for this quarter?

Pankaj Agarwal : Just note down the toll numbers. For MP Highways, it is Rs. 10.79 crores. For Rae Bareilly Jaunpur, it is Rs. 32.16 crores. It is basically an annuity project.

Vasudev : And the Narela project, sir?

Pankaj Agarwal : Narela project is Rs. 3.82 crores.

Vasudev : Sure, sir. And just, sir, one confirmation, the standalone cash, can you just repeat that number, please?

Pankaj Agarwal : It is Rs. 1,299 crores.

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Vasudev : Sir, this number last quarter was about Rs. 373 crores and this quarter it is Rs. 1,299. So there has been a quite bigger jump ?

Pankaj Agarwal : In last quarter, actually, this amount includes the proceeds received from the KKR.

Vasudev : They have received that amount in this quarter. Sure, sir. That is it from my side.

Moderator : Thank you. The next question comes from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Yes, sir. Sir, all the balance sheet numbers, inventory, debtors, trade payable, retention money, mobilization, HAM debtors?

Pankaj Agarwal : Just note down. The total inventory as on 31st December is Rs. 758 crores, debtors is Rs. 1,898 crores.

Shravan Shah : And trade payable?

Pankaj Agarwal : Trade payable is Rs. 743 crores.

Shravan Shah : Retention money?

Pankaj Agarwal : Retention money is Rs. 219 crores.

Shravan Shah : And total unbilled, we mentioned Rs. 140 crores plus Rs. 200 crores that is Rs. 340 odd crores ?

Pankaj Agarwal : It is around Rs. 440 crores.

Shravan Shah : Rs. 440 crores. And mobilization advance?

Pankaj Agarwal : Mobilization advance is Rs. 170 crores.

Shravan Shah : And HAM debtors ?

Pankaj Agarwal : HAM debtors is around Rs. 470 crores.

Shravan Shah : And the equity to be invested in the 4th quarter and FY '27 would be?

Pankaj Agarwal : The total equity which is to be infused in this year and next year is Rs. 634 crores.

Shravan Shah : Yes. But in 4th quarter, how much we will invest and in FY '27?

Pankaj Agarwal : We expect around Rs. 100 odd crores will be infused in this quarter.

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Shravan Shah : And in FY '27?

Pankaj Agarwal : It is around Rs. 500 crores.

Shravan Shah : Rs. 500 crores. Got it. And just a couple of outstanding order book as on December. So this

irrigation, sir has mentioned, I think Rs. 15 odd crores. So the outstanding is now Rs. 805 odd crores ?

Pankaj Agarwal : Around Rs. 815 crores.

Shravan Shah : Rs. 815 crores. And this Sona uli-Gorakhpur?

Pankaj Agarwal : Sona uli-Gorakhpur is Rs. 175 crores.

Shravan Shah : And Akalkot Package 2?

Pankaj Agarwal : Rs. 418 crores.

Shravan Shah : And Haryana Orbital Rail?

Pankaj Agarwal : Haryana Orbital Rail is Rs. 450 crores.

Shravan Shah : And Elevated Corridor Flyover in Gwalior City?

Pankaj Agarwal : Rs. 580 crores.

Shravan Shah : And Hiradas Chauraha will be similar , Rs. 240 crores ?

Pankaj Agarwal : Yes. That will be the same.

Shravan Shah : And Varanasi also Rs. 297 crores , same ?

Pankaj Agarwal : Yes.

Shravan Shah : And this BESS Rs. 2,000 crores, when will start putting in the order book?

Pankaj Agarwal : Q2 of FY '27.

Shravan Shah : And both the Kanpur , Lucknow packages have been over in terms of order book. Now, has it become 0 ?

Pankaj Agarwal : Almost over. I think there is some work to be done. From Rs. 60-Rs. 70 crores is to be billed .

Shravan Shah : Got it. And this Hardoi early completion bonus Rs. 14 odd crores, will it be coming in the 4th Quarter ?

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Pankaj Agarwal : We have received Rs. 16.69 crores in Hardoi and Rs. 5.13 crores in 1C Mathura.

Shravan Shah : So this entire will be part of revenue and part of EBITDA for this quarter , 3rd Quarter ?

Pankaj Agarwal : Yes.

Shravan Shah : Got it. And this Hathauri Atrar project Rs. 420 crores. So have we received the appointed date?

Yogesh Jain : Bagmati.

Shravan Shah : Bihar project.

Yogesh Jain : We will receive the appointed date in this quarter.

Shravan Shah : In 4th Quarter . Got it, sir. Yes. That is it from my side. Thank you. And I hope we get the significant order inflow. Thank you. All the best.

Moderator : Thank you. The next question comes from the line of Vishal Periwal from PL Capital. Please go ahead.

Vishal Periwal : Thanks, sir, for the opportunity. Sir, in the Consol , cash balance of almost Rs. 2,700 odd crores. So what is our own cash in this?

Pankaj Agarwal : This is pure own cash.

Vishal Periwal : So basically anything to do with the debt which is there and then similarly which is there in the extra side is a cash.

Pankaj Agarwal : Sorry. Can you repeat?

Vishal Periwal : So my question is the Rs. 2,700 odd crores of cash balance in a consolidated account that we have. Can we say it is completely our own cash? It is not related to the debt that we have raised and yet to be deployed in any of the project.

Pankaj Agarwal : No. Completely own fund.

Vishal Periwal : So standalone , when we have Rs. 39 odd crores and Consol is Rs. 2,700 odd crores. So meaning there are certain subsidiaries where the cash is lying in the books or how exactly it is getting accounted ?

Pankaj Agarwal : This balance is having in the subsidiary companies. One is the holding Company and the rest is other subsidiary companies.

Vishal Periwal : Sure. I think this is all that I have, sir. Thank you very much.

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Moderator : Thank you. Next question comes from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah : Sir, what revenue are we targeting from the irrigation order for 27 and 28?

T. R. Rao : Rs. 150 crores we are expecting in 27 and 28 we are expecting around Rs. 200-Rs. 250 crores.

Vaibhav Shah : But you indicated that we are targeting to complete the order in FY '28 and outstanding will be roughly Rs. 800 crores. So how is this possible?

T. R. Rao : See, actually, it is mainly comprising two parts. One is the main canal and then the subsidiary canal. In the branch canal, there are certain issues. As of now, whatever the funds available based on that we are targeting

king about around Rs. 400-Rs. 450 crores. As funds cleared, then we will revisit the FY '28.

Vaibhav Shah : Sir, what is the outstanding receivable from the project?

Pankaj Agarwal : Receivable from the project is around Rs. 170 crores during this year.

Vaibhav Shah : Sir, we won this project in FY '21 and almost now 5 odd years and no major execution has happened. So how do you see this? So even margins would have been impacted or was there escalation in the project? So how are we looking at this project? Because even after 7 years in FY '28, we won't be even completing half the value of the entire project.

T. R. Rao : No. As of now, nearly Rs. 400 crores worth of value of work completed. We are targeting another 450 in the next 2 financial years. By that time, 75% of the project would have been completed. There is an escalation provision in the contract. But not for the whole work, but for the fuel, steel and cement, the escalation provision is there. Yes, it is delayed. They extended the contract period up to 2026. Further extension they are considering.

Vaibhav Shah : Sir, in payments, we have seen it was roughly Rs. 100 odd crores outstanding and now it is increased to Rs. 170 odd crores. Are the payments stuck or there is some movement?

T. R. Rao : There is movement. More than Rs. 220 crores we already received, which was otherwise stuck during the first 2 -2.5 years. We started receiving the funds after change of government from the last financial year. We are also somewhat aligning the progress with the receipt of funds also. The funds availability and the funds allocated for this project. We expect another Rs. 40-Rs. 50 crores of payments before end of the current financial year. Going forward, we expect to release the balance amount in the next financial year.

Moderator : Sorry to interrupt Mr. Shah. We request you to return to the question queue for the follow-up questions.

Vaibhav Shah : Thank you.

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Moderator : Thank you. The next question comes from the line of Bala subramanian from Arihant Capital. Please go ahead.

Balasubramanian : Good evening, sir. Thank you so much for the opportunity. Our solar project with NHPC is valued nearly Rs. 2,000 crores and the mining project Rs. 2,957 crores. And what is the margin profile of these projects? And I just want to understand what is that we have bid for Rs.

28,000 crores. And I just want to understand our bidding is majorly focused on diversifying beyond roads like water, renewables and mining for the next 3-5 years. So how this mix looks like after 3-5 years? Thank you, sir.

T. R. Rao : See, in coal project, we are expecting a margin of 9% PBT. In the solar project, because it is a fund-based project, at an equity level, we will be having an equity IRR. Again, we will have an execution margin. So once we finalize the final designs and the finalization of the project, we will be able to share you more clarity. And with regard to foraying into other sectors, roads and highway sectors will continue to be our key focus area and key focus sector. And at the same time, we are looking at opportunities in railways, metro rail, water, transmission lines, renewable energies. So maybe next 2-3 years, it will be a 50 -50 kind of thing. Highways will have around 50% and other sectors will be around 50%. Further, we will be able to see how things will unfold with more projects we will be able to secure with decent margins.

Balasubramanian : Got it, sir. Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you and over to you, sir.

Yogesh Jain : Thank you, everyone for your active participation in our earnings call. In case of further queries, you may get in touch with the Strategic Growth Advisor s, our Investor Relations

Advisor, or feel free to get in touch with us. Thank you.

Moderator : Thank you. On behalf of PNC Infra tech Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s. Thank you.

Call: May 2026

PNC Infratech Limited
Ref No : PNC/SE/22 126-27

To,
The Manager
Department of Corporate Services
BSE Limited
Floor 25,P.J. Towers,
Dalal Street, Mumbai - 400 001
Scrip code:539150Date:27.5.2026

To,
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, BandraKurla Complex,
Bandra (E), Mumbai - 400 051
NSE Symbol: PNCINFRA

Dear Sir,
Sub- Transcript of 04 FY2026 Earnings Conference Call on Financial Results for the quarter and year ended 31st March 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we are enclosing herewith the transcript of an earnings conference call on Financial Results for the quarter and year ended 31st March 2026 held on Wednesday , 20th May, 2026.

You are requested to take this information on your record.

Thanking you,
Yours faithfully,
For PNC Infratech Limited

Tapan Jain
Company Secretary & Compliance Officer
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An ISO 9001 :2015 Certified Company
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"PNC Infratech Limited 4QFY26 Earnings Conference Call "

May 20 , 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 20th May 2026 will prevail.

MANAGEMENT : MR. YOGESH JAIN - MANAGING DIRECTOR , PNC
INFRATECH LIMITED
MR. T. R. RAO - DIRECTOR (INFRA), PNC INFRATECH
LIMITED
MR. PANKAJ AGARWAL – VICE PRESIDENT (FINANCE &
ACCOUNTS), PNC INFRATECH LIMITED
MODERATOR : MR. SUDEEP BORA – AMBIT CAPITAL

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Moderator: Ladies and Gentlemen , Good Day and Welcome to PNC Infratech Limited 4QFY26 Earnings Conference Call hosted by Ambit Capital Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

Please note this conference call may contain forward -looking statements about the company , which are based on the beliefs , opinions , and expectations of the company as of the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Sudeep Bora from Ambit Capital. Thank you and over to you, sir.

Sudeep Bora: Good afternoon, ladies and gentlemen. On behalf of Ambit Capital, I am pleased to welcome you all to the PNC Infratech Limited 4QFY26 Earnings Conference Call.

We have with us the Managing Director of the Company , Mr. Yogesh Jain, along with the Senior Management Team .

We will begin with the “Opening Remarks from the Management, ” followed by “Interactive Q&A Session .” Thank you and over to you, sir.

Yogesh Jain: Good afternoon, everyone.

On behalf of PNC Infratech Limited, I extend a very warm welcome to everyone for joining us today on this call.

Today, I have with me Mr. T. R. Rao, Director (Infra), Mr. Pankaj Agarwal, Vice President, Finance and Accounts and Strategic Growth Advisors - our Investor Relations Advisors. The financial results and investor presentation have been uploaded on the Stock Exchanges and the Company's website for your reference.

I would first like to share the key developments across the industry with you, followed by operational updates of the Company and highlights of financial performance during the quarter and full year ended 31st March 2026, post which we will be happy to answer your questions.

✓ FY26 witnessed a mixed outcome for the highways sector. While awarding activity continued to be subdued during the year, execution activities remained satisfactory for PNC Infratech Limited

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the given order backlog with NHAI constructing over 5,300 kilometres of national highways during the year.

✓ Awarding activity by National Highways Authority of India stood at 3,124 km aggregate length, more than 30% below the targeted length of 4,500 km.

✓ The subdued awarding activity over the past three years largely caused by persistent delays in acquisition of land, extended project appraisal & approval timelines, and delay in finalizing of viable and bankable project structure under DBFOT -Toll model.

✓ Union Budget for FY27 reflects the Government's commitment to faster infrastructure development. Capital expenditure for the road sector has been budgeted at approximately INR 2.9 trillion for FY27, representing an increase of around 8% over the previous year.

✓ With increased focus on expressways, access controlled greenfield alignments including 4 & 6 lane economic corridors, the expansion in lane -kilometres is expected to remain healthy, reflecting the Government's continued emphasis on building larger and more extensive highway infrastructure network in the coming years.

- ✓ Against this backdrop, we remain hopeful that project approval and land acquisition processes will accelerate resulting in improved awarding momentum, which will translate into wider bidding opportunities and stronger pipeline for the key players in highways sector, particularly in fund -based mandates such as HAM and BOT -Toll.
- ✓ New opportunities have been rapidly emerging across

across core infrastructure segments

including renewable energy & storage, power transmission, water supply & irrigation and other sectors.

- ✓ India's target of achieving 500 Giga Watt non -fossil fuel capacity by 2030 coupled with critical requirement of Battery Energy Storage Systems to bridge the gap between intermittent renewable energy generation and country's rapidly growing peak power demand, provides a large number of sustained business opportunities in this sector.
- ✓ India's power transmission sector is entering a high -growth phase, driven by the rapid expansion of renewable energy and acute need for augmentation and strengthening the national grid.
- ✓ Both central and state governments are heavily investing in new intra and interstate transmission networks, and grid modernization projects including setting -up of large number of high -capacity substations across geographies.
- ✓ Water infrastructure segment, in both drinking water and irrigation spaces continues to provide significant opportunities on both EPC and PPP modes, supported by government's flagship Jal Jeevan Mission, which has been extended until 2028 and water resources management projects being initiated by states.
- ✓ With emerging opportunities across railways, metro rail, airports, ports, logistics, mining, ropeways and urban development sectors, India's infrastructure opportunity landscape is set to expand in a big way beyond traditional roads and highways sector.
- ✓ Opportunities in these diverse sectors are expected to generate a sustained project pipeline over the coming years for infrastructure companies with healthy financials, strong execution capabilities and a proven track record.

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- ✓ Towards the end of FY26, geopolitical tensions in West Asia led to volatility in global crude oil prices and logistic costs, resulting in higher input costs, particularly bitumen, fuel and logistics.
 - ✓ Ministry of Road Transport & Highways introduced cost escalation compensation mechanism for national highway projects executed on EPC, HAM, PBMC modes, payable from 1st April 2026 and reduced price adjustment cycle from 3 months to one month to address the adverse impacts due to steep increase in bitumen prices.
 - ✓ These measures are expected to provide some relief margin pressures faced by highway construction and development firms to certain extent.
- Now coming to the recent updates on the company:
- ✓ In March 2026, the Company successfully completed the sale of its equity stake in PNC Challakere (Karnataka) Highways Private Limited to Vertis Infrastructure Trust.
 - ✓ This transaction marked the completion of the final tranche of the strategic divestment of 12 assets announced in January 2024.
 - ✓ In April 2026, the Company emerged as the L1 bidder for two HAM projects of National Highways Authority of India in Uttar Pradesh, with a combined Bid Project Cost of INR 3,483 crore.
 - ✓ In May 2026, the Company was declared the L1 bidder for an EPC project of Lucknow Development Authority for the construction of a four -lane flyover on bank of Gomti River in Lucknow. The quoted bid value for the project is around INR 200 crore.
 - ✓ In May 2026, Company received a Letter of Acceptance from Uttar Pradesh State Bridge Corporation Limited for an EPC bridge project of value INR 559 crore in Joint Venture.
 - ✓ In May 2026, the Company received Provisional Completion (PCOD) for Prayagraj - Kaushambi - Package III HAM project of MoRTH . The project was declared fit for commercial operations effective from 31 March 2026.
 - ✓ On 12 May 2026, the Company entered into a one -time settlement agreement with the NHAI regarding Agra Bypass EPC Project Arbitration Award under the Vivad -Se-Vishwas III Scheme, for an amount of INR 235 crore payable by NHAI to Company.
- Moving on to the operational and financial performance of the company
- ✓ The Company's 15 fund -based projects

portfolio comprises 1 BOT -Toll project, 2 BOT

Annuity Projects and 14 HAM projects.

- ✓ Aggregate Bid Project Cost of 14 HAM projects is over INR 17,200 Crore.

✓ Out of total 14 HAM projects,
o 5 projects achieved PCOD/COD,
o 6 projects are under construction,
o 1 project of MPRDC achieved financial closure
o 2 projects, in which Company stands L1 bidder, LOAs are expected shortly
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✓ Total equity investment requirement for the HAM projects is INR 1,623 crore, excluding 2 HAM projects, for which LOAs are yet to be received. Till March 2026, Company already infused INR 1,081 crores and the remaining equity of INR 542 crores to be invested over the next 2 years.
✓ The internal accruals that would be generated over the next two to three years should be adequate to meet the above equity investment requirement.
Now moving on to our order book
✓ Company's unexecuted order book stands at over INR 22,000 crores, which includes the value of newly secured 2 HAM projects and 2 EPC bridge projects.
✓ Highway contracts contribute 62% of total unexecuted order book, while water, canal, area development, railway and airport contracts contribute around 25%, and coal mining contract contributes 13%.
Now I would present the results for the quarter, and year ended March 31, 2026.
Standalone Revenue for the 4th quarter of FY26 is INR 1,458 crore.
Standalone EBITDA for the 4th quarter of FY26 is INR 175 crore. Standalone EBITDA margin for the quarter is 12.02%.
Standalone profit for the 4th quarter of FY26 is INR 100 crore. Standalone PAT margin for the quarter is 6.89%.
Standalone Revenue for FY26 is INR 4,633 crore.
Standalone EBITDA for FY26 is INR 583 crores. Standalone EBITDA margin for FY26 is 12.58%.
Standalone profit for FY26 is INR 344 crores. Standalone PAT margin for FY26 is 7.43%.
Now moving on to the Consolidated Results:
Consolidated revenue for the 4th quarter of FY26 is INR 1,167 crores.
Consolidated EBITDA for the 4th quarter of FY26 stood at INR 277 crore. The EBITDA margin for Q4FY26 is 17.14%.
Consolidated PAT for the 4th quarter of FY26 is INR 108 crores. The PAT margin for Q4FY26 is 6.66%.
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Consolidated revenue for FY26 is INR 5,368 crore.
Consolidated EBITDA for FY26 is INR 1,137 crores. The EBITDA margin for FY26 is 21.17%.
Consolidated PAT for FY26 is INR 832 crores. The PAT margin for FY26 is 15.49%.
On Standalone Basis,
Our net worth as on 31st March 2026 is INR 5,811 crores, whereas standalone debt from Banks/Financial Institutions and Inter Corporate Deposit is INR 741 crores. This translates to net debt to equity of 0.13 times. Total cash & bank balance including current investments is INR 1,068 crores. Thus, we have a net surplus of INR 327 crores as on 31st March 2026.
On Consolidated Basis,
Our net worth as on 31st March 2026 is INR 6,813 crores whereas total debt is INR 5,151 crores. This translates to net debt to equity of 0.76 times. The total cash & bank balance including current investments is INR 2,856 crores.
With this we now open the floor for question -and-answer.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Thank you, sir. Sir, couple of questions. Sir, first, broadly one on the guidance part. So, obviously, the FY26 and Q4 were slightly lower versus what we were expecting, INR 350, 400 -odd crore s kind of a lower number, and we were looking at 25% kind of a growth for F Y27 at standalone. So, just wanted to know now, given the order inflow is also there, and how one can look at the revenue growth for FY27, and even possibly, based on the current order book, how one can look at FY28, and then the EBITDA margin also?
T. R. Rao: See, the revenue what we achieved in F Y26 because as you know that the four of our projects got delayed execution, three of NH AI projects and one of MPRDC projects of having a more than INR 4,400 crores, for which we executed our concession agreements way back in July '23 and March

'24, that has resulted in lower turnover in F Y26 than what we expected , and going by this turnover of INR 4,633 crores. So, we are proposing a guidance of around 30% for F Y27, which will be around INR 6,000 crores top line, and then for FY28, from there we are looking at another 25% guidance, so that will roughly translate into INR 7,500 crores. The EBITDA will continue to be around 12% for F Y27. So, we will see what the EBITDA will be in FY28 going forward, given the geopolitical tensions and the volatility in the commodity prices.

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Shravan Shah: So, just to touch on that , at least for in Q1 or maybe in Q2 do we see a kind of a risk on the margin , and if yes, whatever the price increase has happened, the crude -related and then the steel and everything , so, do we see anything and structurally also obviously we have escalation cost but given the kind of a sharp increase, how much one can look at kind of a risk to the margin?

T. R. Rao : See, certainly , we cannot deny that there would not be any margin pressure. Certainly, there will be pressure on our margins given the current scenario. But , as you said , the Minister of Road Transport and NHA I, both came out with the compensation mechanism to cover the steep escalation in the prices of bitumen directly with the base rate from the 1st April, which should mitigate some of the price rise to a certain extent , which will give some relief to the margin pressure. But certainly, margin pressure would be there. But going forward, once these tensions are subdued and there is stability in the commodity market, so in Q3 and Q4, we should be able to achieve the healthy margins, and overall in FY27, we are hopeful of achieving 12% EBITDA.

Shravan Shah: Yes, great. And so now on the inflow front, so two aspects. So, what I understand is INR 3,957 crore s that we have already won till now in FY27 , plus INR 2,000 crores solar that we have not included, so if I include that also, it is kind of INR 6,000 crores that is already there with us now. So, how much more are we looking at to bag in this year? And at the same time, how much value of projects that we have bid and bid is yet to be open?

T. R. Rao : See, we are expecting an overall new order book of around INR 15,000 crores in FY27, out of which we got INR 3,957 crores new orders in the highway s sector. And as you said, if you consider again order book from the renewable energy, so it will be around INR 6,000 crores. So, INR 9,000 crores to INR 10,000 crores further orders we are expecting in FY27. And regarding the bids what we had submitted, we submitted 15 EPC bids and one HAM bid, which is around INR 14,000 crores which are to be opened. The price bids are yet to be opened maybe before end of this month and some bids will be opened during the month of June. So , we are expecting some projects from this INR 14,000 crores where we already submitted bids.

Shravan Shah: Okay. And lastly, sir, a couple of balance sheet data points if you can share -- retention money, unbilled revenue, mobilization advance, HAM d ebtors , or water debtors ?

Pankaj Agarwal : Just note down. Retention money is INR 264 crores. Mobilization advance is INR 155 crores. Total debtor is INR 1,660 crores. Out of that , HAM d ebtor is INR 372 crores. And the water debt or is INR 868 crores.

Shravan Shah: And unbilled revenue would be how much, sir?

Pankaj Agarwal : Unbilled revenue is INR 475 crores as of 31st March 2026.

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Shravan Shah: And then this equity of INR 542 crores , so this, I hope, does not include the two HAM project s equit

y , what would be the broader one can take a 14% of the BPC that way , and this INR 542 crores , how much we will be investing in FY 27 and FY28 and also the solar of INR 400-odd crores that we need to invest, how much in 27 and '28?

Pankaj Agarwal : Out of INR 542 crores, around INR 350 crores will be infused in current Financial Year '2 7 and the balance will be in Financial Year '2 8.

Shravan Shah: Okay. And for solar, sir , BESS mean .

Pankaj Agarwal: Actually, the total equity requirement we have told earlier was INR 400 crores , out of that, approximately INR 120 crores will be infused in this financial year.

Shravan Shah: Okay. Got it, sir. I have more questions. Come back in the queue. All the best. Thank you. And good to see the breakup of the order book project -wise in the presentation.

Moderator: We will take our next question from the line of Jainam Shah from Equirus Securities. Please go ahead.

Jainam Shah: Hi, good afternoon. Sir, the first question will be on the order inflow guida nce. So, you have guided for INR 15,000 crores of order book, out of which INR 4,000 -odd crores number that we have already received , balance for INR 11,000 crores , which specific segments we will be targeting -- do we have anything in mind , like roads would be this much, rest of the segment would be this much, anything on that part?

T. R. Rao : 60% to 70% , we are still targeting the highways sector because NHAI has declared that they are

coming out with a large number of highways projects, both on HAM and as well as BOT Toll apart from the EPC. So, 60% to 70% we are targeting from the highway s sector , and the remaining we are targeting from the non -highway s sector.

Jainam Shah: Okay. And s ir, the BOT Toll that you told about, so we came to bid for the BOT Toll project as a direct contractor , or you would be a subcontractor to some entity that would have bid directly?

T. R. Rao : We will be bidding directly as we are meeting the qualification criteria. But , of course , we will be subject to thorough due diligence , including detailed traffic studies and viability analysis. We will see because NHA I is still working on the structure , and very recently, they also changed some of the parameters. So, today also some discussion is going on one of the BOT projects NHA I proposed to bid. So, we will see , but it will be direct bidding.

Jainam Shah: Got it. So, one thing on the top line, so if we see we are targeting 30 % and 25% growth for the next two years , which will be leading to let us say INR 7,000 crores -plus revenue for us which was the case for us in let us say a few years back, '23 and '24 as well. After reaching to that revenue
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somewhat you can see a few of the infrastructure compan ies who is mainly into the road generally faces the pressure from the order inflow and then there has been a decline which we have seen as well and other companies as well. So , how do we see the other sectors you can say ramping up for us the qualification criteria and going forward how do we see road as a total order book and of course the NHA I pipeline and the overall awarding has been deep over the last few years , so how do we see our company beyond let us say INR 7,000 crores of top line which will be achieved let us say over the next two years ?

T. R. Rao : See, NHA I will continue to be our focus client because there has been a very unhealthy competition for the last two to three years, coupled with the low awarding activity by NHA I. So, these two has affected our order inflow during the past two , two and a half years and consequently the revenue also, there have been no major orders during the last three years from NHA I so it affected our revenue also. But see other sectors are emerging . A lot of projects are coming in railways , and also transmission and renewable energy, including energy storage,

and also some projects are coming

from area development and other things . We are looking at them , and we are pursuing those opportunities also. So, that is why we said that around 30 % to 35 % we are expecting the new orders from these thing s, as we are pursuing these opportunities actively. That is why we have given around 30 % percent for the FY27 order book , and then going forward 25 % that is for FY28. But certainly once these current geopolitical tensions have subsided, we will relook at it, and we will share with you maybe sometime at the beginning of H2.

Jainam Shah: Got it , sir. So, from the margin part , of course , the majority of the revenue for this and last year was from the road segment. Going forward , let us say the segments are going to have better inflows, and our focus will also be on that along with the road. Because we will be new to those segments , will it impact our overall margins at the standalone level , or we continue to maintain 12 % margin since we have been doing it since long , the sectors would be new to us , will there be any r espect to the margin with the new segments contributing more and more to the revenue?

T. R. Rao : See, we do not see any kind of a cross -subsidy kind of a thing in margin perspective. As you know that earlier we are targeting a margin of 13 % to 13.5 % EBITDA margin in our portfolio. Now , the guidance we are sharing with you is around 12 %. Considering all the factors , we do not see it because we are diversifying into the other sectors, which will impact the margins of the roads and highways sector. So , we should be able to achieve a margin of 12 % EBITDA , even with the kind of mix we are foreseeing in roads and non -roads sectors.

Jainam Shah: Got it. On the competition part , you said that because of the lower awarding along with the competition, the order inflow has been muted. Are we seeing any change in the trend from the competition for the NH AI and M oRTH projects , or is the same thing continuing for the latest projects, which would have opened recently?

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T. R. Rao : See, what we see, the competition in the EPC segment will continue to be very sharp , and I would say, a cutthroat kind of competition will be there. But NHA I, if you see, they came out with a list of projects they proposed to do over the next one year. So, the majority of them are HAM and BOT Toll where we are seeing less competition compared to EPC. So, since we are in a position to invest into these projects, either it is a HAM or BOT Toll with our healthy balance sheet and our investing capacity, so we look forward to have a lesser competition in the HAM projects, That too, particularly the larger size HAM projects. So, recently we won the INR 1,700 crores each worth of two projects because there you see the number of bidders are reduced in compared to the earlier projects which were bid out. So, going forward, we see lesser competition in HAM segment as well

as BOT Toll compared to EPC and the smaller size projects.

Jainam Shah: Got it, sir. That is it from my side. Thank you so much.

Moderator: Next question is from the line of Jyoti Gupta from Ashika Institutional Equities. Please go ahead.

Jyoti Gupta: Good evening, sir. Thank you for the opportunity. Now, we have seen some diversification strategies in your company where you have entered into mining services, solar, and other adjacencies. What kind of return thresholds are being targeted in these segments? In mining services in particular, what is the CAPEX commitment and expected asset turns that you are expecting? And are there any plans to enter transmission, urban infrastructure, or any other kind of infrastructure, maybe defense opportunities that you are actually looking forward to?

Pankaj Agarwal: The total CAPEX required for this coal mining project was estimated to be INR 350 crores, out of which we have already made the CAPEX of around INR 250 crores in the current Financial Year '26.

Jyoti Gupta: What are the expected asset turns from this CAPEX commitment, what you are investing?

Pankaj Agarwal: We are investing in the plant and machinery of around INR 350 crores.

Jyoti Gupta: Okay. I will rephrase it. You are entering into the different sectors like mining services, solar, and other agencies. What kind of return thresholds are being targeted in these segments?

T. R. Rao: See, before mining and before solar, we had entered into the water sector in a big way five years before. As you know, there are more than drinking water supply projects under the Jal Jeevan Mission with an overall value of more than INR 6,800 crores. We entered into this Jal Jeevan Mission five years before. And concurrently, at that time, we also entered into an irrigation project of around INR 1,100 crores in Andhra Pradesh. So, we diversified into these sectors a decade before, and we were still able to maintain the margins reasonably around that percentage that we have been doing from earlier times. So, there is no major impact on the margin. And this coal also, where we got around INR 3,000 crores, because we have been doing the capital mining projects

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from the beginning to meet our aggregate requirement. So, we have enough kind of experience and expertise in mining activities. So, in the coal as well as the solar, it will be akin to the margin that we have been securing in the road sector. So, overall, there would not be any major impact on the overall margin. So, we should be able to get similar returns in these two sectors also, including highways, what we have been getting, and the water sector.

Jyoti Gupta: Okay. Thank you, sir. That is all.

Moderator: We will take our next question from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Yes, Sir, on the solar project, when do we expect to start the work?

T. R. Rao: In the solar, maybe physical execution we will be starting from the third quarter of this year, the land we have already identified, and we entered into some kind of arrangement with the aggregators, and the connectivity also we received in principle approval, we are expecting final approval also in one and a half to two months' time, going forward, then we will enter into (PPP), Power Purchase Agreement with the NHPC, then we will start physical execution, starting by initially procurement and followed by construction.

Vaibhav Shah: So, what revenue are we targeting in '27 and '28?

T. R. Rao: We are targeting around INR 600 crores in FY27, and INR 1,400 crores in FY28.

Vaibhav Shah: Okay. Sir, on JJM, how have been the payments, have you seen improvement in first quarter, and what revenue are we targeting in '27 and '28?

T. R. Rao: Some payments they released, because the state government released from their side, and we were able to get around INR 300 crores payment during the current financial year, and we are also expecting some more payments maybe before the end of the quarter, June 30th. And for FY27, we are targeting INR 750 crores in revenue, with the hope that the government will release more and more funds for this project, both central and state.

Vaibhav Shah: Sir, what would be the cash in PNC Infra Holdings as of now?

Pankaj Agarwal: The cash balance in PNC Infra Holdings is around INR 1,100 crores.

Vaibhav Shah: Okay. Including current investments?

Pankaj Agarwal: Including current investments.

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Vaibhav Shah: Yes, okay. And sir, on the AD side, we have received two new HAMS, and also AD is pending for one older HAM. So, we were targeting to get AD in 1Q '27. So, are we on track now for Western Bhopal?

T. R. Rao: For Western Bhopal, we are expecting AD I would say before end of the

e 30th September and we

should be able to commence the physical execution in Q3.

Vaibhav Shah: Sir, what will be the reason for so much delay in the appointed date for that project?

T. R. Rao : See, we faced some serious hindrances and impediments in the original alignment because of the land acquisition issues and the other environmental issues. So , they changed the alignment ... because of the change of alignment, it took a long time. So, now things are settled. Government has approved the new alignment and the project. So, certainly, we will be executing some kind of an agreement and the appointed date is expected before the end of the second quarter. So , the physical execution will begin during the current say in the third quarter of FY27.

Vaibhav Shah: Okay, sir. Lastly, on interest cost, it has risen sharply to INR 30 crores in Q4. So, how do you see it going forward?

Pankaj Agarwal : Interest cost has increased in Q4 due to two reasons ; one is the utilization of working capital ; and the second is the interest on term loan which is taken for machine financing.

Vaibhav Shah: How do you expect it going forward in FY27?

Pankaj Agarwal : FY27, we see that the interest cost will be reduced by INR 3 crores to INR 4 crores from the current quarter.

Vaibhav Shah: Okay, fine. Thank you. Those are my questions.

Moderator: Next question is from the line of Archit Agrawal from Step trade Capital. Please go ahead.

Archit Agrawal: Sir, my question is, why has execution pace been slow despite the strong order book?

T. R. Rao : See, as I mentioned, the four HAM projects, three of NHA I and one of MPRDC, though 25% of the order book, we could not commence these projects till, I would say, October, November of this year. And one of the projects we still have to get the appointed date for is the MPRDC project. Delay in the commencement of these projects resulted in the lesser turnover, though we got the order book. And other things, for example, we have a five -year time horizon for the coal, the order that we got , whatever the order book is , it will be spread over the next five years. And solar also, we are in the development phase. So, that is there, but going forward, definitely, this execution will be geared up. As you said , we are expecting 30% top line growth in FY27, and thereby another 25% top line growth in FY28.

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Archit Agrawal: Okay. And what will be the margin guidance for FY27 and FY28?

T. R. Rao : For FY27, the margin guidance is around 12% EBITDA. For FY28, going forward, we will share with you, because of the current volatility in the commodity prices and the consequent increase in our input cost. So , we will not be able to tell. But , it should be around 12% in FY28 also, should things be normalized going forward.

Archit Agrawal: And what are the key reasons for the sharp EBITDA margin compression, like from 19% it was in FY25, and now it is about 12% to 13% this year?

T. R. Rao : See, in FY25, we received more than INR 400 crores payment towards the arbitration awards published in our favor through settlement under Vivad se Vishwas II. And also, we received INR 50 crore s-plus bonus from one of the projects we completed for MSRDC, that is Nagpur -Mumbai Expressway Package -IV, because that is reflected in the higher turnover in FY25.

Archit Agrawal: Okay.

Moderator: Thank you. We will take our next question from the line of Sarvesh Gupta from Maximal Capital PMS. Please go ahead.

Sarvesh Gupta: Yes, good afternoon, sir , and thanks for the opportunity. So, sir, first question is that, last year when we had given the guidance for FY26, initially, we were assuming 15 %, 20% growth , then it was subsequently downgraded to 5% , and we ended the year with a 20% down in terms of revenues. So, basically , giving any guidance is very difficult because the approvals and all were pending

, and you

could not get that in time, and execution was hampered massively. So, sir, this year, when I look at your guidance of INR 6,000 crore s, I mean, if you can break it up between, let us say, all the projects that you are doing where you do not have any approval pending , so what is that clean sort of revenue where the execution is just pending , what is that out of that INR 6,000 crores ? And what is the amount that you are penciling in where you are still waiting for various approvals, etc.? And if they do not come, then this INR 6,000 crore s will be under a question mark ?

T. R. Rao : Very consciously, we are giving a INR 6,000 crores guidance. Of course, last year, there was uncertainty about the delay in the appointed date for the already awarded projects. But the INR 6,000 crores guidance, which we are giving based on the projects that have been duly awarded to us, we are not considering any new projects that we are going to secure during the remaining 10 - month period of the current financial year. That is one thing. Second thing also, this guidance is largely based on the projects where the appointed date has already been declared , and also then projects are going on. For example, the large projects of the three HAM projects that are going on, and two more HAM projects of NHAI, which are also in progress. And we got two major projects from MSRDC on Jalna-Nanded Expressway and also Pune Ring Road. Those projects are also going on in full swing. So , considering all these aspects, whatever guidance we are giving this year

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is on a firm order as well as the projects which are going without any pending of anything. Of course, only one project, which is the Western Bhopal, we need to get an appointed date. And the rest of the projects are okay. So, unlike last year, we do not foresee any major hurdles or any unforeseeable things that will come into achieving our order. So, we should be able to get. I agree, last year, we were a bit optimistic when we had given guidance in the initial year, but later we faced these difficulties, and there was a prolonged delay in the declaration of the appointed date for the NHA I HAM projects due to land acquisition issues and delay in the Western Bhopal Bypass Project.

Sarvesh Gupta: So, sir, this year, this Western Bhopal and then this solar project, where you are penciling in INR 600 crores, so what is pending, sir, here? So, one appointment date is pending. So, how much are you penciling in for Bhopal this year? And for the solar project of INR 600 crores also, I think you have not yet started, right, what is pending there, and when will it start?

T. R. Rao: See, our INR 6,000 crores, what we are projecting now with a guidance of 30%, we have taken a very minimal value of work around INR 100 crores for the Bhopal Bypass Project, though we are expecting the physical execution will commence in Q3. That is one aspect. And the second thing out of INR 2,000 crores of the order, what we are expecting from the solar, only 30% we have considered in the current financial year. As we had said earlier, solar, the land acquisition, and the land possession are in an advanced stage. We identified the land and also finalized the initial kind of arrangement with the aggregators and all. We are expecting a minimum 30% physical possession of the land before execution of PPA. Then, going forward, initially, the high-cost items procurement will be there. So, we are hopeful of getting INR 600 crores from the EPC solar project this year. Even as a fallback kind of a thing, because there are other projects, we have not taken any project from work done on the two new HAM projects that we secured from NHA I. So, if we are able to achieve the appointed date during the current financial year, we will get some revenue from these two new HAM projects in Uttar Pradesh, which

we secured recently. So, going by this, some kind of a fallback arrangement we are having, so we should be able to achieve INR 6,000 crores comfortably.

Sarvesh Gupta: And sir, on this margin issue, so like earlier we had mostly HAM projects from NHA I, where generally it is considered that margins are better and payment terms are better, delays are less in terms of release of funds and everything. Now you know if I look at your order book, it is more geared towards all state government projects where the funds that we receive from the state governments can also be under a question mark, and margins also we do not have enough history. So, how do you look at that both margin risk and the fund release risk itself?

T. R. Rao: See, if you see the highway sector, the state government project is only one project from MPRDC. If you go by the MPRDC's past history, they are able to make payments and this also only 40% payment they have to make during the construction phase being a HAM project, remaining 60% will come in the form of annuities and interest over the balance payments. So, we do not see any

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major challenge in securing payment from MPRDC for this state highway project. All the remaining highway projects are of the Government of India's NHA I and MoRTH, and two more state projects are there from MSRDC. Since the beginning, we have been getting the payments regularly. So, there are also two packages that are EPC; here, there is no investment risk, and we are getting payments regularly for what we are progressively doing the work.

Sarvesh Gupta: At least 12% EBITDA margin?

T. R. Rao: Overall, 12% EBITDA margin we should be able to achieve.

Sarvesh Gupta: Thank you.

Moderator: Next question is from the line of Parikshit K handpal from HDFC Securities. Please go ahead.

Parikshit Khandpal: Yes, hi, Yogesh ji, congratulations on a decent quarter. Sir, my first question is now the commodity prices have gone up, so bitumen, which is a large part of the cost and associated inputs around the fuel cost. So, when the SPVs give us the EPC project, how are we protected on margin? Are these fixed price contracts like if you get a HAM in SPV? So, when it comes to EPC, is it a fixed price or it is a variable price? So, how do we adjust for commodity inflation?

T. R. Rao: See, it is on a back-to-back basis. Whatever SPVs are getting the price index multiple, which covers both the WPI increase as well as the CPI increase, which will largely cover the other things. Similarly, the bitumen price is now directly compensated between the base price and the price in that particular month of execution, which will also be passed on to EPC from SPV on a back-to-back basis.

Parikshit Khandpal: Whatever the SPV gets as an inflation from NHA I is passed to you back-to-back, so that is what

you are saying, right?

T. R. Rao : Yes. This is a part of the EPC contracts that you executed between SPV and the EPC contract.

Parikshit Khandpal: Okay. Second question is sir, what is the pending payment from the Vertis Infra now ? Out of the INR 1,700 crores, how much have we received and how much is pending?

Yogesh Jain : From Vertis, we have received the entire payment.

Parikshit Khandpal: And what will be the roadmap for the monetization of the next set of assets beyond these 12-assets, so how are we looking to monetize the projects where we have achieved PCOD or COD?

T. R. Rao : So, we certainly will let you know once we reach out to any kind of framework mechanism on how to monetize these projects. So, we are evaluating multiple options. So, certainly we will share with you.

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Parikshit Khandpal: Beyond the 12 -assets which we have monetized with Vertis, I mean, now for other assets, we are looking for a different investor?

T. R. Rao : No, that is what

I said, that it is really premature to say anything. So, please wait because just now we have got only out of now ongoing 14 -assets, including 2 new. Yes, we are evaluating and only five assets only got the PCOD.

Parikshit Khandpal: Okay. Thank you so much, and wish you all the best.

Moderator: Next question is from the line of Sudeep Bora from Ambit Capital. Please go ahead.

Sudeep Bora: Hello, sir. Thank you for the opportunity. Sir, I wanted to know about the Varanasi -Kolkata Packages. So, like we got the ADs in September, October, and you said in your remarks that the progress has been slow in these packages. So, like, what is the outlook on this currently? And like how much revenue are we seeing in FY27 from these three packages?

T. R. Rao : After the commencement of these packages during the month of October, physical execution, we have already achieved INR 336 crores in revenue during FY26. And going forward in FY27, we are looking at around INR 1,600 crores to INR 1,800 crores revenue from these packages.

Sudeep Bora: Okay. So, there is no obstruction or delays right now ?

T. R. Rao : No obstructions. All three packages are going smoothly, we are executing in full swing, so, we do not foresee any major obstruction or anything as of now. So, we should be able to complete these three packages within the stipulated time of 24 -months.

Sudeep Bora: Okay. And regarding the Pune Ring Road and Jalna -Nanded, I think one of them was having some issues. So, is it sorted? What is the outlook for 27?

T. R. Rao : See, both Jalna -Nanded and Pune Ring Road were initially having some land acquisition issues. Last year, for Jalna -Nanded, we encountered a very prolonged, very intense, and record -breaking monsoon in Jalna -Nanded. Now all these issues are behind us. So, we should also be able to achieve a good kind of turnover from these two projects. Also, we are targeting around INR 1,500 crores to INR 1,600 crores in FY27 from these two projects, and we do not foresee any major issues with these things.

Sudeep Bora: Okay. And sir, about the Haryana Orbital Rail, so that is getting stretched for a long time, it has been sitting in our order book for a long time. So, any update on that?

T. R. Rao : See, in the Haryana Orbital Rail, there are certain issues of land acquisition because it falls in the Aravalli range and other things. And also whenever there is a restriction imposed in the construction activity in NCR to curb the pollution, we are also seeing these restrictions in the

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construction activities. That is there. Nonetheless, we have completed more than INR 400 crores of work, which is more than 53% of the work we have already completed. Now, the balance around INR 360 crores of work is there. So, we are expecting that this balance work will be completed in FY27 as well as in FY28. Of course, the execution is slower than what we expected, but we are eligible for the necessary extension.

Sudeep Bora: Okay. So, what remaining work are you expecting to get completed by FY28?

T. R. Rao : Yes, by FY28.

Sudeep Bora: Okay. And about the mining project, I know we have started with the initial work, but the major revenue flow that would come from which year and how much are we expecting in, say, '27 and '28?

T. R. Rao : See, in the mining, execution, and mining activities we started. We achieved around INR 68 crores turnover during FY26, the year we completed, and we are expecting another INR 400 crores turnover in FY27, and in FY28, we are expecting around INR 600 crores. Because we got a five-year time for this entire thing of INR 2,956 crores. So, we should be able to get decent progress beyond FY28 also, and we should be able to complete the entire scope within the time.

Sudeep Bora: Got it, sir. Thank you. Those were my questions.

Moderator: Next question is from the li

ne of Vasudev from Nuvama. Please go ahead.

Vasudev: Yes, thank you for the opportunity . Sir, I just want to know our progress on the Andhra irrigation project. Where are we over there?

T. R. Rao : See, the irrigation project, we received payments of around INR 300 crores from the Government of Andhra Pradesh. And till 31st March, we achieved INR 380 crores worth of work done , and the remaining work to be done is around INR 700 crores. So, this year we are targeting around INR 200 crores of work in FY27. And also then this further progress and all depend upon the receipt of payments from the government of Andhra Pradesh. We are hopeful that , being a priority project, they should be able to release. And we have time up to September '26, they have given an extension, and now we have applied for another two years up to September '28.

Vasudev: Okay, sure, sir. And can you just help me with the toll collection numbers ? And just a bookkeeping question is on CAPEX that we did in FY26 , and our target for FY27 ?

Pankaj Agarwal : Yes, note the number of Toll; the Toll of MP Highways is INR 13.3 crore s in this quarter , and for Raebareli is INR 32 crore s, and for DSI IDC Narela project is INR 2.65 crore s.

Vasudev: Okay, sure, sir. And just on the CAPEX part ?

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Pankaj Agarwal : CAPEX for Financial Year '27, we are targeting INR 150 crore s.

Vasudev: Sure, sir . That is it from my side. Thank you.

Moderator: Next question is from the line of Bhavin Modi from Anand Rathi. Please go ahead.

Bhavin Modi: Thank you, sir, for giving the opportunity. Sir, my first question is with respect to the MDO. S ir, you spoke that you have clocked in the revenue of INR 68 crore s in FY26 and INR 400 crore s in FY27 is the plan, right? So, is this the EPC revenue or the mining fees that you are speaking about?

T. R. Rao : This is the EPC revenue , nothing is mining fee. This is the item rate -based contract. Whatever revenue we are expecting, that is from the EPC revenue only. So , we are expecting around INR 35 crores on average per month, so we are expecting INR 400 crores revenue in FY27 , and going forward, around INR 50 crores per month to INR 600 crores in FY28 . It is not an MDO work. No investment is involved. It is a pure EPC work on an item rate basis.

Bhavin Modi: Okay. So , there will be no separate creation of the SPV, right , generally, which happens in the MDO model.

Yogesh Jain: No, it is on the company 's balance sheet only.

Bhavin Modi: Understood. S ir, the second question is with respect to the BESS thing. So, you mentioned the order book of INR 2,000 crore s. So, this is the pure EPC or does it also include the procurement of bought -out components?

T. R. Rao : No, see, there is no EPC kind of a thing. But it is a PBMC kind of model . We will be getting a charge for the power we transferred into the grid and through BESS and directly. And EPC will be the byproduct to what we will be routing through the project through our parent company.

Bhavin Modi: Suppose whatever the bought -out components are there, like for example, transformers or something , so that will be directly purchased by the SPV , or will it be through the PNC EPC company?

T. R. Rao : As of now, we are looking at it being purchased by the PNC as an EPC contractor.

Bhavin Modi: And then it will be passed to the SPV, right?

T. R. Rao : Yes.

Bhavin Modi: Now that the bitumen prices have skyrocketed , do you see NHAI already with the tenders that they have floated? Are they going to revise the authority cost either by corrigendum or through re -tendering? Is any discussion ongoing for that ?

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T. R. Rao : We are expecting a revision of this authority 's cost, because as of now, the compensation mechanism that they introduced is only for three months from the 1st of Apri

I for the ongoing

projects. So, the projects that they are going to bid out from right now, from the current point, either the cost should be revised, or this kind of compensation mechanism should continue.

Bhavin Modi: Okay . So, once they elongate the tendering process , would be through a simple corrigendum , how do you see it?

T. R. Rao : It will be a simple corrigendum. Earlier also, they revised the estimated cost put to tenders through an addendum and corrigendum. So, this will also happen like that only.

Bhavin Modi: Understood . Thank you for answering the question s.

Moderator: Next question is from the line of Parth Thakkar from JM Financial. Please go ahead.

Parth Thakkar: Thank you for the opportunity. When can we expect the AD for the two new HAM projects that we

received L1 ?

T. R. Rao : See, once we get the letter of award and then follow it with the execution of the concession agreement, we will have a five -month time for the financial closure. Similarly, NH AI will also have a five -month time to fulfill its conditions . So, take everything by a thing , we are expecting appointed date declaration in Q4 of the current financial year.

Parth Thakkar: Have we submitted a bid for any of the BOT projects? And if yes, what would be the size?

T. R. Rao : No, as of now, we have not submitted any bid for any of the BOT tol I projects. We are evaluating the opportunities of the BOT tol I projects that have been floated by NH AI.

Parth Thakkar: Okay. What would be our outstanding receivables from the canal project?

Pankaj Agarwal : Our outstanding in canal project is around INR 300 crore s (this was wrongly mentioned as INR 300 crores, the correct figure is INR 141 crores) .

Parth Thakkar: Okay. Thank you, sir. Those are my questions.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Yogesh Jain : Thank you, everyone, for your active participation in our earnings call. S hould you have any further queries , you may get in touch with the Strategic Growth A dvisors, our investor relations advisors, or feel free to get in touch with us. Thank you very much.

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Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.